19-G-0309/19-G-0310 - 2-14-20 - Brooklyn Union Gas

CASE 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

EVIDENTIARY HEARING

DATE: February 14, 2020

LOCATION: 19th Floor Hearing Room
Agency Building Three,
Empire State Plaza
Albany, New York

ALJ JAMES A. COSTELLO, DPS

ALJ MAUREEN F. LEARY, DPS

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(On the record 10:00 a.m.)

A.L.J. COSTELLO: We're here on the fifth day of the evidentiary hearing in cases 19-G-0309 and 19-G-0310. We're going to start with appearances, and I'll start with the companies.

MR. O'BRIEN: Good morning, Your Honors, for the companies Patrick O'Brien, Phil Decicco and from the law firm of Cullen and Dykman, Ken Maloney.

A.L.J. COSTELLO: Good morning. D.P.S. Staff?

MR. FORST: For D.P.S. staff you have Nicholas Forst, Raquel Parks and Brandon Goodrich.

A.L.J. COSTELLO: Good morning. PULP?

MS. WHEELOCK: Laurie Wheelock and Richard Berkley.

A.L.J. COSTELLO: Good morning. City of New York?

MR. FUNG: Good morning, Justin Fung for the City of New York.

A.L.J. COSTELLO: Good morning. Is there anyone here who I have not called that is making an appearance today? No? Hearing none, I just want to note for the record that Judge Leary is

not here at this time, she will be joining us shortly. I don't know the exact time, but she will be here, and we'll note that for the record when she returns to the bench. Okay. What we're going to do is start with the company's revenue requirements panel.

MR. GOODRICH: Your Honor --

A.L.J. COSTELLO: Yes?

MR. GOODRICH: -- I'm sorry, I thought we were going to start with the schedule, or did you want to wait till Judge Leary is --

A.L.J. COSTELLO: I think we'll -- we'll wait, I'm sorry.

MR. GOODRICH: Sorry, I was confused. Thank you.

A.L.J. COSTELLO: And I just want to say for -- for the attorneys as well as for the panel, attorneys before you speak just please remember to state your name for the record, so that the court reporter has it. And panel members please, before you answer any questions just state your name for the record, so that the court reporter can identify you.

Okay. And I'm going to start with the

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panel members, I'm going to ask you starting with the gentleman on the end just to state your name and business address for the record.

MR. DOXSEE: My name is David Doxsee and it's 1 MetroTech Plaza, Brooklyn, New York.

MR. MOLLOY: James Molloy, 40 Sylvan Road, Waltham, Massachusetts.

MS. BRIGGS: Stephanie Briggs, National Grid, 40 Sylvan Road, Waltham, Massachusetts.

A.L.J. COSTELLO: Please stand and raise your right hand. Do you swear or affirm that the testimony you will provide is the truth?

MR. MOLLOY: Yes.

MS. BRIGGS: Yes.

MR. DOXSEE: Yes.

WITNESS; JAMES MOLLOY; Sworn

WITNESS; STEPHANIE BRIGGS; Sworn

WITNESS; DAVID DOXSEE; Sworn

A.L.J. COSTELLO: Thank you, you may be seated. Counsel.

DIRECT EXAMINATION

BY MR. O'BRIEN:

Q. Patrick O'Brien. Good morning,

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panel. I'm going to start with the KEDNY docket, so case 19-G-0309. So panel, do you have before you a document entitled the direct testimony of the revenue requirements panel dated April 30th, 2019 consisting of a cover sheet, table of contents and 123 pages of testimony?

A. (Panel) Yes.

Q. And do you also have before you a document entitled corrections and updates testimony of the revenue requirements panel dated July 3rd, 2019 consisting of a cover sheet, table of contents and 27 pages of testimony?

A. Yes.

Q. And do you also have before you a document entitled rebuttal testimony of the revenue requirements panel dated September 18th, 2019 consisting of a cover sheet, table of contents and 71 pages of testimony?

A. Yes.

Q. And do you also have before you a document entitled supplemental testimony of the revenue requirements panel dated June 11th, 2019 consisting of a cover sheet, table of contents and 9 pages of testimony?

A. Yes.

Q. And do you also have before you a document entitled second supplemental testimony of the revenue requirements panel dated December 13th, 2019 consisting of a cover sheet, table of contents and 10 pages of testimony?

A. Yes.

Q. And finally, do you all -- also have before you a document entitled third supplemental testimony of the revenue requirements panel dated January 29th, 2020 consisting of a cover sheet, table of contents and 7 pages of testimony?

A. Yes.

Q. And panel, were all these documents prepared by you or under your direction and supervision?

A. Yes.

Q. And if I ask you the questions contained in those documents today, would your answers be the same?

A. Yes.

Q. Do you adopt those documents as your sworn testimony in these proceedings?

A. Yes.

MR. O'BRIEN: Your Honor, I ask that the direct corrections and updates rebuttal supplemental, second supplemental and third supplemental testimony of revenue requirements panels be transcribed into the record as if orally given in the KEDNY docket.

A.L.J. COSTELLO: That request is granted. I'm going to insert them in a slightly different order because I think the supplemental direct testimony was filed after the -- immediately after the direct testimony. So at this point the -- the court reporter will insert into the record the following files, KEDNY revert -- revenue requirements panel direct testimony, KEDNY revenue requirements panel supplemental direct testimony, KEDNY revenue requirements panel corrections and updates testimony, KEDNY revenue requirements panel rebuttal testimony, KEDNY revenue requirements panel second supplemental testimony and KEDNY revenue requirements panel third supplemental testimony. #orally

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Direct Testimony

of

The Revenue Requirements Panel

Dated: April 2019

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I. Introduction and Qualifications

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Mr. Molloy, please state your name and business address.

A. My name is James M. Molloy. My business address is 40 Sylvan Road, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid USA Service Company, Inc. ("National Grid Service Company"), a subsidiary of National Grid USA ("National Grid"), as the Director of Revenue Requirements.

Q. Please describe your educational background.

A. In 1992, I graduated from Catholic University with a Bachelor of Arts in Accounting. In 1994, I received a Master's in Business Administration with a concentration in Finance from the William E. Simon Graduate School of Business Administration at the University of Rochester.

Q. What is your professional background?

A. In 1995, I was hired by the New England Power Service Company as an Assistant Rate Analyst. In 1996, I was promoted to the position of Rate Analyst. In 1998, I was promoted to the position of Senior Rate Analyst. In those positions, I was responsible for rate design analysis for various New England Electric System ("NEES") companies. Specifically, I conducted allocated distribution cost of service studies and supported others in the development of cost allocation and rate design studies. In addition, I performed rate and cost allocation analytical work in the unbundling of rates for the NEES retail companies in preparation for industry restructuring. Further, I developed and implemented the rate plan for the merger of Narragansett Electric, Blackstone Electric, and Newport Electric. In 2001, I was promoted to the position of Principal Regulatory Analyst. In this position, I was responsible for the development and implementation of the Niagara Mohawk Power Corporation d/b/a National Grid ("Niagara Mohawk") and National Grid plc merger rate plan. In 2004, I was promoted to Manager of New York accounting. In this position, I was responsible for the books and records of Niagara Mohawk as well as the regulatory filings associated with the acquisition of KeySpan Corporation. In 2008, I was promoted to the position of Director of Regulatory Compliance. In 2009, I

became the Director of Regulatory Accounting. In 2011, I became the Director of Revenue Requirements, which is my current position.

Q. Have you previously testified before a regulatory commission?

A. Yes. I have testified numerous times before the New York State Public Service Commission ("Commission"), the Massachusetts Department of Public Utilities, and the Rhode Island Public Utilities Commission. Most recently, I testified on behalf of Niagara Mohawk in Cases 17-E-0238 and 17-G-0239 ("2017 NMPC Rate Case"). I also testified on behalf of KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") and The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY" or the "Company") in Cases 16-G-0058 and 16-G-0059 (collectively, the "2016 KEDNY and KEDLI Rate Cases").

Q. Mr. Doxsee, please state your name and business address.

A. My name is David B. Doxsee. My business address is One MetroTech Center, Brooklyn, New York 11201.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid Service Company as Vice President of Finance for the New York jurisdiction, with responsibilities for National Grid's New York utility operations, which include KEDNY and KEDLI.

Q. Please describe your educational background.

A. I received a Bachelor of Science in Business Administration from Long Island University in 1981. I received a Master's in Business Administration with a concentration in Finance from Long Island University in 1984.

Q. What is your professional background?

A. In 1980, I was hired by the Long Island Lighting Company as a Cost Analyst. Thereafter, I held various supervisory positions in Economic Research, Rates and Costing, and Financial Planning. In 1992, I was promoted to Manager of Financial Planning and was involved in conducting the analyses needed to determine the financial and ratemaking impacts of the Shoreham Settlement Agreement with New York State. In 1994, I was promoted to Assistant Treasurer. In this position, I was responsible for Treasury Operations, Capital Markets, Risk Management, Insurance, and Pension Administration. In 1999, I became Director of Finance for the Electric Business Unit, and in 2001 became Director of Finance for Corporate Services. In 2008, I was promoted

to Vice President of Finance for U.S. Gas Operations. In 2011, I was appointed Vice President of Finance for the New York jurisdiction, which is my current position.

Q. Have you previously testified before a regulatory commission?

A. Yes. I testified on behalf of the Long Island Lighting Company before the Commission on the financial panel in Case 96-E-0132 and on cost of capital and financial integrity in Case 93-E-1123. I also testified on behalf of KEDNY and KEDLI in the 2016 KEDNY and KEDLI Rate Cases. Most recently, I testified on behalf of Niagara Mohawk in the 2017 NMPC Rate Case.

Q. Ms. Briggs, please state your name and business address.

A. My name is Stephanie A. Briggs. My business address is 40 Sylvan Road, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid Service Company as Director of Revenue Requirements for New York.

Q. Please describe your educational background.

A. I received a Bachelor of Arts in Accounting from Bryant College in 2000.

Q. What is your professional background?

A. In 2004, I was hired by National Grid Service Company as a Senior Analyst in the Accounting Department. In this position, I was responsible for supporting the books and records of Niagara Mohawk. In 2009, I was promoted to Senior Analyst in the Regulatory Accounting Group. In this capacity, I supported the accounting of regulatory assets and deferrals in accordance with National Grid's rate plans and agreements. In 2011, I was promoted to Lead Specialist for Revenue Requirements responsible for supporting New York revenue requirements. In 2017, I was promoted to Director of Revenue Requirements for New York, which is my current position.

Q. Have you previously testified before a regulatory commission?

A. Yes. I testified on behalf of KEDNY and KEDLI in the 2016 KEDNY and KEDLI Rate Cases and Niagara Mohawk in the 2017 NMPC Rate Case.

II. Purpose of Testimony and Overview of Filing

Q. What is the purpose of the Panel's testimony?

A. The purpose of the Panel's testimony is to support KEDNY's request to increase its gas delivery rates. In support of this request, the Panel will:

(i) present KEDNY's historic and forecast financial data for various periods in a manner consistent with the Commission's regulations and policies;

(ii) describe KEDNY's forecast of operation and maintenance ("O&M") expenses, as well as adjustments to those expenses that were made to normalize the historic test year amounts;

(iii) describe KEDNY's efforts to reduce its cost of service and detail how savings related to specific Company productivity initiatives were reflected in the filing;

(iv) discuss the development of KEDNY's gas rate base;

(v) support KEDNY's forecast of regulatory deferral balances, including the proposal to consolidate inactive accounts; and

(vi) describe proposed treatment for deferrals that the Commission has previously adopted, as well as proposed new deferral mechanisms.

The Panel will also describe the Company's efforts in connection with the preparation of this rate filing to review the accuracy of costs in the historic test

year and to appropriately normalize these results for known and measurable changes that have occurred or will occur between the end of the historic test year and the rate year.

Q. Is the Panel sponsoring any exhibits as part of its testimony?

A. Yes. The Panel sponsors the following exhibits and appendices that were prepared by or under the supervision and direction of the Panel:

Exhibit __ (RRP-1)	Statement of Gas Operating Incomes, by Component, for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021;
Exhibit __ (RRP-2)	Summary of Normalizing Analysis and Adjustments;
Exhibit __ (RRP-3)	Gas O&M Expenses by Expense Type for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-4)	Gas Depreciation Expenses for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-5)	Gas Taxes Other than Income Taxes for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-6)	Gas Federal and State Income Taxes for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending

	March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-7)	Gas Rate Bases for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-8)	Table of Inflation Factors;
Exhibit __ (RRP-9)	Deferral Exhibits;
Exhibit __ (RRP-10)	Various Historic Financial Exhibits for Calendar Years 2013 through 2017; and
Exhibit __ (RRP-11)	Workpaper Data Supporting Certain Exhibits
Appendix A	Description of Regulatory Assets and Liabilities
Appendix B	Current and Proposed Revenue Adjustments and Incentives

Q. What is the historic test year in these proceedings?

A. The historic test year in these proceedings is the twelve months ended December 31, 2018 ("Historic Test Year"). The Historic Test Year data consists of the costs recorded on the books of KEDNY, including: (i) costs incurred directly by the Company; (ii) costs charged to KEDNY from National Grid Service Company and National Grid Engineering & Survey, Inc. (collectively, the "Service Company"); and (iii) costs charged to KEDNY from other affiliated companies.

Q. What Historic Test Year and Rate Year information is the Company presenting?

A. The Company is presenting operating results for the Historic Test Year and forecast data for the rate year, which is the twelve months ending March 31, 2021 ("Rate Year"). In addition, the Company is including forecast data for the twelve months ending March 31, 2022 ("Data Year 1"), March 31, 2023 ("Data Year 2"), and March 31, 2024 ("Data Year 3") (collectively, the "Data Years") for informational purposes and to facilitate the possibility of a multi-year rate settlement in these proceedings. The forecast data provides the basis for computing the revenue requirement for the Rate Year and Data Years in these proceedings. The information presented in these filings is consistent with that required under the Commission's "Statement of Policy on Test Periods in Major Rate Proceedings."

Q. What are KEDNY's revenue requirements and associated revenue deficiencies based on current rates?

A. Based on the cost of service set forth in the Company's filing, for the Rate Year, KEDNY's revenue deficiency is $236.8 million, based on a 9.65 percent return on equity and a 48 percent common equity ratio, as supported by Company Witnesses Ann E. Bulkley and Jonathan Cohen. If a four-year settlement is reached, the Company proposes that a return on equity of 10.15

percent be used to calculate the revenue requirement, as supported by Ms. Bulkley, and that the equity component of the capital structure be increased to 49 percent in Data Year 1 and 50 percent in Data Years 2 and 3, as supported by Mr. Cohen.

Q. How does KEDNY propose to address the current revenue deficiencies?

A. The Company is proposing to reset base delivery rates, which were last set in the 2016 KEDNY and KEDLI Rate Cases, to permit the Company to recover its costs of providing service and allow the Company an opportunity to earn a fair return. As part of a multi-year settlement, the Company would consider levelizing the proposed rate increase to ease the impact on customers.

Q. Does the Company's proposed revenue increase reflect the impact of levelization in the current rate plan?

A. Yes. The Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases was the result of a concerted effort by Staff, the Companies, and other parties to carefully craft a rate plan that levelized the rate increase on an equal percentage basis over the three years of the plan. This approach balanced the interest of customers with the need to maintain safe and reliable service. Levelization was accomplished by under-recovering revenue requirements in the initial year of the rate plan, and over-recovering in the last year. As a

result, KEDNY's current rates for calendar year 2019 generate levelized revenues of approximately $108 million. Starting January 1, 2020, the end of the current rate plan, these levelized revenues will be deferred for future disposition until the earlier of June 30, 2020 or the date that new rates become effective.

The proposed revenue increases in these rate filings build off KEDNY's calendar year 2019 revenues, including the revenues associated with levelization. The Company believes this approach appropriately presents the proposed revenue increases in comparison to the rates that customers are currently paying and the revenues that those rates are currently providing. The Company believes that this approach minimizes customer confusion without adversely affecting the ability of the Commission, Staff, or any other party to review the Company's rate increase proposal.

Q. Please describe Exhibit __ (RRP-1).

A. Exhibit __ (RRP-1) consists of a summary page showing the calculation of KEDNY's operating incomes for the Historic Test Year and Rate Year. The exhibit presents the computation of the base gas revenues in these proceedings, comprising:

- Operating Revenues, Commodity Revenue, Gross Revenue Taxes, and Total Delivery Revenue for the Rate Year and Data Years at present rates supported by Exhibit __ (RDP-2);
- O&M Expenses supported by Exhibit __ (RRP-3);
- Depreciation, Amortization, and Loss on Disposition supported by Exhibit __ (RRP-4);
- Taxes Other Than Income Taxes supported by Exhibit __ (RRP-5);
- Total Income Taxes supported by Exhibit __ (RRP-6); and
- Rate Base and amortization of the Site Investigation and Remediation ("SIR") regulatory deferral supported by Exhibit __ (RRP-7).

The summary page contains six columns that show by component: (i) the Historic Test Year actual operating income at present rates; (ii) adjustments to normalize the Historic Test Year; (iii) adjustments to reflect conditions in the Rate Year; (iv) the Rate Year operating income at present rates; (v) the base rate revenue increase required by the Company; and (vi) the Rate Year operating income with the base rate revenue increase.

III. Historic Test Year Cost Review and Trend Analysis

Q. What efforts did the Company undertake to ensure the accuracy of its Historic Test Year costs?

A. The Company recognizes the importance of demonstrating the accuracy of its Historic Test Year costs. Accordingly, to validate the accuracy and integrity of Historic Test Year costs, and to facilitate Staff's review of these costs, the Company undertook extensive efforts to ensure that costs incurred in the Historic Test Year were thoroughly reviewed and appropriately normalized.

Q. Did the Company's review of Historic Test Year transactions follow the same general process as the reviews conducted in prior National Grid rate cases?

A. Yes. The Company followed the same general process undertaken in the 2016 KEDNY and KEDLI Rate Cases and the 2017 NMPC Rate Case. For vendor costs, the Company enhanced the testing process for the last two quarters of the Historic Test Year, as explained below.

Q. Please describe the Company's review of Historic Test Year costs.

A. The Historic Test Year includes (i) costs charged to the Company (direct or allocated) from the Service Company and (ii) costs either originating in the Company or charged to it by its affiliates. The Company reviewed costs in

both categories to confirm that the Historic Test Year contains costs appropriately charged to KEDNY and to provide the Company with additional assurance that Historic Test Year costs are correctly stated (the "Historic Test Year Review").

Table 1 reflects the total Service Company and operating company costs by cost area and the total amounts the Company examined, including a percentage breakdown.

Table 1: Examination Summary

KEDNY Cost Area	Total Costs considered for examination	Total Examined	Percentage Examined
Vendor Cost	937,794,119	681,263,247	73%
Labor Cost	205,372,184	205,372,184	100%
Employee Expenses	2,084,665	899,541	43%
Manual Journal Entries	101,514,694	53,518,337	53%
TOTAL	**1,246,765,662**	**941,053,309**	**75%**

Service Company Cost Area	Total Costs considered for examination	Total Examined	Percentage Examined
Vendor Cost	1,858,360,590	1,190,121,225	64%
Labor Cost	590,249,090	431,861,146	73%
Employee Expenses	31,665,453	2,962,454	9%
Manual Journal Entries	389,076,452	38,073,879	10%
TOTAL	**2,869,351,585**	**1,663,018,704**	**58%**

Q. Please describe the approach taken by the Company to conduct the Historic Test Year Review.

A. The review was focused on testing that costs were appropriately charged to the Company, including those allocated from the Service Company, and reflected the actual costs incurred to deliver service during the Historic Test Year. The review was designed to identify errors, positive or negative, that may have occurred.

The Company reviewed four types of charges: (i) vendor costs; (ii) labor costs; (iii) employee expense costs; and (iv) manual general ledger journal entries. For those charges reviewed, the Company reviewed supporting documentation (*e.g.* invoices, expense reports, time entry data, receipts, journal entry support) and tested that: (i) the charge was recorded to or allocated to the appropriate company(ies); (ii) if allocated, an appropriate allocation code was used; and (iii) the work for which the charge was incurred took place (collectively, the "Examination Process").

If, after the Examination Process, the Company believed the charge was recorded inconsistently with the examination criteria outlined in the Report (discussed below), the Company identified the amount as an exception.

Q. Did the Company document its review and findings?

A. Yes. The Company prepared a report entitled "Historic Test Year Financial Review Results" that is included in Exhibit __ (RRP-2), Schedule 2 (the "Report"). The Report is divided into four main sections:

- *Risks and Approach* - describes the cost areas the Company reviewed (vendor costs, labor costs, employee expenses, and general ledger journal entries) and the manner in which the Company identified and tested those costs.
- *Results and Findings – Summary Impact on KEDNY and KEDLI* – summarizes the impact of the testing on KEDNY and KEDLI and includes the total dollar amounts reviewed in each cost area, the number of exceptions identified, and the net effect of the exceptions.
- *Results and Findings* – presents the detailed findings for each of KEDLI, KEDNY, and the Service Company. These sections contain specific information for each of the four cost areas reviewed, identifying, for example, each vendor, the number of items reviewed for that vendor, and the amount of the exceptions.
- *Summary of Costs* – contains a detailed summary of the costs reviewed in each quarter of the Historic Test Year and further information describing the manner in which the Company tested those costs.

Q. Please summarize the Company's findings.

A. The review demonstrated that the Historic Test Year costs included in the scope, including those charged from the Service Company, as adjusted, are, in all material respects, accurate and properly recorded. As shown in the *Results and Findings – Summary Impact on KEDNY and KEDLI* section of the Report, the review noted exceptions of $2.79 million for KEDNY and $1.50 million in Service Company charges impacting KEDNY. The total findings for KEDNY are less than one percent of its O&M costs, supporting the determination that the cost data in the Historic Test Year is accurate and a reasonable basis for establishing rates.

Q. Did the Company make an adjustment to reflect the exceptions?

A. KEDNY made adjustments to reduce Historic Test Year contractor expense by $0.594 million, as shown in Exhibit ___ (RRP-3), Schedule 2 and employee expense by $0.016 million, as shown in Exhibit ___ (RRP-3), Schedule 4. Exhibit ___ (RRP-2), Schedule 3 provides details of the adjustments. The Company did not make an adjustment for the remaining exceptions because those costs were either already corrected by the Company, not included in Historic Test Year O&M amounts (*e.g.,* were already included below the line in the cost of service), or it was not possible to determine if

adjustments were warranted without the benefit of post-Historic Test Year data (specifically, as related to the accruals findings).

Vendor Costs

Q. Please describe the Company's review of vendor costs.

A. For each of the first two quarters of the Historic Test Year, the Company selected and tested charges for:

- the top 25 vendors based on dollars approved for payment;
- 15 sampled vendors selected without bias ranked between 26 and 100 based on dollars approved for payment; and
- 10 sampled vendors selected without bias ranked greater than 100 based on dollars approved for payment.

For the third and fourth quarters of the Historic Test Year, the Company enhanced the process. Instead of sampling vendors based solely on dollar amounts (and then testing a high percentage of their invoices, no matter how small), the Company moved to a risk-based approach that enabled testing of a greater number of vendors and unique transactions. This approach allowed the Company to test transactions from vendors who may not be routinely used by the Company and therefore may not have been picked up in the volume-

based sample because their costs were outside the threshold. Under this method, the Company:

- Examined 40 percent of each unique transaction per vendor and a minimum of 10 percent of the invoices per unique transaction. A "transaction" was defined as a vendor's work on a particular project, within a particular department at National Grid. For example, if a vendor was handling ten different projects for one department, each project was considered a unique transaction (of which the Company would obtain 40 percent coverage, *i.e.,* four projects). A minimum of 10 percent of the invoices for each of the transactions selected for testing were also examined.
- For Service Company, the same approach was adopted for all vendors with aggregate costs of more than $0.100 million (roughly 96 percent of the population).
- Service Company vendors with aggregate costs of less than $0.100 million were subject to additional sampling.

As part of the Examination Process, the Company compared the costs recorded in the general ledger to the supporting documentation, tested that the services related to the company to which they were charged and, for charges

assigned to capital projects, tested that the service was performed in support of the capital program.

Table 2 shows the total dollar amounts and number of invoices reviewed, the net impact of the exceptions, and the number of exceptions.

Table 2: Vendor Cost Summary

	Presented in Summary of Costs ($)	Presented in Summary of Costs #	Net impact of exceptions ($)	Number of exceptions
KEDNY	**681,263,247**	**69,358**	**(2,566,436)**	**330**
KEDLI	**206,519,070**	**18,614**	**(468,300)**	**257**
ServCo	**1,190,121,225**	**5,591**	**(5,792,805)**	**132**
TOTAL	**2,077,903,542**	**93,563**	**(8,827,541)**	**719**

Labor Costs

Q. Please describe the Company's review of labor costs.

A. The Company conducted a number of tests of labor costs.

For Service Company employees, the Company selected for testing a sample of base time and overtime pay charges recorded by cost centers in the 15 largest departments as determined by labor costs incurred, and 25 departments selected without bias that were smaller than the largest 15 based on labor costs

incurred. The Company tested whether the costs charged were consistent with the employee's job title and functional area.

For the Company's operating company employees, the Company selected a sample of base time and overtime pay charges. As part of the Examination Process, the Company used metrics to identify outlier entries (*e.g.,* more than 12 hours in a day, hours worked between midnight and 0400 hours, and multiple entities charged in one day). When an outlier was identified, the Company investigated to determine whether the charge was appropriate.

In addition to the above tests, for both Service Company and operating company employees, the Company selected a sample of employee charges and tested that the compensation information was consistent with the employee's actual pay arrangement. The Company also reviewed monthly labor totals to identify potential outliers.

Table 3 shows the total dollar amounts reviewed, the net impact of the exceptions, and the number of exceptions.

Table 3: Labor Cost

	Presented in Summary of Costs ($)	Net impact of exceptions ($)	Number of exceptions
KEDNY	205,372,184	(220,363)	150
KEDLI	114,646,056	(78,356)	113
ServCo	431,861,146	(1,006,701)	165
TOTAL	**751,879,386**	**(1,305,420)**	**428**

* Labor costs considered for examination included all labor dollars and therefore the number of items is not applicable.

Employee Expense Costs

Q. Please describe the Company's review of employee expenses.

A. For each quarter of the Historic Test Year, the Company selected and tested the following charges:

- the top 25 single employee expense reports and top 50 purchase credit card ("P-card") transactions based on dollars approved for payment,
- 15 sampled expense reports selected without bias ranked between 26 and 100 based on dollars approved for payment,
- 10 sampled expense reports selected without bias ranked greater than 100 based on dollars approved for payment, and
- 25 sampled P-card transactions selected without bias ranked greater than 50 based on dollars approved for payment.

As part of the Examination Process, the Company reviewed whether the charges complied with the Company's U.S. Business Travel and Expense Policy and P-card guidelines.

Table 4 shows the total dollar amounts and number of expense reports/P-card transactions reviewed, the net impact of the exceptions, and the number of exceptions.

Table 4: Employee Expense Cost Summary

	Presented in Summary of Costs ($)	Presented in Summary of Costs #	Net impact of exceptions ($)	Number of exceptions
KEDNY	899,541	500	(6,413)	27
KEDLI	354,852	500	5,045	34
ServCo	2,962,454	507	(110,929)	46
TOTAL	**4,216,847**	**1,507**	**(112,297)**	**107**

Q. Did the Company perform any further review of employee expenses?

A. Yes. The Company performed a keyword search of employee expenses to identify charges that should be normalized. If a keyword came up during the search, the Company performed a more detailed review to investigate whether the charge should be removed. Additionally, the Company reviewed employee expenses for charges related to the 2018 work stoppage involving the Company's Massachusetts affiliate. Lastly, consistent with prior National Grid rate filings, the Company removed Band A (senior officers) employee

expenses from the Historic Test Year. Adjustments identified as part of this further review of employee expenses are reflected on Exhibit__(RRP-3), Schedule 4 and Exhibit___(RRP-2), Schedule 3.

General Ledger Journal Entries

Q. Please describe the Company's review of operating expense general ledger journal entries.

A. The Company selected for testing a sample of manual journal entries, focusing on manual entries as the likelihood of a potential misallocation is greater with manual entries than system-generated entries. The categories of journal entries are listed in the *Summary of Costs* section of the Report.

Table 5 shows the total dollar amounts and number of journal entries (a single journal entry can contain hundreds of line items of accounting) reviewed, the net impact of the exceptions, and the number of exceptions.

Table 5: Journal Entries Summary

	Presented in Summary of Costs ($)	Presented in Summary of Costs #	Net impact of exceptions ($)	Number of exceptions
KEDNY	53,518,337	200	0	0
KEDLI	53,353,428	200	0	0
ServCo	38,073,879	202	0	0
TOTAL	**144,945,644**	**602**	0	1

Additional Reviews

Q. Did the Company conduct any additional review of Historic Test Year costs?

A. Yes. The Company performed several additional reviews of Historic Test Year costs to ensure that the costs are accurate and appropriate to use as a basis for forecasting the Rate Year ("Additional Review of Historic Test Year Costs"). The first review consisted of a review of vendor charges organized by vendor name to identify potential charges that should be removed from the Historic Test Year, including, for example, charitable donations, lobbying expenses, and other charges that should be accounted for below the line for ratemaking purposes. The second review consisted of a review of O&M charges originating from the Service Company and from the Company and its affiliates organized by project title. The last review consisted of a review of manual journal entries for one-time or out-of-period adjustments that should be removed from the Historic Test Year. The adjustments from the Additional Review of Historic Test Year Costs are presented as separate line items in Exhibit __ (RRP-2), Schedule 1.

Trend Analysis

Q. Did the Company compare Historic Test Year O&M costs with prior period costs?

A. Yes. The Company performed an analysis to look at changes in expenses incurred by the Company from calendar year ("CY") 2015 through the Historic Test Year. The purpose of the review was to look at trends in costs by functional area incurred by the Company directly, as well as from the Service Company and affiliates that charge the Company. Over the past few years, there have been a number of changes in the organizational structure of the service companies that render it impossible to analyze changes in the costs charged to the Company by examining only the overall level of Service Company costs charged to the Company from year to year. Because of these organizational changes, the Company's costs must be examined on a total basis to draw meaningful conclusions regarding year-over-year variations. This examination was accomplished by combining (i) costs incurred directly by the Company, (ii) costs charged to the Company from the Service Company, and (iii) costs charged to the Company from other affiliates.

The analysis of costs based on the combination of direct and indirect charges provides improved clarity on the factors driving cost increases and decreases by removing the impact of organizational changes that merely result in shifts

rather than absolute changes in costs from year to year. Overall, the trend analysis shows that the total costs for KEDNY increased during the period CY15-CY18 due to increases in operational workload, new regulations and laws such as incremental paving requirements, and initiatives to modernize the Company's gas and IT systems such as the Gas Business Enablement Program ("GBE Program"). Exhibit __ (RRP-2), Schedule 4 presents a comparison of total O&M costs from CY15 to the Historic Test Year.

Q. What does Exhibit __ (RRP-2), Schedule 4 show?

A. The analysis presented on Exhibit __ (RRP-2), Schedule 4 shows that, over the period 2015 through December 31, 2018, the total O&M costs incurred by KEDNY increased from $401.3 million to $614.6 million, an increase of $213.2 million. This increase was primarily driven by Gas Business Unit costs (increased $137.8 million), which is the function that operates and maintains the Company's gas network. The increase in costs generally relates to work that was included in the Company's last rate case such as leak prone pipe replacement and new safety and compliance initiatives, along with new regulatory programs such as inside service line inspections. Other areas responsible for the increase were SIR costs (increased $43.2 million), regulatory assessments (increased $10.3 million), IT departmental costs (increased $10.1 million), and pension/other post-employment benefits

(increased $11.3 million). Offsetting the increases were decreases to demand-side management (decreased $14.5 million) and other areas.

Regarding the source of the cost changes from CY15 to the Historic Test Year, Exhibit __ (RRP-2), Schedule 4 illustrates that increased costs over the CY15 through Historic Test Year period are attributable to costs directly incurred at the Company (an increase of $181.7 million) as well as costs allocated from the Service Company (increased $33.6 million). The Company experienced decreases in costs from other companies (reduced $2.1 million).

Q. How does the Company determine that the costs it incurs from the Service Company are reasonable?

A. The Service Company provides services to the U.S. operating companies, including KEDNY, pursuant to the terms of service agreements that are filed with the Commission. The service agreements set forth the services provided and charges for those services (*i.e.*, services are provided at actual cost). The services include corporate affairs, customer, environmental, executive and administrative, financial, human resources, IT, legal and regulatory, operating, strategic planning and corporate performance, gas supply, and energy procurement and marketing.

The Service Company structure positions the Company to (i) attain the benefits of economies of scale and scope available from the provision of centralized services to a number of operating entities in a manner that ensures that no operating entity is cross-subsidizing another, (ii) improve service quality throughout the National Grid organization as a result of the enhanced job differentiation and specialization that results from the provision of services on a centralized basis to a number of operating entities, (iii) improve reliability of services provided within the organization, and (iv) implement enhanced controls and uniformity of methods and practices throughout the National Grid U.S. business.

National Grid has created a process to provide the Jurisdictional Presidents and their leadership teams with detailed information concerning all costs charged to the operating entities through the service companies. This information provides jurisdictional leadership with regular opportunities to challenge and question Service Company charges. Under National Grid's jurisdictional model, the jurisdictional leadership teams have the key role of assuring that customers are receiving appropriate treatment from affiliates in terms of service quality and costs. Service level agreements ("SLAs") have been established between the jurisdictions and the Service Company functions to provide a management framework. The SLAs have been refined,

improved, and expanded over the years in accordance with the Niagara Mohawk Joint Proposal adopted in Cases 12-E-0201 and 12-G-0202, and based on recommendations in the Overland Consulting audit of Service Company transactions (Case 10-M-0451), and the Company's recent gas management audit (Case 13-G-0009). National Grid implemented a governance framework for the SLAs that includes monthly meetings to discuss budget and/or metric performance. During these meetings, performance issues are addressed or escalated for further review.

IV. O&M Expenses

Q. Please explain the methodology for developing the forecast of O&M expenses in the Rate Year and Data Years.

A. To develop the O&M forecasts, the Company began by determining the costs incurred in the Historic Test Year for the various expense types. Next, the Company reviewed Historic Test Year charges to determine whether specific costs should be normalized, for example, as out-of-period or one-time charges. The inflation factors set forth in Exhibit __ (RRP-8) were then applied to the majority of expense types to forecast the Rate Year and Data Years. Forecasts of certain expenses were developed using a more comprehensive methodology than adjusting for inflation. For example, labor expense was developed by annualizing the monthly and weekly employees on

payroll as of the end of the Historic Test Year, adjusting for known changes to the employee headcount, and applying contractual and projected wage increases to forecast the Rate Year and Data Years. Additionally, the Company adjusted forecast O&M expenses to reflect incremental work projected for the Rate Year or costs associated with new initiatives.

Q. What assumptions did the Company make regarding non-labor inflation?

A. Except where specifically identified otherwise, the Company applied the non-labor inflation factor of 4.870 percent to all non-labor expenses in the Historic Test Year to forecast the Rate Year. This factor is equivalent to a 2.6444 percent average annual increase between the Historic Test Year and the Rate Year. The Company applied the non-labor inflation factor of 2.0355 percent to forecast Data Year 1, 1.9895 percent to forecast Data Year 2, and 1.9247 percent to forecast Data Year 3. These factors represent the forecast change in the GDP Chained Price Index obtained from Moody's, as provided in Exhibit ___ (RRP-8). The Panel addresses calculation of the non-labor inflation factor later in its testimony.

Q. What is the basis for the allocations between expense and capital in the Rate Year and Data Years?

A. Except as otherwise indicated, costs in the Rate Year and Data Years are allocated between expense and capital consistent with their Historic Test Year allocation.

Q. Please explain Exhibit ___ (RRP-3).

A. Exhibit ___ (RRP-3) includes 41 schedules and a summary that shows total adjusted departmental O&M expense for the Historic Test Year of $601.680 million, and a forecast for the Rate Year of $680.174 million. The summary also shows forecasts of total departmental O&M expense for Data Years 1, 2, and 3 of $693.927 million, $681,734 million, and $678.726 million, respectively.

Each schedule pertains to a specific expense type and contains a minimum of four pages of detail. Page 1 of each schedule consists of three sections that show for each expense type: (i) the Historic Test Year expense per books by Provider Company; (ii) the adjustments to normalize the Historic Test Year expense by Provider Company; and (iii) the adjusted Historic Test Year expense by Provider Company. A Provider Company (also referred to as an originating company) is any company that charged KEDNY for services.

Page 2 of each schedule also consists of three sections that show for each expense type: (i) the adjusted Historic Test Year information from Page 1; (ii) the adjustments made to the expenses in the Historic Test Year to reflect conditions in the Rate Year (*e.g.,* inflation) by Provider Company; and (iii) the adjusted Rate Year expense by Provider Company. Page 3 consists of the adjusted Rate Year expense information from Page 2; the adjustments made to expenses in the Rate Year to reflect conditions in Data Years 1, 2, and 3 (*e.g.,* inflation); and the adjusted Data Years 1, 2, and 3 expense by Provider Company. Page 4 consists of an explanation of the adjustments presented on Pages 1, 2, and 3.

Adjustments associated with the Company's review of charges originating from KEDNY and its affiliates are included as a separate line item on Page 4 of each schedule, where applicable, labeled "Historic Test Year Review" or "Additional Review of Historic Test Year Costs," and relate back to Exhibit ___ (RRP-2).

Certain Schedules contain additional information relevant to the specific expenses addressed.

Q. Please explain the derivation of the Provider Company O&M expense on Pages 1 through 4 of each Schedule of Exhibit ___ (RRP-3).

A. There are several National Grid entities that provide services directly and indirectly to KEDNY. The charges associated with those services are either directly charged to KEDNY or allocated among the various National Grid affiliates (including KEDNY) that receive the services. For example, when the Service Company performs a service for the benefit of a single company, that company is directly charged for that service. If the service is for the benefit of multiple companies, however, the charge is allocated to those companies using an appropriate allocator. Pages 1 through 3 detail charges to KEDNY from the Provider Companies, including the Service Company.

Q. What amount of Service Company costs were incurred by KEDNY in the Historic Test Year?

A. In the adjusted Historic Test Year, KEDNY incurred Service Company O&M costs of approximately $196.812 million. These costs are set forth in the summary page of Exhibit __ (RRP-3).

Q. Please describe how the Service Company charged KEDNY for services during the Historic Test Year.

A. Service Company charges were either directly charged to KEDNY or, when a service was performed for multiple affiliates, charges were aggregated and allocated to all affiliates that benefited from the service using approved allocation methodologies. These allocations have been developed to accommodate the different types of costs that are charged by the Service Company.

The allocators are based on cost causation principles and are designed to maximize use of direct allocation codes where charges have been incurred for the direct benefit of a single company. When it is not appropriate to use a direct allocation code, a cost causative code is assigned based on the appropriate causation driver. Where it is not appropriate to use a direct or cost causative code, then a general allocator is used. The general allocator used by the Service Company is based on a three-point model using Net Margin, Net Plant, and Net O&M expense. These allocation principles are set forth in National Grid's Cost Allocation Manual.

Q. Please explain the expense specific schedules in Exhibit ___ (RRP-3).

A. The expense specific schedules are as follows.

Schedule 1 – Consultants

Schedule 1 consists of four pages and shows the costs associated with external consultants performing services for the Company. Page 4 details adjustments to normalize the Historic Test Year, including adjustments to (i) exclude operating costs associated with the GBE Program, (ii) remove costs associated with the Appreciate program, and (iii) remove costs in connection with the Additional Review of Historic Test Year Costs. These adjustments are further detailed on Exhibit__(RRP-2), Schedules 1-3. The Company made an inflation adjustment to the remaining Historic Test Year costs.

GBE Program O&M costs were removed from specific expense schedules and the Rate Year forecast is included in Schedule 27, Other Initiatives, to present these costs in a single schedule.

Schedule 2 – Contractors

Schedule 2 consists of four pages and shows the costs associated with external contractors performing services for the Company. Page 4 details adjustments to normalize the Historic Test Year, including (i) an adjustment to exclude operating costs associated with the GBE Program, (ii) an adjustment to remove costs associated with the Appreciate program, (iii) an adjustment for a proposed capitalization policy change (discussed in the direct testimony of the

Gas Infrastructure and Operations Panel ("GIOP")), and (iv) an adjustment to remove incremental leak repair costs related to achievement of the Type 3 leak repair incentive in the Historic Test Year. In addition, adjustments were made for the Historic Test Year Review and Additional Review of Historic Test Year Costs. The Company made a further adjustment to increase the remaining Historic Test Year costs by inflation.

Q. How were expatriate costs charged to the Company in the Historic Test Year?

A. Costs for expatriate labor and benefits are initially booked at National Grid plc. An analysis is then performed to determine whether the costs are recoverable from customers. Recoverable expatriate costs are compared to the current available Market Reference Point ("MRP") for comparable positions. The lower of the actual cost or MRP is subsequently recorded to the Service Company and assessed to the Company and/or other affected operating companies. Accordingly, as costs were reviewed and adjusted before being charged to the Company, no adjustments were made for expatriate costs in the Historic Test Year.

Schedule 3 – Donations

Schedule 3 consists of four pages and shows the costs of charitable donations by the Company. Page 4 shows the removal of these costs from the Historic Test Year.

Schedule 4 – Employee Expenses

Schedule 4 consists of four pages and shows the costs associated with employee expenses. Page 4 details adjustments to normalize the Historic Test Year, including the removal of GBE Program operating costs and adjustments related to both the Historic Test Year Review and the Additional Review of Historic Test Year Costs. The Company applied the proposed inflation factor to the remaining Historic Test Year employee expenses.

Exhibit __ (RRP-2), Schedule 3 shows the removal of Band A employee expenses and the adjustments from the Additional Review of Historic Test Year Costs. Exhibit__(RRP-2), Schedule 2 shows the adjustments related to the Historic Test Year Review.

Schedule 5 – Computer Hardware

Schedule 5 consists of four pages and shows the costs of computer hardware used by the Company. Page 4 details adjustments to normalize the Historic

Test Year, including an adjustment to exclude GBE Program O&M costs and an adjustment to increase the remaining Historic Test Year costs by inflation.

Schedule 6 – Computer Software

Schedule 6 consists of four pages and shows the costs of computer software used by the Company. Page 4 details adjustments to normalize the Historic Test Year, including an adjustment to exclude operating costs associated with the GBE Program and an adjustment to increase the remaining Historic Test Year costs by inflation.

Schedule 7 – Other

Schedule 7 consists of four pages and shows costs incurred by the Company for utility purposes that are not otherwise identified in specific expense types. Page 4 details several adjustments to normalize the Historic Test Year, including the reclassification of certain costs to reflect them in individual schedules to provide greater transparency. In addition, the Company made adjustments to (i) remove operating costs associated with the GBE Program, (ii) reflect a capitalization policy change proposed by the GIOP, and (iii) normalize costs associated with the Additional Review of Historic Test Year Costs. These adjustments are further detailed on Exhibit__(RRP-2), Schedule

1. The Company applied the proposed inflation adjustment to the remaining Historic Test Year costs.

Schedule 8 – Rent Expense

Schedule 8 consists of nine pages and shows the rent expense incurred by the Company. The first three pages are the same as the other schedules, with Page 4 details several adjustments to normalize the Historic Test Year and adjustments to reflect conditions in the Rate Year and Data Years. Pages 6 through 9 provide greater detail on the elements of cost by sub-function, as discussed below.

Q. What are the major components of rent expense?

A. The major components of rent expense include facilities leases and all other rent expense, such as non-fleet related vehicle rentals, airplane, right-of-way payments, and miscellaneous equipment rentals. Page 5 shows costs in the Historic Test Year and forecast Rate Year and Data Years organized by sub-functions. Subsequent pages provide greater detail on each cost component.

Facilities Leases

Q. How did the Company develop the forecast for facilities leases?

A. The forecast is based on the expected lease payments for KEDNY's lease obligations and the Company's allocated share of Service Company lease obligations. Pages 6 and 7 detail facilities lease expense by leased property, segregated by facilities that are owned by KEDNY (direct costs) and facility costs that are allocated to KEDNY (indirect costs).

Q. Does the Company's revenue requirement reflect any significant modifications to facilities leases?

A. Yes. The Service Company presently leases 254,000 square feet of office space at One MetroTech Center in Brooklyn, New York. Employees at this facility currently provide services to both KEDNY and KEDLI, among other National Grid operating companies. As part of the Accelerate Program (described below), National Grid has looked at ways to more efficiently utilize office space. These efforts are described in more detail by the GIOP. The revenue requirement assumes the Service Company will retain 80,000 square feet of the MetroTech office space (primarily for the current call centers and Sustainability Hub) and lease 100,000 square feet in another facility in Brooklyn, the exact location of which is unknown at this time.

In addition, the Service Company is reconfiguring the Wyman Street building in Waltham, Massachusetts to assign 25 percent o the space to unregulated operations. This produces a savings of $0.489 million for KEDNY compared to Historic Test Year actuals, as shown in Exhibit ___ (RRP-3), Schedule 8, Page 6.

Other Rent Expense

Q. Please explain how other rent expense was calculated.

A. Pages 8 and 9 detail all other rent expense, such as non-fleet related vehicle rentals, airplane, right-of-way payments, and miscellaneous equipment rentals, both directly and indirectly incurred. The forecast amounts are based on the Historic Test Year values inflated to the Rate Year and Data Years using the inflation rate in Exhibit ___ (RRP-8).

Schedule 9 – Service Company Rent Expense

The Service Company owns a number of shared assets that are used either by Service Company employees to provide services to affiliates or by the affiliates on a shared basis. These are primarily shared office facilities (*e.g.,* the Reservoir Woods office building) and information software and systems. When the Service Company owns the shared asset, it charges the affiliates, including KEDNY, an asset recovery charge based on a pre-tax return on the

asset (net of deferred taxes) and booked depreciation expense. The asset recovery charge is recovered through rent expense.

Schedule 9 consists of eight pages and shows the rent expense incurred by the Company from the Service Company. The first three pages are the same as the other schedules, with Page 4 detailing several adjustments to normalize the Historic Test Year and adjustments to reflect condition in the Rate Year and Data Years. Pages 5 through 8 provide greater detail on the elements of cost by sub-function. Exhibit ___ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 9, Workpapers 2 through 13 detail Service Company owned facilities and IT systems. IT systems are segregated by projects placed into service prior to or during the Historic Test Year, and projects to be placed in service in the Rate Year and Data Years.

Q. What rate of return did the Company utilize for the Service Company asset recovery charge?

A. The Company applied a weighted average pre-tax cost of capital ("pre-tax WACC") of 8.69 percent to calculate capital charges from the Service Company to KEDNY. However, in the event of a four-year settlement, the Company proposes to use a return on equity of 10.15 to calculate Service Company capital charges to KEDNY, which would increase the pre-tax

WACC to 9.03 percent. The calculation of the WACC for the Service Company asset recovery charge is described in the direct testimony of Company Witness Jonathan Cohen. The calculation of the corresponding pre-tax WACC is set forth in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 9, Workpaper 14.

IT Leases

Q. How did the Company develop the forecast for IT leases?

A. The forecast is based on the amortization and return on existing and forecast IT projects. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 9, Workpapers 2, 3, 5, 6, 8, 9, 11, and 12 detail IT leases from the Service Company, segregated by projects placed into service prior to or during the Historic Test Year, and by projects to be placed into service in the Rate Year and Data Years. IT capital investments utilized or proposed for use as Service Company assets are discussed in the testimony of the IT Panel and other Company witnesses. The IT Panel lists the investments and testimonies where various investments are discussed.

Schedule 10 – Construction Reimbursement

Schedule 10 consists of four pages and presents construction reimbursements received by the Company in the Historic Test Year. Page 4 reflects an adjustment to increase the remaining Historic Test Year costs by inflation.

Schedules 11 and 16 – Other Post Employment Benefits and Pension Expenses

Schedules 11 and 16 each consist of six pages that detail the estimated costs and assumptions associated with other post employment benefits ("OPEB") and pension expenses.

Q. How are OPEB and pension expenses currently recovered in KEDNY's rates?

A. KEDNY's CY19 rate allowance for OPEB and pension expenses are $11.971 million and $20.995 million, respectively. The Company reconciles the rate allowances with the actual OPEB and pension expenses it books for GAAP purposes and defers under or over recoveries pursuant to the Commission's "Statement of Policy on Pensions and Other Postretirement Benefits Other Than Pensions" issued September 17, 1993 in Case 91-M-0890 ("P&OPEB Policy") and the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases.

Q. How did the Company develop the forecasts of OPEB and pension expenses for the Rate Year and Data Years?

A. The forecasts of OPEB and pension expenses were based on projections prepared by the Company's actuaries, AonHewitt. As shown in Schedules 11 and 16, KEDNY is proposing to decrease the allowance included in rates for OPEB expense in the Rate Year to ($1.224) million, and further decrease the allowances to ($1.743) million, ($2.245) million, and ($4.603) million in Data Years 1, 2, and 3 respectively. For pension expense, KEDNY is proposing to decrease the allowance to $11.984 million in the Rate Year, and further decrease the allowance to $9.036 million, ($0.266) million, and ($3.324) million for Data Years 1, 2 and 3. OPEB and pension costs associated with the Company's incremental full-time equivalent employees ("FTEs") are not reflected in the OPEB and pension allowances. Instead, those costs are reflected separately in Exhibit ___ (RRP-3), Schedule 27. The Company's efforts to control pension and OPEB expenses are discussed in the direct testimony of Company Witness Maureen P. Heaphy.

Q. Please explain how KEDNY accounts for pension and OPEB costs.

A. KEDNY accounts for pension and OPEB costs in accordance with the P&OPEB Policy. Under the P&OPEB Policy, KEDNY is required to use internal reserve accounting to account for any amount of pension and OPEB

expenses recovered in rates but that are either not deposited in an external fund or paid out as benefits. Amounts reflected in KEDNY's internal reserve accrue carrying costs at the Commission-authorized pre-tax cost of capital.

Schedules 12, 13, 14, 15, 17, and 18 – Fringe Benefits

Schedules 12, 13, 14, 15, 17, and 18 present employee fringe benefits costs exclusive of OPEB and pension costs, as follows:

Schedule 12 – FAS 112 Long-Term Disability Retirement

Schedule 12 consists of five pages. Pages 1 through 3 present the costs associated with fringe benefits in the Historic Test Year and the forecast Rate Year and Data Years. Pages 4 and 5 detail adjustments to normalize the Historic Test Year and inflation adjustments, where necessary, to forecast the Rate Year and Data Years. The adjusted Historic Test Year FAS 112 expenses are $0.268 million. For the Rate Year and Data Years 1, 2, and 3, the projected costs are $0.281 million, $0.287 million, $0.293 million, and $0.298 million, respectively.

Q. How were the adjustments to normalize the Historic Test Year FAS 112 expense developed?

A. Page 5 sets forth the process utilized to normalize costs incurred in the Historic Test Year for FAS 112. The adjusted Historic Test Year FAS 112 expenses were based on new claimant information prepared by the Company's actuary, AonHewitt, for fiscal year ("FY") 2019. The Company then applied a uniform Historic Test Year capitalization rate of 50.35 percent, which is based on the ratio in the Historic Test Year of capitalized labor to total labor for the Company. For Service Company charges allocated to KEDNY, the Company applied a percentage of total Service Company payroll charged to KEDNY and a Historic Test Year capitalization rate of 27.20 percent using the same methodology to arrive at the total FAS 112 expense.

<u>Schedules 13 (Healthcare), 14 (Group Life Insurance) and 18 (Worker's Compensation)</u>

The revenue requirements associated with Healthcare, Group Life Insurance, and Worker's Compensation fringe benefits are all based on adjusted Historic Test Year costs for these expenses, adjusted for inflation to arrive at Rate Year and Data Year expense amounts.

Q. How were the adjustments to normalize the Historic Test Year Healthcare, Group Life and Worker's Compensation expenses developed?

A. For charges made directly to KEDNY, the Company started with total Historic Test Year expense (gross expenses prior to any adjustment for capitalization). It then applied the uniform capitalization rate of 50.35 percent, which is based on the ratio in the Historic Test Year of capitalized labor to total labor for KEDNY, to determine the portion of the gross expenses that were capitalized. The non-capitalized portion of the gross expenses were the total O&M expenses applicable to KEDNY. For Service Company costs, the Company applied the percentage of total applicable Service Company payroll charged to expense at KEDNY.

Q. What additional adjustments were made to Healthcare in the Rate Year?

A. The Company made additional adjustments to Healthcare in the Rate Year based on the Company's Student Loan Repayment Program. As detailed in the direct testimony of Company Witness Maureen P. Heaphy, the program began in April 2018, and increases from $50 per month per employee up to a maximum lifetime benefit of $6,000 per employee. The Historic Test Year was adjusted to reflect a full year of this program at the median monthly

expense, based on the number of employees participating in the program as of December 2018.

Schedule 15 – Other Benefits

Schedule 15 consists of four pages and presents costs for providing other benefits, including education assistance, employee awards and other employee agreements. The Other Benefits expense is not capitalized largely because of the relatively small dollars associated with this expense. The Company made an adjustment to the Historic Test Year for the Caregive Program to reflect a full year of employee participation. As discussed in the direct testimony of Company Witness Maureen P. Heaphy, the program began in July 2018. The Rate Year and Data Year amounts for Other Benefits reflect the Historic Test Year adjusted for inflation.

Schedule 17 – Thrift Plan (401k Matching)

The adjusted Historic Test Year of Thrift Plan expenses were based on contributions made by the Company in the Historic Test Year. Based on the Company's contributions, the adjusted Historic Test Year expenses for KEDNY are $6.712 million. For the Rate Year and Data Years 1, 2, and 3, the projected costs are $7.039 million, $7.182 million, $7.325 million, and $7.466 million, respectively.

Q. How were the adjustments to normalize the Historic Test Year Thrift Plan expense developed?

A. Workpaper 1 to Schedule 17 sets forth the process used to normalize costs incurred in the Historic Test Year for Thrift Plan expenses. The Company based the adjusted Historic Test Year on actual payments to the Thrift Plan. For payments made directly on behalf of KEDNY, the Company started with total payments in the Historic Test Year. It then applied the uniform capitalization rate of 50.35 percent, which is based on the ratio in the Historic Test Year of capitalized labor to total labor for KEDNY, to arrive at the total expense applicable to KEDNY. For Service Company payments made into the plan, the Company applied a percentage of total applicable Service Company payroll charged to KEDNY. This amount, in addition to expense directly applicable to KEDNY, result in the total Thrift Plan expense.

Q. What adjustments were made to Thrift Plan expense in the Rate Year?

A. The Company adjusted its Historic Test Year Thrift Plan expense to reflect non-incremental new employees who are replacing employees previously employed as participants in the Pension Plan. These new employees will be covered by the Enhanced Thrift (401K) plan and therefore receive a core contribution in addition to the matching contribution received by Pension Plan employees. An average of the number of Pension Plan employees who left

the Company to be replaced by Enhanced Thrift employees was used to determine the amount of this adjustment. While the amount of the core contribution begins at four percent and escalates progressively to eight percent based on age and years of service, four percent was used for this adjustment. The applicable capitalization and allocation rates were used to determine the portion to be charged to expense from KEDNY and the Service Company.

Q. Please describe the method for normalizing the fringe benefits of Service Company employees charged to KEDNY.

A. Similar to the fringe benefits charged to KEDNY, the Company started with the total Service Company charges for fringe benefit expense (gross expenses prior to any adjustment for capitalization). The Company then allocated the total fringe benefit expense on the same basis that Service Company historic labor is allocated to KEDNY to expense, or 12.23 percent.

Schedules 19 through 21 – Materials

Schedules 19 through 21 each consist of four pages and show costs related to materials purchased from outside vendors, materials released from inventory, and material stores handling costs incurred by the Company. Page 4 details adjustments to normalize the Historic Test Year including adjustments to (i) exclude operating costs associated with the GBE Program and (ii) reflect the

capitalization policy change proposed by the GIOP. The remaining Historic Test Year costs were increased by inflation.

The Schedules consist of the following:

Schedule 19 – Materials from Outside Vendors

Schedule 20 – Materials from Inventory

Schedule 21 – Materials Stores Handling

Schedule 22 – Postage

Schedule 22 consists of four pages and shows costs related to postage incurred by the Company. Page 4 details adjustments to normalize the Historic Test Year, including adjustments to (i) reflect the Company's paperless billing program, (ii) remove pre-paid envelopes from the Historic Test Year, and (iii) reclassify costs from rent expense.

Schedule 23 – Labor

Schedule 23 contains all O&M labor expense. The schedule consists of 14 pages and presents the labor expense forecasts for the Rate Year and Data Years. Schedule 23 also presents the adjustments the Company made to normalize the Historic Test Year and forecast labor expense for the Rate Year

and Data Years. The schedule provides this information by Provider Company.

Q. Please explain the components of Schedule 23.

A. The first four pages of Schedule 23 depict the total labor charges that were expensed for the Historic Test Year, adjusted Historic Test Year, Rate Year, and Data Years. Pages 5 and 6 contain the calculation of adjusted Historic Test Year and forecast Rate Year and Data Years labor expense. Pages 7 and 8 present the allocation of total annualized adjusted base labor expense and adjusted variable compensation labor expense by Provider Companies to KEDNY. Pages 9 through 13 present labor expense charged by Provider Company, capital, expense, and other for the Historic Test Year, adjusted Historic Test Year, Rate Year, and Data Years. Page 14 depicts the number of forecast FTEs by Provider Company for the Historic Test Year and the Rate Year.

Q. Please explain the general methodology used to forecast labor expense for the Company.

A. The Company incurs labor charges from KEDNY employees and from employees of the Service Company. The Company also incurs labor charges from employees of other affiliated companies ("All Other Companies")

allocated to KEDNY. The forecast in Schedule 23 begins with the Historic Test Year aggregate operating expense labor costs for KEDNY, which are shown segregated by Provider Company. Additionally, Pages 9 through 13 show the Historic Test Year allocations of total labor charged by KEDNY (to itself), and the Service Company. The Company forecast both components of labor costs: the costs KEDNY incurred and charged to itself and other companies and the labor costs incurred by the Service Company and All Other Companies that are charged to KEDNY. The forecast of total labor costs charged by KEDNY and the forecast of total labor costs charged by the Service Company were developed utilizing adjusted FTEs as of December 31, 2018, which was the basis for the forecast Rate Year and Data Years. The results were prorated back by the accounting allocations for each Provider Company based on the Historic Test Year. Labor expense incurred by and for KEDNY was the basis for the forecast of O&M expense, as set forth in the summary schedule of Exhibit ___ (RRP-3).

Q. How did the Company determine the appropriate labor headcount for the Rate Year?

A. The Company began with the labor headcount at the end of the Historic Test Year for KEDNY and the Service Company. The count of management FTEs as of December 31, 2018, as presented on Exhibit ___ (RRP-3), Schedule 23,

Page 14, was 118 for KEDNY and 5,294 for the Service Company. The collective bargaining unit FTEs as of December 31, 2018 were 1,389 for KEDNY and 1,661 for the Service Company. The Company then adjusted the total KEDNY management FTEs to 120 and the total KEDNY bargaining unit FTEs to 1,349 to establish the base for the forecast. The total Service Company management FTEs and bargaining unit FTEs were adjusted to 5,307 and 1,595, respectively.

Q. Please explain the adjustments the Company made to the labor headcounts.

A. The Company made adjustments to the December 31, 2018 labor headcount to reflect conditions in the Rate Year to:

(i) remove employees from the management and represented headcounts who are on long-term leave and not expected to return; and

(ii) add the average headcounts for seasonal and temporary employees who were excluded from the December 31, 2018 employee headcounts.

Q. Please explain why employees who may not allocate time to KEDNY need to be reflected in the labor headcount of each Provider Company.

A. The Company forecasts labor by first calculating total labor costs by Provider Company and the Service Company. The Company next applies an allocation factor based on how labor was charged to KEDNY from these companies in the Historic Test Year. Therefore, all employees, regardless of how they charge their time, must be reflected in the calculation of total labor cost for each Provider Company to derive the correct total labor cost that will then be allocated to KEDNY based on Historic Test Year allocations.

Q. Please describe the process used to convert full time employees and part time employees into FTEs.

A. Full time equivalent status, shown on Page 14 of Schedule 23, was computed by the following method:

(i) All full time employees were considered FTEs.

(ii) Part time employees were converted to FTEs using the following formula: Average Part Time Employee Salary divided by Average Full Time Employee Salary times Part Time Employee Count. For KEDNY and the Service Company, there were 0 and 34 part time management employees, respectively, which equated to 0 and 28 FTEs.

The same procedure was used for represented employees. KEDNY and Service Company had 0 and 13 part time employees, respectively, included in the represented labor base, which equated to 0 and 8 FTEs, respectively.

Q. How was management labor expense calculated for the Rate Year and Data Years?

A. Management labor expense for the Rate Year and Data Years was calculated using average salaries in effect at December 31, 2018, including base and variable compensation. The average base salaries were adjusted for salary increases, applying a 3.35 percent salary increase to management labor in FY19, and a 3.1 percent increase to management labor through the Rate Year and Data Years. This salary increase and an explanation of the base and variable compensation structure are addressed in the direct testimony of Company Witness Maureen P. Heaphy.

Q. How was management variable compensation calculated for the Rate Year and Data Years?

A. The revenue requirement includes the portion of management variable compensation tied to the attainment of individual goals as well as metrics based on safety, reliability, and customer satisfaction. The Company is not seeking recovery of that portion of variable compensation tied to financial

objectives. To calculate management variable compensation for the Rate Year and Data Years, the Company first applied maximum plan payout ratios to average base salaries adjusted for salary increases. A target payout rate of 50 percent was then applied to the maximum variable compensation plan payout to calculate the forecast. Company Witness Maureen P. Heaphy addresses the Company's compensation plan.

Q. Has the Company reflected senior executive variable compensation in the forecast?

A. No. These costs are not included in Company's Rate Year O&M expense.

Q. How was represented employees' labor expense calculated for the Rate Year and Data Years?

A. The Company adjusted average base wages by applying the applicable effective wage increase (based on the current collective bargaining agreements) annually in the Rate Year through Data Year 3.

Q. How was represented employees' variable compensation calculated for the Rate Year and Data Years?

A. The revenue requirement includes 100 percent of represented employees' variable compensation, which provides direct incentives for such employees

to meet or exceed metrics tied to safe, reliable, and efficient performance, and is included in the current collective bargaining agreement with the union. The forecast for the Rate Year and Data Years was calculated by applying the target payout rate of 1.75 percent for IBEW-1049 and 2.5 percent for TWU-101 and IBEW-3 to average base wages adjusted for wage increases, double time, and shift premiums and overtime.

Q. Please describe how overtime was calculated for the adjusted Historic Test Year total labor amounts.

A. The ratio of overtime pay to base salary and wages was calculated for the Historic Test Year. These rates were applied to the adjusted forecast management salaries and represented employees' wages for the Rate Year and Data Years. The overtime and premium rates were calculated by expense, capital, and other charge categories.

Q. Please describe the adjustments to miscellaneous pay for the Rate Year.

A. Miscellaneous pay was prorated based on the ratio of miscellaneous pay to base pay in the Historic Test Year. The Company normalized miscellaneous pay in the Historic Test Year to exclude the employee electric vehicle incentive program, defined contribution supplemental executive retirement plan payments, executive separation pay, payments relating to the

Massachusetts work stoppage that were not reclassified by the end of the Historic Test Year, prior period miscellaneous pay corrections, one-time payment for spousal severance, severance payments that resulted from changes to the Company's operating model, and other minor miscellaneous adjustments.

Q. Were any other adjustments made to the base Historic Test Year labor?

A. Yes. The Company made several adjustments to KEDNY and Service Company in the Historic Test Year. With respect to KEDNY, the Company made adjustments to: (i) reflect changes to the capitalization policy to remove the 50-foot threshold and capitalize all main installation activities, as proposed by the GIOP and (ii) correctly reflect as overtime premium pay labor that was previously recorded as base labor. With respect to the Service Company, the Company made adjustments to: (i) miscellaneous pay as discussed above; and (ii) correctly reflect as overtime premium pay labor that was previously recorded as base labor.

Q. What percentage of labor costs did the Company forecast would be capitalized in the Rate Year?

A. The Company forecast 50.35 percent of total labor costs would be capitalized in the Rate Year. The forecast is based on the Historic Test Year percentage of labor costs capitalized.

Q. Please describe 53rd week labor costs.

A. Every five years there is an additional, or 53rd, pay week. Therefore, an amount equal to one-fifth of the weekly cost (*i.e.,* one day) is added to the labor cost to reflect the normalized cost of the 53rd week. Fifty-third week labor costs are associated with any employee who is paid weekly. Typically, these are represented employees. The 53rd week labor costs are added to the total Rate Year represented labor costs found on Pages 10 through 13 of Schedule 23.

Q. How were 53rd week labor costs calculated?

A. 53rd week labor costs were calculated by taking the estimated annual Rate Year labor costs for weekly paid employees divided by 2,080 hours and multiplied by eight hours. The 2,080 hours represents the total number of hours worked in a normal calendar year and the eight hours represents the normal work hours in a day (*i.e.,* one-fifth of the week). The calculation was

performed by salary band for full time represented employees and part time represented employees.

Schedule 24 – Transportation

Schedule 24 consists of 15 pages and shows transportation costs incurred by the Company. The first four pages are the same as all other schedules, with Page 4 detailing adjustments to normalize the Historic Test Year and inflation adjustments to reflect conditions in the Rate Year and Data Years. Pages 5 through 15 provide greater detail on the elements of transportation costs such as lease expense, fuel costs, and other costs, including vehicle materials and maintenance.

Q. What are the major drivers of transportation expense?

A. The majority of costs associated with transportation expense pertain to (i) lease expense; (ii) motor fuel; and (iii) other expenses (*e.g.,* vehicle parts and maintenance costs). Pages 5 through 7 detail the cost components in the Historic Test Year, Rate Year, and Data Years. Pages 8 through 15 provide a further breakdown of the components in developing the forecast.

Transportation Lease Expense

Q. Please describe the components of transportation lease expense.

A. Transportation lease expense consists of vehicles on lease in the Historic Test Year that will remain on lease through the Rate Year, and vehicles on lease in the Historic Test Year that will be replaced before or during the Rate Year. In addition, the Company's forecast of transportation lease expense reflects the costs of additional vehicle leases needed to achieve the proposed incremental work plan presented in this case.

Q. How did the Company develop the forecast for transportation lease expense?

A. The Company began with the vehicle inventory as of December 31, 2018. From that, the Company first forecast the lease expense for existing leases as of December 31, 2018 through the term of the leases. Second, the Company added the forecast of lease expense associated with replacement vehicles scheduled to be acquired prior to or in the Rate Year and Data Years. In general, vehicles become eligible for replacement when fully amortized. Third, the Company increased the number of vehicles in fleet inventory to support the level of work the Company plans to deliver in the Rate Year. Finally, the Company reduced the forecast by estimated gains to be received from sales of replaced vehicles at auction.

Q. Please explain how transportation lease expense is calculated.

A. Estimated delivery dates are established for the replacement and additional vehicles along with projected acquisition costs. Lease expenses are then calculated using the acquisition cost, term of the lease, and projected interest rate provided by the leasing company.

Q. Why did the Company not simply adjust the Historic Test Year for inflation to forecast the Rate Year and Data Years?

A. The Company does not believe that adjusting for inflation provides an accurate projection of activity in the Rate Year and Data Years. Transportation lease expense is impacted by changes in the Company's fleet. Specifically, increases or decreases in lease expense result from vehicles being removed, replaced, or added to the Company's fleet. In addition, the Company's fleet is comprised of many different types of vehicles and equipment. These vehicles vary in costs and lease terms. The Company's forecast takes into account these known and measurable changes and, therefore, provides a more accurate and reasonable forecast than simply adjusting for inflation.

<u>Transportation Motor Fuel Expense</u>

Q. How did the Company develop the forecast for motor fuel expense?

A. Motor fuel expense was calculated by multiplying the forecast prices from the New York Mercantile Exchange by the level of fuel consumption in the Historic Test Year. To determine the forecast of compressed natural gas ("CNG"), the Company utilized the 2018 Clean Cities Alternative Fuel Price Report issued by the US Department of Energy, which sets forth the average difference between retail diesel prices and the CNG price per gallon equivalent by state. For New York State, the midpoint of the difference was $0.92. The Company subtracted this amount from the forecast retail diesel rates to arrive at the CNG forecast.

Other Transportation Expense

Q. Please describe the components of other transportation expense.

A. Other transportation expense includes items such as vehicle parts costs and maintenance costs. Vehicle parts costs are the actual costs paid to vendors for procured parts. Vehicle maintenance costs consist of actual costs paid to vendors when work is performed on Company vehicles by outside vendors.

Q. Please explain how other transportation expense was calculated.

A. The Company adjusted Historic Test Year costs for inflation to calculate the forecast for the Rate Year and Data Years.

Schedule 25 – Energy Efficiency Programs

Schedule 25 consists of four pages. The Company's energy efficiency programs are funded by the System Benefits Charges ("SBC"), which is assessed outside of base rates. The Clean Energy Fund CY 2020 costs will continue to be collected through the SBC until it expires. Therefore, the Company set revenues equal to the costs of these programs for the CY 2020 portion of the Rate Year. The Company is proposing to include Efficiency Transition Implementation Plan ("ETIP") costs in base rates in the Rate Year and Data Years. For revenue requirement purposes, the Company included ETIP budget amounts as prescribed in the Order in Case 18-M-0084, issued and effective December 13, 2018. Because the ETIP budgets are based on a CY, for revenue requirement purposes these budgets were adjusted to reflect a FY forecast.

The revenue requirement also includes the Company's proposal to move the evaluation, measurement, and verification ("EM&V") activities from the current ETIP budget to base rates in the Rate Years and Data Years. These program costs are included in Exhibit __ (RRP-3), Schedule 27. This proposal is discussed further in the Future of Heat Panel testimony.

Schedule 26 – Injuries and Damages

Schedule 26 consists of seven pages and shows the costs associated with claims expense and insurance premiums. Claims expense includes the amounts paid to third parties to resolve claims for property damage and bodily injury within the Company's self-insured retention levels. Insurance premiums are amounts paid to third-party insurers to obtain insurance coverage. Page 4 details adjustments to normalize the Historic Test Year by utilizing a three-year average of claims, and adjustments to normalize incurred but not reported ("IBNR") expense. The Rate Year was normalized to reflect forecast insurance premiums and an adjustment was made to increase the remaining adjusted Historic Test Year costs by inflation.

Q. Why did the Company utilize a three-year average of claims to forecast claims expense?

A. The Company believes that its claims experiences in the last three years are representative of expected claims expense in the Rate Year and Data Years. Use of a three-year average to forecast claims expense is also consistent with the treatment of this expense in the 2016 KEDNY and KEDLI Rate Cases and the recent 2017 NMPC Rate Case.

Schedule 27– Other Initiatives

Schedule 27 consists of eight pages and shows the costs of other initiatives to be implemented or adjusted by the Company. These costs represent the following:

- Workforce adjustments (*i.e.,* incremental FTEs)
- Gas safety programs
- O&M expense related to increased capital expenditures
- O&M expense related to increased workload
- GBE Program
- Shared Services programs
- Information Technology run the business and O&M expense related to capital
- Future of Heat EM&V
- Future of Heat other programs

The direct testimony of the Company's GIOP, Gas Safety Panel, IT Panel, Company Witness Christopher J. Connolly, and Future of Heat Panel provides support for these costs.

Q. Please explain the proposal to add four FTEs for Legal.

A. National Grid's current resources in Legal are inadequate to meet the needs of the business in an increasingly complex regulatory and business environment that is constantly evolving and expanding to keep pace with changes in the industry. Indeed, it has been some time since the Company last requested incremental Legal resources, while the scale and complexity of matters that require legal support has grown steadily. The rapid expansion of laws and regulations, as well as increased scrutiny of gas compliance and safety, have resulted in the need for additional legal support for the Company. In addition, the need to negotiate increasingly complex rate agreements (*e.g.*, facilitating multiple collaboratives), navigate complex tariff issues (*e.g.*, non-firm service offerings), participate in retail choice proceedings, negotiate complex commercial agreements, and support numerous public policy initiatives, along with supporting the Company's new sustainability and customer programs, require significantly more legal resources to advise the business and help ensure the long-term success of these programs and initiatives. These positions will be shared among KEDNY, KEDLI, and NMPC to handle regulatory, litigation, and commercial matters.

Schedule 28 – Productivity

Schedule 28 consists of four pages and shows the credits relating to the estimated productivity adjustment of a cumulative annual one percent of labor costs and payroll taxes. The adjustment represents a credit (*i.e.,* reduction in the revenue requirement) of $3.890 million in the Rate Year.

Schedule 29 – Rate Case Expense

Schedule 29 consists of four pages and shows the forecast costs of preparing this rate filing. The Company proposes to amortize these costs over the term of the rate plan.

Schedule 30 – Regulatory Assessment Fees

Schedule 30 consists of ten pages and shows the costs associated with the annual Commission assessment paid by the Company. The assessment consists of the General and Energy Research and Development Authority ("ERDA") Assessments. Page 4 details adjustments to normalize the Historic Test Year and is supported by Pages 5 through 10 of this Schedule.

Schedule 31– Uncollectible Accounts

Schedule 31 consists of four pages and shows the uncollectible expense. The uncollectible rate, including how it was calculated, is discussed in the direct testimony of the Shared Services Panel.

Schedule 32 – Site Investigation and Remediation

Schedule 32 consists of four pages and shows the costs associated with SIR. Page 4 details adjustments to normalize the Historic Test Year.

Q. How much SIR costs does KEDNY currently recover annually through base rates?

A. Under its current rate plan, KEDNY was permitted to recover: (i) historic, unrecovered SIR expenditures in an amount equal to the amortization of the forecast SIR deferral balance as of December 31, 2016 over ten years ($18.521 million per year) and (ii) forecast SIR costs of $53.872 million in calendar year 2017, $45.653 million in calendar year 2018, and $46.767 million in calendar 2019 (the "Forecast Rate Allowance"). Each year, KEDNY fully reconciles its actual SIR expense to the Forecast Rate Allowance. Any under or over expenditures are deferred for future refund to or recovery from customers (except for the Citizens site).

Additionally, beginning in calendar year 2018, if the difference between actual SIR expense and the Forecast Rate Allowance exceeds $25 million on a cumulative basis, KEDNY is authorized to recover through the SIR Recovery Surcharge (i) the difference between actual SIR expense and the Forecast Rate Allowance and (ii) any amount that was not recovered in the prior rate year's SIR Recovery Surcharge (if triggered) because the cumulative difference between actual SIR costs and the Forecast Rate Allowance did not exceed the $25 million threshold and/or the amount would have increased KEDNY's aggregate revenues by more than two percent.

Q. What is KEDNY's proposal for recovery of its SIR costs?

A. As discussed in the testimony of Company Witness Charles F. Willard, KEDNY proposes a base rate allowance consisting of the following three cost components:

(i) forecast MGP-related SIR costs of $66.088 million in the Rate Year, $62.635 million in Data Year 1, $44.915 million in Data Year 2, and $30.040 million in Data Year 3;

(ii) $20 million in each of the Rate Year and Data Years for costs associated with remediation of the Gowanus Canal and Newtown Creek Superfund sites, based on the combined spending on these sites during the Historic Test Year; and

(iii) a continuation of the current amortization of $18.521 million annually, representing one-tenth of the forecast deferral balance at December 31, 2016, as shown on the amortization of regulatory deferrals line on Exhibit ___ (RRP-1), Summary.

Q. Does the Company propose to continue its current reconciliation and surcharge mechanism?

A. Yes. As discussed in Mr. Willard's testimony, the Company proposes to continue the current reconciliation and SIR Recovery Surcharge mechanism.

Schedule 33 – Joint Facilities

Schedule 33 consists of four pages and shows the Company's Historic Test Year share of carrying costs and operating and maintenance costs associated with the New York Facilities System ("NYFS"). The Company made an adjustment to remove the Historic Test Year amounts and include the forecast net revenue and expense Rate Year and Data Year amounts in the revenue forecast.

Schedule 34 – Savings

Schedule 34 consists of two pages and shows allocated savings estimates identified in conjunction with National Grid's Accelerate Program, which is

discussed in Section IV below. Page 2 reflects adjustments to increase the allocated savings estimates by inflation. The Accelerate Program results in a total credit to customers of $30.959 million in the Rate Year. Accelerate Program initiatives are reflected in various parts of the revenue requirements. For example, the property tax mitigation initiative is reflected in the property tax expense forecast. Therefore, the adjustment in Schedule 34 of $9.663 million for the Rate Year represents savings from initiatives that are not reflected elsewhere and is net of cost to achieve. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1, shows where each savings initiative has been reflected in the filing.

Schedule 35 – Legal (Expense Type Consultants, Contractors, and Other)

Schedule 35 consists of four pages and shows contractor, consultant, and other costs associated with legal expenses. These costs have been separately reflected in this schedule to provide greater transparency of legal expense. Page 4 details adjustments to normalize the Historic Test Year and an adjustment to increase the remaining Historic Test Year costs by inflation.

Schedule 36 – Accounting (Expense Type Consultants, Contractors and Other)

Schedule 36 consists of four pages and shows contractor, consultant, and other costs associated with accounting expenses. These costs have been separately reflected in this schedule to provide greater transparency of accounting expense. Page 4 reflects an adjustment to increase Historic Test Year costs by inflation.

Schedule 37 – Economic Development Program

Schedule 37 consists of four pages and presents the costs associated with the Economic Development Grant Programs adopted in the 2016 KEDNY and KEDLI Rate Cases. Page 4 reflects an adjustment to reclass the $2.0 million of Historic Test Year costs from Other Expense and adjust the rate allowance to $0.5 million in the Rate Year and $1.0 million, $1.5 million, and $2.0 million in Data Years 1, 2, and 3, respectively. The Future of Heat Panel provides additional detail on the proposed funding for the Grant Program.

Schedule 38 – Low Income Program

Schedule 38 consists of four pages and represents the low income discounts approved by the Commission in Case 14-M-0565. For the adjusted Historic

Test Year, the Company reflected customer charge revenues at full standard tariff rates and the customer discount forecast as O&M expense.

Schedule 39 – Incentive Programs

Schedule 39 consists of four pages and shows costs associated with incentive programs. The Historic Test Year costs have been reclassified from other schedules and separately reflected in this schedule to provide greater transparency of incentive program expense. Page 4 details adjustments to normalize the Historic Test Year and an adjustment to reflect the forecast cost of $1.6 million per year for KEDNY's Low-to-Moderate Income Gas Conversion Program. This program is discussed further in the Future of Heat Panel's testimony.

Schedule 40 – Paving

Schedule 40 consists of four pages and shows costs associated with paving expense. These costs have been separately reflected in this schedule to provide greater transparency of paving expense to Staff. Page 4 reflects an adjustment to increase the Historic Test Year costs by inflation.

Schedule 41 – O&M Summary

Schedule 41 provides a summary checklist of the O&M adjustments to the Historic Test Year. These adjustments are described throughout the Panel's testimony or by other Company witnesses as identified.

V. Efficiency and Productivity Cost Reductions

Q. Please describe National Grid's efforts to reduce costs.

A. National Grid is committed to continuously identifying opportunities to be more efficient and productive for the benefit of customers. Indeed, the 2016 KEDNY and KEDLI Rate Cases reflected more than $22 million of efficiency savings in each year of the rate plan through a combination of traditional productivity and targeted savings initiatives. In this filing, the Company is challenging itself to achieve even greater levels of efficiencies through an ambitious effort, known as the Accelerate Program, to identify and track process improvements and other initiatives to reduce costs. As a result of the efforts through the Accelerate Program, the Company is reflecting approximately $31 million and $12 million of O&M reductions for KEDNY and KEDLI, respectively, in the Rate Year and each of the Data Years, or approximately $124 million and $48 million in efficiencies over the four years presented in these filings (excluding inflation). These savings are exclusive of savings associated with the GBE Program, which, while

included in the Accelerate Program, have been reflected separately for transparency. These savings are also incremental to the productivity adjustment discussed below.

Q. Please describe the Accelerate Program.

A. In FY 2019, National Grid announced an ambitious, three-year efficiency challenge, called the Accelerate Program, that set out an aspirational target of a 20 percent efficiency improvement in O&M and capital expenses across the U.S. business by FY 2021. The Accelerate Program is aimed at improving both the quality and cost-effectiveness of National Grid's services to customers.

National Grid purposefully set an ambitious target in the interest of driving maximum customer value, and it is uncertain whether this level of efficiencies can be achieved. The Commission has traditionally imputed a productivity adjustment of one percent of labor expenses, and even that level of efficiencies can be challenging to achieve in a mature business. Accordingly, the Company recognized it was setting a very ambitious target to achieve reductions this extensive in such a short period of time. Indeed, the Company has identified many initiatives that contribute toward its efficiency target (discussed below) but has not identified the means by which

to achieve the aspirational 20 percent efficiency reduction across the U.S. business.

Q. Why did the Company undertake this initiative?

A. Affordability is a significant concern for our customers. At the same time, we need to make investments to modernize the system and implement new programs and technologies to meet the changing energy landscape. These include investments to replace our outdated Customer Information System, modernize the gas network, implement new digital solutions, and enable renewable energy sources. The need for these investments must be balanced against the financial impacts on customers. To address these competing concerns, National Grid launched the Accelerate Program. The Accelerate Program is National Grid's effort to identify efficiencies to enable ongoing critical investments and support the State's long-term policy and sustainability objectives, while mitigating customers' energy costs in a manner that maintains affordability.

Q. How is National Grid attempting to achieve its efficiency target?

A. National Grid is undertaking a variety of initiatives across its U.S. operations that seek to standardize processes and reduce costs. Example initiatives include programs that:

- Reduce property tax expense;
- Deliver capital projects more efficiently;
- Optimize office space;
- Reduce contractor and consultant costs;
- Reduce material and fleet costs; and
- Utilize tools and technology to drive efficiencies.

All of the Accelerate initiatives are being tracked in a web-based tool, known as Wave. Wave contains various implementation levels, through which initiatives must progress before a determination is made that the initiative can be counted toward the targets. A centralized repository for identifying and tracking the progress of various Accelerate initiatives provides transparency on the progress against targets and avoids overlap.

Q. Please explain the implementation levels used to track progress in the Wave tool.

A. Each Accelerate initiative is placed at an implementation level ("IL") based on its stage of development, from purely an idea (IL 0) to fully implemented (IL 5). ILs 0 through 2 cover the stages of idea formulation to an initial estimate of potential benefits. In these stages, teams brainstorm initiatives to be evaluated as opportunities to deliver process improvements, assigning a

rough estimate of the potential benefit as an initial proxy until better information is developed to quantify the benefit. Teams are encouraged to include as many ideas as possible. As such, many initiatives do not move beyond IL 2. The potential benefit becomes more refined when an initiative advances to IL 3, where Finance validates that the initiative has the potential to deliver savings, and the business puts together a plan to implement the initiative. An IL 3 benefit is still aspirational, however, as the initiative may not be implemented for a variety of reasons. For example, an initiative could require a new contract to be negotiated with a vendor or the implementation of a new IT solution; without the new contract or IT solution, the feasibility or economics of the initiative may be impacted. Similarly, in the process of implementing the initiative, the business could realize that assumptions have changed and therefore the initiative cannot be implemented.

It is not until IL 4 where an initiative moves from conceptual to deliverable. In IL 4, the business has completed all activities required to deliver the initiative. In IL 5, Finance has confirmed that savings have been realized and the actual amount of the savings, which could have changed from the original estimate.

Q. Please explain how O&M savings from initiatives are reflected in the case.

A. The Company's revenue requirements reflects O&M savings associated with initiatives it believes are reasonably achievable and likely to deliver benefits to customers, namely those in ILs 4 and 5. Given the conceptual nature of the initiatives in ILs 0 through 3, they are not reflected because it is unknown whether they will be implemented, and, if they are, the extent to which any savings will materialize.

Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1 lists the initiatives, the affected operating companies, the allocation of savings to KEDNY and KEDLI, whether they were implemented in the Historic Test Year or will be in the post-Historic Test Year period, and where in the revenue requirement the savings are reflected. Workpaper 2 contains the tracking documents that summarize each initiative.

Q. Are labor savings reflected in some of the initiatives?

A. Yes. National Grid conducted a review of staffing levels at certain functions to ensure that teams were appropriately aligned and staffed to meet regulatory, safety, and customer obligations. This review resulted in a modest reduction of FTEs. Savings from these positions are included in

various initiatives in ILs 4 and 5 and reflected in the Rate Year labor forecast. (See Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1). Because the labor forecast is based on the number of employees as of December 31, 2018 – the end of the Historic Test Year – any employee who left National Grid before that date was captured in the Historic Test Year headcount used to develop the Rate Year forecast.

Q. Has National Grid reflected KEDNY and KEDLI's full share of O&M savings from the Accelerate Program?

A. Yes. All known initiatives that are forecast to deliver measurable benefits have been identified in Wave and reflected in the case. If any initiative moves into ILs 4 or 5 after the initial filing, the Company will make an adjustment to reflect any benefits in corrections and updates.

Q. What is the total level of O&M savings reflected in the revenue requirements in the Rate Year from the Accelerate Program?

A. In the Historic Test Year and post-Historic Test Year period, there were 53 initiatives with achieved or forecast O&M savings that impacted KEDNY and KEDLI. As shown in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1, the Company reduced the Rate Year revenue requirements by $30.959 million for KEDNY and $12.147 million

for KEDLI to reflect their share of savings. These amounts are before netting costs to achieve of $0.845 million for KEDNY and $0.527 million for KEDLI. The Company proposes to amortize the costs to achieve over four years and net the cost against the savings, as shown in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1.

To appreciate the magnitude of efficiencies delivered from the Accelerate Program alone, the approximately $31 million and $12 million of savings reflected in KEDNY and KEDLI's respective revenue requirement is almost eight times the size of the one percent productivity adjustment that is traditionally incorporated in a utility's rate filing for KEDNY, and approximately six times the size of that adjustment for KEDLI.

Q. Has the Company imputed further efficiency savings by including a productivity adjustment?

A. While the Company does not believe that a separate productivity adjustment is warranted given the level of savings reflected in the revenue requirements from the Accelerate Program, the Company included an adjustment in the interest of moderating customer bill impacts, limiting the number of issues in the case, and to account for the possibility that initiatives in ILs 0 to 3 may move into ILs 4 or 5 in the Rate Year. The productivity adjustment reduces

the revenue requirements by $3.890 million and $2.020 million for KEDNY and KEDLI, respectively. The adjustment is equal to one percent of KEDNY and KEDLI's total labor costs and payroll taxes. The adjustment is shown in Exhibit ____ (RRP-3), Schedule 28.

Q. How are initiatives that targeted capital project savings reflected in the filing?

A. Many of the initiatives improve the efficiency of the Company's capital construction program. A significant enabler is the creation of the Capital Delivery organization. The expectation is that projects delivered by the Capital Delivery organization will see savings once the Capital Delivery process has been fully implemented. At this time, however, it is difficult to forecast the level of potential savings, as the organization is new and has not yet had the opportunity to implement initiatives impacting the Company's full portfolio of capital projects. The Company reflected savings where it had a reasonable basis to do so, as described in the testimony of KEDNY and KEDLI's GIOPs. To capture the full value of potential capital benefits from the Accelerate Program, the Company is proposing to continue the downward-only net plant and depreciation reconciliation.

Q. Please summarize the level of savings that KEDNY and KEDLI have reflected in these filings.

A. The Rate Year reflects approximately $31 million and $12 million in O&M savings for KEDNY and KEDLI, respectively. Although the Accelerate Program ends in the Rate Year, the Company carried this same level of savings forward in each of the Data Years and applied inflation. In doing so, the Company is assuming the risk that this level of savings can not only be achieved but sustained in subsequent years. On top of this, the Company is adding a one percent productivity adjustment in each year. Thus, the Company not only is taking the risk that the savings from the Accelerate Program will not be offset by new costs from incremental work, but also that the Company would find one percent more in additional, unidentified savings each year. The combined level of O&M savings reflected in the filing in the Rate Year is:

Table 6: Rate Year Savings

KEDNY

Item	Rate Year
Accelerate Program	$30.959 million
Productivity adjustment	$3.880 million
Total	**$34.839 million**

KEDLI

Item	Rate Year
Accelerate Program	$12.147 million

Productivity adjustment	$2.020 million
Total	**$14.167 million**

This is a significant level of savings that is being included to attempt to mitigate the rate request in these proceedings. It is unknown if such a level can be achieved.

VI. Depreciation Expense

Q. Please describe Exhibit ___ (RRP-4).

A. Exhibit ___ (RRP-4) consists of a summary page that presents the Company's actual Historic Test Year depreciation expense, along with the forecasts based on depreciable plant in service in the Rate Year and Data Years.

Q. Please describe how the Company developed depreciation expense for the Rate Year and Data Years.

A. Depreciation expense for the Rate Year and Data Years was developed by multiplying the monthly depreciable base by applicable composite depreciation rates. The monthly depreciable base for each plant account is the monthly forecast beginning balance, which includes the prior month's estimated additions to plant in service, less the prior month's estimated retirements from plant in service. The composite depreciation rates were developed based on depreciable plant balances as of December 31, 2018.

Q. What depreciation rates is the Company utilizing for gas plant?

A. The Company is utilizing the depreciation rates approved in the 2016 KEDNY and KEDLI Rate Cases to compute Rate Year and Data Years depreciation and amortization expense for all gas plant except leak prone pipe assets.

Q. Did the Company perform a full depreciation study?

A. No. As explained in the direct testimony of Company Witness Paul M. Normand, the Company is proposing to utilize the depreciation rates approved in the 2016 KEDNY and KEDLI Rate Cases in this proceeding. The Company's depreciation rates were approved only three years ago, and the Company is not aware of any changes in the circumstances that affect the establishment of depreciation rates for most of the Company's assets such that a new full study is warranted. As further explained in Mr. Normand's testimony, as the Company has accelerated, and will continue to accelerate, the replacement of leak prone pipe assets, it is providing a limited depreciation analysis of leak prone pipe assets in this proceeding.

Q. Are there any other proposed changes in depreciation rates for KEDNY?

A. Yes. The Company is proposing to reflect a 20-year depreciable life for the Newtown Creek project. The project, including its many benefits associated with reducing carbon emissions, is discussed in the Future of Heat Panel's

testimony. While the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases provides that the revenue requirement for the Newtown Creek project would reflect a 40-year depreciable life once the project is placed in service, the contract between the Company and New York City to operate the purification system is for a 20-year term. In addition, the anticipated service life for the equipment is 20-years. For these reasons, the Company believes that a 20-year depreciable life is appropriate.

Q. What is the forecast depreciation expense for the Rate Year and Data Years?

A. The annual provision for depreciation and amortization expense for KEDNY's gas plant is $158.730 million for the Rate Year and $173.972 million, $187.792 million and $202.194 million for Data Years 1, 2 and 3, respectively, as shown in Exhibit ___ (RRP-4), Summary Page 1. The forecast includes $29.258 million related to the Company's accelerated leak prone pipe program, as described in Mr. Normand's testimony.

Q. What is the effect of the changes in the proposed depreciation rates for leak prone pipe assets on gas depreciation expense in the Rate Year and Data Years?

A. The annual provision for depreciation and amortization for gas plant would increase (compared to existing rates) by approximately $27.542 million in the Rate Year and all Data Years as a result of using the proposed depreciation rates.

VII. Taxes Other Than Income Taxes

Q. Please describe Exhibit ____ (RRP-5).

A. Exhibit ___ (RRP-5) consists of a summary and four schedules showing real estate taxes, payroll taxes, other taxes, and gross revenue taxes for the Historic Test Year, Rate Year, and Data Years to present the total taxes other than income taxes booked to FERC Account 408.1. Schedule 1 presents real estate taxes for the Historic Test Year, Rate Year, and Data Years. Schedule 2 contains the computation payroll taxes for the Rate Year and Data Years based on tax rates currently in effect relative to labor costs forecast in Exhibit __ (RRP-3), Schedule 23, and allocated among expense, capital, and other accounts. Schedule 3 presents other taxes. Schedule 4 provides a calculation of gross revenue taxes for the Historic Test Year, Rate Year, and Data Years and is based on the operating revenues shown on Exhibit __ (RDP-2).

Q. How did the Company forecast real estate taxes?

A. The forecast of real estate taxes is based on KEDNY's actual calendar year 2018 property tax expense, updated for the property tax allocations based on the Office of Real Property Tax Services ("ORPS") calculation methodology, then adjusted for known changes in the obsolescence allowance and application of a growth factor to account for anticipated increases. The amount is then increased for real estate tax expense associated with incremental additions. Estimated savings for the property tax mitigation Accelerate Program initiative along with the tax abatement for the Newtown Creek project were also included in the forecast. The forecast is more fully discussed in the direct testimony of the Shared Services Panel.

Q. Are there any new adjustments to other tax expense?

A. Yes, the Company is including the forecast New York State capital tax in the Rate Year. On the New York combined return, National Grid pays based on the greatest of four different measures. When National Grid is in a loss position, the tax is based on the capital of National Grid. For fiscal year end March 31, 2018, National Grid paid the $5 million maximum capital tax. However, New York law is phasing out the capital tax and reducing the rate. As a result, the Company is only requesting recovery of the capital tax in the amount of $0.948 million in the Rate Year and removing any capital tax

expense in the Data Years. Please see Workpaper 3 to Exhibit ___ (RRP-5), Schedule 3 for the computation of the capital tax.

VIII. Federal and State Income Tax

Q. Please describe Exhibit __ (RRP-6).

A. Exhibit __ (RRP-6) consists of five pages. Page 1 shows the computation of federal income tax expense ("FIT") and state income tax expense ("SIT") for the Rate Year. Page 2 shows the computation of FIT and SIT for Data Year 1. Page 3 shows the computation of FIT and SIT for Data Year 2. Page 4 shows the computation of FIT and SIT for Data Year 3. Page 5 shows the computation of the deductions for interest expense for the Rate Year and Data Years. If changes in the tax law become known during this proceeding, the Company will provide appropriate adjustments to the income tax expense rates.

Q. Please describe the method used to calculate the provision for FIT and SIT in the Rate Year and Data Years.

A. Beginning with operating income before income taxes, adjusted by interest expense in the revenue requirement model, the Company made adjustments for those items that are treated differently for book and income tax purposes and have a net effective income tax rate impact. Specifically, the Company

adjusted for the permanent 50 percent disallowance for meals expense and flow through treatment for equity allowance for funds used during construction ("AFUDC") and book depreciation on equity AFUDC. The results are multiplied by the statutory federal or state tax rate presently effective for the Rate Year. Income tax discrete amortizations are separately included to arrive at net federal and state income tax expense. The federal portion includes the benefit of the state tax deduction.

Q. Please explain the "New York State Rate Change" adjustment the Company made to FIT and SIT expense.

A. In 2014, New York State enacted a law reducing the state income tax rate from 7.1 to 6.5 percent, which was effective for the Company in April 2016. In the 2016 KEDNY and KEDLI Rates Cases, the deferred tax impact of the rate change was an estimate and amortized over ten years. The state income tax rate change amount is now final. Therefore, the Company adjusted the annual amortization to return the remainder of the trued-up excess state deferred income tax over the remainder of the ten-year amortization period. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-6), Workpaper 1 includes a detailed amortization schedule. This amortization reduces the Company's effective tax rate.

Q. Please explain the "Excess ADIT Amortization" tax only item the Company included in FIT expense.

A. On December 22, 2017, the Tax Cuts and Jobs Act (the "Act") was enacted resulting in significant changes in federal income taxation for the Company. Most notably, the federal income tax rate was reduced from 35 percent to 21 percent. The Commission issued an "Order Instituting Proceeding" on December 29, 2017 to address the impact on utility rates of the Act and to express the intent of the Commission to preserve the net benefits of the Act for customers. In December 2017, the Company recorded the rate change reduction to accumulated deferred income tax ("ADIT") with an offset to an income tax regulatory liability, recognizing that customers should receive the benefit of the lower rate on the accumulated book-tax temporary differences. After the filing of the March 31, 2018 federal income tax return, the Company finalized the ADIT rate change. The Rate Year and Data Years include the amortization of excess federal ADIT for the benefit of customers. This amortization reduces the Company's effective tax rate and mitigates the rate increase to customers.

Q. Please explain how the annual federal excess ADIT amortization was calculated.

A. The Company has split the excess ADIT between protected plant, unprotected plant, net operating loss ("NOL"), and unprotected non-plant balances. The split between protected plant and unprotected plant was determined following the implementation of a deferred tax module to the tax depreciation system, PowerTax. Protected plant excess ADIT relates to the temporary differences between book and tax depreciation methods and lives only. The IRS normalization regulations require the Average Rate Assumption Method ("ARAM") as the proper way to calculate the return of protected excess ADIT if the Company has the data available to implement ARAM. The PowerTax system is able to quantify the ARAM amortization for protected plant excess ADIT by applying the current book depreciation rates against the tax basis. The Company has a forecast of ARAM amortization for the Rate Year and Data Years from PowerTax. This amount is reflected in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-6), Workpaper 2.

Unprotected plant excess ADIT is a result of book and tax basis differences such as the repair deduction and contributions in aid of construction and other plant temporary differences such as the current tax deduction for cost of removal spending. The Company proposes to use an amortization period

representing the average remaining book life of the net book value of plant assets to return the unprotected balances to customers. The NOL unfunded ADIT is classified as a protected asset as it was the difference between book and tax depreciation, including bonus depreciation, that caused the Company to be in an NOL position. There has been no IRS guidance around the suggested method to amortize this asset. The Company is amortizing the unfunded NOL ADIT in the same amount as the protected plant amortization until it is fully utilized.

An analysis was performed on the non-plant related unfunded ADIT to determine the primary temporary differences that caused the balance and the most reasonable reversal life of those temporary differences. For KEDNY, the amortization life for unfunded non-plant related ADIT is 44 years. The Company also included an allocated amortization, over a ten-year life, of National Grid Service Company excess ADIT. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-6), Workpaper 2 includes the excess ADIT base by category and amortization amounts.

IX. Rate Base

Q. Please describe Exhibit __ (RRP-7).

A. Exhibit __ (RRP-7) consists of a summary and seven schedules. The summary presents the rate bases for the Historic Test Year, Rate Year, and Data Years. Schedule 1 presents the monthly average balances of net utility plant for the Rate Year and Data Years. Schedule 2 presents forecast monthly average balances of regulatory assets and liabilities for the Rate Year and Data Years by account. Schedule 3 presents federal and state ADIT for the Rate Year and Data Years. Schedule 4 presents the O&M cash allowance included in working capital for the Historic Test Year, Rate Year, and Data Years. Schedule 5 presents the lead lag study reflecting the working capital requirements associated with commodity purchases. Schedule 6 presents the comparison of Average Historic Rate Bases and Historic Capitalization. The difference between these components represents the adjustment for Excess Earning Base included on Page 4 of Schedule 6. Schedule 6 also sets forth materials and supplies and prepayments, which are components of working capital. Schedule 7 presents the New York City (the "City") accounts receivable balance of city/state construction ("CSC") reimbursements (discussed in the Working Capital section of the testimony below).

A. Forecast of Net Utility Plant In Service

Q Please explain Schedule 1 of Exhibit __ (RRP-7).

A. Schedule 1 consists of six pages and presents the monthly average balances of net utility plant for the Rate Year and Data Years. Pages 1, 2, 3, and 4 present the monthly average balances of gas net utility plant in the Rate Year and Data Years. Pages 5 and 6 present the forecast of capital expenditures and cost of removal.

Q. Please generally describe the methodology utilized to determine the forecast of average net utility electric and gas plant.

A. Estimates of monthly plant in service, depreciation reserve, and non-interest bearing construction work in progress ("CWIP") balances are required to forecast the average net utility plant for the Rate Year and Data Years and are included in rate base pursuant to Commission precedent. The Company's projection of these monthly balances incorporates the following data: (i) historic plant in service; (ii) historic depreciation reserve; (iii) historic CWIP; (iv) historic retirement work in progress ("RWIP"); (v) forecast capital expenditures; (vi) forecast net cost of removal; (vii) forecast closings to plant in service; (viii) forecast retirements; and (ix) forecast depreciation.

Schedule 1, Page 5, of Exhibit __ (RRP-7) shows the forecast of capital expenditures grouped by various categories along with plant closing rules and/or in-service dates for several major projects. The categories were determined by grouping capital expenditures together that have similar construction periods for purposes of closing capital expenditures to plant in service and for applying similar composite depreciation rates. Page 5 shows a three month capital forecast for the fiscal year ended March 31, 2019 and a five year capital forecast for the fiscal years ending March 31, 2020 through March 31, 2024. The capital forecasts provided in the Company's GIOP direct testimony included all capital related overheads, for example, Capital Addition Distributables ("CAD") and AFUDC. For capital forecasts, the Company allocated fiscal year total construction expenditures into monthly cash flows based on their respective two year average percentage for calendar years 2017 and 2018. For Facilities, Fleet, Supply Chain, and Future of Heat capital forecasts, the Company utilized the monthly cash flows provided by each department. Those estimated monthly expenditures were added to the CWIP balances at December 31, 2018.

Closing rules were developed to forecast additions to plant in service by analyzing and adjusting the Historic Test Year's plant closing for each

grouping level being forecast. Consistent with the analysis, the following closing rules were developed:

Gas Storage	9 months
Gas Mains and Services	8 months
Gas Meters and House Regulators	2 month
Gas Measuring and Regulating Station	9 months
Gas General Plant	2-9 months

The monthly expenditures were closed to plant in service the month after the applicable closing rule. For major projects with in-service dates provided, the expenditures were closed to plant in service in the month of the estimated in-service date.

The outstanding CWIP balances were allocated each month between interest and non-interest bearing CWIP based on an average historic percentage. The average historic percentage was developed by analyzing and adjusting the Historic Test Year's non-interest bearing CWIP and total CWIP. Forecast plant in service was developed by adding the monthly closings from CWIP for the period January 2019 through the Rate Year to the December 31, 2018 plant in service balance, and forecast retirements for the same period were

subtracted. Plant retirements were developed by analyzing and adjusting the Historic Test Year retirements as a percentage of adjusted Historic Test Year additions in aggregate. The historic retirement percentages were applied to forecast plant additions excluding additions related to new construction major projects (*e.g.,* the MRI project). General equipment retirements were estimated based on amortization schedules provided by Plant Accounting. Estimated retirements were included in both the plant in service and depreciation reserve ending balances each month. The depreciation reserve was developed starting with the Historic Test Year ending reserve balance, including RWIP at December 31, 2018, and adding forecast depreciation expense and subtracting forecast retirements and net cost of removal each month for the period January 2019 through March 31, 2021. Schedule 1, Page 6, of Exhibit __ (RRP-7) shows the estimated forecast cost of removal, which was based on information provided by the GIOP and Future of Heat Panel, grouped in the appropriate categories. Schedule 1, Page 6, shows a three-month forecast for the fiscal year ended March 31, 2019 and a five-year forecast for the fiscal years ended March 31, 2020 through March 31, 2024. Cost of removal was cash flowed consistent with the methodology utilized to cash flow the associated capital forecast.

B. Deferred Taxes

Q. Please explain the purpose of Schedule 3 of Exhibit __ (RRP-7).

A. Schedule 3 shows the average federal and state ADIT for the Historic Test Year, Rate Year, and Data Years, which reduce rate base.

Q. How did the Company develop the forecast of ADIT?

A. The Company began with the actual ADIT balances as of December 31, 2018 and calculated the forecast based on changes in plant and regulatory assets and liabilities. The Company then made additional adjustments for NOL utilization and tax amortizations to arrive at the forecast ADIT balances for the Rate Year and Data Years, as shown in Exhibit ___ (RRP-7), Schedule 3.

Q. Please explain the proration adjustment as it relates to the forecast of changes in accumulated deferred federal and state income tax.

A. Sections 1.167(1)-1(h)(6) of the federal income tax regulations provide requirements for the amount of reserve for deferred income tax that is included as a reduction to rate base in a rate filing. Part (ii) of this subsection requires a proration of monthly deferred tax amounts if the rates relate to a "future" period. Proration is not, however, required for a "historic" period. "Future" periods are forecast periods after the date rates go into effect. "Historic" periods are all periods before the effective date for rates even if the

underlying data is an estimate. In the filing, deferred tax balances are projected for each Rate Year. On the date the new rates go into effect for each year, the entire year is a "future" period, so the entire year's accumulated deferred tax movement is subject to proration. The pro rata portion is determined by multiplying the monthly changes in deferred tax by a fraction, the numerator being the number of days remaining in the future period as each month's deferred tax changes occurs and the denominator being the total number of days in the future period. Only the ADIT changes for the difference between book and tax depreciation is subject to proration.

Q. Please explain the change in ADIT related to plant changes.

A. The Company used its tax depreciation system, PowerTax, to forecast the tax depreciation on historic plant balances as of March 31, 2018, the fiscal year end of the most recently filed federal income tax return. All additional changes in ADIT related to plant are a direct result of forecast plant additions, forecast cost of removal, and forecast book depreciation. The Company forecast tax deductions related to plant additions in two layers. The first layer was the new plant additions eligible for the repair deduction. The repair rate was applied as a percentage of total capital expenditures. The percentage was an estimate based on a trend analysis of the actual results of the prior three fiscal years' tax return study for capital plant repairs. The plant tax basis after

the deduction for repairs was then subject to Modified Accelerated Cost Recovery System ("MACRS") depreciation, using a 20-year tax life. All tax plant deductions were compared to book depreciation and federal and state ADIT was computed on the temporary difference.

Q. Why is bonus depreciation not included in the ADIT forecast?

A. Under the Act, regulated public utilities were generally prohibited from taking bonus depreciation deductions on assets placed in service after September 27, 2017. This provision was tied to the provision that permitted regulated public utilities to be exempt from the interest expense limitations under new section 163(j). New proposed regulation 104397-18 was issued in August 2018. Because the bonus depreciation rules and interest limitation rules of the Act were linked and because the interest limitation rules did not go into effect until the first taxable year after December 2017, the Company was able to take bonus depreciation on plant placed in service after September 27, 2017 through the fiscal year end March 31, 2018. However, the Company interprets the proposed regulation as not allowing bonus depreciation after March 31, 2018 and there are no bonus depreciation deductions used in the computation of plant related ADIT in the Rate Year or the Data Years.

Q. Please explain the other discrete adjustments to rate base ADIT.

A. Rate base ADIT includes an asset for NOL because the consolidated federal return, including the Company, is in a loss position. The Company expects the consolidated group to begin to utilize NOL carryforwards with the fiscal year ended March 31, 2019 tax return and subsequent fiscal years. The Company included an estimate of the utilization of NOL carryforwards as a reduction to rate base in each Rate Year and Data Years until fully utilized. The Company is also increasing rate base as the New York State income tax rate change is amortized through the income tax expense component of the revenue requirement, as described above.

Q. What other impact does tax reform have on rate base ADIT?

A. To maintain rate base neutrality after an income tax rate change, the Company needs to include the tax regulatory liability in rate base along with the ADIT that has been restated to the new 21 percent federal rate. The Company presently includes only the tax regulatory liability that relates to the tax rate change on rate base ADIT. Beginning in the Rate Year, the Company will include the entire rate change tax regulatory liability in rate base. This methodology will make it easier to track and audit the reversal of excess ADIT and make calculations of carrying charges that are net of tax easier. The Company will leave the entire excess ADIT in the regulatory liability

account until the amortization begins in the Rate Year. The average ADIT balances in the Rate Year and Data Years include the reversals of excess ADIT that are included in the income tax expense component of the revenue requirement.

Q. How did the Company reflect changes in regulatory assets and liabilities in the forecast?

A. Because the change in most regulatory assets and liabilities results in a book-tax timing difference, the existing deferred tax balances on the regulatory accounts included in rate base were adjusted by any forecast change in those accounts in the Rate Year and Data Years.

C. Working Capital

Q. Did the Company make any adjustments for working capital?

A. Yes. As shown in Exhibit ___ (RRP-7), Schedule 4, the Company made the traditional adjustments to reflect one-eighth of O&M expense in rate base for the working capital allowance along with an EBCAP adjustment. In addition, the Company made an adjustment for gas purchases and another related to accounts receivable in connection with the forecast increase in CSC construction activities.

Q. Please explain the adjustment for gas purchases.

A. Schedule 5 of Exhibit __ (RRP-7) presents the calculation of the carrying charge applicable to the working capital requirements associated with gas purchases based on the lead-lag studies contained in this schedule. The Company used the same methodology that was approved by the Commission in the 2017 NMPC Rate Case and 2016 KEDNY and KEDLI Rate Cases for the gas study.

Q. What are the lead-lag studies used to measure?

A. The lead-lag studies are used to measure the working capital needed by the Company to support its gas purchases. The Company is required to provide working capital for the time between when the Company pays its suppliers for gas purchases and the time the Company receives payments for these purchases from its customers. The results of the studies are used to determine the working capital necessary for purchased gas expense.

Q. Please explain the adjustment the Company made to rate base associated with CSC work.

A. CSC is construction work the Company is mandated to perform to enable the City to execute its municipal work plan. As work is performed, the Company bills the City for the portion of work that is reimbursable. Typically, there is a

lag between the time the bill is sent and payment is received. Given the increasing level of CSC work forecast by the GIOP, the accounts receivable that is owed to the Company by the City is expected to increase materially year-over-year. Therefore, the Company made an adjustment to rate base for this issue.

Q. Please explain the calculation of this adjustment.

A. Exhibit ___ (RRP-7), Schedule 7 presents the calculation of the increase in the City's CSC accounts receivable balance. The calculation begins with the accounts receivable balance as of December 31, 2018. The Company then increased this balance for the forecast CSC capital and O&M expense billings based on the estimated CSC work in the Bridge Period (the 15 months between the end of the Historic Test Year and the Rate Year), Rate Year, and Data Years. Estimated payments for the same periods were then subtracted from the balance based on an 18-month payment lag. The Rate Year and Data Years' forecast balances were then compared to the average accounts receivable balance included in the Historic Test Year and the difference reflected as an adjustment to rate base for the Rate Year and Data Years.

X. Regulatory Assets and Liabilities

Q. Please explain Schedule 2 of Exhibit __ (RRP-7).

A. Schedule 2 of Exhibit __ (RRP-7) sets forth KEDNY's regulatory assets and liabilities. The schedule lists the Historic Test Year and forecast balances by account.

A. Assets and Liabilities

Q. Please describe each deferral account.

A. Appendix A to the Panel's testimony describes the basis for each of the regulatory deferral accounts that have forecast balances through December 31, 2018. The appendix includes the actual deferral balance at the end of the Historic Test Year and a table showing the forecast balance through March 31, 2020.

Q. How does the Company propose to treat the deferral account balances identified in Appendix A?

A. The Company is not proposing to include the deferral account balances in rates in this proceeding. The Company proposes to continue to apply carrying charges to the deferral balances, as previously approved by the Commission.

Q. How does the Company propose to treat legacy deferral account balances that have been inactive?

A. The Company has on its books several deferral accounts that have not had any activity for quite some time. These accounts are listed in Table 7 below. Apart from Account #U1823284 – TC/IT Sharing, these accounts have been reviewed by Staff in the KeySpan deferral audit. In the interest of simplifying the Company's balance sheet, as well as reducing the administrative burden on the Company and Staff associated with tracking, reporting, and reviewing these inactive accounts, the Company believes these accounts should be consolidated and closed. The Company proposes to net together these regulatory assets and liability accounts, creating a single deferral account with a credit balance of approximately $3.5 million.

Table 7 – KEDNY Inactive Deferral Accounts

GL Account	Account Desc	Appendix A Category	Balance at 12/31/2018 (in 000's)
U1823069	Rate Mitigation	Rate Mitigation	7,804.5
U1823284	TC IT Sharing	Temperature Controlled and Interruptive Service Sharing	103,854.7
U2540065	Cost to Achieve	Costs to Achieve	(9,595.7)
U2540197	Rate Subj to Refund	Rates Subject to Refund	(13,336.7)
U2540201	TBA-Meter Testing	Transition Balancing Account	(9,555.1)
U2540207	TBA-Newtown Property	Transition Balancing Account	(6,896.9)
U2540209	TBA-CIAC Settlement	Transition Balancing Account	(1,500.0)
U2540212	Transition Charges	Transition Balancing Account	(19,290.0)
U2540218	TBA-Avoided Costs	Transition Balancing Account	(76.0)

U2540219	Transp Service Adj	Transition Balancing Account	(557.0)
U2540235	Emerg Response Labor	Transition Balancing Account	(9,362.0)
U2540231	Del Rate Adj	Delivery Rate Adjustment	(44,973.5)
		Total Net Balance	**(3,483.7)**

B. Other Assets and Liabilities

Q. Please describe the other deferral accounts shown in Schedule 2 of Exhibit __ (RRP-7).

A. Table 8 below summarize the actual balance for the other assets and liabilities accounts shown in Exhibit __ (RRP-7), Schedule 2 at the end of the Historic Test Year, the forecast balance at the start of the Rate Year, and the proposed treatment for accounts not included in rate base.

Table 8 – KEDNY Other Accounts (included in Rate Base)

Account	Actual Account Balance at 12/31/18	Forecast Account Balance at 3/31/20	Proposed Treatment
Rate Case Expense	$0.372 million	$0.963 million	For the term of the rate plan
Unamortized Debt Expense	$13.965 million	$12.256 million	Continue current amortization
Cost Sharing Agreement	$16.176 million	$22.111 million	No request for amortization
Total Other Assets in Rate Base	**$30.513 million**	**$35.330 million**	

Q. Please describe the Unamortized Debt Expense account.

A. This account relates to costs associated with the issuance of debt. These costs are the unamortized cost to issue debt that are capitalized and amortized over the life of the debt.

Q. Please describe the Cost Sharing Agreement account.

A. This account reflects the costs associated with CSC reimbursable projects recoverable from the City. These costs are the operating expense related to CSC – (Public Works) reimbursable capital investment. These costs are not amortized. This account is adjusted when payments are received from the City.

Q. Please explain the Rate Case Expense account.

A. The current balance represents the remaining rate case costs from Case 16-G-0059 to be amortized in calendar year 2019. The forecast balance represents the forecast costs of preparing this rate filing.

Q. How does the Company propose to treat the balances of these accounts?

A. The Company proposes to recover these balances in base rates over the various amortization periods described in Table 8 above.

XI. Inflation Factors

Q. Please explain Exhibit __ (RRP-8).

A. Exhibit __ (RRP-8) sets forth the table of inflation factors used to escalate expense and capital expenditures from the Historic Test Year to the Rate Year and Data Years. The exhibit consists of a Summary Page detailing the escalation rates.

Q. What inflation adjustment did the Company use for O&M expense?

A. The inflation adjustment factor for determining the level of O&M expense in the Rate Year is 4.870 percent. This is equivalent to 2.644 percent average annual increase between the Historic Test Year and the Rate Year.

Q. How was this inflation adjustment factor calculated?

A. The calculation is detailed in Exhibit __ (RRP-8). The approach uses the GDP Chained Price Index ("GDPIPD") as the measure of the price level and percent changes in this index as the measure of inflation. The GDPIPD is released quarterly by the US Department of Commerce, Department of Economic Analysis. The inflation adjustment factor is calculated by relating the average of the GDPIPD in the Historic Test Year (the four quarters ended December 31, 2018) to the average of the forecast GDPIPD in the Rate Year

(the four quarters ended March 31, 2021). Inflation between the Historic Test Year and Data Years was calculated in the same fashion.

XII. Proposed Treatment of Existing Regulatory Deferral Accounts and New Reconciliation Mechanisms

Q. Please describe the use and nature of regulatory deferral accounts.

A. Regulatory deferral accounts are used to track and reconcile expenses and associated revenue recoveries to ensure that the appropriate amount of costs are recovered from or returned to customers. As discussed above and in Appendix A, KEDNY has a number of deferral accounts previously created pursuant to various Commission orders. This section of the testimony will discuss:

(i) the Company's proposals to maintain or discontinue existing deferral accounts;

(ii) the Company's proposals to revise certain existing deferral accounts;

(iii) the Company's proposals to implement new regulatory reconciliation mechanisms that address discrete issues;

(iv) the Company's proposals to include a return on any balances in the deferral accounts using the weighted average cost of capital for KEDNY established in this proceeding; and

(v) the Company's proposed recovery mechanism for these accounts.

Q. Does the Company propose to continue or discontinue any existing deferral mechanisms?

A. Yes. Appendix A shows the existing deferral mechanisms that the Company proposes to continue (labeled as "ongoing") or discontinue.

Q. Is the Company proposing any new or revised deferral mechanisms in this filing?

A. Yes. In addition to the deferrals identified for continuation in Appendix A, the Company proposes to modify some existing deferral mechanisms and establish some new ones.

With respect to new deferral mechanisms, the Company proposes the following:

- As discussed in the direct testimony of the Shared Services Panel, the Company proposes to fully reconcile credit card and debit card costs.
- The IT Panel describes the Company's proposal to defer for future recovery the difference between costs included in rates for the S/4 HANA project and actual project costs.
- As discussed in the direct testimony of the Future of Heat Panel, the Company proposes deferrals related to the Economic

Development Discount program, Geothermal Demonstration project, and ETIP costs.

- Company Witness Maureen P. Heaphy describes the Company's proposal to defer for future recovery the costs associated with the healthcare excise tax that may be assessed in 2020 or beyond, consistent with the deferral treatment approved by the Commission in the 2017 NMPC Rate Case.
- Finally, KEDNY's Rate Design Panel discusses the Company's proposal to true-up revenues received from the Newtown Creek project.

The Company proposes to modify the following existing deferral mechanisms:

- As discussed in the Shared Services Panel's direct testimony, the Company is proposing to continue the current property tax reconciliation, but modify it to a full symmetrical reconciliation given the variability, uncertainty and difficulties associated with forecasting property tax expense.
- As discussed in the GIOP, the Company proposes to modify the current CSC capital reconciliation to a full true-up (from the

current 90 percent/10 percent sharing mechanism) and add an O&M expense tracker.

- Finally, KEDNY's Rate Design Panel explains the proposed modifications to the New York Facilities System surcharge reconciliation and the Revenue Decoupling Mechanism.

Q. Please explain Exhibit __ (RRP-9).

A. Exhibit ___ (RRP-9) consists of three schedules.

Schedule 1 summarizes the Rate Year threshold allowances for the new and modified deferral mechanisms.

Schedule 2 illustrates the proposed CSC capital reconciliation. As explained in the direct testimony of the GIOP, to the extent that KEDNY's actual capital spending for CSC work differs from the level included in rates, KEDNY will defer the revenue requirement effect for future recovery from or return to customers.

Schedule 3 illustrates the proposed CSC O&M expense deferral mechanism, whereby the Company would defer O&M costs above/below the amount set in rates.

In addition, as discussed by the GIOP, the Company proposes to modify the current Gas Safety and Reliability surcharge. Exhibit ___ (GIOP-3) to the GIOP's testimony illustrates the Gas Safety and Reliability surcharge that would include: (i) unit cost productivity incentives; (ii) costs for incremental proactive leak prone pipe replacement and Type 3 leak repairs; and (iii) incentives earned for leak repairs and leak prone pipe replacement. In addition, as explained in the GIOP's testimony, if the requirements associated with the new professional engineering certification and operator qualification requirements are finalized after rates are set in this proceeding, the Company proposes to recover those costs through the surcharge.

Q. What does the Company propose with respect to these new reconciliation mechanisms for the years following the Rate Year?

A. The reconciliation mechanisms would continue to operate in the years after the Rate Year. The Company will maintain the authorized revenue requirement established in this case as the baseline cost for each deferral.

Q. Does the Company propose that carrying charges be applied to the new deferral accounts?

A. Yes. Except for non-cash pension and OPEB items, carrying charges calculated at the weighted average cost of capital used to set rates in this case

should be applied to these deferral accounts, consistent with the Commission's Order in the 2016 KEDNY and KEDLI Rate Cases and the 2017 NMPC Rate Case.

Q. Why are pension and OPEB assets and liabilities exempt from carrying charges?

A. Pursuant to the Commission's P&OPEB Policy, utilities need only fund the respective trusts when the amounts deferred are collected from customers. Because the Company does not advance cash to fund the deferred amount, no carrying charge is warranted. When the Company recovers the deferral, it places the funds into the pension or OPEB trusts.

Q. Does the Company propose to update information on the regulatory deferral accounts throughout this proceeding?

A. Yes. The Company proposes to update the regulatory deferral accounts, if necessary. This is consistent with updates made in prior Company rate cases. If necessary, additional updates will be provided as appropriate.

XIII. Miscellaneous

Q. Please describe Exhibit __ (RRP-10).

A. Exhibit __ (RRP-10) consists of 12 schedules that set forth various historic financial data in accordance with Commission regulations.

Q. Please describe Exhibit __ (RRP-11).

A. Exhibit __ (RRP-11) contains the workpapers supporting the exhibits sponsored by this Panel.

Q. Please describe Appendix B.

A. Appendix B sets forth the Company's current and proposed revenue adjustments and incentives.

The Future of Heat Panel discusses the Company's proposal to implement earnings adjustment mechanisms, a non-pipe alternative incentive mechanism, and platform service revenues associated with the Company's e-commerce platform and UESC program. The GBE Program incentive is described in the testimony of Company Witness Christopher J. Connolly. Finally, the GIOP and Gas Safety Panel discuss the unit cost productivity incentives and the gas safety performance metric incentives, respectively.

Q. Does this conclude the Panel's direct testimony?

A. Yes, it does.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Supplemental Direct Testimony

of

Revenue Requirements Panel

Date: June 11, 2019

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I. Introduction

Q. Please identify the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct testimony on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY" or "Company") in this proceeding?

A. Yes. The terms defined in the Panel's direct testimony have the same meanings here.

II. Purpose of Testimony

Q. What is the purpose of the Panel's supplemental direct testimony?

A. The Panel's supplemental direct testimony discusses the impact to KEDNY's April 2019 rate filing if the Company is unable to obtain incremental natural gas supplies from Transcontinental Gas Pipe Line, LLC's Northeast Supply Enhancement ("NESE") project. As discussed more fully in the supplemental testimony of Company Witness Elizabeth D. Arangio, recent decisions by the New York State Department of Environmental Conservation and the New Jersey Department of Environmental Protection regarding required water permits create

uncertainty as to whether and when the NESE project may proceed with permitting and construction. While the Company remains cautiously optimistic the NESE project will go forward, and therefore is not proposing any changes to its April 2019 filing at this time, the Panel addresses the impact that continued gas supply constraints would have on KEDNY's revenue requirements.

Q. Does the Panel's supplemental direct testimony include any exhibits?

A. Yes. The Panel's supplemental direct testimony includes the following exhibits that were prepared or compiled under our direction and supervision:

Exhibit __ (RRP-1S)	Statement of Gas Operating Incomes, by Component, for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021 (without the NESE project);
Exhibit __ (RRP-3S)	Gas O&M Expenses by Expense Type for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project);
Exhibit __ (RRP-4S)	Gas Depreciation Expenses for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project);
Exhibit __ (RRP-5S)	Gas Taxes Other than Income Taxes for the Historic Test Year Ended December 31, 2018, Rate

	Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project);
Exhibit __ (RRP-6S)	Gas Federal and State Income Taxes for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project); and
Exhibit __ (RRP-7S)	Gas Rate Bases for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project).

In preparing these exhibits, the Panel utilized information supported by the supplemental direct testimonies of Elizabeth D. Arangio, Theodore Poe, Jr., and the Gas Infrastructure and Operations Panel ("GIOP").

III. Impact of the Unavailability of the NESE Project

Q. What is the impact to KEDNY's revenue requirement if the NESE project is not available as planned?

A. The April 2019 filing reflected a Rate Year revenue requirement that was $236.8 million greater than revenue at present rates. Assuming the NESE project is unavailable, the impact to the revenue requirement is an increase of $5.7 million, to $242.5 million, as shown in Exhibit __ (RRP-1S), Summary.

Q. What are the primary drivers for the increase to KEDNY's revenue requirement?

A. As shown in Table 1 below, the primary drivers of the increase to the revenue requirement are reductions in forecast delivery revenues and purchased gas costs of approximately $96.5 million and $85.9 million, respectively, which result in a decrease in gross margin of $10.6 million. This is offset by the impact of lower capital expenditures (*e.g.*, decreases to the return on rate base and depreciation) and lower O&M expense.

Table 1 – Revenue Requirement Impact for No-NESE Scenario

Drivers:			**($000's)**
Return on Rate Base (Net Utility Plant and flow through ADIT)			$ (2,642)
O&M (New inititiaves, Incentive program & Uncollectible flow through)			(1,986)
Decrease Revenue forecast	96,571		
Decrease in Purchased Gas Costs	(85,936)		
Net Decrease in Gross Margin	10,635		10,635
Depreciation Expense			(386)
Other			52
Revenue Requirement			$ 5,674

Q. Please describe Exhibit ___ (RRP-1S).

A. Exhibit ___ (RRP-1S), Summary, presents the calculation of KEDNY's operating incomes for the Historic Test Year and Rate Year assuming the NESE project is not approved. Schedule 1 presents the updated revenue forecast.

Q. Please explain the changes to the revenue forecast under a no-NESE project scenario.

A. The April 2019 filing reflected a Rate Year revenue forecast at present rates of $1,805.645 million (including ETIP). The Company calculated base delivery revenue, billing service fees, late payment charges, merchant function charge revenue, commodity revenue, and gross revenue taxes, after accounting for the changes to the sales forecast and the customer counts under a no-NESE project scenario, as supported by Company Witness Poe. In addition, the Company computed the commodity cost forecast to reflect the changes under a no-NESE project scenario, as discussed by Company Witness Arangio. As shown in Exhibit ___ (RRP-1S), Schedule 1, the updated revenue forecast at present rates is $1,709.073 million (including ETIP) under a no-NESE project scenario, a decrease of $96.572 million from the April 2019 filing, which includes a decrease to commodity revenue and gross revenue taxes of $85.9 million.

Q. Did the Company compute the bill impacts to customers under a no-NESE project scenario for a typical residential heat customer?

A. Yes. The Company first computed the billing determinants (deliveries in dekatherms and customer counts) derived from the updated sales forecast. To develop revenue targets for each rate class, the revenue increase assigned to each rate class in the April 2019 filing was increased by 3.2 percent, which produced the total revenue increase needed under the no-NESE project scenario. The rate design for the no-NESE project scenario includes the same customer charges as proposed in the April 2019 filing; the volumetric rates were changed as needed to produce the revenue targets. In the April 2019 filing, the proposed delivery increase for a residential heating customer using an average of 83 therms per month was 17.78 percent. Under a no-NESE project scenario, the proposed delivery increase for that same customer would be 18.10 percent.

Q. Please explain the impact to KEDNY's O&M expense forecast if the NESE project is not available.

A. Exhibit ___ (RRP-3S) presents a summary of KEDNY's forecast O&M expenses for the Rate Year and Data Years assuming the NESE project is not available followed by expense schedules that would be impacted under a no-NESE project scenario. The net impact to O&M expense is a Rate

Year decrease of $1.986 million from the April 2019 filing, consisting of the following:

- Schedule 27 (Other Initiatives) – adjustment to remove costs associated with the Enhanced Contractor Safety Inspections Program as a result of the forecast reductions to the capital work plan. The adjustment is discussed in the GIOP's supplemental direct testimony.
- Schedule 31 (Uncollectible Accounts) – flow-through adjustment of the changes to uncollectibles associated with the changes to revenue.
- Schedule 39 (Incentive Programs) – adjustment to remove the costs associated with KEDNY's proposed low-to-moderate income gas conversion program. As discussed in the supplemental testimonies of the GIOP and Company Witness Arangio, the Company will be unable to procure sufficient gas supplies to serve new firm customers under a no-NESE scenario. Therefore, this program would not be feasible.

Q. Will the unavailability of the NESE project affect KEDNY's forecast of depreciation expense in the Rate Year and Data Years?

A. Yes. A forecast of depreciation expense resulting from the changes to the capital work plan is presented in Exhibit ___ (RRP-4S). In the Rate Year, depreciation expense would be reduced from $158.730 million in the April 2019 filing to $158.344 million.

Q. Will the unavailability of the NESE project affect KEDNY's forecast of taxes other than income taxes in the Rate Year and Data Years?

A. Yes. Exhibit ___ (RRP-5S) includes a summary of changes to taxes other than income taxes and two schedules that have flow-through changes under a no-NESE project scenario. Schedule 1 presents real estate taxes and includes the flow through impact of the plant in service changes. Schedule 4 sets forth the impact of the revenue changes on gross revenue taxes. In the Rate Year, there is no change in real estate taxes from the April 2019 filing because of the lag between the time when plant is placed in service and taxes are assessed. The changes occur in the Data Years.

Q. Will the unavailability of the NESE project affect KEDNY's forecast of federal and state income taxes in the Rate Year and Data Years?

A. Yes. A forecast of federal and state income tax forecasts reflecting flow-through adjustments associated with the discrete adjustments described by this Panel is presented in Exhibit ___ (RRP-6S).

Q. Please explain the changes to rate base under a no-NESE project scenario.

A. Exhibit ___ (RRP-7S) includes the rate base summary and three schedules reflecting changes under a no-NESE project scenario. Schedule 1 presents

the forecast net utility plant and includes a summary of the impact on net utility plant and depreciation expense from the changes to the capital work plan supported by the GIOP. Schedule 3 sets forth the federal and state accumulated deferred income taxes reflecting the impact from the net utility plant adjustments. Lastly, Schedule 4 sets forth the working capital O&M cash allowance reflecting the impacts of the changes to Exhibit ___ (RRP-3S).

Q. Does the Company plan to continue to provide updates in this proceeding concerning the status of the NESE project?

A. Yes. KEDNY is cautiously optimistic that the NESE project will be approved. As the project's status is uncertain, the Company will update Staff and other parties throughout this proceeding and will supplement the record as further developments occur.

IV. Conclusion

Q. Does that conclude the Panel's supplemental direct testimony?

A. Yes.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Corrections and Updates Testimony

of

The Revenue Requirements Panel

Dated: July 3, 2019

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I. Introduction

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct and supplemental direct testimony on behalf of KEDNY in this proceeding?

A. Yes. The terms defined in the Panel's direct and supplemental direct testimony have the same meanings here.

Q. What is the purpose of the Panel's corrections and updates testimony?

A. The Panel's testimony explains and supports certain corrections and updates to KEDNY's April 30, 2019 base rate filing ("April 30 filing") in this proceeding.

Q. Does the corrections and updates testimony also address the June 11, 2019 supplemental filing?

A. No. The supplemental filing was made to illustrate the potential impacts to the April 30 filing if KEDNY is unable to obtain incremental natural gas supplies from the NESE project. At this time, the Company remains optimistic that the NESE project will be approved. Therefore, all corrections

and/or updates pertain to the revenue requirement set forth in the April 30 filing. The Company will continue to update the parties on the status of the NESE project and implications, if any, to this rate filing.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibits, all of which were prepared by or under the supervision and direction of one or more members of the Panel and which, in all cases, refer to KEDNY:

Exhibit __ (RRP-1CU)	Statement of Operating Income
Exhibit __ (RRP-3CU)	O&M Expenses by Expense Type
Exhibit __ (RRP-4CU)	Depreciation Expense
Exhibit __ (RRP-5CU)	Taxes Other than Income Taxes
Exhibit __ (RRP-6CU)	Federal and State Income Taxes
Exhibit __ (RRP-7CU)	Rate Base
Exhibit __ (RRP-8CU)	Inflation Factors
Exhibit __ (RRP-9CU)	Deferral Exhibits
Exhibit __ (RRP-11CU)	Workpaper Data Supporting Certain Exhibits
Appendix B (CU)	Current and Proposed Revenue Adjustments and Incentives

Q. Please explain how the corrections and updates are organized.

A. The exhibits submitted in this filing show corrections and/or updates and indicate the change from the original filing. The exhibits are labeled with "CU" after the original label. For example, Exhibit __ (RRP-1) in the April 30 filing is the Statement of Operating Income. The exhibit showing the corrections and/or updates to the Statement of Operating Income is labeled Exhibit ___ (RRP-1CU). The first page of each exhibit provides a summary of all adjustments made and reflected in that exhibit. This summary, or lead page, is identified as "Corrections and Updates" under each exhibit number. The revised schedules and pages supporting each exhibit correspond to the schedules and pages originally filed. The Company has only included exhibits, summaries, schedules, and pages where corrections and/or updates were made.

The information requests referenced in the Panel's testimony are included in the workpapers in Exhibit ___ (RRP-11CU) and correspond to the specific exhibits and schedules where the corrections and/or updates were made. For example, if a correction and/or update is shown in Exhibit ___ (RRP-3CU), Schedule 2 based on a response to an information request, that information request is included in the workpapers supporting Exhibit ___ (RRP-3CU),

Schedule 2. Where the attachments to information requests are voluminous, the Company included only the written response and relevant attachments.

Q. What impact do the corrections and updates have on KEDNY's revenue requirement in this proceeding?

A. The April 30 filing reflected a Rate Year revenue requirement that was $236.8 million greater than revenue at present rates. The corrections and updates decrease the Company's revenue requirement for the Rate Year by $41.1 million, to $195.6 million, as shown in Exhibit ___ (RRP-1CU), Page 2, and the table below.

Rate Year	April 30th Filing	Corrections & Updates	Increase/ (Decrease)
KEDNY	$237m	$196m	($41m)

Q. What are the primary drivers of the decrease to the revenue requirement in the Rate Year?

A. The primary drivers of the decrease to the revenue requirement in the Rate Year are (i) an update to the Company's revenue forecast that increased gas sales revenues, (ii) updates and corrections that decreased KEDNY's capital forecast and (iii) corrections that collectively reduced the Company's O&M expense.

II. Operating Income by Component

Q. Please describe Exhibit ___ (RRP-1CU).

A. Exhibit ___ (RRP-1CU) summarizes the impact of all corrections and/or updates presented in this filing to the Company's operating income. This exhibit consists of lead Corrections and Updates pages and a Summary with three pages showing the calculation of the Company's operating income for the Rate Year. The exhibit also contains a presentation change from the original filing to remove the federal tax reform surcredit. The Panel used the updated revenue forecast presented in Exhibit ___ (RDP-2CU) in developing the revenue requirements.

III. Operation and Maintenance ("O&M") Expenses

Q. Please explain Exhibit ___ (RRP-3CU).

A. Exhibit ___ (RRP-3CU) provides the corrections and/or updates to KEDNY's O&M expenses for the Rate Year and Data Years. The exhibit consists of a lead Corrections and Updates page, a Summary showing total departmental O&M expenses in the Historic Test Year, Rate Year, and Data Years, and 40 schedules. The schedules are numbered to correspond to the schedules submitted in the Company's April 30 filing. For example, in the April 30 filing, Exhibit ___ (RRP-3), Schedule 4, showed the costs associated with

employee expenses. The corrections and/or updates to employee expenses are reflected in Exhibit ___ (RRP-3CU), Schedule 4.

Q. Please explain the expense specific schedules in Exhibit ___ (RRP-3CU).

A. The expense specific schedules that reflect corrections and/or updates to the April 30, 2019 filing are discussed below. To the extent the updated inflation projection is the only reason for a change in a schedule, the revised schedule is not separately discussed, but is included in the revised schedules in this filing. A list of expense specific schedules that are affected only by inflation is provided following the Panel's testimony.

Schedule 1 – Consultant Expense

Schedule 1 reflects two adjustments to consultant expense. The first adjustment was made in accordance with the Company's response to Information Request No. DPS-379 to reflect the amortization of KEDNY's allocable share of the contract costs related to the management and operations audit in Case 18-M-0195. The second adjustment reflects the effects of the updated inflation factor to consultant expense.

Schedule 2 – Contractor Expense

Schedule 2 reflects eight adjustments to contractor expense.

The first four adjustments were made for presentation purposes to reclassify paving expense from Schedule 2 to Schedule 40 (paving). The purpose of the change is to provide all paving-related costs in one schedule. There is no revenue requirement impact from the re-classifications, which are discussed in the Company's response to Information Request No. DPS-236 Supplemental.

The fifth adjustment was made to reclassify an accrual from contractors to other expense. In the April 30 filing, the Company made a normalization adjustment to contractor expense. However, the adjustment related to an accrual that was booked to other expense. This adjustment corrects the error by re-classifying the normalization to other expense.

The sixth adjustment pertains to a normalization adjustment to disconnect and reconnect expense that the Company inadvertently made to the Rate Year in the April 30 filing, that should have been made instead to the Historic Test Year. The correction moves the adjustment from the Rate Year to the Historic Test Year and includes the change in inflation.

The seventh adjustment was made to reflect the update to the Local Law 30 forecast and correct the normalization adjustment made to the Rate Year that should have been made instead to the Historic Test Year.

The eighth adjustment updates the inflation rate.

Schedule 4 – Employee Expenses

Schedule 4, Page 1 has been updated to correct a formula error. The correction does not impact the revenue requirement. The Schedule also contains an adjustment to update the inflation rate.

Schedule 7 – Other

Schedule 7 reflects four adjustments to other expense. The first adjustment corrects a formula error, as explained in the Company's response to Information Request No. DPS-515. The correction does not impact the revenue requirement. Similarly, the second adjustment, which moves an accrual reversal from contractor expense to other expense for presentation purposes, has no revenue requirement impact. The third adjustment was made in accordance with the Company's response to Information Request No. DPS-627 to remove an accrual from the Historic Test Year for the appreciate program. The fourth adjustment updates the inflation factor.

Schedule 9 – Service Company Rent Expense

Schedule 9 reflects eight adjustments to Service Company rent expense.

The first adjustment updates the Service Company asset recovery charge in accordance with the corrections and updates testimony of Company Witness Jonathan Cohen. The second adjustment was made to revise the allocation of the Gas Control Training Simulator Project to reflect the fact that this project benefits all National Grid gas companies and remove costs to maintain the existing Hicksville Office site in Data Years 2 and 3. These adjustments are discussed in more detail in the GIOP's corrections and updates testimony.

Adjustments three through eight relate to corrections and updates made by the IT Panel. Specifically, the third adjustment reflects the updated forecast for the CIS project; the fourth adjustment reflects revisions made to the mandated IT projects forecast; the fifth adjustment corrects an allocation error in Data Year 1; the sixth adjustment removes the costs associated with project INVP 5130 – CIAC Process Systems Enhancements; the seventh adjustment reflects the updated forecast for the SAP S/4 HANA project; and the eighth adjustment updates the in-service date for the IT/OT program, as discussed in the response to Information Request No. DPS-577.

The net effects of these adjustments are decreases of $1.450 million and $0.581 million in the Rate Year and Data Year 1, respectively, and increases of $0.252 million and $5.744 million in Data Years 2 and 3, respectively.

Schedule 11 and 16 – OPEB and Pension Expenses

Schedules 11 and 16 each reflect two adjustments to OPEB and pension expenses. The first adjustment updates the forecast expense amounts based on the recent actuarial forecast, resulting in decreases of $1.186 million and $0.728 million to OPEB and pension expenses, respectively, in the Rate Year. The second adjustment reflects a change in the labor capitalization rate from 50.35 percent to 49.92 percent due to a calculation error in the April 30 filing.

Schedules 12, 14, 17, and 18 – Fringe Benefits

Schedules 12, 14, 17, and 18 each reflect adjustments to correct the labor capitalization rate (as discussed above) and update the inflation factor.

Schedule 13 – Healthcare

Schedule 13 reflects four adjustments to healthcare expense. The first adjustment corrects the labor capitalization rate. The second adjustment was made to reflect KEDNY's allocated share of healthcare savings associated with the collective bargaining agreement between National Grid and the International Brotherhood of Electric Workers Local 1049 ("IBEW Local 1049"). Because certain IBEW Local 1049 employees are employed by the Service Company, KEDNY should receive a portion of the healthcare savings resulting from this agreement. The third adjustment reflects the change to

healthcare benefits contained in the recently negotiated collective bargaining agreement between National Grid and the Transport Workers Union of America, AFL-CIO, Local 101 ("TWU Local 101"), which is discussed in more detail in the corrections and updates testimony of Company Witness Maureen Heaphy. The fourth adjustment was made to update the inflation factor.

Schedules 23 (Labor Expense) and 28 (Productivity Adjustment)

Schedule 23 reflects three adjustments to labor expense. The first and second adjustments were made to reflect the base pay wage increase contained in the recently negotiated TWU Local 101 agreement, which is discussed by Ms. Heaphy and the Company's response to Information Request No. DPS-388. The third adjustment was made in accordance with the response to Information Request No. DPS-295 to correct the Historic Test Year adjustment made in the April 30 filing to originating company labor and variable pay associated with the capitalization policy change proposed by the GIOP.

Schedule 28 shows the flow through changes of the labor expense adjustments discussed above.

Schedule 24 – Transportation

Schedule 24 reflects three adjustments to transportation expense. The first adjustment updates motor fuel expense based on the prices from the New York Mercantile Exchange as of June 21, 2019. The second adjustment reduces Historic Test Year transportation costs in connection with the capitalization change proposed by the GIOP. This adjustment was made in accordance with the Company's response to Information Request No. DPS-323. The third adjustment reflects the effects of the updated inflation factor.

Schedules 25 (Energy Efficiency Program) and 31 (Uncollectible Expense)

Schedules 25 and 31 show the flow through effects of the updated revenue forecast, which is supported by the Rate Design Panel.

Schedule 27 – Other Initiatives

Schedule 27 reflects 12 adjustments to other initiatives expense.

The first adjustment pertains to labor overhead rates. The adjustment was made to re-calculate the labor overhead rate using Rate Year, instead of Historic Tear Year, labor and benefits, as discussed in the response to Information Request No. DPS-392. The adjustment also updates labor

overhead rates for changes in benefits and corrects a formula error contained in Data Year 2.

The second adjustment was made to correct certain FTE position titles that were inadvertently mis-stated in the April 30 filing. The corrections are shown in Exhibit ___ (RRP-11CU), Workpapers to Exhibit ___ (RRP-3CU), Schedule 27, Workpaper 2.

The third adjustment updates the non-labor forecast for the I&R Distribution Station Overpressure Protection and Control Line Survey and GPS Mapping Programs, and includes Rate Year non-labor costs for the Enhanced Inactive Accounts Program. These program updates are discussed in the corrections and updates testimony of the Gas Safety Panel.

The fourth adjustment was made to reflect the updated forecast of costs for the Inside Service Inspections Program, as discussed by the Gas Safety Panel.

The fifth adjustment was made to reflect the costs to implement Staff's operator qualification best practices, as discussed in the corrections and updates testimony of the GIOP.

The sixth adjustment updates the forecast of FTEs needed for the Enhanced Inactive Accounts Program, as discussed by the Gas Safety Panel.

The seventh adjustment corrects the FTE count for the Green Gas Tariff offering by adding two FTEs in the Rate Year that were inadvertently omitted in the April 30 filing. This adjustment is discussed in the corrections and updates testimony of the Future of Heat Panel.

The eighth adjustment updates hire dates for certain incremental FTEs to correct dates that were mis-stated in the April 30 filing and to reflect a better hiring schedule. This adjustment is also discussed by the GIOP and the response to Information Request No. DPS-374. The adjustment is presented on Exhibit__(RRP-11CU), Workpapers to Exhibit__(RRP-3CU), Schedule 27, Workpaper 2.

The ninth adjustment corrects a double-count of an adjustment that reduced disconnect and reconnect expense related to capital associated with KEDNY's HDPE Service Replacements Program. The adjustment is also described by the GIOP and in the response to Information Request Nos. DPS-499 and DPS-500.

The tenth adjustment updates the labor inflation rate on union FTEs for the new collective bargaining agreement with TWU Local 101, as discussed by Company Witness Maureen P. Heaphy.

The eleventh adjustment updates the O&M forecast for various IT projects as discussed in the corrections and updates testimony of the IT Panel.

The twelfth adjustment updates the general inflation rate.

The net results of these adjustments are decreases in the Rate Year and Data Year 1 by $1.529 million and $1.412 million, respectively, followed by an increase of $9.596 million in Data Year 2, and then a decrease of $0.885 million in Data Year 3.

Schedule 34 – Savings

Schedule 34 reflects an adjustment to update the Company's forecast of Accelerate Program savings in accordance with the response to Information Request No. DPS-396. The adjustment increases the total Rate Year Accelerate Program savings amount from $30.959 million to $31.499 million, or more than $125 million over the term of the proposed rate plan (not

including savings from the one percent productivity adjustment that the Company also imputed in the revenue requirement).

Schedule 40 – Paving

Schedule 40 reflects six adjustments to paving expense. As discussed above, the first four adjustments were made for presentation purposes to reclassify paving expense from Schedule 2 (contractor expense) to Schedule 40 and have no revenue requirement impact. The fifth adjustment was made to correct a formula error in Data Year 3. The sixth adjustment reflects the updated inflation factor.

IV. Depreciation Expense

Q. Please describe Exhibit ___ (RRP-4CU).

A. Exhibit ___ (RRP-4CU) provides the corrections and/or updates to depreciation expense for the Rate Year and Data Years to reflect flow-through adjustments related to the plant changes discussed below. The exhibit consists of a lead Corrections and Updates page and a Summary page showing the updated forecast of gas depreciation expense for the Rate Year and Data Years.

V. Taxes Other Than Income Taxes

Q. Please describe Exhibit ___ (RRP-5CU).

A. Exhibit ___ (RRP-5CU) consists of a lead Corrections and Updates page, a Summary with three pages, and four schedules for the Rate Year and Data Years.

Q. Please describe the changes made to the real estate tax forecasts included in Exhibit ___ (RRP-5CU), Schedule 1.

A. The Company made four adjustments to the real estate tax forecasts. The first adjustment is a flow through adjustment of all plant changes based on the Company's updated net utility plant forecast discussed later in the testimony. The second adjustment revises the forecast to incorporate actual plant closings and retirements through March 2019. The third adjustment is to update the two-year growth rate to include the most recent fiscal year results, as discussed in the response to Information Request No. DPS-490. The fourth adjustment is to update the obsolescence rate for the 2019 award that the Company recently received from the Office of Real Property Services.

Q. Please describe the changes made to payroll taxes for the Rate Year and Data Years, as presented in Exhibit ___ (RRP-5CU), Schedule 2.

A. As described above, the Company made adjustments to Exhibit ___ (RRP-3CU), Schedules 23 and 28 in accordance with the response to Information Request Nos. DPS-388 and DPS-295. The changes made to Exhibit ___ (RRP-5CU), Schedule 2 are the effects of the same changes made to Schedules 23 and 28.

Q. Please describe the changes made to the other tax forecasts included in Exhibit ___ (RRP-5CU), Schedule 3.

A. The adjustment to other tax reflects the updated inflation factor.

Q. Please describe the changes made to the gross revenue tax forecasts included in Exhibit ___ (RRP-5CU), Schedule 4.

A. The Company reflected the flow through effect of the updated revenue forecast to the gross revenue tax forecasts in the Rate Year and Data Years.

VI. Federal and State Income Taxes

Q. Has the Company made any corrections or updates to federal and state income tax expense?

A. Yes, the Company made adjustments to reflect changes to the amortization of excess accumulated deferred income tax ("ADIT") and to reflect the flow through effect of changes in rate base on income tax expense, as shown in Exhibit ___ (RRP-6CU).

Q. Please describe the change to the amortization of excess ADIT.

A. The Company rolled forward the overall excess ADIT amount from December 2018 to March 2019 to match the plant roll forward balance and to reflect adjustments to income tax reserves that were due to the settlement of the August 24, 2007 to March 31, 2009 federal income tax audit. For the audit adjustments that were temporary, the current income tax was booked at 35 percent, the deferred tax was booked at 21 percent, and the difference increased or decreased the regulatory liability for excess ADIT. The amortization lives were applied to the adjusted numbers, resulting in changed total excess ADIT amortization amounts.

VII. Rate Base

Q. Please explain Exhibit ___ (RRP-7CU).

A. Exhibit ___ (RRP-7CU) provides the corrections and/or updates to the Company's rate base for the Rate Year and Data Years. The exhibit consists of a lead Corrections and Updates page, a Summary with four pages, and six schedules showing the adjustments to net utility plant (Schedule 1), regulatory assets and liabilities (Schedule 2), federal and state accumulated deferred income taxes (Schedule 3), working capital (Schedule 4), the lead lag study (Schedule 5), and City/State Construction Accounts Receivable (Schedule 7).

A. Forecast of Net Utility Plant In Service

Q. Please describe the changes made to the forecast of average net utility plant, as shown in Exhibit ___ (RRP-7CU), Schedule 1.

A. Schedule 1 reflects three adjustments. The first adjustment reflects updates to the Company's net utility plant forecast. The Company updated the forecast to use the actual March 31, 2019 construction work in progress, plant in service, depreciation reserve, and retirement work in progress beginning balances. The Company also updated the composite depreciation rates using depreciable plant balances as of March 2019.

The second adjustment updates the Company's capital forecast. The adjustment was made to update the capital and cost of removal forecasts for certain projects presented in Exhibit ___ (GIOP-1CU) for direct capital expenditures and Exhibit ___ (GIOP-7CU) for indirect capital expenditures. The corrections and update testimony of the GIOP discusses the specific adjustments in more detail.

The third adjustment updates the gas plant forecast to incorporate revised in-service dates for certain gas and facility projects, as discussed in the corrections and updates testimony of the GIOP.

B. <u>Deferred Taxes</u>

Q. Please describe the changes made to the deferred tax forecasts, as shown in Exhibit ___ (RRP-7CU), Schedule 3.

A. The Company made changes to rate base ADIT to (i) flow through the impact of the return of excess ADIT, (ii) add the impact of taking bonus depreciation on the fiscal year end March 31, 2019 federal income tax return, (iii) update ADIT balances from December 2018 to March 2019, and (iv) flow through the rate base ADIT impact of changes to book plant additions, cost of removal, and book depreciation.

Q. How does the change in excess ADIT amortization effect rate base?

A. As the Company returns excess ADIT, the excess ADIT regulatory liability that is included in rate base decreases and rate base is correspondingly increased. Rate base ADIT adjustments were made to reflect the updated amortization amounts that flow through cost of service. Also, the Company determined that in the April 30 filing, the rate base adjustment included the excess ADIT related to both National Grid USA Service Company and KEDNY. Accordingly, the Company updated the rate base formula to include only the amortization related to KEDNY.

Q. How did bonus depreciation change rate base ADIT?

A. After additional analysis and conversations with industry experts and other industry peers, the Company determined it would deduct additional bonus depreciation in accordance with the pre-tax reform regulations. Bonus depreciation will be 40 percent for those assets started before September 28, 2017 and placed in service between April 1, 2018 and December 31, 2018. Bonus depreciation of 30 percent will be taken on assets started before September 28, 2017 and placed in service between January 1 and March 31, 2019.

C. Working Capital

Q. Please describe the changes made to the Company's working capital costs.

A. Exhibit ___ (RRP-7CU), Schedule 4 reflects the flow through effects of changes to O&M expenses made in corrections and updates as compared to the April 2019 filing.

Schedule 5 reflects the flow through effects of changes in the Company's gas forecast commodity revenue. The Materials and Supplies and Pre-Payments on Exhibit ___ (RRP-7CU), Summary, were updated for the revised inflation factor.

Q. Please describe the update made to the adjustment associated with New York City's ("City") CSC accounts receivable balance in connection with the forecast changes in CSC construction activities, as shown in Exhibit ___ (RRP-7CU), Schedule 7.

A. Schedule 7 reflects two adjustments. The first adjustment reflects updates to the Company's CSC reimbursements forecast, which is presented in Exhibit ___ (GIOP-1CU) to the GIOP's corrections and updates testimony. As discussed in the response to Information Request No. DPS-352, question 1c, the Company received updated information from the City regarding its FY

2020 work plan. Based on this information, the Company updated the CSC reimbursable and non-reimbursable capital forecast, resulting in a decrease to the reimbursable portion of the forecast. This change requires a corresponding adjustment to the level of CSC reimbursements reflected in the adjustment to the City's CSC accounts receivable balance.

The second adjustment updates the billing lag assumption from 18 months to 21 months, as discussed in response to Information Request No. DPS-402, question 3. Based on recent payment history, along with the change in the Department of Environmental Protection audit process, which adds a new step to the reimbursement process, the Company believes increasing the billing lag assumption to 21 months is a reasonable and conservative estimate.

VIII. Regulatory Assets and Liabilities

Q. Please describe the corrections and updates shown in Schedule 2 of Exhibit ___ (RRP-7CU).

A. The Company made three adjustments to the forecast regulatory asset and liability balances at March 31, 2020.

The forecast Unamortized Debt Expense deferred balance was increased by approximately $6.085 million resulting from additional underwriter fees and

expenses associated with issuances of $550 million of 3.865 percent senior unsecured debt (due 2029) and $450 million of 4.487 percent senior unsecured debt (due 2049) in March 2019 that were identified and booked after the April 2019 filing.

Additionally, the forecast net Pension and OPEB deferred asset balance was reduced by approximately $1.3 million to reflect the changes resulting from the updated actuarial forecast (discussed above).

Lastly, the forecast net regulatory asset associated with the Capital Tracker deferral and its associated carrying charges was increased by approximately $3 million to reflect the impact of the change in the capital forecast (also discussed above).

Q. Do the changes in regulatory assets and liabilities have any impact on the revenue requirement?

A. Only the change to the Unamortized Debt Expense deferred balance has a revenue requirement impact because this deferred balance is included in rate base. The impact increases the revenue requirement by $0.519 million in the Rate Year. All other adjusted regulatory assets and liability balances are

excluded from rate base and therefore have no effect on the revenue requirement.

IX. Inflation Factors

Q. Please describe the update to the projected inflation factors used by the Company.

A. Based on more recent economic factors, the Company reduced its projected rate of inflation form 4.87 percent to 3.96 percent. As discussed above, a list of expense specific schedules in this corrections and updates filing that are affected only by inflation is provided following the Panel's testimony.

X. Proposed Treatment of Existing Regulatory Deferral Accounts and New Reconciliation Mechanisms

Q. Please describe the corrections and/or updates shown in Schedules 1, 3, and 4 of Exhibit ___ (RRP-9CU).

A. The Company updated several deferral thresholds to reflect the updated rate allowances based on the adjustments discussed throughout this testimony. These are shown in Exhibit ___ (RRP-9CU) Schedules 1, 3, and 4.

Q. Please describe the corrections and/or updates shown in Schedule 2 of Exhibit ___ (RRP-9CU).

A. The Company updated the CSC deferral to include the CSC capital forecast changes, which are presented in Exhibit ___ (GIOP-1CU) to the GIOP's corrections and updates testimony. This is shown in Exhibit ___ (RRP-9CU) Schedule 2.

Q. Please explain Appendix B (CU).

A. Appendix B (CU) is a corrected version of KEDNY's current and proposed revenue adjustments and incentives. The Company inadvertently included the version of Appendix B that was applicable to KEDLI in its April 30 filing. Appendix B (CU) is the version that pertains to KEDNY.

Q. Does this conclude the Panel's testimony?

A. Yes, it does.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Rebuttal Testimony

of

The Revenue Requirements Panel

Case 19-G-0309

September 18, 2019

Rebuttal Testimony of the Revenue Requirements Panel

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1

Rebuttal Testimony of the Revenue Requirements Panel

I. Introduction

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct, supplemental, and corrections and updates testimony in this proceeding?

A. Yes. The terms defined in the Panel's direct testimony have the same definitions here.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The Panel responds to various adjustments proposed by Staff and intervenors in their direct testimonies dated August 30, 2019. In particular, the Panel addresses the following subjects: (i) proposed revenue adjustments; (ii) proposed O&M expense adjustments; (iii) regulatory deferrals; (iv) proposed adjustments to taxes other than income taxes; (v) rate base adjustments; (vi) federal income tax adjustments; and (vii) proposed changes to depreciation. In addition, the Panel addresses adjustments proposed by Staff that the Company previously agreed to adopt in information request ("IR") responses or agrees to adopt in rebuttal, and

also addresses corrections to Staff's exhibits and testimony that the Company has identified.

Q. Does the Company respond to each of Staff's and the intervenors' proposed adjustments and recommendations?

A. No. In this testimony, as well as the rebuttal testimony of the other Company witnesses, the Company is only responding to certain issues. Where the Company accepts an adjustment or agrees with an issue, such acceptance or agreement is explicitly acknowledged. The Company's silence on a particular adjustment or recommendation should not be construed as acceptance or waiver of a particular issue or as creating precedent for any future proceeding. The Company relies on its direct, supplemental, and corrections and updates testimonies as support and justification for those items not specifically addressed in its rebuttal testimony.

Q. How has the Panel organized its rebuttal testimony?

A. The rebuttal testimony addresses proposed adjustments following the general order the adjustments are presented in the Staff Revenue Requirements Panel's ("SRRP") Exhibit __ (SRRP-2), Schedules 7a through 7c.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel and that, in all cases, refer to KEDNY.

Exhibit ___ (RRP-1R)	Summary Revenue Requirements Pages
Exhibit ___ (RRP-2R)	Net Utility Plant and Depreciation Expense
Exhibit ___ (RRP-3R)	Other Taxes Adjustment
Exhibit ___ (RRP-4R)	Relevant Portions of Company IR Responses
Exhibit ___ (RRP-5R)	Staff IR Responses

Q. In rebuttal, the Panel references various IR responses. Where can those responses be found?

A. The Company's IR responses referenced by the Panel have been compiled in Exhibit ___ (RRP-4R) except for those responses included as exhibits to Staff's direct testimony. Because of the size of some of the responses, the Company included only relevant pages and attachments. Staff's responses to Company IRs referenced herein have been compiled in Exhibit ___ (RRP-5R).

II. Overall Revenue Requirement

Q. Is the Company proposing any changes to the revenue requirement in this filing?

A. Yes. The Company's corrections and updates filing reflected a revenue requirement of $195.6 million. Based on the Company's review of the direct testimony filed by Staff and the intervenors, as well as discovery submitted since the time of the corrections and updates filing, the Company has accepted several adjustments and reflected certain updates to the revenue requirement. Exhibit ___ (RRP-1R) sets forth the Company's position on each of the adjustments proposed by Staff.

In addition, the revenue requirement reflected in the corrections and updates filing assumed the NESE project would be completed by the winter of 2020/2021. In this rebuttal filing, the Company adjusted the revenue requirement to assume the NESE project will not be completed within that timeframe. Specifically, the Company includes adjustments that were identified in its supplemental filing, which the Staff Revenue Requirements Panel ("SRRP") reflected in Exhibit ___ (SRRP-2), Schedule 7a, together with certain other adjustments (*e.g.,* an updated revenue forecast and updates/corrections discussed by the Company's GIOP). In principle, the

Company agrees with the need for the additional no-NESE project adjustments reflected by the SRRP in Exhibit ___ (SRRP-2), Schedule 7b, but disagrees with the calculation of some of those adjustments. In addition, the Company disagrees with the adjustment to Other Initiatives listed in that schedule, as discussed by the Future of Heat Panel. The Company included the agreed adjustments in the revenue requirement. Any disagreement is discussed below.

Q. What is the updated Rate Year revenue requirement?

A. The updated revenue requirement is $190.491 million.

Q. Does the Panel have any general comments regarding the adjustments proposed by Staff to the revenue requirement?

A. Yes. It is important for the Commission to recognize that, in total, the adjustments and proposals made by Staff, if adopted, would provide a level of rate relief that would not provide the Company with the revenues needed to provide safe and reliable service to customers, earn a reasonable return on its investment, continue to attract capital on commercially reasonable terms, and deliver on the Commission and State's clean energy goals. Staff proposes a return on equity of 8.2 percent, which would be the lowest ROE approved for a gas distribution utility in the United States. Moreover,

although Staff says throughout its testimony that the Company should invest at levels the Company deems appropriate, Staff's proposals effectively deny the Company funding for programs and investments it believes are critical to advancing safety and reliability. Indeed, in many cases, Staff's proposals would require the Company to absorb material costs of doing business. Specific examples include:

- *Information Technology*. A disallowance of $114.4 million of the Company's projected capital IT investments that must be incurred to modernize the Company's aging infrastructure and enable key customer and operations programs.
- *GBE Program*. A disallowance of more than $57 million in costs that will need to be incurred for the benefit of customers to progress the project, which is needed to build a modern platform that enhances safety and supports customer demands.
- *Unidentified Savings*. An adjustment to impute more than $9 million in incremental, unidentified savings on top of the more than $36 million in savings already reflected in the Rate Year.
- *Newtown Creek*. An adjustment that effectively requires the Company to fund a portion of the costs of the Newtown Creek project notwithstanding the agreement in the Joint Proposal in the

2016 KEDNY and KEDLI Rate Cases that the Company would proceed with the project.

Future of Heat. Virtually no funding for the Company's Future of Heat programs, which are designed to advance cost-effective, reliable, heating sources that help reduce carbon emissions on the gas network.

In addition to proposing significant disallowances of costs that the Company will need to incur in the Rate Year, Staff also proposes a series of downward-only true-ups for costs associated with full-time equivalents, Service Company IT rent expense, paving, GBE, and credit cards. At the same time, Staff rejects the limited true-ups sought by the Company for costs over which it has limited control such as property taxes and CSC O&M spending. The proposed downward only true-ups effectively preclude the Company from retaining efficiencies found to offset the costs that Staff proposes to disallow and thus achieve the additional productivity that Staff proposes to impute. On top of this, Staff proposes to modify the Company's performance metrics substantially, adding more stringent targets, but not providing funding to meet these new targets. These proposals effectively result in a further disallowance of costs by increasing the likelihood that the Company will incur negative revenue adjustments.

The combined effect of all of Staff's adjustments is that the Company would be saddled with the lowest ROE authorized in recent years for a gas utility and, at the same time, effectively precluded from earning it. This end-result is unreasonable and unjustified and creates grave concern as to whether the Company will be able to continue to attract necessary capital on commercially reasonable terms in an environment in which the Company is facing increased opposition to any sales growth in its business and is experiencing a supply constraint that, along with Staff's proposals in this filing, is effectively foreclosing it from pursuing current growth opportunities.

Over the term of its current rate plan, the Company has invested billions of dollars in its gas distribution network to support safe operations, met and exceeded all customer and gas performance metrics, and improved its compliance performance year over year. In that same time period, the regulatory landscape has seen significant changes that will likely have material impacts on the Company's costs and programs going forward. The proposed rate plan was designed to address in a balanced manner issues raised by Staff and other stakeholders and take important step changes necessary to lead the transition to New York's energy future. As discussed herein, as well as through the Company's direct and rebuttal testimonies,

the recommendations advanced by Staff in this proceeding would not achieve a similar result.

III. Operating Revenues Adjustments

Q. Please summarize Staff's proposed adjustments to Operating Revenues.

A. Staff proposed three adjustments to Operating Revenues that are reflected in Exhibit __ (SRRP-2), Schedules 7a, 7b, and 7c. The first adjustment was made to reduce Operating Revenues to reflect the unavailability of the NESE project. The second adjustment was made to reflect the Company's latest sales forecast. Although the Company agrees these adjustments are required, the Company does not agree with Staff's calculations of the adjustments. The rebuttal testimony of the Company's Rate Design Panel provides the correct calculations. The third adjustment reflects the Staff Policy Panel's ("SPP") recommendation to impute $3.281 million in revenues associated with the Newtown Creek project.

Q. Does the Company agree with the adjustment related to the Newtown Creek project?

A. No. As discussed in the rebuttal testimony of the Company's Future of Heat Panel, the Company disagrees with this adjustment.

IV. O&M Expense Adjustments

Q. Please summarize Staff's proposed adjustments to O&M expense.

A. Staff's proposed adjustments to O&M expense are shown in Exhibit ___ (SRRP-2), Schedules 7a, 7b, and 7c.

A. Consultants

Q. Does Staff make any adjustments to consultants expense?

A. Yes. The SRRP proposes to disallow $1.146 million in costs associated with work performed by a consultant, AlixPartners LLP, in the Historic Test Year. The basis for the adjustment is the SRRP's belief that these charges will not recur in the Rate Year.

Q. Does the Company agree with Staff's proposed disallowance?

A. No. As explained in the response to IR DPS-806, the Company uses consultants like AlixPartners LLP to provide services aimed at ensuring the efficient delivery of the IT portfolio. While the SRRP contends that "it is

not reasonable" for the Company to use a consultant to perform this type of work again in the Rate Year (at 15-16), the Company submits that it would be unreasonable and imprudent if it did not. The IT portfolio is ever-changing to keep pace with evolving customer and stakeholder needs. The Company will continue to engage the services of consultants like AlixPartners LLP to look proactively for ways to maintain existing efficiencies and ensure the effective operation of the portfolio. Such work would be expected of any major company with an IT portfolio as large as the Company's – especially given the potential benefits that could accrue to customers from this work. Therefore, these costs are fully expected to recur in the Rate Year and should not be adjusted from the cost of service.

Q. In support of its position, the SRRP contends (at 16-17) that individual work performed by AlixPartners LLP such as work to refresh the Company's IT strategy will not recur because the Company has already undertaken this work. Does the Company agree with the SRRP's position?

A. No. The SRRP's view of what constitutes recurring work is too narrowly focused. This is just one item under a broad category of work that is done to manage the IT portfolio. Although this specific item may not recur every year, that does not mean that other work to evaluate and assess the IT

portfolio will not recur. For instance, work to assist with contract negotiations, work to analyze system investments, and benchmarking with other organizations is all work that consultants such as AlixPartners LLP provide and will continue to provide in the Rate Year.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. As explained in the response to IRs DPS-931 and DPS-933, the work performed by AlixPartners LLP resulted in annual run rate savings of $22.1 million, of which $16.6 million is reflected in the revenue requirement in the Rate Year and Data Years. Therefore, customers received a significant benefit from the very work for which the the SRRP seeks to disallow cost recovery. This further shows the unreasonableness of the SRRP's proposed adjustment.

B. <u>Contractors</u>

Q. Did Staff propose any adjustments to contractors expense?

A. Yes. The SRRP proposed two adjustments to contractors expense.

Q. Please explain the first adjustment.

A. The first adjustment reflects a correction to contractors expense associated with Local Law 30 that the Company inadvertently did not include in corrections and updates. The adjustment reduces contractors expense by $5.201 million.

Q. Does the Company agree with this adjustment?

A. Yes.

Q. Please discuss the second adjustment.

A. The SRRP proposes an adjustment to snow removal costs based on the use of a three-year average, which it asserts (at 22) "will smooth out the year to year changes" and "produce a more reasonable Rate Year forecast." The adjustment reduces contractors expense by $1.263 million.

Q. Does the Company agree with this adjustment?

A. No. The Company believes that use of the Historic Test Year to forecast snow removal costs is reasonable and appropriate. Two main reasons support the Company's position.

First, use of the Historic Test Year treats customers and the Company fairly over time. This expense has been forecast the same way in several past National Grid rate cases, and Staff has never proposed using a different methodology. In KEDNY's last rate case, the rate allowance for snow removal expense was approximately $0.689 million. Actual expenses in calendar years 2017 and 2018 (rate years 1 and 2 of the current rate plan) were $1.8 million and $3.337 million, respectively. Calendar year 2019 (rate year three) expense to date is $2.115 million with certain winter months still forthcoming. Utilizing the SRRP's proposed three-year average in this case is inconsistent with the historic forecasting methodology and there is no reason to believe that it will result in a more accurate forecast of Rate Year expense.

Q. What is the second reason for why the SRRP's proposal is unreasonable?

A. Use of a consistent forecasting methodology helps minimize controversy by avoiding situations such as the one here where parties pick and choose different methodologies depending on the end-result. Notably, the SRRP is not proposing to use a three-year average to calculate KEDLI's snow removal expense, but instead is using the Historic Test Year expense as the

basis for the Rate Year forecast. For all these reasons, the SRRP's adjustment should be rejected.

C. Other Expense

Q. Did Staff propose an adjustment to other expense?

A. Yes. The Staff Accounting Panel ("SAP") proposes a 25 percent reduction to the Company's Historic Test Year costs associated with violations and fines incurred for work performed in New York City.

Q. What is the basis for the SAP's proposal?

A. The SAP contends (at 18) that a 25 percent cost reduction is a "conservative approach" to reflect process improvements undertaken by the Company to reduce the number of violations and fines and to account for violations and fines the SAP believes result from circumstances under the Company's control. This adjustment reduces the revenue requirement by $0.920 million.

Q. Did the SAP provide any calculation or prepare any analysis showing that a 25 percent reduction in violations and fines is in fact achievable?

A. No. The SAP simply claimed (at 18-19) that it is "reasonable to assume the benefits" associated with the Company's existing process improvements

will "come to fruition prior to the end of the Rate Year" without providing any support for how the additional benefits could be achieved.

Q. Does the Company agree with the SAP's position?

A. No. The SAP's position completely disregards the realities of performing work in New York City. As the Company explained in the response to IR DPS-550, these costs are incurred in the ordinary course of business as the Company must regularly excavate in streets and sidewalks in one of the largest and most densely populated metropolitan areas in the country. While the Company takes precautions to avoid violations and fines, given the nature of many of the Company's projects, these costs are not cost-effectively avoidable above the level of reductions that the Company has already achieved. As explained in the response to IR DPS-550, these violations are often the result of unanticipated field conditions (*e.g.*, subsurface facilities, parking conditions, heavy traffic) that require the Company to work in a larger area or for a longer period than was contemplated at the time the permit was secured. The Company could take additional measures solely for purposes of avoiding violations, such as repeated demobilizations and remobilizations to avoid working past permit times, but such measures would not be as efficient and would result in more customer disruptions. Thus, while the Company will continue its efforts to

avoid violations and fines to the extent possible, it believes that these charges are a reasonable and unavoidable cost of doing business in its service territory and should be fully recoverable from customers.

Q. Please respond to the SAP's assertion that the Company's process improvements will result in a 25 percent reduction in violations and fines.

A. As described in the SAP's testimony (at 14-17), the Company has implemented numerous process improvements to mitigate this cost. What the SAP fails to recognize, however, is that these process improvements have kept these costs from increasing even higher and that the Historic Test Year reflects the reasonably expected results from these efforts. A 25 percent improvement beyond these efforts is simply unreasonable. Specifically, achieving the reductions to date was difficult and many resulted from initiatives that could be easily implemented at the time but are not repeatable. Additionally, even with KEDNY's efforts to obtain reductions in this area, the expectations of the New York City Department of Transportation ("DOT"), which continues to expand its code enforcement resources and capabilities, are fluid and evolving such that new areas triggering fines and violations could emerge. For example, KEDNY recently has experienced increased scrutiny on issues related to traffic flow

and pedestrian accessibility – areas that have not been a major focus in the past and which are resulting in more fines despite the Company's prudent efforts. For instance, the Company's procedures require that, for leak investigations, excavations be kept open to vent trapped gas readings to make the area safe before permanent repairs can be made. This requires the Company to barricade the excavation to avoid pedestrian injury. The DOT, however, requires that the full width of the sidewalk be kept open outside of the time stated on the permit, thus bringing the Company's work into conflict with DOT requirements.

Q. In proposing its adjustment, did the SAP address the impact that the Company's increased capital plan will have on this cost element?

A. No, they did not. While the Company strives to react to changing expectations and continuously improve in these areas, the issue is further compounded by the significant expansion of the Company's work plan, including increased CSC work and LPP targets, above Historic Test Year levels. As the Company explained in the response to IR DPS-928, an increase in the amount of permitted work will likely result in more fines. While KEDNY will continue its ongoing efforts to reduce the number of fines and violations received and work with the DOT where possible, the costs are ultimately an unavoidable cost of doing business in New York City

and are not expected to significantly decrease in the coming years. Accordingly, a 25 percent adjustment is not reasonable or achievable given the issues experienced in the field and the significant increase in work that will occur in the Rate Year.

D. Service Company Rent Expense

Q. Does Staff make any adjustments to Service Company rent expense?

A. Yes. The Staff Information Technology Panel ("SITP") proposes four adjustments to Service Company rent expense.

Q. Please describe the SITP's first adjustment.

A. The SITP proposes to remove the costs associated with the Community Distributed Generation Low Income Bill Discount program.

Q. Does the Company agree with the SITP's proposal?

A. The Company acknowledged in response to IR DPS-620 that the costs of the project should be removed. However, as explained in the rebuttal testimony of the Company's IT Panel, there is an error in the SITP's calculation of the adjustment.

Q. Please describe the SITP's second adjustment.

A. Staff recommends an adjustment of $3.553 million to Rate Year Service Company rent expense to reflect its reduction of the Service Company return on assets rate from 8.52 percent to 7.58 percent.

Q. Does the Company agree with the SITP adjustment?

A. In principle, the Company agrees that, for ratemaking purposes, the ROE for the Service Company asset recovery should match KEDNY's ROE. Because the Company's position on KEDNY's ROE differs from Staff's, the Company is setting the Service Company ROE to match KEDNY's ROE as supported by Company Witness Bulkley.

Q. Did the SITP have any other adjustments to the return used for the Service Company asset recovery?

A. Yes, the SITP adjusted the Service Company debt rates to match those used to calculate KEDNY's rate of return.

Q. Does the Company agree with the SITP's debt adjustment?

A. No. The Service Company has its own debt, which should be the basis for setting the return for the Service Company asset recovery. Company Witness Jonathan Cohen addresses this adjustment in his rebuttal testimony.

Q. Please describe the SITP's third adjustment.

A. The SITP proposes to disallow capital expenditures of $57.4 million associated with the GBE Program. This adjustment results in a $2.136 million reduction to the revenue requirement.

Q. Does the Company agree with this adjustment?

A. No. As discussed in the rebuttal testimony of Company Christopher Connolly, the Company disagrees with this adjustment.

Q. Please describe the SITP's fourth adjustment.

A. The SITP recommends a forecasting adjustment to the Company's IT capital expenditures, resulting in a reduction to the revenue requirement of $4.572 million.

Q. Does the Company agree with this adjustment?

A. No. The Company's IT Panel responds to this adjustment in its rebuttal testimony. Additionally, the IT Panel explains the errors it identified in the SITP's calculation of the adjustment.

Q. Did Staff make any other recommendations that would affect the Company's Service Company rent expense?

A. Yes. The SITP proposes a downward only Service Company Rents IT and GBE Program capital tracker. The rebuttal testimony of the Company's IT Panel and Company Witness Christopher Connolly respond to this recommendation.

E. Labor Expense

Q. Please summarize Staff's adjustments to labor expense.

A. Staff recommends two adjustments to labor expense.

Q. What is the first adjustment recommended by Staff?

A. Staff Witness Gadomski (at 17) proposes reducing the Company's management wage increase of 3.35 percent (which was implemented on July 1, 2019) and the projected wage increase of 3.1 percent for subsequent years to 3.0 percent. The adjustment deceases the Company's labor expense forecast by $0.270 million.

Q. Does the Company agree with Mr. Gadomski's proposed adjustment?

A. No. As indicated in the rebuttal testimony of Company Witness Heaphy, the Company does not agree with Mr. Gadomski's testimony on this issue and does not accept the proposed adjustment.

Q. Please explain Staff's second adjustment to labor expense.

A. The SRRP proposes (at 24-29) imputing a vacancy rate to the Company's labor forecast of KEDNY employees based on their assumption that the Company's forecast does not account for vacancies. The SRRP developed their vacancy rate of 3.16 percent by dividing the number of unfilled positions within KEDNY by the targeted employee level for that company. The SRRP's adjustment was specific to FTEs who directly charge time to KEDNY and did not include Service Company employees whose time is allocated to KEDNY. The adjustment reduces the Company's Rate Year labor expense forecast by an additional $2.759 million.

Q. Does the Company agree with the SRRP's application of a vacancy rate to the labor expense forecast?

A. No. To develop the labor forecast, the Company used adjusted headcounts for KEDNY and the Service Company as of December 31, 2018 (the end of the Historic Test Year). The December 31st headcounts only included

positions *actually filled* by employees as of that date. It did not include positions that were open or vacant at that time, even though such positions existed.

Table 1 below depicts open positions (those positions approved to be filled) and positions pending approval at calendar-year end 2018 for all National Grid companies, including KEDNY and employees that may allocate or directly charge time to the Company. None of these vacancies were included in the Company's labor forecast. Therefore, the SRRP's assumption that the Company's labor forecast does not account for vacancies is incorrect. Indeed, the Company's forecast does assume that vacancies as of December 31, 2018 will continue to occur in the Rate Year just in a different manner than the SRRP proposes. Rather than applying a separate vacancy rate to the forecast, the Company entirely removed any actual vacancies from the labor forecast. In doing so, the Company bears the financial risk of vacancies that were not included in the headcount but may be filled after the end of the Historic Test Year. As such, application of a vacancy rate to the previously reduced labor expense forecast is a double count of vacant positions.

Table 1 – National Grid Open Positions as of CYE 2018

Designated Company for Position (Management)	Open	Pending Approval	Total Open Positions
Service Company	438	162	600
KeySpan Gas East Corporation	5	3	8
The Brooklyn Union Gas Company	8	1	9
All other Companies	16	7	23
Total Positions	467	173	640

Designated Company for Position (Represented)	Open	Pending Approval	Total Open Positions
Service Company	124	6	130
KeySpan Gas East Corporation	4	9	13
The Brooklyn Union Gas Company	58	1	59
All other Companies	169	66	235
Total Positions	355	82	437

Q. Was it appropriate for the SRRP to exclude Service Company employees from its vacancy analysis?

A. No. Table 2 below compares the headcounts approved in the 2016 KEDNY and KEDLI Rate Cases, which were based on headcounts as of September 30, 2015, to the December 31st headcounts used by the Company for the labor forecast in the current rate filing.

Table 2 – Headcount 2016 Rate Cases vs. December 31, 2018 Headcount

	KEDLI	KEDNY	Service Co.
Headcounts Approved in 2016 Rate Cases			
Management	142	189	4,033
Union	626	1,328	1,563
Total	768	1,517	5,596
Headcounts as of December 31, 2018			
Management	74	120	5,307
Union	631	1,349	1,595
Total	705	1,469	6,902
Variance (December 2018 vs September 2015)			
Management	(68)	(69)	1,274
Union	5	21	32
Total	(63)	(48)	1,306

While the Company agrees with the SRRP that there were less KEDNY employees in 2018 than requested and filled in the 2016 KEDNY and KEDLI Rate Cases, the same cannot be said for Service Company employees. Indeed, Table 2 shows there were more Service Company employees who may allocate their time or a portion of their time to KEDNY, as of December 31, 2018, than were included in the 2016 KEDNY and KEDLI Rate Cases. In addition, the Service Company variance between those years is significantly higher than the variance for KEDNY employees during that same period.

Q. Is the methodology to forecast labor expense in this case consistent with the methodology previously utilized in past KEDNY, KEDLI, and Niagara Mohawk rate cases?

A. Yes. The labor expense forecast methodology used in this case is the same methodology used in the 2016 KEDNY and KEDLI Rate Case, the 2017 Niagara Mohawk Rate Case, and the 2012 Niagara Mohawk Rate Case. In those cases, Staff accepted the methodologies without applying a vacancy rate adjustment. No adjustment should be applied in this case either.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. In IR NG-07, the Company asked Staff to confirm if it was their position that vacancies were not included in the Company's December 31, 2018 headcounts. Staff replied, among other things, that the Company did not apply a vacancy rate for the projected incremental FTEs.

Q. Why is the reference to incremental FTEs significant?

A. Because it further demonstrates the unreasonableness of the SRRP's adjustment. The incremental FTEs proposed by the Company were forecast based on the incremental work required in the Rate Year. Application of a vacancy rate to incremental FTEs, as the SRRP asserts, is illogical as it

results in an insufficient number of FTE needed to perform the incremental work, the majority of which is dedicated to gas safety programs.

F. Transportation Expense

Q. Please describe the SRRP's proposed adjustment to the Company's forecast of transportation expense.

A. The SRRP proposes (at 42) a downward adjustment of $0.619 million to the lease component of transportation expense. The adjustment is based on the SRRP's belief that the Rate Year costs are "excessive" because the Company forecasts replacing 180 more vehicles from the end of the Historic Test Year through the end of the Rate Year than it had during the prior three-year period.

Q. Does the Company agree with the SRRP's adjustment?

A. No. The Company's forecast of replacement vehicles is based on a detailed fleet plan that carefully considers the type of vehicle, the age of the vehicle, maintenance history, and work for which the vehicle is utilized to develop a projected replacement date for each vehicle.

In KEDNY's last rate proceeding, Staff proposed an adjustment of $0.732 million in transportation lease expense, which was reflected in the Joint

Proposal adopted by the Commission. To manage its vehicle replacements within this rate allowance, the Company modified its vehicle replacement schedule to stretch out the lifecycle of certain vehicles. This adjustment increased the average age of vehicles that are needed to provide service to the Company's customers and help maintain and operate the gas network. The Company estimates that the replacement of approximately 88 vehicles, calculated by dividing the $0.723 million lease expense adjustment from the previous rate case by the $8,205 average per vehicle cost calculated by Staff in Exhibit ___ (SRRP-4), were delayed by this adjustment and therefore included in the forecast of replacements in this case.

Q. The SRRP asserts (at 39) that because the Company has in the past utilized vehicles with expired lease dates it is "inappropriate" to assume that vehicles with expiring leases will be replaced in the Rate Year. Is this a fair assumption?

A. No. The lease end date is based on the expected lifecycle of each vehicle. While the timing of replacements varies depending on the specific conditions of the vehicles (*e.g.,* depending on the performance or usage of the vehicle, the asset life may fall short of or exceed the planned lifecycle),

in general each vehicle with a lease term that has expired should be replaced to ensure reliable fleet operations.

While the Company was able to increase the average age of its fleet over the past three years to stay within the budgeted rate allowance without unduly compromising reliability, this cannot continue indefinitely if the Company hopes to maintain a reliable vehicle fleet. The Company needs to replace more vehicles than it has in the past three years to restore the reliability of the vehicle fleet to its optimal level. The Company does not believe that deviating from the planned lifecycle replacement is reasonable or in the best interests of customers, as it will lead to higher maintenance costs and potentially compromise the integrity of the Company's vehicle fleet. Moreover, the SRRP has submitted no evidence that rebuts or contradicts the reasonableness of the Company's replacement schedule, and instead unreasonably substitutes its own judgement in place of the Company's fleet plan. For these reasons, the SRRP's adjustment should be rejected.

G. Other Initiatives

Q. Does Staff recommend adjustments to other initiatives?

A. Yes. Staff recommends a total of 25 adjustments to other initiatives expense. For purposes of clarity, the Panel grouped the adjustments into categories.

Future of Heat

Q. Please summarize Staff's adjustments related to the Company's Future of Heat proposals.

A. Staff proposes 12 adjustments related to the Company's Future of Heat proposals. *See* Adjustment Nos. 17(f)(3), (7)-(13), (15), and (19)-(20) to Exhibit ___ (SRRP-2), Schedule 7c and Adjustment No. 12(a) on Schedule 7b of that exhibit. The adjustments include: (i) removing the costs of the Hydrogen Blending Study, the Expanded Geothermal Pilot, and the Renewable Natural Gas Interconnections programs; (ii) reducing the number of incremental FTEs needed for the Green Gas Tariff, Geothermal, Demand Response, Utility Energy Services Contract ("UESC"), and Renewable Natural Gas and Non-Pipeline Alternative programs; (iii) disallowing a portion of the costs of the Fuel Switching Calculator program; (iv) reflecting the costs of the UESC program in the ETIP instead of base rates; (v) removing EM&V costs; and (vi) moving recovery of the non-labor

costs of the Demand Response program from base rates to the Delivery Rate Adjustment surcharge.

Q. Does the Company agree with these adjustments?

A. No. The rebuttal testimony of the Future of Heat and Rate Design Panels discuss the Company's objections to these adjustments.

GIOP and Gas Safety

Q. Please summarize Staff's adjustments related to programs supported by the Company's GIOP and Gas Safety Panels.

A. Staff proposes eight adjustments related to programs supported by the Company's GIOP and Gas Safety Panels. *See* Adjustment Nos. 17(f)(1), (4)-(6), (16)-(18), and (22) to Exhibit ___ (SRRP-2), Schedule 7c. The adjustments include: (i) reducing the number of incremental FTEs required to support the Company's Contractor Safety Inspection, Enhanced Methane Detection, Storm Hardening, Integrity Management and Verification, and capital programs; (ii) moving the costs of the Storm Hardening beyond the Rate Year; (iii) disallowing costs associated with the Pipeline Integrity – Integrity Management Program (PHMSA Rules); and (iv) moving the costs of the Low-Pressure Main Valve Installation program from the capital

program to O&M expense and offsetting those costs with a portion of the existing negative revenue adjustment balance.

Q. Does the Company agree with Staff's adjustments?

A. As explained in the rebuttal testimony of the GIOP and Gas Safety Panels, the Company agrees with some adjustments but disagrees with others.

Q. Does the Company agree with Staff's recommendation to use a portion of the existing negative revenue adjustments to fund the costs of certain safety programs?

A. In principle, while the Company is not against using the existing negative revenue adjustments to fund safety programs, the Company is concerned about how much of the balance should be used. The Company's position related to amortization of regulatory deferrals is discussed in more detail below. In addition, the Gas Safety Panel discusses the Company's opposition to using negative revenue adjustments to fund the costs of the Low-Pressure Main Valve Installation program.

IT

Q. Please summarize Staff's adjustments related to IT costs.

A. Staff proposes two adjustments. The first adjustment relates to the O&M and run the business costs associated with the SITP's forecasting adjustment

to the Company's IT capital expenditures. The second adjustment removes the operating costs associated with the Company's Customer Information System project. *See* Adjustment Nos. 17(f)(21) and (23) to Exhibit ___ (SRRP-2), Schedule 7c.

Q. Does the Company agree with Staff's adjustments?

A. No. The Company's objection to these adjustments is discussed in the rebuttal testimony of the IT Panel.

Flow-Through Adjustments

Q. Please summarize Staff's flow-through adjustments to other initiatives expense.

A. The SRRP reflects two flow-through adjustments related to Mr. Gadomski's proposed management wage increase factor and use of the SRRP's labor burden rates. *See* Adjustment Nos. 17(f)(2) and (14) to Exhibit ___ (SRRP-2), Schedule 7c.

Q. What is the Company's position with respect to these flow-through adjustments?

A. While the Company agrees in principle that flow-through adjustments would be required if the Commission were to adopt the Staff's proposals,

because the Company disagrees with the underlying adjustments, the Company's position is that the proposed flow-through adjustments, with the exception of the update to burden rates as stated in the Company's response to IR DPS-877, are not necessary.

New Hire True-Up

Q. Does the Company agree with the SRRP's proposed downward-only tracker for incremental FTEs (at 47-48)?

A. No. There is no basis for a downward-only true up of labor expense, especially in a one-year case. The new hire true-up was agreed to as part of the comprehensive settlement establishing a multi-year rate plan in the 2016 KEDNY and KEDLI Rate Cases. A similar reconciliation was not included in the 2017 NMPC Rate Case.

H. Productivity

Q. Does the Company agree with Staff's adjustment to productivity?

A. The Company agrees that productivity should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

I. Uncollectible Expense

Q. Does Staff make any adjustments to the Company's forecast of uncollectible expenses?

A. Yes. The SAP recommends (at 6) an adjustment of $0.621 million to reduce Rate Year uncollectible expense. The adjustment is based on the SAP's use of a three-year average uncollectible rate calculated using the period June 2016 to May 2019. The rebuttal testimony of the Company's Shared Services Panel discusses the Company's objection to this adjustment.

Q. Has the Company identified errors in the SAP's calculation of its proposed adjustment?

A. Yes. The Company found two errors in SAP's uncollectible expense adjustment. The first error resulted from the SAP applying its proposed uncollectible rate to the Company's corrections and updates tariff revenues at present rates, which reflected the availability of the NESE project. The second error was the calculation of the proposed uncollectible rate. The SAP confirmed these errors in its response to IR NG-06, which is included in Exhibit___(RRP-5R).

J. SIR Expense

Q. Does Staff recommend an adjustment to the Company's forecast of SIR expense?

A. Yes. The Staff SIR Panel (at 29) recommends a downward adjustment of $15.168 million. The rebuttal testimony of Company Witness Chuck Willard discusses the Company's objection to this adjustment.

Q. Please address PULP's recommendation with respect to SIR costs.

A. PULP claims (at 23-24) that shareholders should bear 100 percent of future SIR costs if the Company earns above its allowed return pursuant to an earnings sharing mechanism established as part of a multi-year rate plan. While PULP makes a passing reference to the section of the Commission's SIR Generic Order that sets forth the reasons utility shareholders may be held responsible for a portion of SIR costs, it cites no evidence or analysis to demonstrate that the Company requires an incentive to carry out SIR activities in a cost effective manner, which is a prerequisite for requiring shareholders to absorb SIR costs. Indeed, KEDNY's cost control efforts are well documented, follow the Commission's best practices inventory set forth in the SIR Generic Order, and have been reviewed by Staff in this and other proceedings and found to be reasonable. PULP conducted no discovery on the Company's cost mitigation strategies and procurement

practices and offered no testimony to suggest the Company's practices were inadequate or imprudent. In fact, PULP's only argument, a blanket statement that shareholders should, in equity, bear a portion of these costs was rejected by the Commission in the SIR Generic Order and, most recently, by the Commission in the 2016 KEDNY and KEDLI rate case when PULP made the same argument.

K. Savings

Q. What level of savings is typically reflected in a rate filing?

A. Rate cases traditionally include a productivity adjustment on the premise that well-run companies should be able to find a modest measure of efficiencies in the rate year. The adjustment is typically calculated as one percent of total labor expense and payroll taxes in recognition of how difficult it is to achieve savings year after year. In this case, the traditional productivity adjustment would result in efficiencies totaling $3.894 million. The Company, however, has proposed to provide customers with more than $36 million in savings in the Rate Year – a level *more than eight times* the traditional productivity adjustment. The SRRP asserts that $9.475 million of additional efficiencies should be imputed above this level. If the SRRP's position were adopted, this would equate to savings of more than 11 times

the traditional productivity adjustment, which is simply unrealistic and not supported.

Q. Will the level of savings reflected by the Company in the rate filing be difficult to achieve?

A. Yes. It is a challenge for any business to achieve a one percent efficiency reduction each year let alone eight times that number. In its filing, the Company committed to reduce its costs through an ambitious effort (the Accelerate Program), despite that many of the initiatives to achieve these reductions are difficult and potentially not sustainable. Indeed, the Company is working tirelessly to reduce its costs to mitigate bill impacts for customers while continuing to invest to assure reliability and advance our systems for the future.

To reduce costs to the magnitude the Company proposes in this filing requires major changes to people, processes, and systems. This requires time and effort. There is a major risk that the savings will not be realized because competing priorities will distract from the Company's ability to deliver the initiatives. For example, new work, changes in law, new regulatory requirements, changes in customer expectations, or major weather events could all impact the Company's ability to progress

initiatives or deliver savings. Staff's filing further exacerbates this risk through their proposals to disallow costs that the Company will need to incur in the Rate Year to ensure the delivery of safe and reliable service.

Q. The SRRP asserts that savings associated with Implementation Level ("IL") 3 Accelerate Program initiatives should be imputed into the revenue requirement, contending that savings from these initiatives "have been identified and quantified," and been defined by the Company as "bankable" (at 56-57). Does the Panel agree?

A. No. While IL3 Accelerate Program initiatives have been assigned an initial estimate of potential savings, the estimate is aspirational as the business has not taken any of the steps that are necessary to implement the initiative. In IL3, the business develops a plan to implement an initiative. Until each step in the implementation plan has been completed, whether the initiative can be delivered and the savings ultimately achieved is unknown. As the Company explained in the response to IR DPS-755, "bankable" means that the Company is willing to invest the time and resources into pursuing the initiative, as the Company has limited resources to dedicate to implementing initiatives. This does not mean that the initiative can actually deliver savings, however. There are risks that this initial estimate, which is really a placeholder to prioritize initiatives, may never materialize or may

change materially. These risks include changes in assumptions as the initiative progresses, delays in implementation, or cancelation of the initiative because, despite the Company's efforts, the implementation plan could not be delivered (*e.g.*, a vendor may not be willing to provide a volume discount or a new contract to reduce costs could not be negotiated). Therefore, contrary to the SRRP's position, IL3 estimates are not quantified let alone known and measurable, which is the standard for inclusion in the revenue requirement. Rather, IL3 estimates are speculative and unidentified efficiency initiatives that are properly subsumed within the traditional productivity adjustment.

In the Panel's direct testimony, we explained the rigorous process undertaken to progress initiatives. Each initiative must pass through implementation levels ranging from IL0 (purely an idea) to IL5 (fully implemented), where they are scrutinized by groups from the Company's Finance, Regulation and Pricing, and Business Units, among others. It is not until IL4 where an initiative undergoes implementation. In IL4 the business has completed the steps in its implementation plan that are a prerequisite to achieving benefits. The SRRP's proposal ignores this process that was implemented to provide transparency to the business and

its regulators of the full amount of savings that were achieved, and the simple fact that initiatives in IL3 are entirely uncertain.

Q. The SRRP further asserts (at 58) that initiatives "move quickly through implementation levels, meaning initiatives currently at Level Three will soon be at Levels Four or Five, and thus, savings will likely accrue during the Rate Year." The SRRP also claims (at 57) that few IL3 initiatives are canceled. What is the Panel's response to these statements?

A. As explained in the response to IR DPS-755, initially, initiatives moved quickly through the various implementation levels because they were already in flight at the beginning of the Accelerate Program. However, that movement occurred during the earlier stages of the program. Now that the program is past the inaugural period, the movement of initiatives has slowed.

In addition, while the Company agrees that certain initiatives in IL3 can move to ILs 4 and 5 quickly, that movement depends on whether the initiative can be easily implemented. With respect to the initiatives currently in IL3 for which the SRRP is proposing to impute the associated savings to the Company, on average, these initiatives have been in IL3 for

more than 150 days – more than five times the 26 day average an initiative that can be easily implemented typically moves from IL3 to IL4. Given the length of time these initiatives have been stalled in IL3, it is highly unlikely these initiatives will progress to implementation and deliver the aspirational savings estimated.

Moreover, the response to IR DPS-758 provides the key milestones necessary to complete the implementation plans for the top ten IL3 initiatives impacting the Company. The response shows that key steps in at least five of the ten initiatives are either late or have not yet been planned. Further, in progressing Initiative No. 14707, it was determined that the scope of the initiative was similar to that of Initiative No. 15464. Therefore, Initiative No. 14707 was canceled. Similarly, the viability of Initiative No. 17509 is being questioned as the solution has not been piloted. These examples, along with the accumulation of aged initiatives currently in IL3, further demonstrate the inherent uncertainty surrounding IL3 savings estimates and the unreasonable of the adjustment.

Q. Are there additional challenges that impact the deliverability of IL3 initiatives in the Rate Year?

A. Yes. The revenue requirement proposed by Staff, which provides material disallowances to costs necessary to run the business, presents significant challenges. For example, Initiative Nos. 953 and 3600, two initiatives in IL3 that impact the Company, are contingent upon IT investments to deliver the planned savings. The SITP's proposal to disallow approximately $114 million of IT costs calls into question the ability of the Company to deliver these initiatives. If the SITP's recommendation is adopted, the Company will need to re-prioritize IT investments that could lead to the cancelation of these initiatives. Similarly, various Staff witnesses propose a litany of new reporting obligations in IT, customer, and gas operations, among other areas. This is incremental work that was not contemplated at the time the IL3 and other Accelerate Program initiatives were planned and will require the Company to re-valuate priorities, further challenging the Company's ability to progress IL3 and other initiatives.

Q. Are certain IL3 initiatives already captured in the revenue requirement?

A. Yes. As explained in the response to IR DPS-762, because the Company separately forecast facility-related projects, the savings from Initiative No.

3705 are captured in the revenue requirement. Additionally, the benefits from Initiative No. 24734 are embedded in the forecast of transportation expense.

Q. Did the Company already account for the possibility that IL3 initiatives may move to IL4 or IL5 for purposes of forecasting the revenue requirement?

A. Yes. The Company recognizes that IL3 initiatives may be delivered in the Rate Year. However, as explained above, the level of savings from these initiatives is uncertain. To account for the uncertainty associated with IL3 initiatives, the Company included a one percent productivity adjustment to capture the possibility that these initiatives may move to IL4 or IL5 in the Rate Year. Therefore, the SRRP's proposed imputation is a double count of the productivity adjustment already reflected by the Company.

Given the level of savings already reflected in the revenue requirement, it would have been reasonable for the Company to have foregone including a productivity adjustment. However, in the interest of mitigating bill impacts and full transparency, the Company believed it was appropriate to include the productivity adjustment to account for the possibility that IL3 initiatives may be delivered in the Rate Year. In that regard, the one percent

productivity adjustment is about half of the aspirational estimates in IL3 currently that impact KEDNY and KEDLI, which demonstrates the reasonableness of the Company's proposal. Additionally, the Company captured the IL3 initiatives a second way. Under its multi-year rate plan proposal, the Company included the full forecast of Rate Year savings and held those amounts constant across each of the Data Years (with inflation).

Q. Why is this significant?

A. It is significant because the Accelerate Program ends in the Rate Year. Therefore, the Company is assuming the risk that it can sustain this level of savings in future years. While the SRRP characterized the Company's proposal as "irrelevant" (at 56) because this effort does not impact the Rate Year, the Company's proposal would result in savings of more than $156 million through the term of the Company's proposed rate plan. Combined with KEDLI, the amount of savings proposed to be reflected for customers is more than $222 million. This is an unprecedented level of savings that is anything but "irrelevant" and fully captures potential IL3 initiatives for customers.

Q. Please summarize the Company's position concerning the SRRP's proposed imputation of the IL3 initiatives.

A. There is no reasonable basis for the Commission to adopt the SRRP's position. The SRRP's position is essentially built around the possibility that IL3 initiatives may move to IL4 and IL5. This is purely speculative, however, and the SRRP has provided no rationale basis for including unknown savings in the revenue requirement. The Company, at all times throughout this filing, has been transparent in the savings reflected. As the Company explained in the response to IR DPS-916, while many initiatives could arguably have been removed as one-time in nature, the Company included all initiatives in IL4 and IL5 to mitigate customer bill impacts. The $32.483 million in Accelerate Program savings plus the $3.894 million in productivity to capture the IL3 initiatives is reasonable and should be adopted. The Company should not be penalized by including preliminary savings estimates from initiatives that have not yet been delivered – and may never be. Rather, the Companies should be encouraged to be innovative and test concepts without the fear that preliminary and aspirational estimates will be held against them. The savings adjustments proposed by the SRRP would have a chilling effect on future savings programs that benefit customers.

Q. The SRRP's recommends (at 52) removing the costs to achieve the Accelerate program savings. Does the Company agree with this recommendation?

A. No. The costs to achieve were incurred to deliver the forecast savings included in the case. It is therefore unreasonable to disallow those costs without also removing the savings. If it is truly the SRRP's position that the $0.211 million in costs to achieve reflected in the Rate Year should be disallowed, then the Accelerate Program savings delivered as a result of those costs should be removed. Indeed, this result would be completely consistent with past positions taken by Staff in previous rate proceedings that the costs of new initiatives should not be reflected in rates if the savings are not included.

Q. The SRRP also recommends (at 50) an adjustment to reflect the latest known savings projections associated with IL4 and IL5 initiatives and reflect the savings associated with two initiatives that were inadvertently not included in the Company's corrections and updates filing. What is the Company's position with respect to these two adjustments?

A. The Company agrees with these two adjustments.

L. Economic Development

Q. Does Staff propose any adjustments to the Company's Economic Development program costs?

A. Yes. The rebuttal testimony of the Company's Future of Heat Panel responds to Staff's proposed adjustment as well as program changes recommended by the Staff Consumer Services Panel ("SCSP").

M. Paving Expense

Q. Does the Company agree with the SRRP's proposed downward adjustment of $1.177 million to paving expense?

A. Yes. The Company agreed to this adjustment in the response to IR DPS-869.

Q. Does the Company agree with the SRRP's proposed downward-only tracker for paving expense (at 63)?

A. No. There is no basis for a downward-only deferral of paving expense. Staff has remarked several times throughout its filing in opposing the few symmetrical true-ups proposed by the Company (*e.g.*, property tax, CSC O&M expense) that deferrals are generally not required in a one-year rate case. As part of a multi-year plan, the Company would be willing to support

a full symmetrical reconciliation of paving expense but is opposed to a downward only reconciliation.

V. Taxes Other Than Income Taxes

A. Property Taxes

Q. Please explain Staff's adjustments to KEDNY's property taxes.

A. The SAP recommends (at 34-35) use of a three-year average growth rate based on calendar year data instead of the two-year growth rate based on fiscal year data recommended by the Company. The rebuttal testimony of the Company's Shared Services Panel responds to this adjustment.

Q. Does Staff propose any additional recommendations relating to property taxes?

A. The SAP recommends (at 38) elimination of the property tax reconciliation mechanism, asserting "there is no need to allow for a property tax reconciliation in a one-year rate case." The Company disagrees with this recommendation. As discussed by the Shared Services Panel, eliminating the property tax reconciliation would place undue risk on customers and the Company even in a one-year case.

B. Payroll Taxes

Q. Does the Company agree with Staff's adjustment to payroll taxes?

A. The Company agrees that payroll taxes should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

C. Other Taxes

Q. Please describe Staff's adjustment to Other Taxes.

A. In the Historic Test Year, the Company established a sales tax reserve of $0.223 million related to KEDNY's current sales/use tax audit that covers the period June 2015 to August 2018. The SAP asserts (at 27) that because a portion of the reserve relates to a time period outside the Historic Test Year, an adjustment of $0.184 million is required.

Q. Does the Company agree with the proposed adjustment?

A. The Company agrees in principle with the adjustment but disagrees with the calculation. The adjustment made by the SAP reflects only eight months of costs in the Historic Test Year (January 2018 through August 2018). The total amount incurred in the Historic Test Year was $0.068 million, as shown in Exhibit ___ (RRP-3R). Therefore, an adjustment to add back

$0.024 million to the SAP's proposed adjustment should be made to reflect a complete year.

VI. Federal Income Taxes

Q. How did the Company propose to reflect the amortization of the annual Excess Deferred Income Taxes ("EDIT") for the unprotected plant and non-plant balances resulting from the Tax Cuts and Jobs Act in the rate filing?

A. The Company proposed to amortize the balances over 44 years in accordance with the manner in which protected EDIT was amortized under the Average Rate Assumption Method ("ARAM") required by the Internal Revenue Service normalization rules.

Q. What is Staff's position on this issue?

A. The SAP (at 46) rejects the use of the ARAM and instead proposes a 10-year amortization period for the unprotected plant and non-plant balances. The proposal is premised upon that use a shorter period will more rapidly reduce the revenue requirement and return the tax benefits to customers quicker rather than any analysis.

Q. Does the Company agree with the SAP's use of a 10-year amortization period?

A. No. The Company believes the amortization period should match the service life of the asset. If the unprotected EDIT is returned to customers over 10-years, as proposed by the SAP, there would be a mismatch for over 30 years in which customers would receive benefits before the Company receives the cash benefits. Moreover, if the SAP's proposal is adopted, future changes to tax rates could result in the Company having to collect money from customers that it previously returned. For these reasons, the Company submits that its proposal to align the amortization life with the reversal of the temporary differences is more equitable and in the best interests of customers.

VII. Regulatory Assets and Liabilities

A. Deferral Balances

Q. What is Staff's position regarding the Company's proposed treatment of legacy deferral balances?

A. The SAP agrees (at 41-42) with the Company's proposal to net together several inactive deferral accounts (identified in Table 7 of the Panel's direct testimony) and create a single account with a credit balance of

approximately $3.5 million, indicating that these accounts have been audited.

Q. Does the Company agree with the SRRP's (at 67) proposal to amortize the regulatory liability balance amounts associated with gas safety negative revenue adjustments, unexpended energy efficiency funds, and unexpended economic development funds?

A. Although in principle the Company is not against using a portion of regulatory liabilities to offset gas safety, energy efficiency, and economic development programs costs, the Company is concerned about how much of the balance should be used. The Company has on its books a significant regulatory asset balance that is not being proposed to be recovered from customers. Therefore, the Company believes a balance must be struck between the appropriate level of regulatory liabilities to use now and future rate mitigation efforts. The rebuttal testimony of the Company's Gas Safety Panel and the Future of Heat Panel provide additional testimony addressing the SRRP's proposal.

Q. Does the Company have anything else to add regarding gas safety negative revenue adjustments?

A. Yes. The Company disagrees with the statement in the testimony of the Staff Pipeline Safety Panel (at 40) that the Company missed the Damage Prevention metric in 2018 resulting in a negative revenue adjustment. The Company's Gas Safety Panel discusses the Company's specific objection to Staff's assertion in its rebuttal testimony. While it does not appear that the SRRP has included the alleged negative revenue adjustment in the balance that it is proposing to amortize, the Company's position is that it did not miss the metric and did not incur a negative revenue adjustment.

B. New and Existing Deferrals

Q. Does Staff recommend any changes to the new deferrals or the modifications to existing deferral mechanisms proposed by the Company?

A. Yes. Various Staff witnesses propose removing or modifying many of the new and existing deferrals. The Company's position is discussed in the rebuttal testimonies of the GIOP, IT, Shared Services, and Future of Heat Panels and Company Witness Christopher Connolly.

Q. Does Staff recommend any new deferral mechanisms?

A. Yes. In addition to the downward-only new hire and paving expense deferral discussed above, various Staff witnesses recommend a number of new deferrals. The rebuttal testimony of the Company's GIOP, IT, Shared Services, and Future of Heat Panels and Company Witness Christopher Connolly respond to Staff's proposals.

C. Earnings Sharing Mechanism

Q. The Staff Policy Panel ("SPP") recommends (at 12-14) that the Commission establish an Earnings Sharing Mechanism ("ESM") for the Companies for each 12-month period following the Rate Year. Does the Panel agree with this recommendation?

A. No, we do not. ESMs are typically a feature of multi-year rate plans that are submitted to the Commission as joint proposals that reflect the broad agreement of most, if not all, parties to Commission rate proceedings. It is our understanding that the Commission only recently imposed an ESM in a litigated one-year rate proceeding. From our perspective, imposing ESMs in litigated cases would be poor regulatory policy in that it would discourage the Companies from finding ways to manage their businesses in a manner that minimizes the need for time consuming and expensive rate proceedings. Moreover, the SPP's ESM recommendation essentially

requests the Commission to impose a mechanism that would confiscate a portion of the Companies' earnings without making a finding as to what a just and reasonable ROE would be in years beyond the Rate Year or conducting the process that is typically followed in establishing utility rates.

Q. Please explain.

A. In this case, the Commission is setting rates that it will determine to be just and reasonable for a Rate Year beginning April 1, 2020 and ending March 31, 2021. Among the decisions being made is the appropriate ROE that should be applied to the Company's rate base during this period. As the Commission is aware, the just and reasonable ROE changes over time. However, if this case is litigated, the Commission will make no finding as to what the appropriate ROE for the Company will be for any period beyond the Rate Year. At the same time, however, under the SPP's ESM mechanism in years beyond the Rate Year, the Company could be required to forfeit a portion of its earnings regardless of whether those earnings would, depending on capital market conditions at the time, be no greater than the amount needed to enable the Company to earn a compensatory ROE. Such a result would be procedurally defective and substantively confiscatory.

The Commission has the ability under the Public Service Law to monitor the Company's earnings and take appropriate action to the extent that it believes that the Company's rates are producing excessive returns. There is no need for the Commission to impose an ESM to ensure that rates remain just and reasonable and it is quite possible that the results of imposing such a mechanism would not be just and reasonable. For these reasons, the SPP's ESM recommendation should be rejected.

VIII. Rate Base

A. Net Plant and Depreciation Expense – Plant in Service Model

Q. How did Staff forecast the Company's net utility plant in service and depreciation expense?

A. Staff used the Company's plant in service model and applied its proposed capital plan adjustments, flow-through adjustments for cost of removal, and depreciation rates to the model.

Q. What is the rate base and depreciation expense impact of Staff's proposed forecast?

A. Staff's proposed adjustments, in total, decrease the Company's Rate Year net utility plant in service by $83.366 million and depreciation expense by $17.931 million.

Q. Does the Company agree with Staff's proposed adjustments to net utility plant in service and depreciation expense?

A. No. The Company's GIOP responds to Staff's proposed adjustments to the Company capital plan, while Company Witness Paul M. Normand addresses Staff's proposed depreciation rates.

Q. Did the Company identify any errors in Staff's net utility plant and depreciation adjustments reflected in Exhibit ___ (SRRP-2)?

A. Yes. In reviewing Staff's adjustments, the Company identified the following five errors:

(i) Staff double-counted the adjustments to exclude the NESE project in Exhibit ___ (SRRP-2).

(ii) Staff did not correctly reflect the capital adjustments described in their testimony in Exhibit ___ (SGIOP-4). In some instances, Staff described an adjustment in testimony, but Exhibit ___ (SGIOP-4) did not reflect the adjustment. In other cases, there were adjustments in the exhibit that were not discussed in testimony.

(iii) Staff did not correctly reflect the capital adjustments described in testimony and in Exhibit ___ (SGIOP-4) in the net utility plan and

depreciation forecast that ultimately was included in Staff's revenue requirement presentation in Exhibit ___ (SRRP-2).

(iv) Staff did not consistently reflect the capital adjustments to the Newtown Creek projects revenue requirement described in the SPP's testimony in Exhibit ___ (SGIOP-4) and Exhibit ___ (SRRP-2).

(v) Staff miscalculated the annual depreciation accrual for KEDNY presented in Exhibit ___ (SRRP-2).

Q. Did Staff agree with these errors and, if so, what corrections are required to Staff's adjustments to Rate Year net utility plant and depreciation expense?

A. Staff agreed with the errors noted above in the responses to IRs NG-10 through NG-14. These corrections change Staff's proposed Rate Year net utility plant and depreciation expense downward adjustments from $83.366 million and $17.931 million to $56.367 million and $14.329 million, respectively.

B. Earnings Base/Capitalization/Working Capital Adjustment

Q. Please describe your understanding of the Earnings Base/Capitalization ("EB/CAP")/Working Capital adjustments recommended by the SRRP.

A. In its filing, KEDNY proposed to make a normalization adjustment to its proposed EB/CAP calculation and an offsetting adjustment to a separate working capital component in the Historic Test Year to isolate and explicitly identify a CSC accounts receivable balance of $58.744 million. The $58.774 million adjustment represents the outstanding balance of capital and operating expenditures that the City of New York ("NYC") is required to reimburse KEDNY for capital expenditures that KEDNY has incurred to enable NYC to execute its municipal work plan. The outstanding balance results from the fact that there is a considerable period of time between when KEDNY incurs reimbursable CSC costs and when those costs are reimbursed by NYC.

In addition to the Historic Test Year CSC adjustment, KEDNY proposed to make a CSC-related working capital adjustment to reflect the projected increase in working capital associated with reimbursable CSC expenditures between the end of the Historic Test Year and the end of the Rate Year. This adjustment increased Rate Year rate base by $28.273 million. This

adjustment reflects the fact that the balance of reimbursable CSC costs is projected to increase as a result of both an increase in CSC work and the continued lag in the time it will take NYC to reimburse KEDNY for its CSC expenditures.

While the SRRP acknowledges that there is no revenue requirement impact associated with Historic Test Year CSS adjustment of $58.744 million, the SRRP nonetheless opposes this adjustment as well as the proposed Rate Year adjustment. The SRRP's recommendation would reduce KEDNY's rate base by $28.273 million.

Q. Do you agree with the SRRP's recommendations concerning KEDNY's proposed CSC-related working capital adjustments?

A. No. The proposed adjustments would unreasonably require KEDNY's shareholders to bear the entire cost of financing $28.273 million of CSC-related expenditures that KEDNY is required to incur to assist NYC. These CSC-related costs are prudently incurred by KEDNY to fulfill its obligations to NYC. There is no sound reason for prohibiting KEDNY from recovering the cost of financing these reasonable expenditures during the period in which they remain unreimbursed.

Q. The SRRP (at 78) asserts that the Commission should reject KEDNY's proposed CSC working capital adjustment because the Commission has a long-standing practice of relying on the Federal Energy Regulatory Commission's ("FERC") formula for calculating the amount of working capital included in rate base. Do you agree with this assertion?

A. No, for two primary reasons. First, the FERC working capital formula establishes a level of working capital associated with a utility's O&M expenses. It provides a level of working capital equal to approximately 45-days of O&M expenses. The reimbursable CSC amounts are not part of KEDNY's O&M expenses and therefore the working capital associated with those amounts is not recovered through the application of the FERC formula. Second, it is our understanding that FERC itself follows a policy of applying the 45-day formula in the absence of hardships that would justify a departure from the established formula. The circumstances surrounding the reimbursable CSC expenditures would create an unreasonable hardship for KEDNY by forcing it to forego recovery of approximately $2.414 million of carrying charges in the Rate Year if its proposal to include the projected amount of reimbursable Rate Year CSC expenditures in rate base is rejected.

Q. Has the Commission previously recognized that there may be situations where the FERC working capital formula does not capture the impact of particular costs or revenues on the need for working capital such that an additional working capital adjustment is necessary to compensate a utility for the costs of financing a lag in the collection of costs or revenues?

A. Yes. In an Order dated June 1, 1992 in Case 90-G-0112, the Commission acknowledged that the recognition of unbilled revenue in the rates charged by the Long Island Lighting Company ("LILCO") created an additional financing requirement for LILCO that required compensation in excess of that provided by the FERC working capital formula. The reimbursable CSC expenditures for which KEDNY seeks a working capital adjustment in rate base are analogous to the unbilled revenues that were not supported by the FERC working capital allowance.

Q. The SRRP claims (at 81) that using the FERC formula and adopting the Company's proposal in this case would result in a double count. Do you agree?

A. No. On the contrary, it would result in permitting KEDNY to recover a proper amount of working capital associated with its O&M expenses and a proper amount of working capital associated with its reimbursable CSC

expenditures. As discussed above, the return on unreimbursed CSC costs is not recovered through the FERC working capital formula.

Q. The SRRP claims (at 82-83) that if KEDNY's proposed adjustment for working capital associated with reimbursable CSC-related expenditures is permitted then all items affecting working capital, such as income taxes, would have to be analyzed from a lead-lag perspective. Do you agree?

A. No. As the SRRP notes, the Commission adopted the FERC working capital formula in the early 1970s. At that time, the Commission was certainly aware that the formula explicitly captured working capital associated with O&M expenses but did not explicitly capture working capital associated with other non-O&M costs that were incurred at the time, such as income taxes. Thus, it is reasonable to conclude that the FERC formula was intended to provide a level of working capital that would compensate utilities for the costs they were incurring at the time the formula was adopted. However, KEDNY did not obtain the ability to seek reimbursement of CSC expenditures until the passage of the New York State Gas Facility Cost Allocation Act in 1988. Moreover, the amount of reimbursable CSC expenditures has grown dramatically in recent years due to an expansion of NYC's municipal construction program. Thus, contrary

to SRRP's claim, it would be completely reasonable and appropriate for the Commission to recognize a working capital adjustment for reimbursable CSC costs without making any other modifications to its policy of using the FERC formula to compensate utilities for the financing of costs that were a part of utility revenue requirements at the time the Commission adopted the FERC working capital formula.

Q. The SRRP further asserts (83-84) that the Commission should reject KEDNY's CSC-related working capital adjustment because it is equivalent to making a Rate Year adjustment to the historic EB/CAP adjustment. Do you agree with this assertion?

A. No. KEDNY is not seeking to change the Commission's method of determining the EB/CAP adjustment. Under KEDNY's proposal, the EB/CAP adjustment will continue to apply only to the Historic Test Year. KEDNY is instead seeking recovery of a single, material financing cost associated with reimbursable CSC expenditures that KEDNY will unavoidably incur during the Rate Year. The Commission's obligation to set just and reasonable rates mandates that it afford KEDNY the opportunity to recover the carrying cost associated with its Rate Year reimbursable CSC balance.

Q. The SRRP contends (at 84-89) that the Commission should reject KEDNY's CSC-related working capital adjustment because KEDNY has been "at least partially, at fault for and contributed to, the long lag time in getting reimbursed by the City for its reimbursable CSC costs." Do you agree?

A. No. The SRRP unreasonably utilizes KEDNY's efforts to improve the process of billing and recovering reimbursable CSC costs from NYC as a basis to deny KEDNY the opportunity to recover a carrying charge on prudently incurred reimbursable CSC costs. The primary cause of the backlog with respect to reimbursable CSC costs is the fact that NYC significantly increased its municipal work plan in 2017. This in turn increased CSC construction costs as well as requested reimbursements. In addition, NYC has also increased the audit scrutiny applied to reimbursable CSC costs, further increasing the payment lag. While KEDNY has been working with NYC representatives to attempt to improve the timing for processing CSC invoices, the simple fact of the matter is that NYC has policies and procedures in place that render it likely that there will be a 21-month lag between the time reimbursable CSC expenditures are booked and the time they are paid. The $28.273 million rate base adjustment proposed in this case for the Rate Year reflects KEDNY's reasonable efforts to speed up collection of reimbursable CSC costs. The fact that KEDNY has

attempted to speed up the recovery process provides no basis to require KEDNY to bear the full costs of financing unrecovered reimbursable CSC costs.

Q. The SRRP further asserts (at 89-91) that KEDNY's proposed working capital adjustment for CSC reimbursable expenditures should be rejected because KEDNY's cost sharing agreement with NYC does not include either a deadline for payment or the ability to assess late payment charges. Do you agree?

A. No. The Gas Facility Cost Allocation Act has no provisions that compels NYC to reimburse the Company for CSC costs within any particular timeframe or pay a late charge for failure to do so. In the absence of legislation to the contrary, KEDNY has no ability to compel NYC to modify the cost sharing agreement to include either a late payment charge or a firm payment deadline. While the Company will continue to try to reach an amended agreement with NYC, it is inconceivable that any such agreement will not provide NYC a significant amount of time to process, audit and pay KEDNY's reimbursable CSC costs. The 21-month period underlying KEDNY's cost recovery proposal in this case is the expected timeframe for payments from NYC for the foreseeable future.

Q. The SRRP also proposes (at 92-95) removing from rate base a $22.316 million regulatory asset for KEDNY associated with the cost sharing account because such costs are already reflected in the EB/CAP adjustment. Do you agree?

A. No. The regulatory asset associated with the cost sharing agreement was included in rate base in determining the Historic Test Year EB/CAP adjustment. It is inconsistent for the SRRP to remove the regulatory asset from the forecast but not from the EB/CAP adjustment. The SRRP acknowledged that this should be the case in its response to IR NG-19, which is included in Exhibit (RRP-5R). Making the appropriate adjustment to the EB/CAP calculation eliminates any revenue requirement impact of Staff's proposed adjustments.

Q. The SRRP asserts (at 96) that KEDNY's accounting practices with respect to reimbursable CSC expenditures could cause (i) plant in service balances to be overstated, and (ii) the unreasonable addition of interest onto the costs of reimbursable CSC capital projects due to the application of an Allowance for Funds Used During Construction ("AFUDC"). Do you have any comments concerning this assertion?

A. Yes. As the Panel previously discussed, there is no merit in the SRRP's speculation that KEDNY's practices with respect to reimbursable CSC

costs have been unreasonable in the past. As noted above, the primary cause of the increase in NYC's accounts receivable balance with respect to reimbursable CSC costs is the fact that NYC significantly increased its municipal work plan in 2017; not due to a delay in billing as the SRRP asserts. The Company reflects the billings to NYC after the work is completed and the project is closed to plant in service. When billing is performed, the Company credits the funding project and the balance is included in non-interest bearing CWIP. As a result, the gross capital investment closed to plant in service and the billing credit in non-interest bearing CWIP are both included in rate base resulting in a net capital investment and no change in earnings base. Additionally, AFUDC ceases to be accrued once the project is in service and closed to plant. The timing of when the Company bills the work and receives the reimbursement from NYC does not impact the earnings base or AFUDC. The billing adjusts plant; however, there is an equal and offsetting EBcap adjustment leaving earnings base unchanged. Therefore, the SRRP's assertion that plant could be overstated is incorrect.

IX. Flow-Through Adjustments

Q. Has the Company reflected any additional flow-through adjustments in its revenue requirement?

A. Yes. Changes to O&M expense have an impact on working capital requirements. Additionally, any change in rate base results in a change to return on rate base. Moreover, there are flow-through adjustments for productivity, payroll taxes, uncollectible expense, income taxes, and deferred taxes. The flow-through adjustments are reflected in Exhibit ___ (RRP-1R).

X. Conclusion

Q. Does this conclude the Panel's rebuttal testimony?

A. Yes.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Second Supplemental Testimony

of

Revenue Requirements Panel

Date: December 13, 2019

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I. Introduction

Q. Please identify the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted testimony on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY" or "Company") in this proceeding?

A. Yes. Previously-defined terms have the same meanings here.

II. Purpose of Testimony

Q. What is the purpose of the Panel's second supplemental testimony?

A. The purpose of the Panel's second supplemental testimony is to update KEDNY's revenue requirement to reflect the impacts of the recent settlement agreement between the Companies and DPS Staff in Case 19-G-0678 concerning the gas supply constraints in downstate New York and related moratorium on new customer connections (the "Settlement"). The revenue requirement also reflects an update to KEDNY's cost of service resulting from recently completed contract negotiations, as supported by the supplemental testimony of the Companies' GIOP.

Q. Does the Panel's second supplemental testimony include any exhibits?

A. Yes. The Panel's second supplemental testimony includes the following exhibits that were prepared by or compiled under our direction and supervision:

Exhibit __ (RRP-1SS)	Summary Revenue Requirement Pages for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021 (Second Supplemental);
Exhibit __ (RRP-2SS)	Net Utility Plant and Depreciation Expense (Second Supplemental); and
Exhibit __ (RRP-3SS)	Revenue Forecast (Second Supplemental).

III. <u>Updates to the Revenue Requirement</u>

Q. Please provide a brief overview of how the downstate supply constraint affected the Company's revenue requirement to this point in the proceeding.

A. KEDNY's direct and corrections and updates testimony and exhibits were prepared under the assumption the NESE project would be in-service by the winter of 2020/2021, thereby allowing the Company to continue connecting new customers. To provide the Commission with a full and complete evidentiary record, KEDNY filed supplemental testimony on June 11, 2019, reflecting a revenue requirement assuming a no-NESE project scenario

where the Company would not be connecting new customers in the Rate Year and Data Years.

Staff, in its direct testimony, took the position that the revenue requirement should be adjusted to assume the unavailability of the NESE project. Accordingly, in rebuttal, the Company adjusted the revenue requirement to assume the NESE project would not be in service within the required timeframe. The adjustment resulted in a Rate Year revenue requirement of $190.491 million, as shown in Exhibit ___ (RRP-1R), Schedule 1.

Q. Please describe the Settlement and how it impacts the revenue requirement.

A. As discussed in the GIOP's supplemental testimony, on November 26, 2019, the Commission approved a settlement agreement between the Companies and DPS Staff in Case 19-G-0678 that established a framework for resolving all aspects of the Companies' moratorium on new gas connections. Under the terms of the Settlement, the Companies agreed to lift the moratorium for the next two winters (through September 1, 2021). To enable customer connections notwithstanding the supply constraints in the downstate service area, the Companies have developed an operational plan consisting of new and unprecedented interim supply solutions,

including the expanded use of portable compressed natural gas injections to maintain system pressure during peak conditions, as well as various demand-side and energy efficiency measures to reduce peak demand. The Settlement also provides a framework for developing longer-term solutions to address supply constraints.

To incorporate these changes, the Company is updating its capital and O&M forecasts, delivery revenues, and cost of gas. These updates are supported by the supplemental testimonies of the GIOP, Elizabeth D. Arangio, and Theodore Poe, Jr., and this Panel utilized information from these witnesses to update the revenue requirement.

Q. Does the revenue requirement reflect additional updates?

A. Yes. As mentioned, the GIOP's supplemental testimony supports an update to the cost of service from recent contract negotiations unrelated to the Settlement. The Panel reflected this update in the revenue requirement.

Q. What is the updated revenue requirement?

A. As shown in Exhibit ___ (RRP-1SS), Page 1, the updated Rate Year revenue requirement is $199.701 million, an increase of $9.210 million from the revenue requirement set forth in the Company's rebuttal filing.

Q. Please summarize the primary drivers for the change to the Rate Year revenue requirement.

A. As shown in Table 1 below, the primary drivers of the change to the revenue requirement are higher capital expenditures (*e.g.*, increases to the return on rate base and depreciation) and an increase to O&M expense. This is offset by increases in forecast delivery revenues and purchased gas costs, which result in a net increase in gross margin of $1.5 million.

Table 1 – Revenue Requirement Update

Drivers:			**($000's)**
Return on Rate Base (Net Utility Plant and flow through ADIT)			$ 2,934
O&M			7,198
Increase Revenue forecast	(31,403)		
Increase in Purchased Gas Costs	29,883		
Net Increase in Gross Margin	(1,520)		(1,520)
Depreciation Expense			383
Tax Surcredit, GRT and ETIP			(184)
Impact on GRT & Uncollectible			399
Revenue Requirement			$ 9,210

Q. Please describe Exhibit ___ (RRP-1SS).

A. Exhibit ___ (RRP-1SS), Page 1, presents the calculation of KEDNY's operating income for the Historic Test Year and Rate Year reflecting the impacts of the Settlement and the updated contractor costs.

Q. Please explain the changes to the revenue forecast.

A. The Company's rebuttal filing reflected a Rate Year revenue forecast at present rates of $1,772,928,621. To adjust for the impacts of the Settlement, the Company computed base delivery revenue, billing service fees, late payment charges, merchant function charge revenue, commodity revenue, and gross revenue taxes after accounting for the changes to the sales forecast, as supported by Company Witness Poe. The Company also computed the commodity cost forecast to reflect the changes discussed by Company Witness Arangio. In addition, the Company made corrections to its ETIP revenues to equal the estimated fiscal year ETIP budget, included merchant function charge revenue for transportation service classes previously omitted in the Company's rebuttal filing, and corrected a formula error that affected the ogive results. As shown in Exhibit ___ (RRP-3SS), Page 1, the updated revenue forecast at present rates is $1,804,200,289, an increase of $31,271,668 from the rebuttal filing, which,

after adjustment for associated incremental gas costs, results in an increase in gross margins of $1.520 million.

Please note that Exhibit ___ (RRP-3SS) includes a new line item labeled "SI Fill Station." The amount shown on this line represents rental income that will be received from KEDLI for the Staten Island CNG filling station, which is recorded as a capital investment on KEDNY's books, but will benefit both KEDNY and KEDLI. The rental income reflects 50 percent of the annual revenue requirement associated with the project in the Data Years (the calculation of which is shown in Exhibit ___ (RRP-2SS)).

Q. Please explain the updates to KEDNY's O&M expense forecast.

A. Exhibit ___ (RRP-1SS), Page 2, presents a summary of KEDNY's updated forecast of O&M expenses for the Rate Year. The net change to O&M expense is an increase of $7.198 million from the rebuttal filing, consisting of the following:

- Energy Efficiency (ETIP) – flow through adjustment of changes to the revenue forecast (as discussed above).
- Other Initiatives – With respect to the Settlement, the following three adjustments were made: (i) add back contractor inspectors for the Enhanced Contractor Inspection Program to the same levels that were submitted in the corrections and updates filing; (ii) include operating

expenses associated with the new portable LNG facility at Greenpoint; and (iii) include KEDNY's allocated portion of the O&M costs associated with the new CNG filling station to be located on Staten Island. In addition, the Company made an adjustment to update the O&M costs associated with the recently completed contract negotiations for damage prevention work, which is unrelated to the Settlement. These adjustments are discussed in the GIOP's supplemental testimony and presented in Exhibit ___ (GIOP-6SS).

- Uncollectible Accounts – flow-through adjustment of the changes to uncollectibles associated with the changes to revenue.

Q. Please explain the updates to depreciation expense.

A. A forecast of depreciation expense resulting from the changes to the capital work plan is presented in Exhibit ___ (RRP-1SS), Page 12. The revenue requirement reflects a slight increase in Rate Year depreciation expense from $159.225 million in the rebuttal filing to $159.608 million in this filing.

Q. Please explain the updates to KEDNY's forecast of taxes other than income taxes.

A. Exhibit ___ (RRP-1SS), Page 11, includes the summary of changes to taxes other than income taxes. In the Rate Year, there is no change in real estate taxes from the rebuttal filing because of the lag between the time when plant is placed in service and taxes are assessed. The changes occur in the Data Years.

Q. Please discuss the update to federal and state income taxes.

A. A forecast of federal and state income tax forecasts reflecting flow-through adjustments associated with the discrete adjustments described by this Panel is presented in Exhibit ___ (RRP-1SS), Page 3.

Q. Please explain the changes to rate base.

A. Exhibit ___ (RRP-1SS), Page 5, includes the rate base summary reflecting the changes referenced above, which are discussed in more detail in the GIOP's supplemental testimony. Exhibit ___ (RRP-2SS) is the forecast of KEDNY's net utility plant. The exhibit includes a summary of the impact on net utility plant and depreciation expense from the changes to the capital work plan supported by the GIOP. Additionally, Exhibit ___ (RRP-1SS), Page 5, sets forth the federal and state accumulated deferred income taxes

reflecting the impact from the net utility plant adjustments and the working capital O&M cash allowance reflecting the impacts of the O&M expense changes.

IV. Conclusion

Q. Does that conclude the Panel's second supplemental testimony?

A. Yes.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Third Supplemental Testimony

of

Revenue Requirements Panel

Date: January 29, 2020

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I. Introduction

Q. Please identify the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted testimony on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY" or "Company") in this proceeding?

A. Yes. Previously defined terms have the same meanings here.

II. Purpose of Testimony

Q. What is the purpose of the Panel's third supplemental testimony?

A. On January 21, 2020, the Administrative Law Judges in this proceeding issued the "Ruling Requiring Additional Testimony Related to Energy Efficiency Initiative Order," requiring the Company to file testimony addressing the impact of the Commission's recent "Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025," issued January 16, 2020 in Case 18-M-0084 ("NE:NY Order"), on the Company's rate filing. Accordingly, the Panel's third supplemental testimony updates KEDNY's revenue requirement to reflect the impacts of the NE:NY Order.

Q. Does the Panel's third supplemental testimony include any exhibits?

A. Yes. The Panel's third supplemental testimony includes the following exhibits that were prepared by or compiled under our direction and supervision:

Exhibit __ (RRP-1TS)	Summary Revenue Requirement Pages for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021 (Third Supplemental);
Exhibit __ (RRP-2TS)	FTE Schedule
Exhibit __ (RRP-3TS)	Revenue Forecast (Third Supplemental)
Exhibit __ (RRP-4TS)	Response to Information Requests

III. <u>Updates to the Revenue Requirement</u>

Q. Please explain the impact of the NE:NY Order on the Company's revenue requirement.

A. As supported by the Future of Heat Panel, the Company used the energy efficiency targets and budgets set forth in the Commission's December 13, 2018 "Order Adopting Accelerated Energy Efficiency Targets" in Case 18-M-0084 ("Accelerated Efficiency Order") to set the proposed Rate Year energy efficiency rate allowance of $18.487 million. This amount was exclusive of $0.255 million of pass through Clean Energy Fund expenses and $0.924 million of evaluation, measurement, and verification

("EM&V") costs that the Company originally proposed to move to base rates and track outside of the energy efficiency portfolio.

The NE:NY Order increased KEDNY's energy efficiency budget by an incremental $0.070 million in the Rate Year, as compared to the budget established in the Accelerated Efficiency Order. In addition, the NE:NY Order provided that EM&V costs are included in the authorized energy efficiency budgets established by the Commission. Based on the foregoing, KEDNY is adjusting its revenue requirement to incorporate the incremental energy efficiency budget increase and remove EM&V costs from base rates. Table 1 on page 5 summarizes the changes to the revenue requirement.

Q. Is the Company proposing any additional updates to the revenue requirement to address the impacts of the NE:NY Order?

A. Yes. As explained by the Future of Heat Panel, to meet the new targets set forth in the NE:NY Order, address the compliance and reporting requirements, and to help optimize the energy efficiency portfolio to achieve maximum customer benefits, the Company updated the revenue requirement to reflect KEDNY's allocable share of eight incremental FTEs. KEDNY proposes to phase in the FTEs throughout the Rate Year and Data

Year 1 as it implements the provisions of the EE Order. The request increases the revenue requirement by $0.203 million in the Rate Year.

Q. Does the Panel have any additional comments about the NE:NY Order?

A. Yes. The Company recognizes the Commission's expectation in the NE:NY Order that any uncommitted and unspent energy efficiency funds be applied to mitigate the cost of expanded energy efficiency programs. While KEDNY generally supports the use of regulatory liabilities to mitigate customer bills, the Company has concern for using significant regulatory liabilities to offset the revenue requirement in this case without considering the cash flow implications, the Company's regulatory asset position, and the long-term ratemaking implication. Indeed, KEDNY has a significant regulatory asset balance on its books that the Company is not proposing to recover from customers in this rate filing - but must be addressed eventually. Therefore, the Company believes there must be a balance between the appropriate level of regulatory liabilities used now and those reserved for future rate mitigation.

Q. What is the updated revenue requirement?

A. As shown in Exhibit ___ (RRP-1TS), Page 1, the updated Rate Year revenue requirement is $199.594 million, a decrease of $0.107 million from

the revenue requirement set forth in the Company's second supplemental filing. Table 1 summarizes the updates to the revenue requirement.

Table 1 – Revenue Requirement Update

			($000's)
Revenue Requirement Second Supplemental			$ 199,701
EE O&M:			
NENY Order	70		
EM&V	(924)		
Net EE O&M Change			(854)
EE Incremental FTE - O&M			203
Decrease Revenue forecast	1,304		
Decrease in Purchased Gas Costs & GRT	(563)		
Net Decrease in Gross Margin for EE Order			741
Correction (O&M, Gross Margin)			(50)
Return on Rate Base (Working Capital flow through)			(96)
Impact on GRT & Uncollectible			(51)
Change in Revenue Requirement			(107)
Revenue Requirement Third Supplemental			$ 199,594

Q. Please describe Exhibit ___ (RRP-1TS).

A. Exhibit ___ (RRP-1TS), Page 1, presents the calculation of KEDNY's operating income for the Historic Test Year and Rate Year reflecting the impacts of the NE:NY Order and the corrections to revenues described below.

Q. Please explain the changes to the revenue forecast.

A. The Company's second supplemental filing reflected a Rate Year revenue forecast at present rates of $1,804.200 million. Subsequently, the Company's response to IR DPS-1061 (*see* Exhibit ___ (RRP-4TS)) corrected Rate Year commodity revenues for a total revenue forecast at present rates of $1,782.088 million. The Company's third supplemental filing includes the correction of revenues as discussed in the Company's response to IR DPS-1061, in addition to the changes to the sales forecast, as supported by Company Witness Poe, as a result of the NE:NY Order. The Company's Rate Year revenue forecast at present rates includes updates to base delivery revenue, merchant function charge revenue, commodity revenues, gross receipts tax revenues, and late payment charges. In addition, the Company made an update to its ETIP revenues to equal the estimated fiscal year ETIP budget, as prescribed in the NE:NY Order. As shown in Exhibit ___ (RRP-3TS), Page 1, the updated revenue forecast at

present rates is $1,780.894 million, a decrease of $1.194 million from the Company's response to IR DPS-1061.

Q. Please discuss the update to federal and state income taxes.

A. A forecast of federal and state income tax forecasts reflecting flow-through adjustments associated with the discrete adjustments described by this Panel is presented in Exhibit ___ (RRP-1TS), Page 3.

Q. Please explain the changes to rate base.

A. Exhibit ___ (RRP-1TS), Page 5, includes the rate base summary reflecting the working capital O&M cash allowance impacts of the O&M expense changes.

IV. Conclusion

Q. Does that conclude the Panel's third supplemental testimony?

A. Yes.

MR. O'BRIEN: May I proceed?

A.L.J. COSTELLO: Mr. O'Brien, sure.

BY MR. O'BRIEN: (Cont'g.)

Q. Okay. With respect to the exhibits, for your direct testimony, did you sponsor 11 exhibits along with 2 appendices that were identified as R.R.P. 1 through R.R.P. 11 and appendices A and B all of which were pre-marked as Exhibits 1 to 13 in this proceeding?

A. (Panel) Yes.

Q. And for your corrections and updates testimony, did you sponsor 9 exhibits and 1 appendix that were identified as R.R.P. 1-C.U., R.R.P. 3-C.U. through R.R.P. 9-C.U., R.R.P. 11-C.U. and Appendix B.C.U., all of which were pre-marked as Exhibits 303 to 312 in this proceeding?

A. Yes.

Q. And for your rebuttal testimony, did you sponsor 5 exhibits that were identified as R.R.P. 1-R through R.R.P. 5-R and pre-marked as Exhibits 347 to 351?

A. Yes.

Q. For your supplemental testimony, did you sponsor 6 exhibits that were identified as

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R.R.P. 1-S and R.R.P. 3-S through R.R.P. 7-S and pre-marked as Exhibits 217 to 222?

A. Yes.

Q. For your second supplemental testimony did you sponsor 3 exhibits that were identified as R.R.P. 1-S.S. through R.R.P. 3-S.S. and pre-marked as Exhibits 383 to 385?

A. Yes.

Q. And finally for your third supplemental testimony, did you sponsor 4 exhibits that were identified as R.R.P. 1-T.S. through R.R.P. 4-T.S. and pre-marked as Exhibits 403 to 406?

A. Yes.

Q. And were all of these exhibits prepared by you or under your supervision and direction?

A. Yes.

Q. Thank you, panel. So now turning to the KEDLI docket case 19-G-0310. Do you have before you a document entitled the direct testimony of the revenue requirements panel dated April 30th, 2019 consisting of a cover sheet, table of contents and 119 pages of testimony?

A. Yes.

Q. And do you also have before you a document entitled supplemental testimony of the revenue requirements panel dated June 11th, 2019 consisting of a cover sheet, table of contents and 9 pages of testimony?

A. Yes.

Q. And do you also have before you a document entitled corrections updates testimony of the revenue requirements panel dated July 3rd, 2019 consisting of a cover sheet, table of contents and 24 pages of testimony?

A. Yes.

Q. And do you also have before you a document entitled rebuttal testimony of the revenue requirements panel, dated September 18th, 2019 consisting of a cover sheet, table of contents and 51 pages of testimony?

A. Yes.

Q. And do you also have before you a document entitled second supplemental testimony of the revenue requirements panel dated December 13th, 2019 consisting of a cover sheet, table of contents and 9 pages of testimony?

A. Yes.

A.L.J. COSTELLO: Mr. O'BRIEN, let me just ask a clarifying question. With respect to the rebuttal testimony, that was corrected testimony that was filed?

MR. O'BRIEN: Correct, Yes.

A.L.J. COSTELLO: Okay.

BY MR. O'BRIEN: (Cont'g.)

Q. Do you also have before you a document entitled third supplemental testimony of the revenue requirements panel dated January 29th, 2020 consisting of a cover sheet, table of contents and 7 pages of testimony?

A. Yes.

Q. And were all these documents prepared by you or under your direction and supervision?

A. Yes.

Q. And if I ask you the questions contained in those documents today would your answers be the same?

A. Yes.

Q. And do you adopt those documents as your sworn testimony in these proceedings?

A. Yes.

MR. O'BRIEN: Your Honor, I ask that the direct supplemental corrections and updates, rebuttal second supplemental and third supplemental testimony of the revenue requirements panel be transcribed into the record as if orally given.

A.L.J. COSTELLO: That request is granted and at this point the court reporter shall insert the following files. It's the KEDLI revenue requirements panel direct testimony, KEDLI revenue requirements panel supplemental direct testimony, KEDLI revenue requirements panel corrections and updates testimony, KEDLI revenue requirements panel corrected rebuttal testimony, KEDLI revenue requirements panel second supplemental testimony and KEDLI revenue requirements panel third supplemental testimony. #orally

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Direct Testimony

of

The Revenue Requirements Panel

Dated: April 2019

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I. Introduction and Qualifications

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Mr. Molloy, please state your name and business address.

A. My name is James M. Molloy. My business address is 40 Sylvan Road, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid USA Service Company, Inc. ("National Grid Service Company"), a subsidiary of National Grid USA ("National Grid"), as the Director of Revenue Requirements.

Q. Please describe your educational background.

A. In 1992, I graduated from Catholic University with a Bachelor of Arts in Accounting. In 1994, I received a Master's in Business Administration with a concentration in Finance from the William E. Simon Graduate School of Business Administration at the University of Rochester.

Q. What is your professional background?

A. In 1995, I was hired by the New England Power Service Company as an Assistant Rate Analyst. In 1996, I was promoted to the position of Rate Analyst. In 1998, I was promoted to the position of Senior Rate Analyst. In those positions, I was responsible for rate design analysis for various New England Electric System ("NEES") companies. Specifically, I conducted allocated distribution cost of service studies and supported others in the development of cost allocation and rate design studies. In addition, I performed rate and cost allocation analytical work in the unbundling of rates for the NEES retail companies in preparation for industry restructuring. Further, I developed and implemented the rate plan for the merger of Narragansett Electric, Blackstone Electric, and Newport Electric. In 2001, I was promoted to the position of Principal Regulatory Analyst. In this position, I was responsible for the development and implementation of the Niagara Mohawk Power Corporation d/b/a National Grid ("Niagara Mohawk") and National Grid plc merger rate plan. In 2004, I was promoted to Manager of New York accounting. In this position, I was responsible for the books and records of Niagara Mohawk as well as the regulatory filings associated with the acquisition of KeySpan Corporation. In 2008, I was promoted to the position of Director of Regulatory Compliance. In 2009, I

became the Director of Regulatory Accounting. In 2011, I became the Director of Revenue Requirements, which is my current position.

Q. Have you previously testified before a regulatory commission?

A. Yes. I have testified numerous times before the New York State Public Service Commission ("Commission"), the Massachusetts Department of Public Utilities, and the Rhode Island Public Utilities Commission. Most recently, I testified on behalf of Niagara Mohawk in Cases 17-E-0238 and 17-G-0239 ("2017 NMPC Rate Case"). I also testified on behalf of KeySpan Gas East Corporation d/b/a National Grid ("KEDLI" or the "Company") and The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") in Cases 16-G-0058 and 16-G-0059 (collectively, the "2016 KEDNY and KEDLI Rate Cases").

Q. Mr. Doxsee, please state your name and business address.

A. My name is David B. Doxsee. My business address is One MetroTech Center, Brooklyn, New York 11201.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid Service Company as Vice President of Finance for the New York jurisdiction, with responsibilities for National Grid's New York utility operations, which include KEDNY and KEDLI.

Q. Please describe your educational background.

A. I received a Bachelor of Science in Business Administration from Long Island University in 1981. I received a Master's in Business Administration with a concentration in Finance from Long Island University in 1984.

Q. What is your professional background?

A. In 1980, I was hired by the Long Island Lighting Company as a Cost Analyst. Thereafter, I held various supervisory positions in Economic Research, Rates and Costing, and Financial Planning. In 1992, I was promoted to Manager of Financial Planning and was involved in conducting the analyses needed to determine the financial and ratemaking impacts of the Shoreham Settlement Agreement with New York State. In 1994, I was promoted to Assistant Treasurer. In this position, I was responsible for Treasury Operations, Capital Markets, Risk Management, Insurance, and Pension Administration. In 1999, I became Director of Finance for the Electric Business Unit, and in 2001 became Director of Finance for Corporate Services. In 2008, I was promoted

to Vice President of Finance for U.S. Gas Operations. In 2011, I was appointed Vice President of Finance for the New York jurisdiction, which is my current position.

Q. Have you previously testified before a regulatory commission?

A. Yes. I testified on behalf of the Long Island Lighting Company before the Commission on the financial panel in Case 96-E-0132 and on cost of capital and financial integrity in Case 93-E-1123. I also testified on behalf of KEDNY and KEDLI in the 2016 KEDNY and KEDLI Rate Cases. Most recently, I testified on behalf of Niagara Mohawk in the 2017 NMPC Rate Case.

Q. Ms. Briggs, please state your name and business address.

A. My name is Stephanie A. Briggs. My business address is 40 Sylvan Road, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid Service Company as Director of Revenue Requirements for New York.

Q. Please describe your educational background.

A. I received a Bachelor of Arts in Accounting from Bryant College in 2000.

Q. What is your professional background?

A. In 2004, I was hired by National Grid Service Company as a Senior Analyst in the Accounting Department. In this position, I was responsible for supporting the books and records of Niagara Mohawk. In 2009, I was promoted to Senior Analyst in the Regulatory Accounting Group. In this capacity, I supported the accounting of regulatory assets and deferrals in accordance with National Grid's rate plans and agreements. In 2011, I was promoted to Lead Specialist for Revenue Requirements responsible for supporting New York revenue requirements. In 2017, I was promoted to Director of Revenue Requirements for New York, which is my current position.

Q. Have you previously testified before a regulatory commission?

A. Yes. I testified on behalf of KEDNY and KEDLI in the 2016 KEDNY and KEDLI Rate Cases and Niagara Mohawk in the 2017 NMPC Rate Case.

II. Purpose of Testimony and Overview of Filing

Q. What is the purpose of the Panel's testimony?

A. The purpose of the Panel's testimony is to support KEDLI's request to increase its gas delivery rates. In support of this request, the Panel will:

(i) present KEDLI's historic and forecast financial data for various periods in a manner consistent with the Commission's regulations and policies;

(ii) describe KEDLI's forecast of operation and maintenance ("O&M") expenses, as well as adjustments to those expenses that were made to normalize the historic test year amounts;

(iii) describe KEDLI's efforts to reduce its cost of service and detail how savings related to specific Company productivity initiatives were reflected in the filing;

(iv) discuss the development of KEDLI's gas rate base;

(v) support KEDLI's forecast of regulatory deferral balances, including the proposal to consolidate inactive accounts; and

(vi) describe proposed treatment for deferrals that the Commission has previously adopted, as well as proposed new deferral mechanisms.

The Panel will also describe the Company's efforts in connection with the preparation of this rate filing to review the accuracy of costs in the historic test

year and to appropriately normalize these results for known and measurable changes that have occurred or will occur between the end of the historic test year and the rate year.

Q. Is the Panel sponsoring any exhibits as part of its testimony?

A. Yes. The Panel sponsors the following exhibits and appendices that were prepared by or under the supervision and direction of the Panel:

Exhibit __ (RRP-1)	Statement of Gas Operating Incomes, by Component, for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021;
Exhibit __ (RRP-2)	Summary of Normalizing Analysis and Adjustments;
Exhibit __ (RRP-3)	Gas O&M Expenses by Expense Type for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-4)	Gas Depreciation Expenses for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-5)	Gas Taxes Other than Income Taxes for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
Exhibit __ (RRP-6)	Gas Federal and State Income Taxes for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending

		March 31, 2022, March 31, 2023, and March 31, 2024;
	Exhibit __ (RRP-7)	Gas Rate Bases for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024;
	Exhibit __ (RRP-8)	Table of Inflation Factors;
	Exhibit __ (RRP-9)	Deferral Exhibits;
	Exhibit __ (RRP-10)	Various Historic Financial Exhibits for Calendar Years 2013 through 2017; and
	Exhibit __ (RRP-11)	Workpaper Data Supporting Certain Exhibits
	Appendix A	Description of Regulatory Assets and Liabilities
	Appendix B	Current and Proposed Revenue Adjustments and Incentives

Q. What is the historic test year in these proceedings?

A. The historic test year in these proceedings is the twelve months ended December 31, 2018 ("Historic Test Year"). The Historic Test Year data consists of the costs recorded on the books of KEDLI, including: (i) costs incurred directly by the Company; (ii) costs charged to KEDLI from National Grid Service Company and National Grid Engineering & Survey, Inc. (collectively, the "Service Company"); and (iii) costs charged to KEDLI from other affiliated companies.

Q. What Historic Test Year and Rate Year information is the Company presenting?

A. The Company is presenting operating results for the Historic Test Year and forecast data for the rate year, which is the twelve months ending March 31, 2021 ("Rate Year"). In addition, the Company is including forecast data for the twelve months ending March 31, 2022 ("Data Year 1"), March 31, 2023 ("Data Year 2"), and March 31, 2024 ("Data Year 3") (collectively, the "Data Years") for informational purposes and to facilitate the possibility of a multi-year rate settlement in these proceedings. The forecast data provides the basis for computing the revenue requirement for the Rate Year and Data Years in these proceedings. The information presented in these filings is consistent with that required under the Commission's "Statement of Policy on Test Periods in Major Rate Proceedings."

Q. What are KEDLI's revenue requirements and associated revenue deficiencies based on current rates?

A. Based on the cost of service set forth in the Company's filing, for the Rate Year, KEDLI's revenue deficiency is $49.4 million, based on a 9.65 percent return on equity and a 48 percent common equity ratio, as supported by Company Witnesses Ann E. Bulkley and Jonathan Cohen. If a four-year settlement is reached, the Company proposes that a return on equity of 10.15

percent be used to calculate the revenue requirement, as supported by Ms. Bulkley, and that the equity component of the capital structure be increased to 49 percent in Data Year 1 and 50 percent in Data Years 2 and 3, as supported by Mr. Cohen.

Q. How does KEDLI propose to address the current revenue deficiencies?

A. The Company is proposing to reset base delivery rates, which were last set in the 2016 KEDNY and KEDLI Rate Cases, to permit the Company to recover its costs of providing service and allow the Company an opportunity to earn a fair return. As part of a multi-year settlement, the Company would consider levelizing the proposed rate increase to ease the effect on customers.

Q. Does the Company's proposed revenue increase reflect the impact of levelization in the current rate plan?

A. Yes. The Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases was the result of a concerted effort by Staff, the Companies, and other parties to carefully craft a rate plan that levelized the rate increase on an equal percentage basis over the three years of the plan. This approach balanced the interest of customers with the need to maintain safe and reliable service. Levelization was accomplished by under-recovering revenue requirements in the initial year of the rate plan, and over-recovering in the last year. As a

result, KEDLI's current rates for calendar year 2019 generate levelized revenues of approximately $29 million. Starting January 1, 2020, the end of the current rate plan, these levelized revenues will be deferred for future disposition until the earlier of June 30, 2020 or the date that new rates become effective.

The proposed revenue increases in these rate filings build off KEDLI's calendar year 2019 revenues, including the revenues associated with levelization. The Company believes this approach appropriately presents the proposed revenue increases in comparison to the rates that customers are currently paying and the revenues that those rates are currently providing. The Company believes that this approach minimizes customer confusion without adversely affecting the ability of the Commission, Staff, or any other party to review the Company's rate increase proposals.

Q. Please describe Exhibit __ (RRP-1).

A. Exhibit __ (RRP-1) consists of a summary page showing the calculation of KEDLI's operating incomes for the Historic Test Year and Rate Year. The exhibit presents the computation of the base gas revenues in these proceedings, comprising:

- Operating Revenues, Commodity Revenue, Gross Revenue Taxes, and Total Delivery Revenue for the Rate Year and Data Years at present rates supported by Exhibit __ (RDP-2);
- O&M Expenses supported by Exhibit __ (RRP-3);
- Depreciation, Amortization, and Loss on Disposition supported by Exhibit __ (RRP-4);
- Taxes Other Than Income Taxes supported by Exhibit __ (RRP-5);
- Total Income Taxes supported by Exhibit __ (RRP-6); and
- Rate Base and amortization of the Site Investigation and Remediation ("SIR") Regulatory Deferral supported by Exhibit __ (RRP-7).

The summary page contains six columns that show by component: (i) the Historic Test Year actual operating income at present rates; (ii) adjustments to normalize the Historic Test Year; (iii) adjustments to reflect conditions in the Rate Year; (iv) the Rate Year operating income at present rates; (v) the base rate revenue increase required by the Company; and (vi) the Rate Year operating income with the base rate revenue increase.

III. Historic Test Year Cost Review and Trend Analysis

Q. What efforts did the Company undertake to ensure the accuracy of its Historic Test Year costs?

A. The Company recognizes the importance of demonstrating the accuracy of its Historic Test Year costs. Accordingly, to validate the accuracy and integrity of Historic Test Year costs, and to facilitate Staff's review of these costs, the Company undertook extensive efforts to ensure that costs incurred in the Historic Test Year were thoroughly reviewed and appropriately normalized.

Q. Did the Company's review of Historic Test Year transactions follow the same general process as the reviews conducted in prior National Grid rate cases?

A. Yes. The Company followed the same general process undertaken in the 2016 KEDNY and KEDLI Rate Cases and the 2017 NMPC Rate Case. For vendor costs, the Company enhanced the testing process for the last two quarters of the Historic Test Year, as explained below.

Q. Please describe the Company's review of Historic Test Year costs.

A. The Historic Test Year includes (i) costs charged to the Company (direct or allocated) from the Service Company and (ii) costs either originating in the Company or charged to it by its affiliates. The Company reviewed costs in

both categories to confirm that the Historic Test Year contains costs appropriately charged to KEDLI and to provide the Company with additional assurance that Historic Test Year costs are correctly stated (the "Historic Test Year Review").

Table 1 reflects the total Service Company and operating company costs by cost area and the total amounts the Company examined, including a percentage breakdown.

Table 1: Examination Summary

KEDLI Cost Area	Total Costs considered for examination	Total Examined	Percentage Examined
Vendor Cost	284,519,635	206,519,070	73%
Labor Cost	114,646,056	114,646,056	100%
Employee Expenses	1,177,100	354,852	30%
Manual Journal Entries	154,554,769	53,353,428	35%
TOTAL	**554,897,560**	**374,873,406**	**58%**

Service Company Cost Area	Total Costs considered for examination	Total Examined	Percentage Examined
Vendor Cost	1,858,360,590	1,190,121,225	64%
Labor Cost	590,249,090	431,861,146	73%
Employee Expenses	31,665,453	2,962,454	9%
Manual Journal Entries	389,076,452	38,073,879	10%
TOTAL	**2,868,351,585**	**1,663,018,704**	**58%**

Q. Please describe the approach taken by the Company to conduct the Historic Test Year Review.

A. The review was focused on testing that costs were appropriately charged to the Company, including those allocated from the Service Company, and reflected the actual costs incurred to deliver service during the Historic Test Year. The review was designed to identify errors, positive or negative, that may have occurred.

The Company reviewed four types of charges: (i) vendor costs; (ii) labor costs; (iii) employee expense costs; and (iv) manual general ledger journal entries. For those charges reviewed, the Company reviewed supporting documentation (*e.g.* invoices, expense reports, time entry data, receipts, journal entry support) and tested that: (i) the charge was recorded to or allocated to the appropriate company(ies); (ii) if allocated, an appropriate allocation code was used; and (iii) the work for which the charge was incurred took place (collectively, the "Examination Process").

If, after the Examination Process, the Company believed the charge was recorded inconsistently with the examination criteria outlined in the Report (discussed below), the Company identified the amount as an exception.

Q. Did the Company document its review and findings?

A. Yes. The Company prepared a report entitled "Historic Test Year Financial Review Results" that is included in Exhibit __ (RRP-2), Schedule 2 (the "Report"). The Report is divided into four main sections:

- *Risks and Approach* - describes the cost areas the Company reviewed (vendor costs, labor costs, employee expenses, and general ledger journal entries) and the manner in which the Company identified and tested those costs.
- *Results and Findings – Summary Impact on KEDNY and KEDLI* – summarizes the impact of the testing on KEDNY and KEDLI and includes the total dollar amounts reviewed in each cost area, the number of exceptions identified, and the net effect of the exceptions.
- *Results and Findings* – presents the detailed findings for each of KEDLI, KEDNY, and the Service Company. These sections contain specific information for each of the four cost areas reviewed, identifying, for example, each vendor, the number of items reviewed for that vendor, and the amount of the exceptions.
- *Summary of Costs* – contains a detailed summary of the costs reviewed in each quarter of the Historic Test Year and further information describing the manner in which the Company tested those costs.

Q. Please summarize the Company's findings.

A. The review demonstrated that the Historic Test Year costs included in the scope, including those charged from the Service Company, as adjusted, are, in all material respects, accurate and properly recorded. As shown in the *Results and Findings – Summary Impact on KEDNY and KEDLI* section of the Report, the review noted exceptions of $0.542 million for KEDLI and $0.805 million in Service Company charges impacting KEDLI. The total findings for KEDLI are less than one percent of its O&M costs, supporting the determination that the cost data in the Historic Test Year is accurate and a reasonable basis for establishing rates.

Q. Did the Company make an adjustment to reflect the exceptions?

A. KEDLI made adjustments to reduce Historic Test Year contractor expense by $0.098 million, as shown in Exhibit ___ (RRP-3), Schedule 2 and employee expense by $0.010 million, as shown in Exhibit ___ (RRP-3), Schedule 4. Exhibit ___ (RRP-2), Schedule 3 provides details of the adjustments. The Company did not make an adjustment for the remaining exceptions because those costs were either already corrected by the Company, not included in Historic Test Year O&M amounts (*e.g.,* were already included below the line in the cost of service), or it was not possible to determine if adjustments were

warranted without the benefit of post-Historic Test Year data (specifically, as related to the accruals findings).

Vendor Costs

Q. Please describe the Company's review of vendor costs.

A. For each of the first two quarters of the Historic Test Year, the Company selected and tested charges for:

- the top 25 vendors based on dollars approved for payment;
- 15 sampled vendors selected without bias ranked between 26 and 100 based on dollars approved for payment; and
- 10 sampled vendors selected without bias ranked greater than 100 based on dollars approved for payment.

For the third and fourth quarters of the Historic Test Year, the Company enhanced the process. Instead of sampling vendors based solely on dollar amounts (and then testing a high percentage of their invoices, no matter how small), the Company moved to a risk-based approach that enabled testing of a greater number of vendors and unique transactions. This approach allowed the Company to test transactions from vendors who may not be routinely used by the Company and therefore may not have been picked up in the volume-

based sample because their costs were outside the threshold. Under this method, the Company:

- Examined 40 percent of each unique transaction per vendor and a minimum of 10 percent of the invoices per unique transaction. A "transaction" was defined as a vendor's work on a particular project, within a particular department at National Grid. For example, if a vendor was handling ten different projects for one department, each project was considered a unique transaction (of which the Company would obtain 40 percent coverage, *i.e.,* four projects). A minimum of 10 percent of the invoices for each of the transactions selected for testing were also examined.
- For Service Company, the same approach was adopted for all vendors with aggregate costs of more than $0.100 million (roughly 96 percent of the population).
- Service Company vendors with aggregate costs of less than $0.100 million were subject to additional sampling.

As part of the Examination Process, the Company compared the costs recorded in the general ledger to the supporting documentation, tested that the services related to the company to which they were charged and, for charges

assigned to capital projects, tested that the service was performed in support of the capital program.

Table 2 shows the total dollar amounts and number of invoices reviewed, the net impact of the exceptions, and the number of exceptions.

Table 2: Vendor Cost Summary

	Presented in Summary of Costs ($)	Presented in Summary of Costs #	Net impact of exceptions ($)	Number of exceptions
KEDNY	681,263,247	69,358	(2,566,436)	330
KEDLI	206,519,070	18,614	(468,300)	257
ServCo	1,190,121,225	5,591	(5,792,805)	132
TOTAL	**2,077,903,542**	**93,563**	**(8,827,541)**	**719**

Labor Costs

Q. Please describe the Company's review of labor costs.

A. The Company conducted a number of tests of labor costs.

For Service Company employees, the Company selected for testing a sample of base time and overtime pay charges recorded by cost centers in the 15 largest departments as determined by labor costs incurred, and 25 departments selected without bias that were smaller than the largest 15 based on labor costs

incurred. The Company tested whether the costs charged were consistent with the employee's job title and functional area.

For the Company's operating company employees, the Company selected a sample of base time and overtime pay charges. As part of the Examination Process, the Company used metrics to identify outlier entries (*e.g.*, more than 12 hours in a day, hours worked between midnight and 0400 hours, and multiple entities charged in one day). When an outlier was identified, the Company investigated to determine whether the charge was appropriate.

In addition to the above tests, for both Service Company and operating company employees, the Company selected a sample of employee charges and tested that the compensation information was consistent with the employee's actual pay arrangement. The Company also reviewed monthly labor totals to identify potential outliers.

Table 3 shows the total dollar amounts reviewed, the net impact of the exceptions, and the number of exceptions.

Table 3: Labor Cost Summary

	Presented in Summary of Costs ($)	Net impact of exceptions ($)	Number of exceptions
KEDNY	205,372,184	(220,363)	150
KEDLI	114,646,056	(78,356)	113
ServCo	431,861,146	(1,006,701)	165
TOTAL	**751,879,386**	**(1,305,420)**	**428**

* Labor costs considered for examination included all labor dollars and therefore the number of items is not applicable.

Employee Expense Costs

Q. Please describe the Company's review of employee expenses.

A. For each quarter of the Historic Test Year, the Company selected and tested the following charges:

- the top 25 single employee expense reports and top 50 purchase credit card ("P-card") transactions based on dollars approved for payment,
- 15 sampled expense reports selected without bias ranked between 26 and 100 based on dollars approved for payment,
- 10 sampled expense reports selected without bias ranked greater than 100 based on dollars approved for payment, and
- 25 sampled P-card transactions selected without bias ranked greater than 50 based on dollars approved for payment.

As part of the Examination Process, the Company reviewed whether the charges complied with the Company's U.S. Business Travel and Expense Policy and P-card guidelines.

Table 4 shows the total dollar amounts and number of expense reports/P-card transactions reviewed, the net impact of the exceptions, and the number of exceptions.

Table 4: Employee Expense Cost Summary

	Presented in Summary of Costs ($)	Presented in Summary of Costs #	Net impact of exceptions ($)	Number of exceptions
KEDNY	899,541	500	(6,413)	27
KEDLI	354,852	500	5,045	34
ServCo	2,962,454	507	(110,929)	46
TOTAL	**4,216,847**	**1,507**	**(112,297)**	**107**

Q. Did the Company perform any further review of employee expenses?

A. Yes. The Company performed a keyword search of employee expenses to identify charges that should be normalized. If a keyword came up during the search, the Company performed a more detailed review to investigate whether the charge should be removed. Additionally, the Company reviewed employee expenses for charges related to the 2018 work stoppage involving the Company's Massachusetts affiliate. Lastly, consistent with prior National Grid rate filings, the Company removed Band A (senior officers) employee

expenses from the Historic Test Year. Adjustments identified as part of this further review of employee expenses are reflected on Exhibit__(RRP-3), Schedule 4 and Exhibit___(RRP-2), Schedule 3.

General Ledger Journal Entries

Q. Please describe the Company's review of operating expense general ledger journal entries.

A. The Company selected for testing a sample of manual journal entries, focusing on manual entries, as the likelihood of a potential misallocation is greater with manual entries than system-generated entries. The categories of journal entries are listed in the *Summary of Costs* section of the Report.

Table 5 shows the total dollar amounts and number of journal entries (a single journal entry can contain hundreds of line items of accounting) reviewed, the net impact of the exceptions, and the number of exceptions.

Table 5: Journal Entries Summary

	Presented in Summary of Costs ($)	Presented in Summary of Costs #	Net impact of exceptions ($)	Number of exceptions
KEDNY	53,518,337	200	0	0
KEDLI	53,353,428	200	0	0
ServCo	38,073,879	202	0	0
TOTAL	**144,945,644**	**602**	0	1

Additional Reviews

Q. Did the Company conduct any additional review of Historic Test Year costs?

A. Yes. The Company performed several additional reviews of Historic Test Year costs to ensure that the costs are accurate and appropriate to use as a basis for forecasting the Rate Year ("Additional Review of Historic Test Year Costs"). The first review consisted of a review of vendor charges organized by vendor name to identify potential charges that should be removed from the Historic Test Year, including, for example, charitable donations, lobbying expenses, and other charges that should be accounted for below the line for ratemaking purposes. The second review consisted of a review of O&M charges originating from the Service Company and from the Company and its affiliates organized by project title. The last review consisted of a review of manual journal entries for one-time or out-of-period adjustments that should be removed from the Historic Test Year. The adjustments from the Additional Review of Historic Test Year Costs are presented as separate line items in Exhibit __ (RRP-2), Schedule 1.

Trend Analysis

Q. Did the Company compare Historic Test Year O&M costs with prior period costs?

A. Yes. The Company performed an analysis to look at changes in expenses incurred by the Company from calendar year ("CY") 2015 through the Historic Test Year. The purpose of the review was to look at trends in costs by functional area incurred by the Company directly, as well as from the Service Company and affiliates that charge the Company. Over the past few years, there have been a number of changes in the organizational structure of the service companies that render it impossible to analyze changes in the costs charged to the Company by examining only the overall level of Service Company costs charged to the Company from year to year. Because of these organizational changes, the Company's costs must be examined on a total basis to draw meaningful conclusions regarding year-over-year variations. This examination was accomplished by combining (i) costs incurred directly by the Company, (ii) costs charged to the Company from the Service Company, and (iii) costs charged to the Company from other affiliates.

The analysis of costs based on the combination of direct and indirect charges provides improved clarity on the factors driving cost increases and decreases by removing the impact of organizational changes that merely result in shifts

rather than absolute changes in costs from year to year. Overall, the trend analysis shows that the total costs for KEDLI increased during the period CY15-CY18 due to increases in operational workload, new regulations and laws, and initiatives to modernize the Company's gas and information technology ("IT") systems such as the Gas Business Enablement Program ("GBE Program"). Exhibit ___ (RRP-2), Schedule 4 presents a comparison of total O&M costs from CY15 to the Historic Test Year.

Q. What does Exhibit __ (RRP-2), Schedule 4 show?

A. The analysis presented on Exhibit __ (RRP-2), Schedule 4 shows that, over the period 2015 through December 31, 2018, the total O&M costs incurred by KEDLI increased from $231.6 million to $258.5 million, an increase of $26.9 million. This increase was primarily driven by Gas Business Unit costs (increased $33.4 million), which is the function that operates and maintains the Company's gas network. The increase in costs generally relates to work that was included in the Company's last rate case such as leak prone pipe replacement and new safety and compliance initiatives along with new regulatory programs such as inside service line inspections. Offsetting those increases were decreases to claims (reduced $11.7 million) and uncollectibles (decreased $6.4 million).

Regarding the source of the cost changes from CY15 to the Historic Test Year, Exhibit __ (RRP-2), Schedule 4 illustrates that increased costs over the CY15 through Historic Test Year period are attributable to costs directly incurred at the Company (an increase of $18.9 million) as well as costs allocated from the Service Company (increased $8.5 million). The Company experienced decreases in costs from other companies (reduced $0.6 million).

Q. How does the Company determine that the costs it incurs from the Service Company are reasonable?

A. The Service Company provides services to the U.S. operating companies, including KEDLI, pursuant to the terms of service agreements that are filed with the Commission. The service agreements set forth the services provided and charges for those services (*i.e.*, services are provided at actual cost). The services include corporate affairs, customer, environmental, executive and administrative, financial, human resources, IT, legal and regulatory, operating, strategic planning and corporate performance, gas supply, and energy procurement and marketing.

The Service Company structure positions the Company to (i) attain the benefits of economies of scale and scope available from the provision of centralized services to a number of operating entities in a manner that ensures

that no operating entity is cross-subsidizing another, (ii) improve service quality throughout the National Grid organization as a result of the enhanced job differentiation and specialization that results from the provision of services on a centralized basis to a number of operating entities, (iii) improve reliability of services provided within the organization, and (iv) implement enhanced controls and uniformity of methods and practices throughout the National Grid U.S. business.

National Grid has created a process to provide the Jurisdictional Presidents and their leadership teams with detailed information concerning all costs charged to the operating entities through the service companies. This information provides jurisdictional leadership with regular opportunities to challenge and question Service Company charges. Under National Grid's jurisdictional model, the jurisdictional leadership teams have the key role of assuring that customers are receiving appropriate treatment from affiliates in terms of service quality and costs. Service level agreements ("SLAs") have been established between the jurisdictions and the Service Company functions to provide a management framework. The SLAs have been refined, improved, and expanded over the years in accordance with the Niagara Mohawk Joint Proposal adopted in Cases 12-E-0201 and 12-G-0202, and based on recommendations in the Overland Consulting audit of Service

Company transactions (Case 10-M-0451), and the Company's recent gas management audit (Case 13-G-0009). National Grid implemented a governance framework for the SLAs that includes monthly meetings to discuss budget and/or metric performance. During these meetings, performance issues are addressed or escalated for further review.

IV. O&M Expenses

Q. Please explain the methodology for developing the forecast of O&M expenses in the Rate Year and Data Years.

A. To develop the O&M forecasts, the Company began by determining the costs incurred in the Historic Test Year for the various expense types. Next, the Company reviewed Historic Test Year charges to determine whether specific costs should be normalized, for example, as out-of-period or one-time charges. The inflation factors set forth in Exhibit __ (RRP-8) were then applied to the majority of expense types to forecast the Rate Year and Data Years. Forecasts of certain expenses were developed using a more comprehensive methodology than adjusting for inflation. For example, labor expense was developed by annualizing the monthly and weekly employees on payroll as of the end of the Historic Test Year, adjusting for known changes to the employee headcount, and applying contractual and projected wage

increases to forecast the Rate Year and Data Years. Additionally, the Company adjusted forecast O&M expenses to reflect incremental work projected for the Rate Year or costs associated with new initiatives.

Q. What assumptions did the Company make regarding non-labor inflation?

A. Except where specifically identified otherwise, the Company applied the non-labor inflation factor of 4.870 percent to all non-labor expenses in the Historic Test Year to forecast the Rate Year. This factor is equivalent to a 2.6444 percent average annual increase between the Historic Test Year and the Rate Year. The Company applied the non-labor inflation factor of 2.0355 percent to forecast Data Year 1, 1.9895 percent to forecast Data Year 2, and 1.9247 percent to forecast Data Year 3. These factors represent the forecast change in the GDP Chained Price Index obtained from Moody's, as provided in Exhibit ___ (RRP-8). The Panel addresses calculation of the non-labor inflation factor later in its testimony.

Q. What is the basis for the allocations between expense and capital in the Rate Year and Data Years?

A. Except as otherwise indicated, costs in the Rate Year and Data Years are allocated between expense and capital consistent with their Historic Test Year allocation.

Q. Please explain Exhibit ___ (RRP-3).

A. Exhibit ___ (RRP-3) includes 41 schedules and a summary that shows total adjusted departmental O&M expense for the Historic Test Year of $253.525 million, and a forecast for the Rate Year of $290.657 million. The summary also shows forecasts of total departmental O&M expense for Data Years 1, 2, and 3 of $294.952 million, $295.755 million, and $299.257 million, respectively.

Each schedule pertains to a specific expense type and contains a minimum of four pages of detail. Page 1 of each schedule consists of three sections that show for each expense type: (i) the Historic Test Year expense per books by Provider Company; (ii) the adjustments to normalize the Historic Test Year expense by Provider Company; and (iii) the adjusted Historic Test Year expense by Provider Company. A Provider Company (also referred to as an originating company) is any company that charged KEDLI for services. Page 2 of each schedule also consists of three sections that show for each expense type: (i) the adjusted Historic Test Year information from Page 1; (ii) the adjustments made to the expenses in the Historic Test Year to reflect conditions in the Rate Year (*e.g.,* inflation) by Provider Company; and (iii) the adjusted Rate Year expense by Provider Company. Page 3 consists of the adjusted Rate Year expense information from Page 2; the adjustments made to

expenses in the Rate Year to reflect conditions in Data Years 1, 2, and 3 (*e.g.*, inflation); and the adjusted Data Years 1, 2, and 3 expense by Provider Company. Page 4 consists of an explanation of the adjustments presented on Pages 1, 2, and 3.

Adjustments associated with the Company's review of charges originating from KEDLI and its affiliates are included as a separate line item on Page 4 of each schedule, where applicable, labeled "Historic Test Year Review" or "Additional Review of Historic Test Year Costs," and relate back to Exhibit ___ (RRP-2).

Certain Schedules contain additional information relevant to the specific expenses addressed.

Q. Please explain the derivation of the Provider Company O&M expense on Pages 1 through 4 of each Schedule of Exhibit ___ (RRP-3).

A. There are several National Grid entities that provide services directly and indirectly to KEDLI. The charges associated with those services are either directly charged to KEDLI or allocated among the various National Grid affiliates (including KEDLI) that receive the services. For example, when the Service Company performs a service for the benefit of a single company, that

company is directly charged for that service. If the service is for the benefit of multiple companies, however, the charge is allocated to those companies using an appropriate allocator. Pages 1 through 3 detail charges to KEDLI from the Provider Companies, including the Service Company.

Q. What amount of Service Company costs were incurred by KEDLI in the Historic Test Year?

A. In the adjusted Historic Test Year, KEDLI incurred Service Company O&M costs of approximately $129.424 million. These costs are set forth in the summary page of Exhibit __ (RRP-3).

Q. Please describe how the Service Company charged KEDLI for services during the Historic Test Year.

A. Service Company charges were either directly charged to KEDLI or, when a service was performed for multiple affiliates, charges were aggregated and allocated to all affiliates that benefited from the service using approved allocation methodologies. These allocations have been developed to accommodate the different types of costs that are charged by the Service Company.

The allocators are based on cost causation principles and are designed to maximize use of direct allocation codes where charges have been incurred for the direct benefit of a single company. When it is not appropriate to use a direct allocation code, a cost causative code is assigned based on the appropriate causation driver. Where it is not appropriate to use a direct or cost causative code, then a general allocator is used. The general allocator used by the Service Company is based on a three-point model using Net Margin, Net Plant, and Net O&M expense. These allocation principles are set forth in National Grid's Cost Allocation Manual.

Q. Please explain the expense specific schedules in Exhibit ___ (RRP-3).

A. The expense specific schedules are as follows.

Schedule 1 – Consultants

Schedule 1 consists of four pages and shows the costs associated with external consultants performing services for the Company. Page 4 details adjustments to normalize the Historic Test Year, including adjustments to (i) exclude operating costs associated with the GBE Program, (ii) remove costs associated with the Appreciate program, and (iii) remove costs in connection with the Additional Review of Historic Test Year Costs. These adjustments are further

detailed on Exhibit__(RRP-2), Schedules 1-3. The Company made an inflation adjustment to the remaining Historic Test Year costs.

GBE Program O&M costs were removed from specific expense schedules and the Rate Year forecast is included in Schedule 27, Other Initiatives, to present these costs in a single schedule.

Schedule 2 – Contractors

Schedule 2 consists of four pages and shows the costs associated with external contractors performing services for the Company. Page 4 details adjustments to normalize the Historic Test Year, including (i) an adjustment to exclude operating costs associated with the GBE Program, (ii) an adjustment to remove costs associated with the Appreciate program, (iii) an adjustment for a proposed capitalization policy change (discussed in the direct testimony of the Gas Infrastructure and Operations Panel ("GIOP")), and (iv) an adjustment to remove incremental leak repair costs related to achievement of the Type 3 leak repair incentive in the Historic Test Year. In addition, adjustments were made for the Historic Test Year Review and Additional Review of Historic Test Year Costs. The Company made a further adjustment to increase the remaining Historic Test Year costs by inflation.

Q. How were expatriate costs charged to the Company in the Historic Test Year?

A. Costs for expatriate labor and benefits are initially booked at National Grid plc. An analysis is then performed to determine whether the costs are recoverable from customers. Recoverable expatriate costs are compared to the current available Market Reference Point ("MRP") for comparable positions. The lower of the actual cost or MRP is subsequently recorded to the Service Company and assessed to the Company and/or other affected operating companies. Accordingly, as costs were reviewed and adjusted before being charged to the Company, no adjustments were made for expatriate costs in the Historic Test Year.

Schedule 3 – Donations

Schedule 3 consists of four pages and shows the costs of charitable donations by the Company. Page 4 shows the removal of these costs from the Historic Test Year.

Schedule 4 – Employee Expenses

Schedule 4 consists of four pages and shows the costs associated with employee expenses. Page 4 details adjustments to normalize the Historic Test Year, including the removal of GBE Program operating costs and adjustments

related to both the Historic Test Year Review and the Additional Review of Historic Test Year Costs. The Company applied the proposed inflation factor to the remaining Historic Test Year employee expenses.

Exhibit __ (RRP-2), Schedule 3 shows the removal of Band A employee expenses and the adjustments from the Additional Review of Historic Test Year Costs. Exhibit__(RRP-2), Schedule 2 shows the adjustments related to the Historic Test Year Review.

Schedule 5 – Computer Hardware

Schedule 5 consists of four pages and shows the costs of computer hardware used by the Company. Page 4 details adjustments to normalize the Historic Test Year, including an adjustment to exclude GBE Program O&M costs and an adjustment to increase the remaining Historic Test Year costs by inflation.

Schedule 6 – Computer Software

Schedule 6 consists of four pages and shows the costs of computer software used by the Company. Page 4 details adjustments to normalize the Historic Test Year, including an adjustment to exclude operating costs associated with the GBE Program and an adjustment to increase the remaining Historic Test Year costs by inflation.

Schedule 7 – Other

Schedule 7 consists of four pages and shows costs incurred by the Company for utility purposes that are not otherwise identified in specific expense types. Page 4 details several adjustments to normalize the Historic Test Year, including the reclassification of certain costs to reflect them in individual schedules to provide greater transparency. In addition, the Company made adjustments to (i) remove operating costs associated with the GBE Program, (ii) reflect a capitalization policy change proposed by the GIOP, and (iii) normalize an earnings adjustment mechanism incentive associated with the Empower Replacement Program. In addition, adjustments were made for the Additional Review of Historic Test Year Costs. These adjustments are further detailed on Exhibit__(RRP-2), Schedule 1. The Company applied the proposed inflation adjustment to the remaining Historic Test Year costs.

Schedule 8 – Rent Expense

Schedule 8 consists of nine pages and shows the rent expense incurred by the Company. The first three pages are the same as the other schedules, with Page 4 details several adjustments to normalize the Historic Test Year and adjustments to reflect conditions in the Rate Year and Data Years. Pages 6 through 9 provide greater detail on the elements of cost by sub-function, as discussed below.

Q. What are the major components of rent expense?

A. The major components of rent expense include facilities leases and all other rent expense, such as non-fleet related vehicle rentals, airplane, right-of-way payments, and miscellaneous equipment rentals. Page 5 shows costs in the Historic Test Year and forecast Rate Year and Data Years organized by these sub-functions. Subsequent pages provide greater detail on each cost component.

Facilities Leases

Q. How did the Company develop the forecast for facilities leases?

A. The forecast is based on the expected lease payments for KEDLI's lease obligations and the Company's allocated share of Service Company lease obligations. Pages 6 and 7 detail facilities lease expense by leased property, segregated by facilities that are owned by KEDLI (direct costs) and facility costs that are allocated to KEDLI (indirect costs).

Q. Does the Company's revenue requirement reflect any significant modifications to facilities leases?

A. Yes. The Service Company presently leases 254,000 square feet of office space at One MetroTech Center in Brooklyn, New York. Employees at this facility currently provide services to both KEDNY and KEDLI, among other

National Grid operating companies. As part of the Accelerate Program (described below), National Grid has looked at ways to more efficiently utilize office space. These efforts are described in more detail by the GIOP. The revenue requirement assumes the Service Company will retain 80,000 square feet of the Metrotech office space (primarily for the current call centers and Sustainability Hub) and lease 100,000 square feet in another facility in Brooklyn, the exact location of which is unknown at this time.

In addition, the Service Company is reconfiguring the Wyman Street building in Waltham, Massachusetts to assign 25 percent of the space to unregulated operations. This produces a savings of $0.168 million for KEDLI compared to Historic Test Year actuals, as shown in Exhibit ___ (RRP-3), Schedule 8, Page 6.

Other Rent Expense

Q. Please explain how other rent expense was calculated.

A. Pages 8 and 9 detail all other rent expense, such as non-fleet related vehicle rentals, airplane, right-of-way payments, and miscellaneous equipment rentals, both directly and indirectly incurred. The forecast amounts are based on the Historic Test Year values inflated to the Rate Year and Data Years using the inflation rate in Exhibit ___ (RRP-8).

Schedule 9 – Service Company Rent Expense

The Service Company owns a number of shared assets that are used either by Service Company employees to provide services to affiliates or by the affiliates on a shared basis. These are primarily shared office facilities (*e.g.,* the Reservoir Woods office building) and information software and systems. When the Service Company owns the shared asset, it charges the affiliates, including KEDLI, an asset recovery charge based on a pre-tax return on the asset (net of deferred taxes) and booked depreciation expense. The asset recovery charge is recovered through rent expense.

Schedule 9 consists of eight pages and shows the rent expense incurred by the Company from the Service Company. The first three pages are the same as the other schedules, with Page 4 detailing several adjustments to normalize the Historic Test Year and adjustments to reflect condition in the Rate Year and Data Years. Pages 5 through 8 provide greater detail on the elements of cost by sub-function. Exhibit ___ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 9, Workpapers detail Service Company owned facilities and IT systems. IT systems are segregated by projects placed into service prior to or during the Historic Test Year, and projects to be placed in service in the Rate Year and Data Years.

Q. What rate of return did the Company utilize for the Service Company asset recovery charge?

A. The Company applied a weighted average pre-tax cost of capital ("pre-tax WACC") of 8.69 percent to calculate capital charges from the Service Company to KEDLI. However, in the event of a four-year settlement, the Company proposes to use a return on equity of 10.15 to calculate Service Company capital charges to KEDLI, which would adjust the pre-tax WACC to 9.03 percent. The calculation of the WACC for the Service Company asset recovery charge is described in the direct testimony of Company Witness Jonathan Cohen. The calculation of the corresponding pre-tax WACC is set forth in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 9, Workpaper 14.

IT Leases

Q. How did the Company develop the forecast for IT leases?

A. The forecast is based on the amortization and return on existing and forecast IT projects. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 9, Workpapers 2, 3, 5, 6, 8, 9, 11, and 12 detail IT leases from the Service Company, segregated by projects placed into service prior to or during the Historic Test Year, and by projects to be placed into service in the Rate Year and Data Years. IT capital investments utilized or proposed for use as

Service Company assets are discussed in the testimony of the IT Panel and other Company witnesses. The IT Panel lists the investments and testimonies where various investments are discussed.

Schedule 10 – Construction Reimbursement

Schedule 10 consists of four pages and presents construction reimbursements received by the Company in the Historic Test Year. Page 4 reflects an adjustment to increase the Historic Test Year costs by inflation.

Schedules 11 and 16 – Other Post Employment Benefits and Pension Expenses

Schedules 11 and 16 each consist of six pages that detail the estimated costs and assumptions associated with other post employment benefits ("OPEB") and pension expenses.

Q. How are OPEB and pension expenses currently recovered in KEDLI's rates?

A. KEDLI's CY19 rate allowance for OPEB and pension expenses are $9.318 million and $10.800 million, respectively. The Company reconciles the rate allowances with the actual OPEB and pension expenses it books for GAAP purposes and defers under or over recoveries pursuant to the Commission's

"Statement of Policy on Pensions and Other Postretirement Benefits Other Than Pensions" issued September 17, 1993 in Case 91-M-0890 ("P&OPEB Policy") and the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases.

Q. How did the Company develop the forecasts of OPEB and pension expenses for the Rate Year and Data Years?

A. The forecasts of OPEB and pension expenses were based on projections prepared by the Company's actuaries, AonHewitt. As shown in Schedules 11 and 16, KEDLI is proposing to decrease the allowance included in rates for OPEB expense in the Rate Year to $(3.186) million, and further decrease the allowances to $(3.530) million, $(3.788) million, and $(4.046) million in Data Years 1, 2, and 3, respectively. For pension expense, KEDLI is proposing to decrease the allowance to $5.121 million in the Rate Year, and further decrease the allowance to $4.171 million and $(1.066) million in Data Years 1 and 2, respectively, and then increase the allowance to $(0.884) million for Data Year 3. OPEB and pension costs associated with the Company's incremental full-time equivalent employees ("FTEs") are not reflected in the OPEB and pension allowances. Instead, those costs are reflected separately in Exhibit ___ (RRP-3), Schedule 27. The Company's efforts to control pension and OPEB expenses are discussed in the direct testimony of Company Witness Maureen P. Heaphy.

Q. Please explain how KEDLI accounts for pension and OPEB costs.

A. KEDLI accounts for pension and OPEB costs in accordance with the P&OPEB Policy. Under the P&OPEB Policy, KEDLI is required to use internal reserve accounting to account for any amount of pension and OPEB expenses recovered in rates but that are either not deposited in an external fund or paid out as benefits. Amounts reflected in KEDLI's internal reserve accrue carrying costs at the Commission-authorized pre-tax cost of capital.

Schedules 12, 13, 14, 15, 17, and 18 – Fringe Benefits

Schedules 12, 13, 14, 15, 17, and 18 present employee fringe benefits costs exclusive of OPEB and pension costs, as follows:

Schedule 12 – FAS 112 Long-Term Disability Retirement

Schedule 12 consists of five pages. Pages 1 through 3 present the costs associated with fringe benefits in the Historic Test Year and the forecast Rate Year and Data Years. Pages 4 and 5 detail adjustments to normalize the Historic Test Year and inflation adjustments, where necessary, to forecast the Rate Year and Data Years. The adjusted Historic Test Year FAS 112 expenses are $0.147 million. For the Rate Year and Data Years 1, 2, and 3, the projected costs are $0.154 million, $0.157 million, $0.161 million, and $0.164 million, respectively.

Q. How were the adjustments to normalize the Historic Test Year FAS 112 expense developed?

A. Page 5 sets forth the process utilized to normalize costs incurred in the Historic Test Year for FAS 112. The adjusted Historic Test Year FAS 112 expenses were based on new claimant information prepared by the Company's actuary, AonHewitt, for fiscal year ("FY") 2019. The Company then applied a uniform Historic Test Year capitalization rate of 57.62 percent, which is based on the ratio in the Historic Test Year of capitalized labor to total labor for the Company. For Service Company charges allocated to KEDLI, the Company applied a percentage of total Service Company payroll charged to KEDLI and a Historic Test Year capitalization rate of 35.30 percent using the same methodology to arrive at the total FAS 112 expense.

<u>Schedules 13 (Healthcare), 14 (Group Life Insurance) and 18 (Worker's Compensation)</u>

The revenue requirements associated with Healthcare, Group Life Insurance, and Worker's Compensation fringe benefits are all based on adjusted Historic Test Year costs for these expenses, adjusted for inflation to arrive at Rate Year and Data Year expense amounts.

Q. How were the adjustments to normalize the Historic Test Year Healthcare, Group Life, and Worker's Compensation expenses developed?

A. For charges made directly to KEDLI, the Company started with total Historic Test Year expense (gross expenses prior to any adjustment for capitalization). It then applied the uniform capitalization rate of 57.62 percent, which is based on the ratio in the Historic Test Year of capitalized labor to total labor for KEDLI, to determine the portion of the gross expenses that were capitalized. The non-capitalized portion of the gross expenses were the total O&M expenses applicable to KEDLI. For Service Company costs, the Company applied the percentage of total applicable Service Company payroll charged to expense at KEDLI.

Q. What additional adjustments were made to Healthcare in the Rate Year?

A. The Company made additional adjustment to Healthcare in the Rate Year based on: (i) the Company's Student Loan Repayment program and (ii) the Company's negotiation of a new contract with IBEW Local 1049. As detailed in the direct testimony of Company Witness Maureen P. Heaphy, the student loan repayment program began in April 2018, and increases from $50 per month per employee up to a maximum lifetime benefit of $6,000 per employee. The Historic Test Year was adjusted to reflect a full year of this

program at the median monthly expense, based on the number of employees participating in the program as of December 2018. Further details of the savings associated with the renegotiation of the Local 1049 contract are set forth in the direct testimony of Company Witness Maureen P. Heaphy.

Schedule 15 – Other Benefits

Schedule 15 consists of four pages and presents costs for providing other benefits, including education assistance, employee awards, and other employee agreements. The Other Benefits expense is not capitalized largely because of the relatively small dollars associated with this expense. The Company made an adjustment to the Historic Test Year for the Caregiver Program to reflect a full year of employee participation. As detailed in the direct testimony of Company Witness Maureen P. Heaphy, the program began in July 2018. The Rate Year and Data Year amounts for Other Benefits reflect the normalized Historic Test Year adjusted for inflation.

Schedule 17 – Thrift Plan (401k Matching)

The adjusted Historic Test Year of Thrift Plan expenses were based on contributions made by the Company in the Historic Test Year. Based on the Company's contributions, the adjusted Historic Test Year expenses for KEDLI are $3.400 million. For the Rate Year and Data Years 1, 2, and 3, the

projected costs are $3.566 million, $3.638 million, $3.711 million, and $3.782 million, respectively.

Q. How were the adjustments to normalize the Historic Test Year Thrift Plan expense developed?

A. Workpaper 1 to Schedule 17 sets forth the process used to normalize costs incurred in the Historic Test Year for Thrift Plan expenses. The Company based the adjusted Historic Test Year on actual payments to the Thrift Plan. For payments made directly on behalf of KEDLI, the Company started with total payments in the Historic Test Year. It then applied the uniform capitalization rate of 57.62 percent, which is based on the ratio in the Historic Test Year of capitalized labor to total labor for KEDLI, to arrive at the total expense applicable to KEDLI. For Service Company payments made into the plan, the Company applied a percentage of total applicable Service Company payroll charged to KEDLI. This amount, in addition to expense directly applicable to KEDLI, result in the total Thrift Plan expense.

Q. What adjustments were made to Thrift Plan expense in the Rate Year?

A. The Company adjusted its Historic Test Year Thrift Plan expense to reflect non-incremental new employees who are replacing employees previously employed as participants in the Pension Plan. These new employees will be

covered by the Enhanced Thrift (401K) plan and therefore receive a core contribution in addition to the matching contribution received by Pension Plan employees. An average of the number of Pension Plan employees who left the Company to be replaced by Enhanced Thrift employees was used to determine the amount of this adjustment. While the amount of the core contribution begins at four percent and escalates progressively to eight percent based on age and years of service, four percent was used for this adjustment. The applicable capitalization and allocation rates were used to determine the portion to be charged to expense from KEDLI and the Service Company.

Q. Please describe the method for normalizing the fringe benefits of Service Company employees charged to KEDLI.

A. Similar to the fringe benefits charged to KEDLI, the Company started with the total Service Company charges for fringe benefit expense (gross expenses prior to any adjustment for capitalization). The Company then allocated the total fringe benefit expense on the same basis that Service Company historic labor is allocated to KEDLI to expense, or eight percent.

Schedules 19 through 21 – Materials

Schedules 19 through 21 each consist of four pages and show costs related to materials purchased from outside vendors, materials released from inventory,

and material stores handling costs incurred by the Company. Page 4 details adjustments to normalize the Historic Test Year, including adjustments to exclude operating costs associated with the GBE Program and increase the remaining Historic Test Year costs by inflation.

The Schedules consist of the following:
Schedule 19 – Materials from Outside Vendors
Schedule 20 – Materials from Inventory
Schedule 21 – Materials Stores Handling

Schedule 22 – Postage

Schedule 22 consists of four pages and shows costs related to postage incurred by the Company. Page 4 details adjustments to normalize the Historic Test Year, including adjustments to (i) reflect the Company's paperless billing program, (ii) remove pre-paid envelopes from the Historic Test Year, and (iii) reclassify costs from rent expense.

Schedule 23 – Labor

Schedule 23 contains all O&M labor expense. The schedule consists of 14 pages and presents the labor expense forecasts for the Rate Year and Data Years. Schedule 23 also presents the adjustments the Company made to

normalize the Historic Test Year and forecast labor expense for the Rate Year and Data Years. The schedule provides this information by Provider Company.

Q. Please explain the components of Schedule 23.

A. The first four pages of Schedule 23 depict the total labor charges that were expensed for the Historic Test Year, adjusted Historic Test Year, Rate Year, and Data Years. Pages 5 and 6 contain the calculation of adjusted Historic Test Year and forecast Rate Year and Data Years labor expense. Pages 7 through 8 present the allocation of total annualized adjusted base labor expense and adjusted variable compensation labor expense by Provider Companies to KEDLI. Pages 9 through 13 present labor expense charged by Provider Company, capital, expense, and other for the Historic Test Year, adjusted Historic Test Year, Rate Year, and Data Years. Page 14 depicts the number of forecast FTEs by Provider Company for the Historic Test Year and the Rate Year.

Q. Please explain the general methodology used to forecast labor expense for the Company.

A. The Company incurs labor charges from KEDLI employees and from employees of the Service Company. The Company also incurs labor charges

from employees of other affiliated companies ("All Other Companies") allocated to KEDLI. The forecast in Schedule 23 begins with the Historic Test Year aggregate operating expense labor costs for KEDLI, which are shown segregated by Provider Company. Additionally, Pages 9 through 13 show the Historic Test Year allocations of total labor charged by KEDLI (to itself), and the Service Company. The Company forecast both components of labor costs: the costs KEDLI incurred and charged to itself and other companies and the labor costs incurred by the Service Company and All Other Companies that are charged to KEDLI. The forecast of total labor costs charged by KEDLI and the forecast of total labor costs charged by the Service Company were developed utilizing adjusted FTEs as of December 31, 2018, which was the basis for the forecast Rate Year and Data Years. The results were prorated back by the accounting allocations for each Provider Company based on the Historic Test Year. Labor expense incurred by and for KEDLI was the basis for the forecast of O&M expense, as set forth in the summary schedule of Exhibit ___ (RRP-3).

Q. How did the Company determine the appropriate labor headcount for the Rate Year?

A. The Company began with the labor headcount at the end of the Historic Test Year for KEDLI and the Service Company. The count of management FTEs

as of December 31, 2018, as presented on Exhibit ___ (RRP-3), Schedule 23, Page 14, was 75 for KEDLI and 5,294 for the Service Company. The collective bargaining unit FTEs as of December 31, 2018 were 641 for KEDLI and 1,661 for the Service Company. The Company then adjusted the total KEDLI management FTEs to 74 and the total KEDLI bargaining unit FTEs to 631 to establish the base for the forecast. The total Service Company management FTEs and bargaining unit FTEs were adjusted to 5,307 and 1,595, respectively.

Q. Please explain the adjustments the Company made to the labor headcounts.

A. The Company made adjustments to the December 31, 2018 labor headcount to reflect conditions in the Rate Year to:

(i) remove employees from the management and represented headcounts who are on long-term leave and not expected to return; and

(ii) add the average headcounts for seasonal and temporary employees who were excluded from the December 31, 2018 employee headcounts.

Q. Please explain why employees who may not allocate time to KEDLI need to be reflected in the labor headcount of each Provider Company.

A. The Company forecasts labor by first calculating total labor costs by Provider Company and the Service Company. The Company next applies an allocation factor based on how labor was charged to KEDLI from these companies in the Historic Test Year. Therefore, all employees, regardless of how they charge their time, must be reflected in the calculation of total labor cost for each Provider Company to derive the correct total labor cost that will then be allocated to KEDLI based on Historic Test Year allocations.

Q. Please describe the process used to convert full time employees and part time employees into FTEs.

A. Full time equivalent status, shown on Page 14 of Schedule 23, was computed by the following method:

(i) All full time employees were considered FTEs.

(ii) Part time employees were converted to FTEs using the following formula: Average Part Time Employee Salary divided by Average Full Time Employee Salary times Part Time Employee Count. For KEDLI and the Service Company, there were 0 and 34 part time management employees, respectively, which equated to 0 and 28 FTEs.

The same procedure was used for represented employees. KEDLI and Service Company had 0 and 13 part time employees, respectively, included in the represented labor base, which equated to 0 and 8 FTEs, respectively.

Q. How was management labor expense calculated for the Rate Year and Data Years?

A. Management labor expense for the Rate Year and Data Years was calculated using average salaries in effect at December 31, 2018, including base and variable compensation. The average base salaries were adjusted for salary increases, applying a 3.35 percent salary increase to management labor in FY20, and a 3.1 percent increase to management labor through the Rate Year and Data Years. This salary increase and an explanation of the base and variable compensation structure are addressed in the direct testimony of Company Witness Maureen P. Heaphy.

Q. How was management variable compensation calculated for the Rate Year and Data Years?

A. The revenue requirement includes the portion of management variable compensation tied to the attainment of individual goals as well as metrics based on safety, reliability, and customer satisfaction. The Company is not seeking recovery of that portion of variable compensation tied to financial

objectives. To calculate management variable compensation for the Rate Year and Data Years, the Company first applied maximum plan payout ratios to average base salaries adjusted for salary increases. A target payout rate of 50 percent was then applied to the maximum variable compensation plan payout to calculate the forecast. Company Witness Maureen P. Heaphy addresses the Company's compensation plan.

Q. Has the Company reflected senior executive variable compensation in the forecast?

A. No. These costs are not included in Company's Rate Year O&M expense.

Q. How was represented employees' labor expense calculated for the Rate Year and Data Years?

A. The Company adjusted average base wages by applying the applicable effective wage increase (based on the current collective bargaining agreements) annually in the Rate Year through Data Year 3.

Q. How was represented employees' variable compensation calculated for the Rate Year and Data Years?

A. The revenue requirement includes 100 percent of represented employees' variable compensation, which provides direct incentives for such employees

to meet or exceed metrics tied to safe, reliable, and efficient performance, and is included in the current collective bargaining agreement with the union. The forecast for the Rate Year and Data Years was calculated by applying the target payout rate of 1.75 percent for IBEW-1049 and 2.5 percent for TWU-101 and IBEW-3 to average base wages adjusted for wage increases, double time, and shift premiums and overtime.

Q. Please describe how overtime was calculated for the adjusted Historic Test Year total labor amounts.

A. The ratio of overtime pay to base salary and wages was calculated for the Historic Test Year. These rates were applied to the adjusted forecast management salaries and represented employees' wages for the Rate Year and Data Years. The overtime and premium rates were calculated by expense, capital, and other charge categories.

Q. Please describe the adjustments to miscellaneous pay for the Rate Year.

A. Miscellaneous pay was prorated based on the ratio of miscellaneous pay to base pay in the Historic Test Year. The Company normalized miscellaneous pay in the Historic Test Year to exclude the employee electric vehicle incentive program, defined contribution supplemental executive retirement plan payments, executive separation pay, payments relating to the

Massachusetts work stoppage that were not reclassified by the end of the Historic Test Year, prior period miscellaneous pay corrections, one-time payment for spousal severance, severance payments that resulted from changes to the Company's operating model, and other minor miscellaneous adjustments.

Q. Were any other adjustments made to the base Historic Test Year labor?

A. Yes. The Company made several adjustments to KEDLI and Service Company in the Historic Test Year. With respect to KEDLI, the Company made adjustments to: (i) reflect changes to the capitalization policy to remove the 50-foot threshold and capitalize all main installation activities, as proposed by the GIOP and (ii) correctly reflect as overtime premium pay labor that was previously recorded as base labor. With respect to the Service Company, the Company made adjustments to: (i) miscellaneous pay as discussed above; and (ii) correctly reflect as overtime premium pay labor that was previously recorded as base labor.

Q. What percentage of labor costs did the Company forecast would be capitalized in the Rate Year?

A. The Company forecast 57.62 percent of total labor costs would be capitalized in the Rate Year. The forecast is based on the Historic Test Year percentage of labor costs capitalized.

Q. Please describe 53rd week labor costs.

A. Every five years there is an additional, or 53rd, pay week. Therefore, an amount equal to one-fifth of the weekly cost (*i.e.,* one day) is added to the labor cost to reflect the normalized cost of the 53rd week. Fifty-third week labor costs are associated with any employee who is paid weekly. Typically, these are represented employees. The 53rd week labor costs are added to the total Rate Year represented labor costs found on Pages 10 through 13 of Schedule 23.

Q. How were 53rd week labor costs calculated?

A. 53rd week labor costs were calculated by taking the estimated annual Rate Year labor costs for weekly paid employees divided by 2,080 hours and multiplied by eight hours. The 2,080 hours represents the total number of hours worked in a normal calendar year and the eight hours represents the normal work hours in a day (*i.e.,* one-fifth of the week). The calculation was

performed by salary band for full time represented employees and part time represented employees.

Schedule 24 – Transportation

Schedule 24 consists of 15 pages and shows transportation costs incurred by the Company. The first four pages are the same as all other schedules, with Page 4 detailing adjustments to normalize the Historic Test Year and inflation adjustments to reflect conditions in the Rate Year and Data Years. Pages 5 through 15 provide greater detail on the elements of transportation costs such as lease expense, fuel costs, and other costs, including vehicle materials and maintenance.

Q. What are the major drivers of transportation expense?

A. The majority of costs associated with transportation expense pertain to (i) lease expense; (ii) motor fuel; and (iii) other expenses (*e.g.,* vehicle parts and maintenance costs). Pages 5 through 7 detail the cost components in the Historic Test Year, Rate Year, and Data Years. Pages 8 through 15 provide a further breakdown of the components in developing the forecast.

Transportation Lease Expense

Q. Please describe the components of transportation lease expense.

A. Transportation lease expense consists of vehicles on lease in the Historic Test Year that will remain on lease through the Rate Year, and vehicles on lease in the Historic Test Year that will be replaced before or during the Rate Year. In addition, the Company's forecast of transportation lease expense reflects the costs of additional vehicle leases needed to achieve the proposed incremental work plan presented in this case.

Q. How did the Company develop the forecast for transportation lease expense?

A. The Company began with the vehicle inventory as of December 31, 2018. From that, the Company first forecast the lease expense for existing leases as of December 31, 2018 through the term of the leases. Second, the Company added the forecast of lease expense associated with replacement vehicles scheduled to be acquired prior to or in the Rate Year and Data Years. In general, vehicles become eligible for replacement when fully amortized. Third, the Company increased the number of vehicles in fleet inventory to support the level of work the Company plans to deliver in the Rate Year. Finally, the Company reduced the forecast by estimated gains to be received from sales of replaced vehicles at auction.

Q. Please explain how transportation lease expense is calculated.

A. Estimated delivery dates are established for the replacement and additional vehicles along with projected acquisition costs. Lease expenses are then calculated using the acquisition cost, term of the lease, and projected interest rate provided by the leasing company.

Q. Why did the Company not simply adjust the Historic Test Year for inflation to forecast the Rate Year and Data Years?

A. The Company does not believe that adjusting for inflation provides an accurate projection of activity in the Rate Year and Data Years. Transportation lease expense is impacted by changes in the Company's fleet. Specifically, increases or decreases in lease expense result from vehicles being removed, replaced, or added to the Company's fleet. In addition, the Company's fleet is comprised of many different types of vehicles and equipment. These vehicles vary in costs and lease terms. The Company's forecast takes into account these known and measurable changes and, therefore, provides a more accurate and reasonable forecast than simply adjusting for inflation.

Transportation Motor Fuel Expense

Q. How did the Company develop the forecast for motor fuel expense?

A. Motor fuel expense was calculated by multiplying the forecast prices from the New York Mercantile Exchange by the level of fuel consumption in the Historic Test Year. To determine the forecast of compressed natural gas ("CNG"), the Company utilized the 2018 Clean Cities Alternative Fuel Price Report issued by the US Department of Energy, which sets forth the average difference between retail diesel prices and the CNG price per gallon equivalent by state. For New York State, the midpoint of the difference was $0.92. The Company subtracted this amount from the forecast retail diesel rates to arrive at the CNG forecast.

Other Transportation Expense

Q. Please describe the components of other transportation expense.

A. Other transportation expense includes items such as vehicle parts costs and maintenance costs. Vehicle parts costs are the actual costs paid to vendors for procured parts. Vehicle maintenance costs consist of actual costs paid to vendors when work is performed on Company vehicles by outside vendors.

Q. Please explain how other transportation expense was calculated.

A. The Company adjusted Historic Test Year costs for inflation to calculate the forecast for the Rate Year and Data Years.

Schedule 25 – Energy Efficiency Programs

Schedule 25 consists of four pages. The Company's energy efficiency programs are funded by the System Benefits Charges ("SBC"), which is assessed outside of base rates. The Clean Energy Fund CY 2020 costs will continue to be collected through the SBC until it expires. Therefore, the Company set revenues equal to the costs of these programs for the CY 2020 portion of the Rate Year. The Company is proposing to include Efficiency Transition Implementation Plan ("ETIP") costs in base rates in the Rate Year and Data Years. For revenue requirement purposes, the Company included ETIP budget amounts as prescribed in the Order in Case 18-M-0084, issued and effective December 13, 2018. Because the ETIP budgets are based on a CY, for revenue requirement purposes these budgets were adjusted to reflect a FY forecast.

The revenue requirement also reflects funding for KEDLI's HEAT (EmPower Replacement Program) program costs of $2.5 million in the Rate Years and Data Years. In addition, the Company is proposing to move the costs of evaluation, measurement, and verification ("EM&V") activities from the current ETIP budget to base rates in the Rate Years and Data Years. Both of these program costs are included in Exhibit___(RRP-3), Schedule 27. This proposal is discussed further in the Future of Heat Panel's testimony.

Schedule 26 – Injuries and Damages

Schedule 26 consists of seven pages and shows the costs associated with claims expense and insurance premiums. Claims expense includes the amounts paid to third parties to resolve claims for property damage and bodily injury within the Company's self-insured retention levels. Insurance premiums are amounts paid to third-party insurers to obtain insurance coverage. Page 4 details adjustments to normalize the Historic Test Year by utilizing a three-year average of claims, and adjustments to normalize incurred but not reported ("IBNR") expense. The Rate Year was normalized to reflect forecast insurance premiums and an adjustment was made to increase the remaining adjusted Historic Test Year costs by inflation.

Q. Why did the Company utilize a three-year average of claims to forecast claims expense?

A. The Company believes that its claims experiences in the last three years are representative of expected claims expense in the Rate Year and Data Years. Use of a three-year average to forecast claims expense is also consistent with the treatment of this expense in the 2016 KEDNY and KEDLI Rate Cases and the recent 2017 NMPC Rate Case.

Schedule 27– Other Initiatives

Schedule 27 consists of eight pages and shows the costs of other initiatives to be implemented or adjusted by the Company. These costs represent the following:

- Workforce adjustments (*i.e.,* incremental FTEs)
- Gas safety programs
- O&M expense related to increased capital expenditures
- O&M expense related to increased workload
- GBE Program
- Shared Services programs
- Information Technology run the business and O&M expense related to capital
- Future of Heat EM&V
- Future of Heat other programs

The direct testimony of the Company's GIOP, Gas Safety Panel, IT Panel, Company Witness Christopher J. Connolly, and Future of Heat Panel provides support for these costs.

Q. Please explain the proposal to add four FTEs for Legal.

A. National Grid's current resources in Legal are inadequate to meet the needs of the business in an increasingly complex regulatory and business environment that is constantly evolving and expanding to keep pace with changes in the industry. Indeed, it has been some time since the Company last requested incremental Legal resources, while the scale and complexity of matters that require legal support has grown steadily. The rapid expansion of laws and regulations, as well as increased scrutiny of gas compliance and safety, have resulted in the need for additional legal support for the Company. In addition, the need to execute negotiate increasingly complex rate agreements (*e.g.*, facilitating multiple collaboratives), navigate complex tariff issues (*e.g.*, non-firm service offerings), participate in retail choice proceedings, negotiate complex commercial agreements, and support numerous public policy initiatives, along with supporting the Company's new sustainability and customer programs, require significantly more legal resources to advise the business and help ensure the long-term success of these programs and initiatives. These positions will be shared among KEDNY, KEDLI, and NMPC to handle regulatory, litigation, and commercial matters.

Schedule 28 – Productivity

Schedule 28 consists of four pages and shows the credits relating to the estimated productivity adjustment of a cumulative annual one percent of labor costs and payroll taxes. The adjustment represents a credit (*i.e.,* reduction in the revenue requirement) of $2.020 million in the Rate Year.

Schedule 29 – Rate Case Expense

Schedule 29 consists of four pages and shows the forecast costs of preparing this rate filing. The Company proposes to amortize these costs over the term of the rate plan.

Schedule 30 – Regulatory Assessment Fees

Schedule 30 consists of ten pages and shows the costs associated with the annual Commission assessment paid by the Company. The assessment consists of the General Assessment and Energy Research and Development Authority ("ERDA") Assessments. Page 4 details adjustments to normalize the Historic Test Year and is supported by Pages 5 through 10 of this Schedule.

Schedule 31– Uncollectible Accounts

Schedule 31 consists of four pages and shows the uncollectible expense. The uncollectible rate, including how it was calculated, is discussed in the direct testimony of the Shared Services Panel.

Schedule 32 – Site Investigation and Remediation

Schedule 32 consists of four pages and shows the costs associated with SIR. Page 4 details adjustments to normalize the Historic Test Year.

Q. How much SIR costs does KEDLI currently recover annually through base rates?

A. Under its current rate plan, KEDLI was permitted to recover: (i) its historic, unrecovered SIR expenditures in an amount equal to the amortization of the forecast SIR deferral balance as of December 31, 2016 over ten years ($14.168 million per year) and (ii) forecast SIR costs of $13.402 million in calendar year 2017, $7.442 million in calendar year 2018, and $4.648 million in calendar year 2019. Each year, KEDLI fully reconciles its actual SIR expense to the rate allowance. Any under or over expenditures of are deferred for future refund to or recovery from customers. KEDLI is also authorized to petition the Commission to recover unanticipated, incremental SIR costs through the SIR Recovery Surcharge.

Q. What is KEDLI's proposal for recovery of its SIR costs?

A. As discussed in the testimony of Company Witness Charles F. Willard, KEDLI proposes a base rate allowance of $6.630 million, $6.618 million, $3.776 million, and $2.562 million in the Rate Year and Data Years 1, 2 and 3, respectively, which represents forecast SIR costs. In addition, the Company proposes to continue to include in base rates the current amortization of $14.168 million annually, representing one-tenth of the forecast SIR deferral balance at December 31, 2016, as shown on the amortization of regulatory deferrals line on Exhibit ___ (RRP-1), Summary.

Q. Does the Company propose to continue its current reconciliation and surcharge mechanism?

A. Yes. Mr. Willard supports the Company's proposal to continue the current reconciliation and provision in its rate plan authorizing KEDLI to petition to recover unanticipated, incremental SIR costs through the SIR Recovery Surcharge.

Schedule 33 – Joint Facilities

Schedule 33 consists of four pages and shows the Company's Historic Test Year share of carrying costs and operating and maintenance costs associated with the New York Facilities System ("NYFS"). The Company made an

adjustment to remove the Historic Test Year amounts and include the forecast net revenue and expense Rate Year and Data Years' amounts in the revenue forecast.

Schedule 34 – Savings

Schedule 34 consists of two pages and shows allocated savings estimates identified in conjunction with National Grid's Accelerate Program, which is discussed in Section IV below. Page 2 reflects adjustments to increase the allocated savings estimates by inflation. The Accelerate Program results in a total credit to customers of $12.147 million in the Rate Year. Accelerate Program initiatives are reflected in various parts of the revenue requirements. For example, the property tax mitigation initiative is reflected in the property tax expense forecast. Therefore, the adjustment in Schedule 34 of $4.991 million for the Rate Year represents savings from initiatives that are not reflected elsewhere and is net of cost to achieve. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1, shows where each savings initiative has been reflected in the filing.

Schedule 35 – Legal (Expense Type Consultants, Contractors, and Other)

Schedule 35 consists of four pages and shows contractor, consultant, and other costs associated with legal expenses. These costs have been separately

reflected in this schedule to provide greater transparency of legal expense. Page 4 details adjustments to normalize the Historic Test Year and an adjustment to increase the remaining Historic Test Year costs by inflation.

Schedule 36 – Accounting (Expense Type Consultants, Contractors and Other)

Schedule 36 consists of four pages and shows contractor, consultant, and other costs associated with accounting expenses. These costs have been separately reflected in this schedule to provide greater transparency of accounting expense. Page 4 reflects an adjustment to increase the Historic Test Year costs by inflation.

Schedule 37 – Economic Development Grant Program

Schedule 37 consists of four pages and presents the costs associated with the Economic Development Grant Programs adopted in the 2016 KEDNY and KEDLI Rate Cases. Page 4 reflects an adjustment to reclass the $2.0 million of Historic Test Year costs from Other Expense and adjust the rate allowance to $0.5 million in the Rate Year and $1.0 million, $1.5 million, and $2.0 million in Data Years 1, 2, and 3, respectively. The Future of Heat Panel provides additional detail on the proposed funding for the Grant Program.

Schedule 38 – Low Income Program

Schedule 38 consists of four pages and represents the low income discounts approved by the Commission Orders in Case 14-M-0565. For the Rate Year and Data Years, the Company reflected customer charge revenues at full standard tariff rates and the low income customer discount forecast as O&M expense.

Schedule 39 – Incentive Programs

Schedule 39 consists of four pages and shows costs associated with incentive programs. The Historic Test Year costs have been reclassified from other schedules and separately reflected in this schedule to provide greater transparency of incentive program expense. Page 4 details adjustments to normalize the Historic Test Year and an adjustment to reflect the forecast cost of $1.8 million per year for KEDLI's Low-to-Moderate Income Gas Conversion Program. This program is discussed further in the Future of Heat Panel's testimony.

Schedule 40 – Paving

Schedule 40 consists of four pages and shows costs associated with paving expense. These costs have been separately reflected in this schedule to

provide greater transparency of paving expense to Staff. Page 4 reflects an adjustment to increase Historic Test Year costs by inflation.

Schedule 41 – O&M Summary

Schedule 41 provides a summary checklist of the O&M adjustments to the Historic Test Year. These adjustments are described throughout the Panel's testimony or by other Company witnesses as identified.

V. Efficiency and Productivity Cost Reductions

Q. Please describe the Company's efforts to reduce costs.

A. National Grid is committed to continuously identifying opportunities to be more efficient and productive for the benefit of customers. Indeed, the 2016 KEDNY and KEDLI Rate Cases reflected more than $22 million of efficiency savings in each year of the rate plan through a combination of traditional productivity and targeted savings initiatives. In this filing, the Company is challenging itself to achieve even greater levels of efficiencies through an ambitious effort, known as the Accelerate Program, to identify and track process improvements and other initiatives to reduce costs. As a result of the efforts through the Accelerate Program, the Company is reflecting approximately $31 million and $12 million of O&M reductions for KEDNY and KEDLI, respectively, in the Rate Year and each of the Data

Years, or approximately $124 million and $48 million in efficiencies over the four years presented in these filings (excluding inflation). These savings are exclusive of savings associated with the GBE Program, which, while included in the Accelerate Program, have been reflected separately for transparency. These savings are also incremental to the productivity adjustment discussed below.

Q. Please describe the Accelerate Program.

A. In FY 2019, National Grid announced an ambitious, three-year efficiency challenge, called the Accelerate Program, that set out an aspirational target of a 20 percent efficiency improvement in O&M and capital expenses across the U.S. business by FY 2021. The Accelerate Program is aimed at improving both the quality and cost-effectiveness of National Grid's services to customers.

National Grid purposefully set an ambitious target in the interest of driving maximum customer value, and it is uncertain whether this level of efficiencies can be achieved. The Commission has traditionally imputed a productivity adjustment of one percent of labor expenses, and even that level of efficiencies can be challenging to achieve in a mature business. Accordingly, the Company recognized it was setting a very ambitious target

to achieve reductions this extensive in such a short period of time. Indeed, the Company has identified many initiatives that contribute toward its efficiency target (discussed below), but it has not identified the means by which to achieve the aspirational 20 percent efficiency reduction across the U.S. business.

Q. Why did the Company undertake this initiative?

A. Affordability is a significant concern for our customers. At the same time, we need to make investments to modernize the system and implement new programs and technologies to meet the changing energy landscape. These include investments to replace our outdated Customer Information System, modernize the gas network, implement new digital solutions, and enable renewable energy sources. The need for these investments must be balanced against the financial impacts on customers. To address these competing concerns, National Grid launched the Accelerate Program. The Accelerate Program is National Grid's effort to identify efficiencies to enable ongoing critical investments and support the State's long-term policy and sustainability objectives, while mitigating customers' energy costs in a manner that maintains affordability.

Q. How is National Grid attempting to achieve its efficiency target?

A. National Grid is undertaking a variety of initiatives across its U.S. operations that seek to standardize processes and reduce costs. Example initiatives include programs that:

- Reduce property tax expense;
- Deliver capital projects more efficiently;
- Optimize office space;
- Reduce contractor and consultant costs;
- Reduce material and fleet costs; and
- Utilize tools and technology to drive efficiencies.

All of the Accelerate initiatives are being tracked in a web-based tool, known as Wave. Wave contains various implementation levels, through which initiatives must progress before a determination is made that the initiative can be counted toward the targets. A centralized repository for identifying and tracking the progress of various Accelerate initiatives provides transparency on the progress against targets and avoids overlap.

Q. Please explain the implementation levels used to track progress in the Wave tool.

A. Each Accelerate initiative is placed at an implementation level ("IL") based on its stage of development, from purely an idea (IL 0) to fully implemented (IL 5). ILs 0 through 2 cover the stages of idea formulation to an initial estimate of potential benefits. In these stages, teams brainstorm initiatives to be evaluated as opportunities to deliver process improvements, assigning a rough estimate of the potential benefit as an initial proxy until better information is developed to quantify the benefit. Teams are encouraged to include as many ideas as possible. As such, many initiatives do not move beyond IL 2. The potential benefit becomes more refined when an initiative advances to IL 3, where Finance validates that the initiative has the potential to deliver savings, and the business puts together a plan to implement the initiative. An IL 3 benefit is still aspirational, however, as the initiative may not be implemented for a variety of reasons. For example, an initiative could require a new contract to be negotiated with a vendor or the implementation of a new IT solution; without the new contract or IT solution, the feasibility or economics of the initiative may be impacted. Similarly, in the process of implementing the initiative, the business could realize that assumptions have changed and therefore the initiative cannot be implemented.

It is not until IL 4 where an initiative moves from conceptual to deliverable. In IL 4, the business has completed all activities required to deliver the initiative. In IL 5, Finance has confirmed that savings have been realized and the actual amount of the savings, which could have changed from the original estimate.

Q. Please explain how O&M savings from initiatives are reflected in the case.

A. The Company's revenue requirements reflects O&M savings associated with initiatives it believes are reasonably achievable and likely to deliver benefits to customers, namely those in ILs 4 and 5. Given the conceptual nature of the initiatives in ILs 0 through 3, they are not reflected because it is unknown whether they will be implemented, and, if they are, the extent to which any savings will materialize.

Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1 lists the initiatives, the affected operating companies, the allocation of savings to KEDNY and KEDLI, whether they were implemented in the Historic Test Year or will be in the post-Historic Test Year period, and where in the revenue requirement the savings are reflected. Workpaper 2 contains the tracking documents that summarize each initiative.

Q. Are labor savings reflected in some of the initiatives?

A. Yes. National Grid conducted a review of staffing levels at certain functions to ensure that teams were appropriately aligned and staffed to meet regulatory, safety, and customer obligations. This review resulted in a modest reduction of FTEs. Savings from these positions are included in various initiatives in ILs 4 and 5 and reflected in the Rate Year labor forecast (See Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1). Because the labor forecast is based on the number of employees as of December 31, 2018 – the end of the Historic Test Year – any employee who left National Grid before that date was captured in the Historic Test Year headcount used to develop the Rate Year forecast.

Q. Has National Grid reflected KEDNY and KEDLI's full share of O&M savings from the Accelerate Program?

A. Yes. All known initiatives that are forecast to deliver measurable benefits have been identified in Wave and reflected in the case. If any initiative moves into ILs 4 or 5 after the initial filing, the Company will make an adjustment to reflect any benefits in corrections and updates.

Q. What is the total level of O&M savings reflected in the revenue requirements in the Rate Year from the Accelerate Program?

A. In the Historic Test Year and post-Historic Test Year period, there were 53 initiatives with achieved or forecast O&M savings that impacted KEDNY and KEDLI. As shown in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1, the Company reduced the Rate Year revenue requirements by $30.959 million for KEDNY and $12.147 million for KEDLI to reflect their share of savings. These amounts are before netting costs to achieve of $0.845 million for KEDNY and $0.527 million for KEDLI. The Company proposes to amortize the costs to achieve over four years and net the cost against the savings, as shown in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1.

To appreciate the magnitude of efficiencies delivered from the Accelerate Program alone, the approximately $31 million and $12 million of savings reflected in KEDNY and KEDLI's respective revenue requirement is almost eight times the size of the one percent productivity adjustment that is traditionally incorporated in a utility's rate filing for KEDNY, and approximately six times the size of that adjustment for KEDLI.

Q. Has the Company imputed further efficiency savings by including a productivity adjustment?

A. While the Company does not believe that a separate productivity adjustment is warranted given the level of savings reflected in the revenue requirements from the Accelerate Program, the Company included an adjustment in the interest of moderating customer bill impacts, limiting the number of issues in the case, and to account for the possibility that initiatives in ILs 0 to 3 may move into ILs 4 or 5 in the Rate Year. The productivity adjustment reduces the revenue requirements by $3.890 million and $2.020 million for KEDNY and KEDLI, respectively. The adjustment is equal to one percent of KEDNY and KEDLI's total labor costs and payroll taxes. The adjustment is shown in Exhibit ____ (RRP-3), Schedule 28.

Q. How are initiatives that targeted capital project savings reflected in the filing?

A. Many of the initiatives improve the efficiency of the Company's capital construction program. A significant enabler is the creation of the Capital Delivery organization. The expectation is that projects delivered by the Capital Delivery organization will see savings once the Capital Delivery process has been fully implemented. At this time, however, it is difficult to forecast the level of potential savings, as the organization is new and has not

yet had the opportunity to implement initiatives impacting the Company's full portfolio of capital projects. The Company reflected savings where it had a reasonable basis to do so, as described in the testimony of KEDNY and KEDLI's GIOPs. To capture the full value of potential capital benefits from the Accelerate Program, the Company is proposing to continue the downward-only net plant and depreciation reconciliation.

Q. Please summarize the level of savings that KEDNY and KEDLI have reflected in these filings.

A. The Rate Year reflects approximately $31 million and $12 million in O&M savings for KEDNY and KEDLI, respectively. Although the Accelerate Program ends in the Rate Year, the Company carried this same level of savings forward in each of the Data Years and applied inflation. In doing so, the Company is assuming the risk that this level of savings can not only be achieved but sustained in subsequent years. On top of this, the Company is adding a one percent productivity adjustment in each year. Thus, the Company not only is taking the risk that the savings from the Accelerate Program will not be offset by new costs from incremental work, but also that the Company would find one percent more in additional, unidentified savings each year. The combined level of O&M savings reflected in the filing is as follows:

Table 6: Rate Year Savings

KEDNY

Item	Rate Year
Accelerate Program	$30.959 million
Productivity adjustment	$3.880 million
Total	**$34.839 million**

KEDLI

Item	Rate Year
Accelerate Program	$12.147 million
Productivity adjustment	$2.020 million
Total	**$14.167 million**

This is a significant level of savings that is being included to attempt to mitigate the rate request in these proceedings. It is unknown if such a level can be achieved.

VI. Depreciation Expense

Q. Please describe Exhibit ___ (RRP-4).

A. Exhibit ___ (RRP-4) consists of a summary page that presents the Company's actual Historic Test Year depreciation expense, along with the forecasts based on depreciable plant in service in the Rate Year and Data Years.

Q. Please describe how the Company developed depreciation expense for the Rate Year and Data Years.

A. Depreciation expense for the Rate Year and Data Years was developed by multiplying the monthly depreciable base for each plant account by applicable composite depreciation rates. The monthly depreciable base for each plant account is the monthly forecast beginning balance, which includes the prior month's estimated additions to plant in service, less the prior month's estimated retirements from plant in service. The composite depreciation rates were developed based on depreciable plant balances as of December 31, 2018.

Q. What depreciation rates is the Company utilizing for gas plant?

A. The Company is utilizing the depreciation rates approved in the 2016 KEDNY and KEDLI Rate Cases to compute Rate Year and Data Years depreciation and amortization expense for all gas plant except leak prone pipe assets.

Q. Did the Company perform a full depreciation study?

A. No. As explained in the direct testimony of Company Witness Paul M. Normand, the Company is proposing to utilize the depreciation rates approved in the 2016 KEDNY and KEDLI Rate Cases in this proceeding. The Company's depreciation rates were approved only three years ago, and the Company is not aware of any changes in the circumstances that affect the

establishment of depreciation rates for most of the Company's assets such that a new full study is warranted. As further explained in Mr. Normand's testimony, as the Company has accelerated, and will continue to accelerate, the replacement of leak prone pipe assets, it is providing a limited depreciation study of leak prone pipe assets in this proceeding.

Q. What is the forecast depreciation expense for the Rate Year and Data Years?

A. The annual provision for depreciation and amortization expense for KEDLI's gas plant is $108.132 million for the Rate Year and $115.750 million, $122.674 million and $130.282 million for Data Years 1, 2, and 3, respectively, as shown in Exhibit ___ (RRP-4) , Summary Page 1. The forecast includes $26.555 million related to the Company's accelerated leak prone pipe program, as described in Mr. Normand's testimony.

Q. What is the effect of the changes in the proposed depreciation rates for leak prone pipe assets on gas depreciation expense in the Rate Year and Data Years?

A. The annual provision for depreciation and amortization for gas plant would increase (compared to existing rates) by approximately $24.477 million in the

Rate Year and all Data Years as a result of using the proposed depreciation rates.

VII. Taxes Other Than Income Taxes

Q. Please describe Exhibit ____ (RRP-5).

A. Exhibit ___ (RRP-5) consists of a summary and four schedules showing real estate taxes, payroll taxes, other taxes, and gross revenue taxes for the Historic Test Year, Rate Year, and Data Years to present the total taxes other than income taxes booked to FERC Account 408.1. Schedule 1 presents real estate taxes for the Historic Test Year, Rate Year, and Data Years. Schedule 2 contains the computation payroll taxes for the Rate Year and Data Years based on tax rates currently in effect relative to labor costs forecast in Exhibit __ (RRP-3), Schedule 23, and allocated among expense, capital, and other accounts. Schedule 3 presents other taxes. Schedule 4 provides a calculation of gross revenue taxes for the Historic Test Year, Rate Year, and Data Years and is based on the operating revenues shown on Exhibit __ (RDP-2).

Q. How did the Company forecast real estate taxes?

A. The forecast of real estate taxes is based on KEDLI's actual calendar year 2018 property tax expense, updated for the property tax allocations based on the Office of Real Property Tax Services ("ORPS") calculation methodology,

then adjusted for known changes in the obsolescence allowance and application of a growth factor to account for anticipated increases. The amount is then increased for real estate tax expense associated with incremental additions. Estimated savings from the property tax mitigation Accelerate Program initiative were included in the forecast. The forecast is more fully discussed in the direct testimony of the Shared Services Panel.

Q. Are there any new adjustments to other tax expense?

A. Yes, the Company is including the forecast New York State capital tax in the Rate Year. On the New York combined return, National Grid pays based on the greatest of four different measures. When National Grid is in a loss position, the tax is based on the capital of National Grid. For fiscal year end March 31, 2018, National Grid paid the $5 million maximum capital tax. However, New York law is phasing out the capital tax and reducing the rate. As a result, the Company is only requesting recovery of the capital tax in the amount of $0.639 million in the Rate Year and removing any capital tax expense in the Data Years. Please see Workpaper 3 to Exhibit ___ (RRP-5), Schedule 3 for the computation of the capital tax.

VIII. Federal and State Income Tax

Q. Please describe Exhibit __ (RRP-6).

A. Exhibit __ (RRP-6) consists of five pages. Page 1 shows the computation of federal income tax expense ("FIT") and state income tax expense ("SIT") for the Rate Year. Page 2 shows the computation of FIT and SIT for Data Year 1. Page 3 shows the computation of FIT and SIT for Data Year 2. Page 4 shows the computation of FIT and SIT for Data Year 3. Page 5 shows the computation of the deductions for interest expense for the Rate Year and Data Years. If changes in the tax law become known during this proceeding, the Company will provide appropriate adjustments to the income tax expense rates.

Q. Please describe the method used to calculate the provision for FIT and SIT in the Rate Year and Data Years.

A. Beginning with operating income before income taxes, adjusted by interest expense in the revenue requirement model, the Company made adjustments for those items that are treated differently for book and income tax purposes and have a net effective income tax rate impact. Specifically, the Company made adjustments for the permanent 50 percent disallowance for meals expense and flow through treatment for equity allowance for funds used during construction ("AFUDC") and book depreciation on equity AFUDC.

The results are multiplied by the statutory federal or state tax rate presently effective for the Rate Year. Income tax discrete amortizations are separately included to arrive at net federal and state income tax expense. The federal portion includes the benefit of the state tax deduction.

Q. Please explain the "New York State Rate Change" adjustment the Company made to FIT and SIT expense.

A. In 2014, New York State enacted a law reducing the state income tax rate from 7.1 to 6.5 percent, which was effective for the Company in April 2016. In the 2016 KEDNY and KEDLI Rates Cases, the deferred tax impact of the rate change was an estimate and amortized over ten years. The state income tax rate change amount is now final. Therefore, the Company adjusted the annual amortization to return the remainder of the trued-up excess state deferred income tax over the remainder of the ten-year amortization period. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-6), Workpaper 1 includes a detailed amortization schedule. This amortization reduces the Company's effective tax rate.

Q. Please explain the "Excess ADIT Amortization" tax only item the Company included in FIT expense.

A. On December 22, 2017, the Tax Cuts and Jobs Act (the "Act") was enacted resulting in significant changes in federal income taxation for the Company. Most notably, the federal income tax rate was reduced from 35 percent to 21 percent. The Commission issued an "Order Instituting Proceeding" on December 29, 2017 to address the impact on utility rates of the Act and to express the intent of the Commission to preserve the net benefits of the Act for customers. In December 2017, the Company recorded the rate change reduction to accumulated deferred income tax ("ADIT") with an offset to an income tax regulatory liability, recognizing that customers should receive the benefit of the lower rate on the accumulated book-tax temporary differences. After the filing of the March 31, 2018 federal income tax return, the Company finalized the ADIT rate change. The Rate Year and Data Years include the amortization of excess federal ADIT for the benefit of customers. This amortization reduces the Company's effective tax rate and mitigates the rate increase to customers.

Q. Please explain how the annual federal excess ADIT amortization was calculated.

A. The Company has split the excess ADIT between protected plant, unprotected plant, net operating loss ("NOL"), and unprotected non-plant balances. The split between protected plant and unprotected plant was determined following the implementation of a deferred tax module to the tax depreciation system, PowerTax. Protected plant excess ADIT relates to the temporary differences between book and tax depreciation methods and lives only. The IRS normalization regulations require the Average Rate Assumption Method ("ARAM") as the proper way calculate the return of protected excess ADIT if the Company has the data available to implement ARAM. The PowerTax system is able to quantify the ARAM amortization for protected plant excess ADIT by applying the current book depreciation rates against the tax basis. The Company has a forecast of ARAM amortization for the Rate Year and Data Years from PowerTax. This amount is reflected in Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-6), Workpaper 2.

Unprotected plant excess ADIT is a result of book and tax basis differences such as the repair deduction and contributions in aid of construction and other plant temporary differences such as the current tax deduction for cost of removal spending. The Company proposes to use an amortization period

representing the average remaining book life of the net book value of plant assets to return the unprotected balances to customers. The NOL unfunded ADIT is classified as a protected asset as it was the difference between book and tax depreciation, including bonus depreciation, that caused the Company to be in an NOL position. There has been no IRS guidance around the suggested method to amortize this asset. The Company is amortizing the unfunded NOL ADIT in the same amount as the protected plant amortization until it is fully utilized.

An analysis was performed on the non-plant related unfunded ADIT to determine the primary temporary differences that caused the balance and the most reasonable reversal life of those temporary differences. For KEDLI, the amortization life for unfunded non-plant related ADIT is 14 years. The Company also included an allocated amortization, over a ten-year life, of National Grid Service Company excess ADIT. Exhibit __ (RRP-11), Workpapers to Exhibit ___ (RRP-6), Workpaper 2 includes the excess ADIT base by category and amortization amounts.

IX. Rate Base

Q. Please describe Exhibit __ (RRP-7).

A. Exhibit __ (RRP-7) consists of a summary and six schedules. The summary presents the rate bases for the Historic Test Year, Rate Year, and Data Years. Schedule 1 presents the monthly average balances of net utility plant for the Rate Year and Data Years. Schedule 2 presents forecast monthly average balances of regulatory assets and liabilities for the Rate Year and Data Years by account. Schedule 3 presents federal and state ADIT for the Rate Year and Data Years. Schedule 4 presents the O&M cash allowance included in working capital for the Historic Test Year, Rate Year, and Data Years. Schedule 5 presents the lead lag study reflecting the working capital requirements associated with commodity purchases. Schedule 6 presents the comparison of Average Historic Rate Bases and Historic Capitalization. The difference between these components represents the adjustment for Excess Earning Base included on Page 4 of Schedule 6. Schedule 6 also sets forth materials and supplies and prepayments, which are components of working capital.

A. Forecast of Net Utility Plant In Service

Q Please explain Schedule 1 of Exhibit __ (RRP-7).

A. Schedule 1 consists of six pages and presents the monthly average balances of net utility plant for the Rate Year and Data Years. Pages 1, 2, 3, and 4 present the monthly average balances of gas net utility plant in the Rate Year and Data Years. Pages 5 and 6 present the forecast of capital expenditures and cost of removal.

Q. Please generally describe the methodology utilized to determine the forecast of average net utility electric and gas plant.

A. Estimates of monthly plant in service, depreciation reserve, and non-interest bearing construction work in progress ("CWIP") balances are required to forecast the average net utility plant for the Rate Year and Data Years and are included in rate base pursuant to Commission precedent. The Company's projection of these monthly balances incorporates the following data: (i) historic plant in service; (ii) historic depreciation reserve; (iii) historic CWIP; (iv) historic retirement work in progress ("RWIP"); (v) forecast capital expenditures; (vi) forecast net cost of removal; (vii) forecast closings to plant in service; (viii) forecast retirements; and (ix) forecast depreciation.

Schedule 1, Page 5, of Exhibit __ (RRP-7) shows the forecast of capital expenditures grouped by various categories along with plant closing rules and/or in-service dates for several major projects. The categories were determined by grouping capital expenditures together that have similar construction periods for purposes of closing capital expenditures to plant in service and for applying similar composite depreciation rates. Page 5 shows a three-month capital forecast for the fiscal year ended March 31, 2019 and a five year capital forecast for the fiscal years ending March 31, 2020 through March 31, 2024. The capital forecasts provided in the Company's GIOP direct testimony included all capital related overheads, for example, Capital Addition Distributables ("CAD") and AFUDC. For gas direct capital forecasts, the Company allocated fiscal year total construction expenditures into monthly cash flows based on their respective two-year average percentage for calendar years 2017 and 2018. For Facilities, Fleet, Supply Chain, and Future of Heat capital forecasts, the Company utilized the monthly cash flows provided by each department. Those estimated monthly expenditures were added to the CWIP balances at December 31, 2018.

Closing rules were developed to forecast additions to plant in service by analyzing and adjusting the Historic Test Year's plant closing for each

grouping level being forecast. Consistent with the analysis, the following closing rules were developed:

Gas Storage	9 months
Gas Mains and Services	4 months
Gas Meters and House Regulators	2 months
Gas Measuring and Regulating Station	6 months
Gas General Plant	2-9 months

The monthly expenditures were closed to plant in service the month after the applicable closing rule. For major projects with in-service dates provided, the expenditures were closed to plant in service in the month of the estimated in-service date.

The outstanding CWIP balances were allocated each month between interest and non-interest bearing CWIP based on an average historic percentage. The average historic percentage was developed by analyzing and adjusting the Historic Test Year's non-interest bearing CWIP and total CWIP. Forecast plant in service was developed by adding the monthly closings from CWIP for the period January 2019 through the Rate Year to the December 31, 2018 plant in service balance, and forecast retirements for the same period were

subtracted. Plant retirements were developed by analyzing and adjusting the Historic Test Year retirements as a percentage of adjusted Historic Test Year additions in aggregate. The historic retirement percentages were applied to forecast plant additions, excluding additions related to new construction major projects (*e.g.,* the Northwest Nassau project). General equipment retirements were estimated based on amortization schedules provided by Plant Accounting. Estimated retirements were included in both the plant in service and depreciation reserve ending balances each month. The depreciation reserve was developed starting with the Historic Test Year ending reserve balance, including RWIP at December 31, 2018, and adding forecast depreciation expense and subtracting forecast retirements and net cost of removal each month for the period January 2019 through March 31, 2021. Schedule 1, Page 6, of Exhibit __ (RRP-7) shows the estimated forecast cost of removal, which was based on information provided by the GIOP and Future of Heat Panel, grouped in the appropriate categories. Schedule 1, Page 6, shows a three-month forecast for the fiscal year ended March 31, 2019 and a five-year forecast for the fiscal years ended March 31, 2020 through March 31, 2024. Cost of removal was cash flowed consistent with the methodology utilized to cash flow the associated capital forecast.

B. Deferred Taxes

Q. Please explain the purpose of Schedule 3 of Exhibit __ (RRP-7).

A. Schedule 3 shows the average federal and state ADIT for the Historic Test Year, Rate Year, and Data Years, which reduce rate base.

Q. How did the Company develop the forecast of ADIT?

A. The Company began with the actual ADIT balances as of December 31, 2018 and calculated the forecast based on changes in plant and regulatory assets and liabilities. The Company then made additional adjustments for NOL utilization and tax amortizations to arrive at the forecast ADIT balances for the Rate Year and Data Years, as shown in Exhibit ___ (RRP-7), Schedule 3.

Q. Please explain the proration adjustment as it relates to the forecast of changes in accumulated deferred federal and state income tax.

A. Sections 1.167(1)-1(h)(6) of the federal income tax regulations provide requirements for the amount of reserve for deferred income tax that is included as a reduction to rate base in a rate filing. Part (ii) of this subsection requires a proration of monthly deferred tax amounts if the rates relate to a "future" period. Proration is not, however, required for a "historic" period. "Future" periods are forecast periods after the date rates go into effect. "Historic" periods are all periods before the effective date for rates even if the

underlying data is an estimate. In the filing, deferred tax balances are projected for each rate year. On the date the new rates go into effect for each year, the entire year is a "future" period, so the entire year's accumulated deferred tax movement is subject to proration. The pro rata portion is determined by multiplying the monthly movement in deferred tax by a fraction, the numerator being the number of days remaining in the future period as each month's deferred tax movement occurs and the denominator being the total number of days in the future period. Only the ADIT changes for the difference between book and tax depreciation is subject to proration.

Q. Please explain the change in ADIT related to plant changes.

A. The Company used its tax depreciation system, PowerTax, to forecast the tax depreciation on historic plant balances as of March 31, 2018, the fiscal year end of the most recently filed federal income tax return. All additional changes in ADIT related to plant are a direct result of forecast plant additions, forecast cost of removal, and forecast book depreciation. The Company forecast tax deductions related to plant additions in two layers. The first layer was the new plant additions eligible for the repair deduction. The repair rate was applied as a percentage of total capital expenditures. The percentage was an estimate based on a trend analysis of the actual results of the prior three fiscal years' tax return study for capital plant repairs. The plant tax basis after

the deduction for repairs was then subject to Modified Accelerated Cost Recovery System ("MACRS") depreciation, using a 20-year tax life. All tax plant deductions were compared to book depreciation and federal and state ADIT was computed on the temporary difference.

Q. Why is bonus depreciation not included in the ADIT forecast?

A. Under the Act, regulated public utilities were generally prohibited from taking bonus depreciation deductions on assets placed in service after September 27, 2017. This provision was tied to the provision that permitted regulated public utilities to be exempt from the interest expense limitations under new section 163(j). New proposed regulation 104397-18 was issued in August 2018. Because the bonus depreciation rules and interest limitation rules of the Act were linked and because the interest limitation rules did not go into effect until the first taxable year after December 2017, the Company was able to take bonus depreciation on plant placed in service after September 27, 2017 through the fiscal year end March 31, 2018. However, the Company interprets the proposed regulation as not allowing bonus depreciation after March 31, 2018 and there are no bonus depreciation deductions used in the computation of plant related ADIT in the Rate Year or the Data Years.

Q. Please explain the other discrete adjustments to rate base ADIT.

A. Rate base ADIT includes an asset for NOL because the consolidated federal return, including the Company, is in a loss position. The Company expects the consolidated group to begin to utilize NOL carryforwards with the fiscal year ended March 31, 2019 tax return and subsequent fiscal years. The Company included an estimate of the utilization of NOL carryforwards as a reduction to rate base in each Rate Year and Data Years until fully utilized. The Company is also increasing rate base as the New York State income tax rate change is amortized through the income tax expense component of the revenue requirement, as described above.

Q. What other impact does tax reform have on rate base ADIT?

A. To maintain rate base neutrality after an income tax rate change, the Company needs to include the tax regulatory liability in rate base along with the ADIT that has been restated to the new 21 percent federal rate. The Company presently includes only the tax regulatory liability that relates to the tax rate change on rate base ADIT. Beginning in the Rate Year, the Company will include the entire rate change tax regulatory liability in rate base. This methodology will make it easier to track and audit the reversal of excess ADIT and make calculations of carrying charges that are net of tax easier. The Company will leave the entire excess ADIT in the regulatory liability

account until the amortization begins in the Rate Year. The average ADIT balances in the Rate Year and Data Years include the reversals of excess ADIT that are included in the income tax expense component of the revenue requirement.

Q. How did the Company reflect changes in regulatory assets and liabilities in the forecast?

A. Because the change in most regulatory assets and liabilities results in a book-tax timing difference, the existing deferred tax balances on the regulatory accounts included in rate base were adjusted by any forecast change in those accounts in the Rate Year and Data Years.

C. Working Capital

Q. Did the Company make any adjustments for working capital?

A. Yes. As shown in Exhibit ___ (RRP-7), Schedule 4, the Company made the traditional adjustments to reflect one-eighth of O&M expense in rate base for the working capital allowance along with an EBCAP adjustment.

Q. Please explain the adjustment for gas purchases.

A. Schedule 5 of Exhibit __ (RRP-7) presents the calculation of the carrying charge applicable to the working capital requirements associated with gas

purchases based on the lead-lag studies contained in this schedule. The Company used the same methodology that was approved by the Commission in the 2017 NMPC Rate Case and 2016 KEDNY and KEDLI Rate Cases for the gas study.

Q. What are the lead-lag studies used to measure?

A. The lead-lag studies are used to measure the working capital needed by the Company to support its gas purchases. The Company is required to provide working capital for the time between when the Company pays its suppliers for gas purchases and the time the Company receives payments for these purchases from its customers. The results of the studies are used to determine the working capital necessary for purchased gas expense.

X. Regulatory Assets and Liabilities

Q. Please explain Schedule 2 of Exhibit __ (RRP-7).

A. Schedule 2 of Exhibit __ (RRP-7) sets forth KEDLI's regulatory assets and liabilities. The schedule lists the Historic Test Year and forecast balances by account.

A. Assets and Liabilities

Q. Please describe each deferral account.

A. Appendix A to the Panel's testimony describes the basis for each of the regulatory deferral accounts that have forecast balances through December 31, 2018. The appendix includes the actual deferral balance at the end of the Historic Test Year and a table showing the forecast balance through March 31, 2020.

Q. How does the Company propose to treat the deferral account balances identified in Appendix A?

A. The Company is not proposing to include the deferral account balances in rates in this proceeding. The Company proposes to continue to apply carrying charges to the deferral balances, as previously approved by the Commission.

Q. How does the Company propose to treat legacy deferral account balances that have been inactive?

A. The Company has on its books several deferral accounts that have not had any activity for quite some time. These accounts are listed in Table 7 below. Apart from Account #U1823284 – TC/IT Sharing, these accounts have been reviewed by Staff in the KeySpan deferral audit. In the interest of simplifying the Company's balance sheet, as well as reducing the administrative burden

on the Company and Staff associated with tracking, reporting, and reviewing these inactive accounts, the Company believes these accounts should be consolidated and closed. The Company proposes to net together these regulatory assets and liability accounts, creating a single deferral account with a credit balance of approximately $12.9 million.

Table 7 – KEDLI Inactive Deferral Accounts

GL Account	Account Desc	Appendix A Category	Balance at 12/31/2018 (in 000's)
U1823069	Rate Mitigation	Rate Mitigation	32,209.0
U1823284	TC IT Sharing	Temperature Controlled and Interruptive Service Sharing	49,420.2
U1823310	TBA Amortization	Transition Balancing Account	16,000.0
U2540065	Cost to Achieve	Costs to Achieve	(7,702.4)
U2540105	Excess Earnings	Transition Balancing Account	(6,813.0)
U2540197	Rate Subj to Refund	Rates Subject to Refund	(11,413.3)
U2540214	Gas East Balancing	Gas East Balancing Account	(1,690.9)
U2540231	Del Rate Adj	Delivery Rate Adjustment	(82,870.2)
		Total Net Balance	**(12,860.6)**

B. Other Assets and Liabilities

Q. Please describe the other deferral accounts shown in Schedule 2 of Exhibit __ (RRP-7).

A. Table 8 below summarize the actual balance for the other assets and liabilities accounts shown in Exhibit __ (RRP-7), Schedule 2 at the end of the Historic Test Year, the forecast balance at the start of the Rate Year, and the proposed treatment for accounts not included in rate base.

Table 8 – KEDLI Other Accounts (included in Rate Base)

Account	Actual Account Balance at 12/31/18	Forecast Account Balance at 3/31/20	Proposed Treatment
Rate Case Expense	$0.369 million	$0.963 million	For the term of the rate plan
Unamortized Debt Expense	$4.756 million	$4.249 million	Continue current amortization
Cost Sharing Agreement	$3.138 million	$3.337 million	No request for amortization
Total Other Assets in Rate Base	**$8.263 million**	**$8.549 million**	

Q. Please describe the Unamortized Debt Expense account.

A. This account relates to costs associated with the issuance of debt. These costs are the unamortized cost to issue debt that are capitalized and amortized over the life of the debt.

Q. Please describe the Cost Sharing Agreement account.

A. This account reflects the costs associated with city/state construction ("CSC") reimbursable projects recoverable from the City of New York (the "City"). These costs are the operating expense related to CSC – (Public Works) reimbursable capital investment. These costs are not amortized. This account is adjusted when payments are received from the City.

Q. Please explain the Rate Case Expense account.

A. The current balance represents the remaining rate case costs from Case 16-G-0059 to be amortized in calendar year 2019. The forecast balance represents the forecast costs of preparing this rate filing.

Q. How does the Company propose to treat the balances of these accounts?

A. The Company proposes to recover these balances in base rates over the various amortization periods described in Table 8 above.

XI. Inflation Factors

Q. Please explain Exhibit __ (RRP-8).

A. Exhibit __ (RRP-8) sets forth the table of inflation factors used to escalate expense and capital expenditures from the Historic Test Year to the Rate Year

and Data Years. The exhibit consists of a Summary Page detailing the escalation rates.

Q. What inflation adjustment did the Company use for O&M expense?

A. The inflation adjustment factor for determining the level of O&M expense in the Rate Year is 4.870 percent. This is equivalent to 2.644 percent average annual increase between the Historic Test Year and the Rate Year.

Q. How was this inflation adjustment factor calculated?

A. The calculation is detailed in Exhibit __ (RRP-8). The approach uses the GDP Chained Price Index ("GDPIPD") as the measure of the price level and percent changes in this index as the measure of inflation. The GDPIPD is released quarterly by the US Department of Commerce, Department of Economic Analysis. The inflation adjustment factor is calculated by relating the average of the GDPIPD in the Historic Test Year (the four quarters ended December 31, 2018) to the average of the forecast GDPIPD in the Rate Year (the four quarters ended March 31, 2021). Inflation between the Historic Test Year and Data Years was calculated in the same fashion.

XII. Proposed Treatment of Existing Regulatory Deferral Accounts and New Reconciliation Mechanisms

Q. Please describe the use and nature of regulatory deferral accounts.

A. Regulatory deferral accounts are used to track and reconcile expenses and associated revenue recoveries to ensure that the appropriate amount of costs are recovered from or returned to customers. As discussed above and in Appendix A, KEDLI has a number of deferral accounts previously created pursuant to various Commission orders. This section of the testimony will discuss:

(i) the Company's proposals to maintain or discontinue existing deferral accounts;

(ii) the Company's proposals to revise certain existing deferral accounts;

(iii) the Company's proposals to implement new regulatory reconciliation mechanisms that address discrete issues;

(iv) the Company's proposals to include a return on any balances in the deferral accounts using the weighted average cost of capital for KEDLI established in this proceeding; and

(v) the Company's proposed recovery mechanism for these accounts.

Q. Does the Company propose to continue or discontinue any existing deferral mechanisms?

A. Yes. Appendix A shows the existing deferral mechanisms that the Company proposes to continue (labeled as "ongoing") or discontinue.

Q. Is the Company proposing any new or revised deferral mechanisms in this filing?

A. Yes. In addition to the deferrals identified for continuation in Appendix A, the Company proposes to modify some existing deferral mechanisms and establish some new ones.

With respect to new deferral mechanisms, the Company proposes the following:

- As discussed in the direct testimony of the Shared Services Panel, the Company proposes to fully reconcile credit card and debit card costs.
- The IT Panel describes the Company's proposal to defer for future recovery the difference between costs included in rates for the S/4 HANA project and actual project costs.
- As discussed in the direct testimony of the Future of Heat Panel, the Company proposes deferrals related to the Economic

Development Discount program, Geothermal Demonstration project, and ETIP costs.

- Finally, as discussed in the direct testimony of Company Witness Maureen P. Heaphy, the Company proposes to defer for future recovery the costs associated with the healthcare excise tax that may be assessed in 2020 or beyond, consistent with the deferral treatment approved by the Commission in the 2017 NMPC Rate Case.

The Company proposes to modify the following existing deferral mechanisms:

- As discussed in the Shared Services Panel's direct testimony, the Company is proposing to continue the current property tax reconciliation but modify it to a full symmetrical reconciliation given the variability, uncertainty, and difficulties associated with forecasting property tax expense.
- As discussed in the GIOP, the Company proposes to modify the current CSC capital reconciliation to a full true-up (from the current 90 percent/10 percent sharing mechanism).

- Finally, KEDLI's Rate Design Panel explains the proposed modifications to the New York Facilities System surcharge reconciliation and the Revenue Decoupling Mechanism.

Q. Please explain Exhibit __ (RRP-9).

A. Exhibit __ (RRP-9) consists of two schedules.

Schedule 1 summarizes the Rate Year threshold allowances for the new and modified deferral mechanisms.

Schedule 2 illustrates the proposed CSC capital reconciliation. As explained in the direct testimony of the GIOP, to the extent that KEDLI's actual capital spending for CSC work differs from the level included in rates, KEDLI will defer the revenue requirement effect for future recovery from or return to customers.

In addition, as discussed by the GIOP, the Company proposes to modify the current Gas Safety and Reliability surcharge. Exhibit ___ (GIOP-3) to the GIOP's testimony illustrates the Gas Safety and Reliability surcharge that would include: (i) unit cost productivity incentives; (ii) costs for incremental proactive leak prone pipe replacement and Type 3 leak repairs; and (iii)

incentives earned for leak repairs and leak prone pipe replacement. In addition, as explained in the GIOP's testimony, if the requirements associated with the new professional engineering certification and operator qualification requirements are finalized after rates are set in this proceeding, the Company proposes to recover those costs through the surcharge.

Q. What does the Company propose with respect to these new reconciliation mechanisms for the years following the Rate Year?

A. The reconciliation mechanisms would continue to operate in the years after the Rate Year. The Company will maintain the authorized revenue requirement established in this case as the baseline cost for each deferral.

Q. Does the Company propose that carrying charges be applied to the new deferral accounts?

A. Yes. Except for non-cash pension and OPEB items, carrying charges calculated at the weighted average cost of capital used to set rates in this case should be applied to these deferral accounts, consistent with the Commission's Order in the 2016 KEDNY and KEDLI Rate Cases and the 2017 NMPC Rate Case.

Q. Why are pension and OPEB assets and liabilities exempt from carrying charges?

A. Pursuant to the Commission's P&OPEB Policy, utilities need only fund the respective trusts when the amounts deferred are collected from customers. Because the Company does not advance cash to fund the deferred amount, no carrying charge is warranted. When the Company recovers the deferral, it places the funds into the pension or OPEB trusts.

Q. Does the Company propose to update information on the regulatory deferral accounts throughout this proceeding?

A. Yes. The Company proposes to update the regulatory deferral accounts, if necessary. This is consistent with updates made in prior Company rate cases. If necessary, additional updates will be provided as appropriate.

XIII. Miscellaneous

Q. Please describe Exhibit __ (RRP-10).

A. Exhibit __ (RRP-10) consists of 12 schedules that set forth various historic financial data in accordance with Commission regulations.

Q. Please describe Exhibit __ (RRP-11).

A. Exhibit __ (RRP-11) contains the workpapers supporting the exhibits sponsored by this Panel.

Q. Please describe Appendix B.

A. Appendix B sets forth the Company's current and proposed revenue adjustments and incentives.

The Future of Heat Panel discusses the Company's proposal to implement earnings adjustment mechanisms, a non-pipe alternative incentive mechanism, Empower Replacement Program incentive, and platform service revenues associated with the Company's e-commerce platform and UESC program. The GBE Program incentive is described in the testimony of Company Witness Christopher J. Connolly. Finally, the GIOP and Gas Safety Panel discuss the unit cost productivity incentives and the gas safety performance metric incentives, respectively.

Q. Does this conclude the Panel's direct testimony?

A. Yes, it does.

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Supplemental Direct Testimony

of

Revenue Requirements Panel

Date: June 11, 2019

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I. Introduction

Q. Please identify the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct testimony on behalf of KeySpan Gas East Corporation d/b/a National Grid ("KEDLI" or "Company") in this proceeding?

A. Yes. The terms defined in the Panel's direct testimony have the same meanings here.

II. Purpose of Testimony

Q. What is the purpose of the Panel's supplemental direct testimony?

A. The Panel's supplemental direct testimony discusses the impact to KEDLI's April 2019 rate filing if the Company is unable to obtain incremental natural gas supplies from Transcontinental Gas Pipe Line, LLC's Northeast Supply Enhancement ("NESE") project. As discussed more fully in the supplemental testimony of Company Witness Elizabeth D. Arangio, recent decisions by the New York State Department of Environmental Conservation and the New Jersey Department of Environmental Protection regarding required water permits create uncertainty as to whether and when

the NESE project may proceed with permitting and construction. While the Company remains cautiously optimistic the NESE project will go forward, and therefore is not proposing any changes to its April 2019 filing at this time, the Panel addresses the impact that continued gas supply constraints would have on KEDLI's revenue requirements.

Q. Does the Panel's supplemental direct testimony include any exhibits?

A. Yes. The Panel's supplemental direct testimony includes the following exhibits that were prepared or compiled under our direction and supervision:

Exhibit __ (RRP-1S)	Statement of Gas Operating Incomes, by Component, for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021 (without the NESE project);
Exhibit __ (RRP-3S)	Gas O&M Expenses by Expense Type for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project);
Exhibit __ (RRP-4S)	Gas Depreciation Expenses for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project);
Exhibit __ (RRP-5S)	Gas Taxes Other than Income Taxes for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years

	Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project);
Exhibit __ (RRP-6S)	Gas Federal and State Income Taxes for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project); and
Exhibit __ (RRP-7S)	Gas Rate Bases for the Historic Test Year Ended December 31, 2018, Rate Year Ending March 31, 2021, and Data Years Ending March 31, 2022, March 31, 2023, and March 31, 2024 (without the NESE project).

In preparing these exhibits, the Panel utilized information supported by the supplemental direct testimonies of Elizabeth D. Arangio, Theodore Poe, Jr., and the Gas Infrastructure and Operations Panel ("GIOP").

III. Impact of the Unavailability of the NESE Project

Q. What is the impact to KEDLI's revenue requirement if the NESE project is not available as planned?

A. The April 2019 filing reflected a Rate Year revenue requirement that was $49.4 million greater than revenue at present rates. Assuming the NESE project is unavailable, the impact to the revenue requirement is an increase of $15.2 million, to $64.6 million, as shown in Exhibit __ (RRP-1S), Summary.

Q. What are the primary drivers for the increase to KEDLI's revenue requirement?

A. As shown in Table 1 below, the primary drivers of the increase to the revenue requirement are reductions in forecast delivery revenues and purchased gas costs of approximately $75.7 million and $52.6 million, respectively, which result in a decrease in gross margin of $23.1 million. This is offset by the impact of lower capital expenditures (*e.g.*, decreases to the return on rate base and depreciation) and lower O&M expense.

Table 1 – Revenue Requirement Impact for No-NESE Scenario

Drivers:			**($000's)**
Decrease in Return on Rate Base (Net Utility Plant and flow through ADIT)			$ (4,728)
Decrease in O&M (New inititiaves, Incentive program & Uncollectible flow through)			(2,357)
Decrease Revenue forecast	75,708		
Decrease in Purchased Gas Costs	(52,624)		
Net Decrease in Gross Margin	23,084		23,084
Depreciation Expense			(647)
Other			(128)
Revenue Requirement			$ 15,225

Q. Please describe Exhibit ___ (RRP-1S).

A. Exhibit ___ (RRP-1S), Summary, presents the calculation of KEDLI's operating incomes for the Historic Test Year and Rate Year assuming the NESE project is not approved. Schedule 1 presents the update revenue forecast.

Q. Please explain the changes to the revenue forecast under a no-NESE project scenario.

A. The April 2019 filing reflected a Rate Year revenue forecast at present rates of $1,207.805 million (including ETIP). The Company calculated base delivery revenue, billing service fees, late payment charges, merchant function charge revenue, commodity revenue, and gross revenue taxes, after accounting for the changes to the sales forecast and the customer counts under a no-NESE project scenario, as supported by Company Witness Poe. In addition, the Company computed the commodity cost forecast to reflect the changes under a no-NESE project scenario, as discussed by Company Witness Arangio. As shown in Exhibit ___ (RRP-1S), Schedule 1, the updated revenue forecast at present rates is $1,132.097 million (including ETIP) under a no-NESE project scenario, a decrease of $75.708 million from the April 2019 filing, which includes a decrease to commodity revenue and gross revenue taxes of $52.624 million.

Q. Did the Company compute the bill impacts to customers under a no-NESE project scenario for a typical residential heat customer?

A. Yes. The Company first computed the billing determinants (deliveries in dekatherms and customer counts) derived from the updated sales forecast. To develop revenue targets for each rate class, the revenue increase assigned to each rate class in the April 2019 filing was increased by 26.9 percent, which produced the total revenue increase needed under the no-NESE project scenario. The rate design for the no-NESE project scenario includes the same customer charges as proposed in the April 2019 filing; the volumetric rates were changed as needed to produce the revenue targets. In the April 2019 filing, the proposed delivery increase for a residential heating customer using an average of 83 therms per month was 6.92 percent. Under a no-NESE project scenario, the proposed delivery increase for that same customer would be 8.8 percent.

Q. Please explain the impact to KEDLI's O&M expense forecast if the NESE project is not available.

A. Exhibit ___ (RRP-3S) presents a summary of KEDLI's forecast O&M expenses for the Rate Year and Data Years assuming the NESE project is not available followed by expense schedules that would be impacted under a no-NESE project scenario. The net impact to O&M expense is a Rate

Year decrease of $2.357 million from the April 2019 filing, consisting of the following:

- Schedule 27 (Other Initiatives) – adjustment to remove costs associated with the Enhanced Contractor Safety Inspections Program as a result of the forecast reductions to the capital work plan. The adjustment is discussed in the GIOP's supplemental direct testimony.
- Schedule 31 (Uncollectible Accounts) – flow-through adjustment of the changes to uncollectibles associated with the changes to revenue.
- Schedule 39 (Incentive Programs) – adjustment to remove the costs associated with KEDLI's proposed low-to-moderate income gas conversion program. As discussed in the supplemental testimonies of the GIOP and Company Witness Arangio, the Company will be unable to procure sufficient gas supplies to serve new firm customers under a no-NESE scenario. Therefore, this program would not be feasible.

Q. Will the unavailability of the NESE project affect KEDLI's forecast of depreciation expense in the Rate Year and Data Years?

A. Yes. A forecast of depreciation expense resulting from the changes to the capital work plan is presented in Exhibit ___ (RRP-4S). In the Rate Year, depreciation expense would be reduced from $108.132 million in the April 2019 filing to $107.485 million.

Q. Will the unavailability of the NESE project affect KEDLI's forecast of taxes other than income taxes in the Rate Year and Data Years?

A. Yes. Exhibit ___ (RRP-5S) includes a summary of changes to taxes other than income taxes and two schedules that have flow-through changes under a no-NESE project scenario. Schedule 1 presents real estate taxes and includes the flow through impact of the plant in service changes. Schedule 4 sets forth the impact of the revenue changes on gross revenue taxes. In the Rate Year, there is no change in real estate taxes from the April 2019 filing because of the lag between the time when plant is placed in service and taxes are assessed. The changes occur in the Data Years.

Q. Will the unavailability of the NESE project affect KEDLI's forecast of federal and state income taxes in the Rate Year and Data Years?

A. Yes. A forecast of federal and state income tax forecasts reflecting flow-through adjustments associated with the discrete adjustments described by this Panel is presented in Exhibit ___ (RRP-6S).

Q. Please explain the changes to rate base under a no-NESE project scenario.

A. Exhibit ___ (RRP-7S) includes the rate base summary and three schedules reflecting changes under a no-NESE project scenario. Schedule 1 presents

the forecast net utility plant and includes a summary of the impact on net utility plant and depreciation expense from the changes to the capital work plan supported by the GIOP. Schedule 3 sets forth the federal and state accumulated deferred income taxes reflecting the impact from the net utility plant adjustments. Lastly, Schedule 4 sets forth the working capital O&M cash allowance reflecting the impacts of the changes to Exhibit ___ (RRP-3S).

Q. Does the Company plan to continue to provide updates in this proceeding concerning the status of the NESE project?

A. Yes. KEDLI is cautiously optimistic that the NESE project will be approved. As the project's status is uncertain, the Company will update Staff and other parties throughout this proceeding and will supplement the record as further developments occur.

IV. Conclusion

Q. Does that conclude the Panel's supplemental direct testimony?

A. Yes.

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Corrections and Updates Testimony

of

The Revenue Requirements Panel

Dated: July 3, 2019

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I. Introduction

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct and supplemental direct testimony on behalf of KEDLI in this proceeding?

A. Yes. The terms defined in the Panel's direct and supplemental direct testimony have the same meanings here.

Q. What is the purpose of the Panel's corrections and updates testimony?

A. The Panel's testimony explains and supports certain corrections and/or updates to KEDLI's April 30, 2019 base rate filing ("April 30 filing") in this proceeding.

Q. Does the corrections and updates testimony also address the June 11, 2019 supplemental filing?

A. No. The supplemental filing was made to illustrate the potential impacts to the April 30 filing if KEDLI is unable to obtain incremental natural gas supplies from the NESE project. At this time, the Company remains optimistic that the NESE project will be approved. Therefore, all corrections

and/or updates pertain to the revenue requirement set forth in the April 30 filing. The Company will continue to update the parties on the status of the NESE project and implications, if any, to this rate filing.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibits, all of which were prepared by or under the supervision and direction of one or more members of the Panel and which, in all cases, refer to KEDLI:

Exhibit __ (RRP-1CU)	Statement of Operating Income
Exhibit __ (RRP-3CU)	O&M Expenses by Expense Type
Exhibit __ (RRP-4CU)	Depreciation Expense
Exhibit __ (RRP-5CU)	Taxes Other than Income Taxes
Exhibit __ (RRP-6CU)	Federal and State Income Taxes
Exhibit __ (RRP-7CU)	Rate Base
Exhibit __ (RRP-8CU)	Inflation Factors
Exhibit __ (RRP-9CU)	Deferral Exhibits
Exhibit __ (RRP-11CU)	Workpaper Data Supporting Certain Exhibits
Appendix B (CU)	Current and Proposed Revenue Adjustments and Incentives

Q. Please explain how the corrections and updates are organized.

A. The exhibits submitted in this filing show corrections and/or updates and indicate the change from the original filing. The exhibits are labeled with "CU" after the original label. For example, Exhibit __ (RRP-1) in the April 30 filing is the Statement of Operating Income. The exhibit showing the corrections and/or updates to the Statement of Operating Income is labeled Exhibit ___ (RRP-1CU). The first page of each exhibit provides a summary of all adjustments made and reflected in that exhibit. This summary, or lead page, is identified as "Corrections and Updates" under each exhibit number. The revised schedules and pages supporting each exhibit correspond to the schedules and pages originally filed. The Company has only included exhibits, summaries, schedules, and pages where corrections and/or updates were made.

The information requests referenced in the Panel's testimony are included in the workpapers in Exhibit ___ (RRP-11CU) and correspond to the specific exhibits and schedules where the corrections and/or updates were made. For example, if a correction and/or update is shown in Exhibit ___ (RRP-3CU), Schedule 2 based on a response to an information request, that information request is included in the workpapers supporting Exhibit ___ (RRP-3CU),

Schedule 2. Where the attachments to information requests are voluminous, the Company included only the written response and relevant attachments.

Q. What impact do the corrections and updates have on KEDLI's revenue requirement in this proceeding?

A. The April 30 filing reflected a Rate Year revenue requirement that was $49.4 million greater than revenue at present rates. The corrections and updates increase the Company's revenue requirement for the Rate Year by $11.8 million, to $61 million, as shown in Exhibit ___ (RRP-1CU) and the table below.

Rate Year	April 30th Filing	Corrections & Updates	Increase/ (Decrease)
KEDLI	$49m	$61m	$11.8m

Q. What are the primary drivers of the increase to the revenue requirement in the Rate Year?

A. The primary drivers of the increase to the revenue requirement in the Rate Year are (i) an update to the revenue forecast that decreased gas sales revenues, (ii) updates and corrections that increased KEDLI's capital forecast, and (iii) corrections that collectively reduced the Company's O&M expenses.

II. Operating Income by Component

Q. Please describe Exhibit ___ (RRP-1CU).

A. Exhibit ___ (RRP-1CU) summarizes the impact of all corrections and/or updates presented in this filing to the Company's operating income. This exhibit consists of lead Corrections and Updates pages and a Summary with three pages showing the calculation of the Company's operating income for the Rate Year. The exhibit also contains a presentation change from the original filing to remove the federal tax reform surcredit. The Panel used the updated revenue forecast presented in Exhibit ___ (RDP-2CU) in developing the revenue requirement.

III. Operation and Maintenance ("O&M") Expenses

Q. Please explain Exhibit ___ (RRP-3CU).

A. Exhibit ___ (RRP-3CU) provides the corrections and/or updates to KEDLI's O&M expenses for the Rate Year and Data Years. The exhibit consists of a lead Corrections and Updates page, a Summary showing total departmental O&M expenses in the Historic Test Year, Rate Year, and Data Years, and 40 schedules. The schedules are numbered to correspond to the schedules submitted in the Company's April 30 filing. For example, in the April 30 filing, Exhibit ___ (RRP-3), Schedule 4 showed the costs associated with

employee expenses. The corrections and/or updates to employee expenses are reflected in Exhibit ___ (RRP-3CU), Schedule 4.

Q. Please explain the expense specific schedules in Exhibit ___ (RRP-3CU).

A. The expense specific schedules that reflect corrections and/or updates to the April 30, 2019 filing are discussed below. To the extent the updated inflation projection is the only reason for a change in a schedule, the revised schedule is not separately discussed, but is included in the revised schedules in this filing. A list of expense specific schedules that are affected only by inflation is provided following the Panel's testimony.

Schedule 1 – Consultant Expense

Schedule 1 reflects two adjustments to consultant expense. The first adjustment was made in accordance with the Company's response to Information Request No. DPS-379 to reflect the amortization of KEDNY's allocable share of the contract costs related to the management and operations audit in Case 18-M-0195. The second adjustment reflects the effects of the updated inflation factor to consultant expense.

Schedule 2 – Contractor Expense

Schedule 2 reflects four adjustments to contractor expense. The first two adjustments were made for presentation purposes to reclassify paving expense from Schedule 2 to Schedule 40 (paving). The purpose of the change is to provide all paving-related costs in one schedule. There is no revenue requirement impact from the re-classifications, which are discussed in the Company's response to Information Requests Nos. DPS-237 Supplemental and DPS-320. The third adjustment is to adjust the normalization for the capitalization policy change proposed by the GIOP. The Company's April 30 filing inadvertently included capital work orders in the adjustment on Workpaper 4. The fourth adjustment updates the inflation rate.

Schedule 4 – Employee Expenses

Schedule 4, Page 1 has been updated to correct a formula error. The correction does not impact the revenue requirement. The Schedule also contains an adjustment to update the inflation rate.

Schedule 7 – Other

Schedule 7 reflects three adjustments to other expense. The first adjustment was made in accordance with the response to Information Request No. DPS-629 to reflect a normalization adjustment of $0.520 million from the Historic

Test Year. The second adjustment removes an accrual related to the appreciate program, as discussed in the response to Information Request No. DPS-627. The third adjustment updates the inflation factor.

Schedule 9 – Service Company Rent Expense

Schedule 9 reflects seven adjustments to Service Company rent expense.

The first adjustment updates the Service Company asset recovery charge in accordance with the corrections and updates testimony of Company Witness Jonathan Cohen. The second adjustment was made to revise the allocation of the Gas Control Training Simulator Project to reflect the fact that this project benefits all National Grid gas companies and remove costs to maintain the existing Hicksville Office site in Data Years 2 and 3. These adjustments are discussed in more detail in the GIOP's corrections and updates testimony.

Adjustments three through seven relate to corrections and updates made by the IT Panel. Specifically, the third adjustment reflects the updated forecast for the CIS project; the fourth adjustment reflects revisions made to the mandated IT projects forecast; adjustment five removes the costs associated with project INVP 5130 – CIAC Process Systems Enhancements; the sixth adjustment reflects the updated forecast for the SAP S/4 HANA project; and

the seventh adjustment updates the in-service date for the IT/OT program, as discussed in the response to Information Request No. DPS-577.

The net effects of these adjustments are a decrease of $0.959 million in the Rate Year, an increase of $0.321 million in Data Year 1, a decrease of $0.764 million in Data Year 2, and an increase of $2.093 million in Data Year 3.

Schedule 11 and 16 – OPEB and Pension Expenses

Schedules 11 and 16 updates the forecast OPEB and pension expense amounts based on the recent actuarial forecast. The adjustments result in a decrease of $1.739 million in OPEB expense and an increase of $0.181 million in pension expense in the Rate Year.

Schedules 13 - Healthcare

Schedule 13 reflects two adjustments to healthcare expense. The first adjustment was made to reflect the change to healthcare benefits contained in the recently negotiated collective bargaining agreement between National Grid and the Transport Workers Union of America, AFL-CIO, Local 101 ("TWU Local 101"), which is discussed in more detail in the corrections and updates testimony of Company Witness Maureen Heaphy. The second adjustment updates the inflation factor.

Schedules 23 (Labor Expense) and 28 (Productivity Adjustment)

Schedule 23 reflects two adjustments to labor expense. The first adjustment was made to reflect the base pay wage increase contained in the recently negotiated TWU Local 101 agreement, which is discussed by Ms. Heaphy and the response to Information Request No. DPS-388. Because certain TWU Local 101 employees are employed by the Service Company, KEDLI is properly allocated a portion of the base pay increase. The second adjustment was made in accordance with the response to Information Request No. DPS-296 to correct the Historic Test Year adjustment made in the April 30 filing to originating company labor and variable pay associated with the capitalization policy change proposed by the GIOP.

Schedule 28 shows the flow through changes of the labor expense adjustments discussed above.

Schedule 24 – Transportation

Schedule 24 reflects three adjustments to transportation expense. The first adjustment updates motor fuel expense based on the prices from the New York Mercantile Exchange as of June 21, 2019. The second adjustment reduces Historic Test Year transportation costs in connection with the capitalization change proposed by the GIOP. This adjustment was made in

accordance with the response to Information Request No. DPS-324. The third adjustment reflects the effects of the updated inflation factor.

Schedules 25 (Energy Efficiency Program) and 31 (Uncollectible Expense)

Schedules 25 and 31 show the flow through effect of the updated revenue forecast, which is supported by the Rate Design Panel.

Schedule 27 – Other Initiatives

Schedule 27 reflects nine adjustments to other initiatives expense.

The first adjustment pertains to labor overhead rates. The adjustment was made to re-calculate the labor overhead rate using Rate Year, instead of Historic Tear Year, labor and benefits, as discussed in the response to Information Request No. DPS-393. The adjustment also updates labor overhead rates for changes in benefits and corrects a formula error contained in Data Year 2.

The second adjustment was made to correct certain FTE position titles that were inadvertently mis-stated in the April 30 filing. The corrections are shown in Exhibit ___ (RRP-11CU), Workpapers to Exhibit ___ (RRP-3CU), Schedule 27, Workpaper 2.

The third adjustment updates the non-labor forecast for the I&R Distribution Station Overpressure Protection and Control Line Survey and GPS Mapping Programs, and includes Rate Year non-labor costs for the Enhanced Inactive Accounts Program. These program updates are discussed in the corrections and updates testimony of the Gas Safety Panel.

The fourth adjustment was made to reflect the updated forecast of costs for the Inside Service Inspections Program, as discussed by the Gas Safety Panel.

The fifth adjustment was made to reflect the costs to implement Staff's operator qualification best practices, as discussed in the corrections and updates testimony of the GIOP.

The sixth adjustment corrects the FTE count for the Green Gas Tariff offering by adding two FTEs in the Rate Year that were inadvertently omitted in the April 30 filing. This adjustment is discussed in the corrections and updates testimony of the Future of Heat Panel.

The seventh adjustment updates hire dates for certain incremental FTEs to correct dates that were mis-stated in the April 30 filing and reflect a better hiring schedule. This adjustment is also discussed by the GIOP and the

response to Information Request No. DPS-374. The adjustment is presented on Exhibit__(RRP-11CU), Workpapers to Exhibit__(RRP-3CU), Schedule 27, Workpaper 2.

The eighth adjustment updates the O&M forecast for various IT projects, as discussed in the corrections and updates testimony of the IT Panel.

The ninth adjustment updates the general inflation rate.

The net results of these adjustments are a decrease in the Rate Year of $0.474 million followed by increases in Data Years 1, 2, and 3 of $0.701 million, $5.679 million, and $0.459 million, respectively.

Schedule 34 – Savings

Schedule 34 reflects an adjustment to update the Company's forecast of Accelerate Program savings in accordance with the response to DPS-396.

The adjustment increases the total Rate Year Accelerate Program savings amount from $12.147 million to $12.554 million, or more than $50 million over the term of the proposed rate plan (not including savings from the one percent productivity adjustment that the Company also imputed in the revenue

requirement), as shown in Exhibit ___ (RRP-11CU), Workpapers to Exhibit ___ (RRP-3), Schedule 34, Workpaper 1.

Schedule 40 – Paving

Schedule 40 reflects four adjustments to paving expense. As discussed above, the first and second adjustments were made for presentation purposes to reclassify paving expense from Schedule 2 (contractor expense) to Schedule 40 and have no revenue requirement impact. The third adjustment was made to correct a formula error in Data Year 3. The fourth adjustment reflects the updated inflation factor.

IV. Depreciation Expense

Q. Please describe Exhibit ___ (RRP-4CU).

A. Exhibit ___ (RRP-4CU) provides the corrections and/or updates to depreciation expense for the Rate Year and Data Years to reflect flow-through adjustments related to the plant changes discussed below. The exhibit consists of a lead Corrections and Updates page and a Summary page showing the updated forecast of gas depreciation expense for the Rate Year and Data Years.

V. Taxes Other Than Income Taxes

Q. Please describe Exhibit ___ (RRP-5CU).

A. Exhibit ___ (RRP-5CU) consists of a lead Corrections and Updates page, a Summary with three pages, and three schedules for the Rate Year and Data Years.

Q. Please describe the changes made to the real estate tax forecasts included in Exhibit ___ (RRP-5CU), Schedule 1.

A. The Company made three adjustments to the real estate tax forecasts. The first adjustment is a flow through adjustment of all plant changes based on the Company's updated net utility plant forecast discussed later in the testimony. The second adjustment revises the forecast to incorporate actual plant closings and retirements through March 2019. The third adjustment is to update the two-year growth rate to include the most recent fiscal year results, as discussed in the response to Information Request No. DPS-489.

Q. Please describe the changes made to payroll taxes for the Rate Year and Data Years, as presented in Exhibit ___ (RRP-5CU), Schedule 2.

A. As described above, the Company made adjustments to Exhibit ___ (RRP-3CU), Schedules 23 and 28 in accordance with the response to Information

Request Nos. DPS-388 and DPS-296. The changes made to Exhibit ___ (RRP-5CU), Schedule 2 are the same changes made to Schedules 23 and 28.

Q. Please describe the changes made to the gross revenue tax forecasts included in Exhibit ___ (RRP-5CU), Schedule 4.

A. The Company reflected the flow through effect of the updated revenue forecast to the gross revenue tax forecasts in the Rate Year and Data Years.

VI. Federal and State Income Taxes

Q. Has the Company made any corrections or updates to federal and state income tax expense?

A. Yes, the Company made adjustments to reflect changes to the amortization of excess accumulated deferred income tax ("ADIT") and to reflect the flow through effect of changes in rate base on income tax expense.

Q. Please describe the changes to the amortization of excess ADIT.

A. There are two changes effecting the amortization of excess ADIT. First, the overall excess ADIT amount was rolled forward from December 2018 to March 2019. Second the Company changed the amortization life for the unprotected, non-plant excess ADIT.

Q. Please explain why the Company rolled forward the excess ADIT balances to March 2019.

A. The Company rolled the excess ADIT balances forward to match the plant roll forward balance and to reflect adjustments to income tax reserves that resulted from the settlement of the August 24, 2007 to March 31, 2009 federal income tax audit. For the audit adjustments that were temporary, the current income tax was booked at 35 percent, the deferred tax was booked at 21 percent, and the difference increased or decreased the regulatory liability for excess ADIT. The amortization lives were applied to the adjusted balances, resulting in changed total excess ADIT amortization amounts.

Q. Were there any other changes related to the amortization of excess ADIT?

A. Yes, the Company made adjustments to the amortization period for excess ADIT and to reflect shifts between unprotected and protected excess ADIT. As KEDLI was an asset purchase, there was a tax basis adjustment in the PowerTax system that represented the book depreciation reserve at the time of the asset purchase. Originally, during the implementation of the module, no book depreciation was allocated to this purchase accounting adjustment when it should have attracted book depreciation. The allocation of book depreciation was corrected in a later version. This resulted in the protected

excess ADIT decreasing and the unprotected plant excess ADIT increasing. This also resulted in lower annual protected amortization amounts. These adjusted amounts are set forth in Exhibit ___ (RRP-6CU), Workpaper 1 in a manner similar to the April 30 filing. However, using the remaining book life of 47 years for unprotected plant amortization life and 14 years for unprotected non-plant balances resulted in an annual recovery from customers rather than a return of excess ADIT, as would be expected. To avoid collecting from customers only to return the money in a future period, the Company proposes to increase the recovery period of unprotected non-plant excess ADIT to 25 years to reverse the negative impact.

VII. Rate Base

Q. Please explain Exhibit ___ (RRP-7CU).

A. Exhibit ___ (RRP-7CU) provides the corrections and/or updates to the Company's rate base for the Rate Year and Data Years. The exhibit consists of a lead Corrections and Updates page, a Summary with three pages, and six schedules showing the adjustments to net utility plant (Schedule 1), regulatory assets and liabilities (Schedule 2), federal and state accumulated deferred income taxes (Schedule 3), working capital (Schedule 4), and the lead lag study (Schedule 5).

A. Forecast of Net Utility Plant In Service

Q. Please describe the changes made to the forecast of average net utility plant, as shown in Exhibit ___ (RRP-7CU), Schedule 1.

A. Schedule 1 reflects three adjustments. The first adjustment reflects updates to the Company's net utility plant forecast. The Company updated the forecast to use the actual March 31, 2019 construction work in progress, plant in service, depreciation reserve, and retirement work in progress beginning balances. The Company also updated the composite depreciation rates using depreciable plant balances as of March 2019.

The second adjustment updates the Company's capital forecast. The adjustment was made to update the capital and cost of removal forecasts for certain projects presented in Exhibit ___ (GIOP-1CU) for direct capital expenditures and Exhibit ___ (GIOP-6CU) for indirect capital expenditures. The corrections and update testimony of the GIOP discusses the specific adjustments in more detail.

The third adjustment updates the gas plant forecast to incorporate revised in-service dates for certain gas and facility projects, as discussed by the GIOP.

B. Deferred Taxes

Q. Please describe the changes made to the deferred tax forecasts, as shown in Exhibit ___ (RRP-7CU), Schedule 3.

A. The Company made changes to rate base ADIT to (i) flow through the impact of the return of excess ADIT, (ii) add the impact of taking bonus depreciation on the fiscal year end March 31, 2019 federal income tax return, (iii) update ADIT balances from December 2018 to March 2019, and (iv) flow through the rate base ADIT impact of changes to book plant additions, cost of removal, and book depreciation.

Q. How does the change in excess ADIT amortization change rate base?

A. As the Company returns excess ADIT, excess ADIT regulatory liability that is included in rate base decreases and rate base is correspondingly increased. Rate base ADIT adjustments were made to reflect the updated amortization amounts that flow through cost of service. Also, the Company determined that in the April 30 filing, the rate base adjustment included the excess ADIT related to both National Grid USA Service Company and KEDLI. Accordingly, the Company updated the rate base formula to include only the amortization related to KEDLI.

Q. How did bonus depreciation change rate base ADIT?

A. After additional analysis and conversations with industry experts and other industry peers, the Company determined it would deduct additional bonus depreciation, in accordance with the pre-tax reform regulations. Bonus depreciation will be 40 percent for those assets started before September 28, 2017 and placed in service between April 1, 2018 and December 31, 2018. Bonus depreciation of 30 percent will be taken on assets started before September 28, 2017 and placed in service between January 1 and March 31, 2019. As the consolidated National Grid group is in a net operating loss ("NOL") utilization position for the fiscal year, additional bonus depreciation deductions will result in a reduction of the NOL utilization that is also reflected in KEDLI's rate base changes.

C. <u>Working Capital</u>

Q. Please describe the changes made to the Company's working capital costs.

A. Exhibit ___ (RRP-7CU), Schedule 4 reflects the flow through effects of changes to O&M expenses made in corrections and updates as compared to the April 2019 filing.

Schedule 5 reflects the flow through effects of changes in the Company's gas forecast commodity revenue. The Materials and Supplies and Pre-Payments on Exhibit ___ (RRP-7CU), Summary, were updated for the revised inflation factor.

VIII. Regulatory Assets and Liabilities

Q. Please describe the corrections and updates shown in Schedule 2 of Exhibit ___ (RRP-7CU).

A. The Company made three adjustments to the forecast regulatory asset and liability balances at March 31, 2020.

The forecast regulatory asset balance associated with SIR carrying charges was reduced by approximately $2.4 million resulting from a correction to the carrying charge calculation. The original calculation did not properly reflect the reduction to the total SIR deferred balance subject to carrying charges resulting from a $40.5 million insurance recovery.

Additionally, the forecast net Pension and OPEB deferred liability balance was increased by approximately $1.4 million to reflect the changes resulting from the updated actuarial forecast (discussed above).

Lastly, the forecast net regulatory liability associated with the Capital Tracker deferral and its associated carrying charges was increased by $0.017 million to reflect the impact of the change in the capital forecast (also discussed above).

Q. Do the changes in regulatory assets and liabilities have any impact on the revenue requirement?

A. No. All the adjusted regulatory assets and liability balances are excluded from rate base and therefore have no effect on the revenue requirement.

IX. Inflation Factors

Q. Please describe the update to the projected inflation factors used by the Company.

A. Based on more recent economic factors, the Company reduced its projected rate of inflation form 4.87 percent to 3.96 percent. As discussed above, a list of expense specific schedules in this corrections and updates filing that are affected only by inflation is provided following the Panel's testimony.

X. Proposed Treatment of Existing Regulatory Deferral Accounts and New Reconciliation Mechanisms

Q. Please describe the corrections and/or updates shown in Schedule 1 and 4 of Exhibit ___ (RRP-9CU).

A. The Company updated several deferral thresholds to reflect the updated rate allowances based on the adjustments discussed throughout this testimony. These are shown in Exhibit ___ (RRP-9CU).

Q. Please explain Appendix B (CU).

A. Appendix B (CU) is a corrected version of KEDLI's current and proposed revenue adjustments and incentives. The current and future NRA listed in line 6 for the Adjusted Customer Bills metric should be $990,000 not $900,000, as set forth in the April 30 filing. Similarly, the future NRA listed in line 5 for the Percentage of Calls Answered in 30 Seconds metric should be $990,000, not $900,000.

Q. Does this conclude the Panel's testimony?

A. Yes, it does.

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

The Revenue Requirements Panel

Case 19-G-0310

September 18, 2019

Case 19-G-0310

Rebuttal Testimony of the Revenue Requirements Panel

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Rebuttal Testimony of the Revenue Requirements Panel

I. Introduction

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted direct, supplemental, and corrections and updates testimony in this proceeding?

A. Yes. The terms defined in the Panel's direct testimony have the same definitions here.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The Panel responds to various adjustments proposed by Staff and intervenors in their direct testimonies dated August 30, 2019. In particular, the Panel addresses the following subjects: (i) proposed revenue adjustments; (ii) proposed O&M expense adjustments; (iii) regulatory deferrals; (iv) proposed adjustments to taxes other than income taxes; (v) rate base adjustments; (vi) federal income tax adjustments; and (vii) proposed changes to depreciation. In addition, the Panel addresses adjustments proposed by Staff that the Company previously agreed to adopt in information request ("IR") responses or agrees to adopt in rebuttal, and also addresses corrections to Staff's exhibits and testimony

that the Company has identified.

Q. Does the Company respond to each of Staff's and the intervenors' proposed adjustments and recommendations?

A. No. In this testimony, as well as the rebuttal testimony of the other Company witnesses, the Company is only responding to certain issues. Where the Company accepts an adjustment or agrees with an issue, such acceptance or agreement is explicitly acknowledged. The Company's silence on a particular adjustment or recommendation should not be construed as acceptance or waiver of a particular issue or as creating precedent for any future proceeding. The Company relies on its direct, supplemental, and corrections and updates testimonies as support and justification for those items not specifically addressed in its rebuttal testimony.

Q. How has the Panel organized its rebuttal testimony?

A. The rebuttal testimony addresses proposed adjustments following the general order the adjustments are presented in the Staff Revenue Requirements Panel's ("SRRP") Exhibit __ (SRRP-1), Schedules 7a through 7c.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel and that, in all cases, refer to KEDLI.

Exhibit ___ (RRP-1R)	Summary Revenue Requirements Pages
Exhibit ___ (RRP-2R)	Net Utility Plant and Depreciation Expense
Exhibit ___ (RRP-3R)	Relevant Portions of Company IR Responses
Exhibit ___ (RRP-4R)	Staff IR Responses

Q. In rebuttal, the Panel references various IR responses. Where can those responses be found?

A. The Company's IR responses referenced by the Panel have been compiled in Exhibit ___ (RRP-3R) except for those responses included as exhibits to Staff's direct testimony. Because of the size of some of the responses, the Company included only relevant pages and attachments. Staff's responses to Company IRs referenced herein have been compiled in Exhibit ___ (RRP-4R).

II. <u>Overall Revenue Requirement</u>

Q. Is the Company proposing any changes to the revenue requirement in this filing?

A. Yes. The Company's corrections and updates filing reflected a revenue requirement of $61.2 million. Based on the Company's review of the direct testimony filed by Staff and the intervenors, as well as discovery submitted since the time of the corrections and updates filing, the Company has accepted several adjustments and reflected certain updates to the revenue requirement. Exhibit ___ (RRP-1R) sets forth the Company's position on each of the adjustments proposed by Staff.

In addition, the revenue requirement reflected in the corrections and updates filing assumed the NESE project would be completed by the winter of 2020/2021. In this rebuttal filing, the Company adjusted the revenue requirement to assume the NESE project will not be completed within that timeframe. Specifically, the Company includes adjustments that were identified in its supplemental filing, which the Staff Revenue Requirements Panel ("SRRP") reflected in Exhibit ___ (SRRP-1), Schedule 7a, together with certain other adjustments (*e.g.,* an updated revenue forecast and updates/corrections discussed by the Company's GIOP). In principle, the Company agrees with the need for the additional no-NESE project adjustments reflected by the SRRP in Exhibit ___

(SRRP-2), Schedule 7b, but disagrees with the calculation of some of those adjustments. In addition, the Company disagrees with the adjustment to Other Initiatives listed in that schedule, as discussed by the Future of Heat Panel. The Company included the agreed adjustments in the revenue requirement. Any disagreement is discussed below.

Q. What is the updated Rate Year revenue requirement?

A. The updated revenue requirement is $66.523 million.

Q. Does the Panel have any general comments regarding the adjustments proposed by Staff to the revenue requirement?

A. Yes. It is important for the Commission to recognize that, in total, the adjustments and proposals made by Staff, if adopted, would provide a level of rate relief that would not provide the Company with the revenues needed to provide safe and reliable service to customers, earn a reasonable return on its investment, continue to attract capital on commercially reasonable terms, and deliver on the Commission and State's clean energy goals. Staff proposes a return on equity of 8.2 percent, which would be the lowest ROE approved for a gas distribution utility in the United States. Moreover, although Staff says throughout its testimony that the Company should invest at levels the Company deems appropriate, Staff's proposals

effectively deny the Company funding for programs and investments it believes are critical to advancing safety and reliability. Indeed, in many cases, Staff's proposals would require the Company to absorb material costs of doing business. Specific examples include:

- *Information Technology*. A disallowance of $114.4 million of the Company's projected capital IT investments that must be incurred to modernize the Company's aging infrastructure and enable key customer and operations programs.
- *GBE* Program. A disallowance of more than $57 million in costs that will need to be incurred for the benefit of customers to progress the project, which is needed to build a modern platform that enhances safety and supports customer demands.
- *Unidentified Savings*. An adjustment to impute more than $3 million in incremental, unidentified savings on top of the more than $15 million in savings already reflected in the Rate Year.
- *Future of Heat*. Virtually no funding for the Company's Future of Heat programs, which are designed to advance cost-effective, reliable, heating sources that help reduce carbon emissions on the gas network.

In addition to proposing significant disallowances of costs that the

Company will need to incur in the Rate Year, Staff also proposes a series of downward-only true-ups for costs associated with full-time equivalents, Service Company IT rent expense, GBE, and credit cards. At the same time, Staff rejects the limited true-ups sought by the Company for costs over which it has no limited control such as property taxes. The proposed downward only true-ups effectively preclude the Company from retaining efficiencies found to offset the costs that Staff proposes to disallow and thus achieve the additional productivity that Staff proposes to impute. On top of this, Staff proposes to modify the Company's performance metrics substantially, adding more stringent targets, but not providing funding to meet these new targets. These proposals effectively result in a further disallowance of costs by increasing the likelihood that the Company will incur negative revenue adjustments.

The combined effect of all of Staff's adjustments is that the Company would be saddled with the lowest ROE authorized in recent years for a gas utility and, at the same time, effectively precluded from earning it. This end-result is unreasonable and unjustified and creates grave concern as to whether the Company will be able to continue to attract necessary capital on commercially reasonable terms in an environment in which the Company is facing increased opposition to any sales growth in its business

and is experiencing a supply constraint that, along with Staff's proposals in this filing, is effectively foreclosing it from pursuing current growth opportunities.

Over the term of its current rate plan, the Company has invested billions of dollars in its gas distribution network to support safe operations, met and exceeded all customer and gas performance metrics, and improved its compliance performance year over year. In that same time period, the regulatory landscape has seen significant changes that will likely have material impacts on the Company's costs and programs going forward. The proposed rate plan was designed to address in a balanced manner issues raised by Staff and other stakeholders and take important step changes necessary to lead the transition to New York's energy future. As discussed herein, as well as through the Company's direct and rebuttal testimonies, the recommendations advanced by Staff in this proceeding would not achieve a similar result.

III. Operating Revenues Adjustments

Q. Please summarize Staff's proposed adjustments to Operating Revenues.

A. Staff proposed two adjustments to Operating Revenues that are reflected

in Exhibit __ (SRRP-1), Schedules 7a and 7b. The first adjustment was made to reduce Operating Revenues to reflect the unavailability of the NESE project. The second adjustment was made to reflect the Company's latest sales forecast. Although the Company agrees these adjustments are required, the Company does not agree with Staff's calculations of the adjustments. The rebuttal testimony of the Company's Rate Design Panel provides the corrected calculations.

IV. O&M Expense Adjustments

Q. Please summarize Staff's proposed adjustments to O&M expense.

A. Staff's proposed adjustments to O&M expense are shown in Exhibit ___ (SRRP-1), Schedules 7a, 7b, and 7c.

A. Consultants

Q. Does Staff make any adjustments to consultants expense?

A. Yes. The SRRP proposes to disallow $0.714 million in costs associated with work performed by a consultant, AlixPartners LLP, in the Historic Test Year. The basis for the adjustment is the SRRP's belief that these charges will not recur in the Rate Year.

Q. Does the Company agree with Staff's proposed disallowance?

A. No. As explained in the response to IR DPS-807, the Company uses

consultants like AlixPartners LLP to provide services aimed at ensuring the efficient delivery of the IT portfolio. While the SRRP contends that "it is not reasonable" for the Company to use a consultant to perform this type of work again in the Rate Year (at 15-16), the Company submits that it would be unreasonable and imprudent if it did not. The IT portfolio is ever-changing to keep pace with evolving customer and stakeholder needs. The Company will continue to engage the services of consultants like AlixPartners LLP to look proactively for ways to maintain existing efficiencies and ensure the effective operation of the portfolio. Such work would be expected of any major company with an IT portfolio as large as the Company's – especially given the potential benefits that could accrue to customers from this work. Therefore, these costs are fully expected to recur in the Rate Year and should not be adjusted from the cost of service.

Q. In support of its position, the SRRP contends (at 16-17) that individual work performed by AlixPartners LLP such as work to refresh the Company's IT strategy will not recur because the Company has already undertaken this work. Does the Company agree with the SRRP's position?

A. No. The SRRP's view of what constitutes recurring work is too narrowly focused. This is just one item under a broad category of work that is done

to manage the IT portfolio. Although this specific item may not recur every year, that does not mean that other work to evaluate and assess the IT portfolio will not recur. For instance, work to assist with contract negotiations, work to analyze system investments, and benchmarking with other organizations is all work that consultants such as AlixPartners LLP provide and will continue to provide in the Rate Year.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. As explained in the response to IRs DPS-931 and DPS-933, the work performed by AlixPartners LLP resulted in annual run rate savings of $22.1 million, of which $16.6 million is reflected in the revenue requirement in the Rate Year and Data Years. Therefore, customers received a significant benefit from the very work for which the SRRP seeks to disallow cost recovery. This further shows the unreasonableness of the SRRP's proposed adjustment.

B. <u>Other Expense</u>

Q. Please summarize Staff's adjustments to other expense.

A. The Staff Accounting Panel ("SAP") makes one adjustment to remove $1.153 million in costs associated with vendor PSEG Long Island LLC.

Q. Does the Company agree with the adjustment?

A. The Company agrees with the need for the adjustment but disagrees slightly with the amount. The correct amount of the adjustment should be $1.131 million, as reflected in the response to IR DPS-833 Supplemental.

C. Service Company Rent Expense

Q. Does Staff make any adjustments to Service Company rent expense?

A. Yes. The Staff Information Technology Panel ("SITP") proposes four adjustments to Service Company rent expense.

Q. Please describe the SITP's first adjustment.

A. The SITP proposes to remove the costs associated with the Community Distributed Generation Low Income Bill Discount program.

Q. Does the Company agree with the SITP's proposal?

A. The Company acknowledged in response to IR DPS-620 that the costs of the project should be removed. However, as explained in the rebuttal testimony of the Company's IT Panel, there is an error in the SITP's calculation of the adjustment.

Q. Please describe the SITP's second adjustment.

A. Staff recommends an adjustment of $2.805 million to Rate Year Service Company rent expense to reflect its reduction of the Service Company return on assets rate from 8.52 percent to 7.54 percent.

Q. Does the Company agree with the SITP adjustment?

A. In principle, the Company agrees that, for ratemaking purposes, the ROE for the Service Company asset recovery should match KEDLI's ROE. Because the Company's position on KEDLI's ROE differs from Staff's, the Company is setting the Service Company ROE to match KEDLI's ROE as supported by Company Witness Bulkley.

Q. Did the SITP have any other adjustments to the return used for the Service Company asset recovery?

A. Yes, the SITP adjusted the Service Company debt rates to match those used to calculate KEDLI's rate of return.

Q. Does the Company agree with the SITP's debt adjustment?

A. No. The Service Company has its own debt, which should be the basis for setting the return for the Service Company asset recovery. Company

Witness Jonathan Cohen addresses this adjustment in his rebuttal testimony.

Q. Please describe the SITP's third adjustment.

A. The SITP proposes to disallow capital expenditures of $57.4 million associated with the GBE Program. This adjustment results in a $1.526 million reduction to the revenue requirement.

Q. Does the Company agree with this adjustment?

A. No. As discussed in the rebuttal testimony of Company Christopher Connolly, the Company disagrees with this adjustment.

Q. Please describe the SITP's fourth adjustment.

A. The SITP recommends a forecasting adjustment to the Company's IT capital expenditures, resulting in a reduction to the revenue requirement of $2.988 million.

Q. Does the Company agree with this adjustment?

A. No. The Company's IT Panel responds to this adjustment in its rebuttal testimony. Additionally, the IT Panel explains the errors it identified in the SITP's calculation of the adjustment.

Q. Did Staff make any other recommendations that would affect the Company's Service Company rent expense?

A. Yes. The SITP proposes a downward only Service Company Rents IT and GBE Program capital tracker. The rebuttal testimony of the Company's IT Panel and Company Witness Christopher Connolly respond to this recommendation.

D. Labor Expense

Q. Please summarize Staff's adjustments to labor expense.

A. Staff recommends two adjustments to labor expense.

Q. What is the first adjustment recommended by Staff?

A. Staff Witness Gadomski (at 17) proposes reducing the Company's management wage increase of 3.35 percent (which was implemented on July 1, 2019) and the projected wage increase of 3.1 percent for subsequent years to 3.0 percent. The adjustment deceases the Company's labor expense forecast by $0.167 million.

Q. Does the Company agree with Mr. Gadomski's proposed adjustment?

A. No. As indicated in the rebuttal testimony of Company Witness Heaphy,

the Company does not agree with Mr. Gadomski's testimony on this issue and does not accept the proposed adjustment.

Q. Please explain Staff's second adjustment to labor expense.

A. The SRRP proposes (at 24-29) imputing a vacancy rate to the Company's labor forecast of KEDLI employees based on their assumption that the Company's forecast does not account for vacancies. The SRRP developed their vacancy rate of 8.20 percent by dividing the number of unfilled positions within KEDLI by the targeted employee level for that company. The SRRP's adjustment was specific to FTEs who directly charge time to KEDLI and did not include Service Company employees whose time is allocated to KEDLI. The adjustment reduces the Company's Rate Year labor expense forecast by an additional $3.229 million.

Q. Does the Company agree with the SRRP's application of a vacancy rate to the labor expense forecast?

A. No. To develop the labor forecast, the Company used adjusted headcounts for KEDLI and the Service Company as of December 31, 2018 (the end of the Historic Test Year). The December 31st headcounts only included positions *actually filled* by employees as of that date. It did not include positions that were open or vacant at that time, even though such positions

existed.

Table 1 below depicts open positions (those positions approved to be filled) and positions pending approval at calendar-year end 2018 for all National Grid companies, including KEDLI and employees that may allocate or directly charge time to the Company. None of these vacancies were included in the Company's labor forecast. Therefore, the SRRP's assumption that the Company's labor forecast does not account for vacancies is incorrect. Indeed, the Company's forecast does assume that vacancies as of December 31, 2018 will continue to occur in the Rate Year just in a different manner than the SRRP proposes. Rather than applying a separate vacancy rate to the forecast, the Company entirely removed any actual vacancies from the labor forecast. In doing so, the Company bears the financial risk of vacancies that were not included in the headcount but may be filled after the end of the Historic Test Year. As such, application of a vacancy rate to the previously reduced labor expense forecast is a double count of vacant positions.

Table 1 – National Grid Open Positions as of CYE 2018

Designated Company for Position (Management)	Open	Pending Approval	Total Open Positions
Service Company	438	162	600
KeySpan Gas East Corporation	5	3	8
The Brooklyn Union Gas Company	8	1	9
All other Companies	16	7	23
Total Positions	467	173	640

Designated Company for Position (Represented)	Open	Pending Approval	Total Open Positions
Service Company	124	6	130
KeySpan Gas East Corporation	4	9	13
The Brooklyn Union Gas Company	58	1	59
All other Companies	169	66	235
Total Positions	355	82	437

Q. Was it appropriate for the SRRP to exclude Service Company employees from its vacancy analysis?

A. No. Table 2 below compares the headcounts approved in the 2016 KEDNY and KEDLI Rate Cases, which were based on headcounts as of September 30, 2015, to the December 31st headcounts used by the Company for the labor forecast in the current rate filing.

Table 2 – Headcount 2016 Rate Cases vs. December 31, 2018 Headcount

	KEDLI	KEDNY	Service Co.
Headcounts Approved in 2016 Rate Cases			
Management	142	189	4,033
Union	626	1,328	1,563
Total	768	1,517	5,596
Headcounts as of December 31, 2018			
Management	74	120	5,307
Union	631	1,349	1,595
Total	705	1,469	6,902
Variance (December 2018 vs September 2015)			
Management	(68)	(69)	1,274
Union	5	21	32
Total	(63)	(48)	1,306

While the Company agrees with the SRRP that there were less KEDLI employees in 2018 than requested and filled in the 2016 KEDNY and KEDLI Rate Cases, the same cannot be said for Service Company employees. Indeed, Table 2 shows there were more Service Company employees who may allocate their time or a portion of their time to KEDLI, as of December 31, 2018, than were included in the 2016 KEDNY and KEDLI Rate Cases. In addition, the Service Company variance between those years is significantly higher than the variance for KEDLI employees during that same period.

Q. Is the methodology to forecast labor expense in this case consistent with the methodology previously utilized in past KEDNY, KEDLI, and Niagara Mohawk rate cases?

A. Yes. The labor expense forecast methodology used in this case is the same methodology used in the 2016 KEDNY and KEDLI Rate Case, the 2017 Niagara Mohawk Rate Case, and the 2012 Niagara Mohawk Rate Case. In those cases, Staff accepted the methodologies without applying a vacancy rate adjustment. No adjustment should be applied in this case either.

Q. Is there an additional reason why the SRRP's adjustment should be rejected?

A. Yes. In IR NG-07, the Company asked Staff to confirm if it was their position that vacancies were not included in the Company's December 31, 2018 headcounts. Staff replied, among other things, that the Company did not apply a vacancy rate for the projected incremental FTEs.

Q. Why is the reference to incremental FTEs significant?

A. Because it further demonstrates the unreasonableness of the SRRP's adjustment. The incremental FTEs proposed by the Company were forecast based on the incremental work required in the Rate Year.

Application of a vacancy rate to incremental FTEs, as the SRRP asserts, is illogical as it results in an insufficient number of FTE needed to perform the incremental work, the majority of which is dedicated to gas safety programs.

E. Transportation Expense

Q. Please describe the SRRP's proposed adjustment to the Company's forecast of transportation expense.

A. The SRRP proposes (at 42) a downward adjustment of $0.559 million to the lease component of transportation expense. The adjustment is based on the SRRP's belief that the Rate Year costs are "excessive" because the Company forecasts replacing 163 more vehicles from the end of the Historic Test Year through the end of the Rate Year than it had during the prior three-year period.

Q. Does the Company agree with the SRRP's adjustment?

A. No. The Company's forecast of replacement vehicles is based on a detailed fleet plan that carefully considers the type of vehicle, the age of the vehicle, maintenance history, and work for which the vehicle is utilized to develop a projected replacement date for each vehicle.

In KEDLI's last rate proceeding, Staff proposed an adjustment of $0.939 million in transportation lease expense, which was reflected in the Joint Proposal adopted by the Commission. To manage its vehicle replacements within this rate allowance, the Company modified its vehicle replacement schedule to stretch out the lifecycle of certain vehicles. This adjustment increased the average age of vehicles that are needed to provide service to the Company's customers and help maintain and operate the gas network. The Company estimates that the replacement of approximately 96 vehicles, calculated by dividing the $0.939 million lease expense adjustment from the previous rate case by the $9,831 average per vehicle cost calculated by Staff in Exhibit ___ (SRRP-4), were delayed by this adjustment and therefore included in the forecast of replacements in this case.

Q. The SRRP asserts (at 39) that because the Company has in the past utilized vehicles with expired lease dates it is "inappropriate" to assume that vehicles with expiring leases will be replaced in the Rate Year. Is this a fair assumption?

A. No. The lease end date is based on the expected lifecycle of each vehicle. While the timing of replacements varies depending on the specific conditions of the vehicles (*e.g.,* depending on the performance or usage of

the vehicle, the asset life may fall short of or exceed the planned lifecycle), in general each vehicle with a lease term that has expired should be replaced to ensure reliable fleet operations.

While the Company was able to increase the average age of its fleet over the past three years to stay within the budgeted rate allowance without unduly compromising reliability, this cannot continue indefinitely if the Company hopes to maintain a reliable vehicle fleet. The Company needs to replace more vehicles than it has in the past three years to restore the reliability of the vehicle fleet to its optimal level. The Company does not believe that deviating from the planned lifecycle replacement is reasonable or in the best interests of customers, as it will lead to higher maintenance costs and potentially compromise the integrity of the Company's vehicle fleet. Moreover, the SRRP has submitted no evidence that rebuts or contradicts the reasonableness of the Company's replacement schedule, and instead unreasonably substitutes its own judgement in place of the Company's fleet plan. For these reasons, the SRRP's adjustment should be rejected.

Q. Are there any adjustments that were not reflected by the SRRP but should be?

A. Yes. In the response to IR DPS-661, the Company identified a downward adjustment of $0.372 million related to fuel expense. After adjusting for inflation, the Company reflected a Rate Year adjustment of $0.387 million in its updated revenue requirement on Exhibit ___ (RRP-1R).

F. Other Initiatives

Q. Does Staff recommend adjustments to other initiatives?

A. Yes. Staff recommends a total of 26 adjustments to other initiatives expense. For purposes of clarity, the Panel grouped the adjustments into categories.

Future of Heat

Q. Please summarize Staff's adjustments related to the Company's Future of Heat proposals.

A. Staff proposes 12 adjustments related to the Company's Future of Heat proposals. *See* Adjustment Nos. 16(f)(4), (6)-(7), (11)-(13), (15), (17)-(19), and (21) to Exhibit ___ (SRRP-1), Schedule 7c and Adjustment No. 12(a) on Schedule 7b of that exhibit. The adjustments include: (i) removing the costs of the Hydrogen Blending Study, the Expanded Geothermal Pilot, and the Power to Gas programs; (ii) reducing the number of incremental FTEs needed for the Green Gas Tariff, Demand

Response, Geothermal, Utility Energy Services Contract ("UESC"), and Renewable Natural Gas and Non-Pipeline Alternative programs; (iii) disallowing a portion of the costs of the Fuel Switching Calculator program; (iv) reflecting the costs of the UESC program in the ETIP instead of base rates; (v) removing EM&V costs; and (vi) moving recovery of the non-labor costs of the Demand Response program from base rates to the Delivery Rate Adjustment surcharge.

Q. Does the Company agree with these adjustments?

A. No. The rebuttal testimony of the Future of Heat and Rate Design Panels discuss the Company's objections to these adjustments.

GIOP and Gas Safety

Q. Please summarize Staff's adjustments related to programs supported by the Company's GIOP and Gas Safety Panels.

A. Staff proposes nine adjustments related to programs supported by the Company's GIOP and Gas Safety Panels. *See* Adjustment Nos. 16(f)(1)-(2), (5), (8)-(9), (14), (16), (20), and (23) to Exhibit ___ (SRRP-1), Schedule 7c. The adjustments include: (i) reducing the number of incremental FTEs required to support the Company's Contractor Safety Inspection, Enhanced Methane Detection, Research and Development,

Storm Hardening, and Integrity Management and Verification programs; (ii) moving the costs of the Storm Hardening beyond the Rate Year; (iii) disallowing costs associated with the Pipeline Integrity – Integrity Management Program (PHMSA Rules); and (iv) moving the costs of the Low-Pressure Main Valve Installation program from the capital program to O&M expense and offsetting those costs with a portion of the existing negative revenue adjustment balance.

Q. Does the Company agree with Staff's adjustments?

A. As explained in the rebuttal testimony of the GIOP and Gas Safety Panels, the Company disagrees with thee adjustments.

Q. Does the Company agree with Staff's recommendation to use a portion of the existing negative revenue adjustments to fund the costs of certain safety programs?

A. In principle, while the Company is not against using the existing negative revenue adjustments to fund safety programs, the Company is concerned about how much of the balance should be used. The Company's position related to amortization of regulatory deferrals is discussed in more detail below. In addition, the Gas Safety Panel discusses the Company's opposition to using negative revenue adjustments to fund the costs of the

Low-Pressure Main Valve Installation program.

IT

Q. Please summarize Staff's adjustments related to IT costs.

A. Staff proposes two adjustments. The first adjustment relates to the O&M and run the business costs associated with the SITP's forecasting adjustment to the Company's IT capital expenditures. The second adjustment removes the operating costs associated with the Company's Customer Information System project. *See* Adjustment Nos. 16(f)(22) and (24) to Exhibit ___ (SRRP-1), Schedule 7c.

Q. Does the Company agree with Staff's adjustments?

A. No. The Company's objection to these adjustments is discussed in the rebuttal testimony of the IT Panel.

Flow-Through Adjustments

Q. Please summarize Staff's flow-through adjustments to other initiatives expense

A. The SRRP reflects two flow-through adjustments related to Mr. Gadomski's proposed management wage increase factor and use of the SRRP's labor burden rates. *See* Adjustment Nos. 16(f)(3) and (10) to

Exhibit ___ (SRRP-1), Schedule 7c.

Q. What is the Company's position with respect to these flow-through adjustments?

A. While the Company agrees in principle that flow-through adjustments would be required if the Commission were to adopt the Staff's proposals, because the Company disagrees with the underlying adjustments, the Company's position is that the proposed flow-through adjustments, with the exception of the update to burden rates as stated in the Company's response to IR DPS-877, are not necessary.

New Hire True-Up

Q. Does the Company agree with the SRRP's proposed downward-only tracker for incremental FTEs (at 47-48)?

A. No. There is no basis for a downward-only true up of labor expense, especially in a one-year case. The new hire true-up was agreed to as part of the comprehensive settlement in the 2016 KEDNY and KEDLI Rate Cases. A similar reconciliation was not included in the 2017 NMPC Rate Case.

G. Productivity

Q. Does the Company agree with Staff's adjustment to productivity?

A. The Company agrees that productivity should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

H. Uncollectible Accounts

Q. Does Staff make any adjustments to the Company's forecast of uncollectible expenses?

A. Yes. The SAP recommends (at 6) an adjustment of $0.319 million to reduce Rate Year uncollectible expense. The adjustment is based on the SAP's use of a three-year average uncollectible rate calculated using the period June 2016 to May 2019. The rebuttal testimony of the Company's Shared Services Panel discusses the Company's objection to this adjustment.

Q. Has the Company identified errors in the SAP's calculation of its proposed adjustment?

A. Yes. The Company found an error in SAP's uncollectible expense calculation. The error was caused by the SAP applying its proposed uncollectible rate to the Company's corrections and updates tariff

revenues at present rates, which reflected the availability of the NESE project. The SAP confirmed this error in its response to IR NG-06, which is included in Exhibit___(RRP-4R).

I. SIR Expense

Q. Does Staff recommend an adjustment to the Company's forecast of SIR expense?

A. Yes. The Staff SIR Panel (at 29) recommends a downward adjustment of $1.734 million. The rebuttal testimony of Company Witness Chuck Willard discusses the Company's objection to this adjustment.

J. Savings

Q. What level of savings is typically reflected in a rate filing?

A. Rate cases traditionally include a productivity adjustment on the premise that well-run companies should be able to find a modest measure of efficiencies in the rate year. The adjustment is typically calculated as one percent of total labor expense and payroll taxes in recognition of how difficult it is to achieve savings year after year. In this case, the traditional productivity adjustment would result in efficiencies totaling $2.020 million. The Company, however, has proposed to provide customers with more than $15 million in savings in the Rate Year – a level *more than*

seven times the traditional productivity adjustment. The SRRP asserts that $3.220 million of additional efficiencies should be imputed above this level. If the SRRP's position were adopted, this would equate to savings of more than nine times the traditional productivity adjustment, which is simply unrealistic and not supported.

Q. Will the level of savings reflected by the Company in the rate filing be difficult to achieve?

A. Yes. It is a challenge for any business to achieve a one percent efficiency reduction each year let alone seven times that number. In its filing, the Company committed to reduce its costs through an ambitious effort (the Accelerate Program), despite that many of the initiatives to achieve these reductions are difficult and potentially not sustainable. Indeed, the Company is working tirelessly to reduce its costs to mitigate bill impacts for customers while continuing to invest to assure reliability and advance our systems for the future.

To reduce costs to the magnitude the Company proposes in this filing requires major changes to people, processes, and systems. This requires time and effort. There is a major risk that the savings will not be realized because competing priorities will distract from the Company's ability to

deliver the initiatives. For example, new work, changes in law, new regulatory requirements, changes in customer expectations, or major weather events could all impact the Company's ability to progress initiatives or deliver savings. Staff's filing further exacerbates this risk through their proposals to disallow costs that the Company will need to incur in the Rate Year to ensure the delivery of safe and reliable service.

Q. The SRRP asserts that savings associated with Implementation Level ("IL") 3 Accelerate Program initiatives should be imputed into the revenue requirement, contending that savings from these initiatives "have been identified and quantified," and been defined by the Company as "bankable" (at 56-57). Does the Panel agree?

A. No. While IL3 Accelerate Program initiatives have been assigned an initial estimate of potential savings, the estimate is aspirational as the business has not taken any of the steps that are necessary to implement the initiative. In IL3, the business develops a plan to implement an initiative. Until each step in the implementation plan has been completed, whether the initiative can be delivered and the savings ultimately achieved is unknown. As the Company explained in the response to IR DPS-755, "bankable" means that the Company is willing to invest the time and resources into pursuing the initiative, as the Company has limited

resources to dedicate to implementing initiatives. This does not mean that the initiative can actually deliver savings, however. There are risks that this initial estimate, which is really a placeholder to prioritize initiatives, may never materialize or may change materially. These risks include changes in assumptions as the initiative progresses, delays in implementation, or cancelation of the initiative because, despite the Company's efforts, the implementation plan could not be delivered (*e.g.,* a vendor may not be willing to provide a volume discount or a new contract to reduce costs could not be negotiated). Therefore, contrary to the SRRP's position, IL3 estimates are not quantified let alone known and measurable, which is the standard for inclusion in the revenue requirement. Rather, IL3 estimates are speculative and unidentified efficiency initiatives that are properly subsumed within the traditional productivity adjustment.

In the Panel's direct testimony, we explained the rigorous process undertaken to progress initiatives. Each initiative must pass through implementation levels ranging from IL0 (purely an idea) to IL5 (fully implemented), where they are scrutinized by groups from the Company's Finance, Regulation and Pricing, and Business Units, among others. It is not until IL4 where an initiative undergoes implementation. In IL4 the

business has completed the steps in its implementation plan that are a prerequisite to achieving benefits. The SRRP's proposal ignores this process that was implemented to provide transparency to the business and its regulators of the full amount of savings that were achieved, and the simple fact that initiatives in IL3 are entirely uncertain.

Q. The SRRP further asserts (at 58) that initiatives "move quickly through implementation levels, meaning initiatives currently at Level Three will soon be at Levels Four or Five, and thus, savings will likely accrue during the Rate Year." The SRRP also claims (at 57) that few IL3 initiatives are canceled. What is the Panel's response to these statements?

A. As explained in the response to IR No. DPS-755, initially, initiatives moved quickly through the various implementation levels because they were already in flight at the beginning of the Accelerate Program. However, that movement occurred during the earlier stages of the program. Now that the program is past the inaugural period, the movement of initiatives has slowed.

In addition, while the Company agrees that certain initiatives in IL3 can move to ILs 4 and 5 quickly, that movement depends on whether the

initiative can be easily implemented. With respect to the initiatives currently in IL3 for which the SRRP is proposing to impute the associated savings to the Company, on average, these initiatives have been in IL3 for more than 150 days – more than five times the 26 day average an initiative that can be easily implemented typically moves from IL3 to IL4. Given the length of time these initiatives have been stalled in IL3, it is highly unlikely these initiatives will progress to implementation and deliver the aspirational savings estimated.

Moreover, the response to IR No. DPS-758 provides the key milestones necessary to complete the implementation plans for the top ten IL3 initiatives impacting the Company. The response shows that key steps in at least five of the ten initiatives are either late or have not yet been planned. Further, in progressing Initiative No. 14707, it was determined that the scope of the initiative was similar to that of Initiative No. 15464. Therefore, Initiative No. 14707 was canceled. Similarly, the viability of Initiative No. 17509 is being questioned as the solution has not been piloted. These examples, along with the accumulation of aged initiatives currently in IL3, further demonstrate the inherent uncertainty surrounding IL3 savings estimates and the unreasonable of the adjustment.

Q. Are there additional challenges that impact the deliverability of IL3 initiatives in the Rate Year?

A. Yes. The revenue requirement proposed by Staff, which provides material disallowances to costs necessary to run the business, presents significant challenges. For example, Initiative Nos. 953 and 3600, two initiatives in IL3 that impact the Company, are contingent upon IT investments to deliver the planned savings. The SITP's proposal to disallow approximately $114 million of IT costs calls into question the ability of the Company to deliver these initiatives. If the SITP's recommendation is adopted, the Company will need to re-prioritize IT investments that could lead to the cancelation of these initiatives. Similarly, various Staff witnesses propose a litany of new reporting obligations in IT, customer, and gas operations, among other areas. This is incremental work that was not contemplated at the time the IL3 and other Accelerate Program initiatives were planned and will require the Company to re-valuate priorities, further challenging the Company's ability to progress IL3 and other initiatives.

Q. Are certain IL3 initiatives already captured in the revenue requirement?

A. Yes. As explained in the response to IR DPS-762, because the Company separately forecast facility-related projects, the savings from Initiative No. 3705 are captured in the revenue requirement. Additionally, the benefits from Initiative No. 24734 are embedded in the forecast of transportation expense.

Q. Did the Company already account for the possibility that IL3 initiatives may move to IL4 or IL5 for purposes of forecasting the revenue requirement?

A. Yes. The Company recognizes that IL3 initiatives may be delivered in the Rate Year. However, as explained above, the level of savings from these initiatives is uncertain. To account for the uncertainty associated with IL3 initiatives, the Company included a one percent productivity adjustment to capture the possibility that these initiatives may move to IL4 or IL5 in the Rate Year. Therefore, the SRRP's proposed imputation is a double count of the productivity adjustment already reflected by the Company.

Given the level of savings already reflected in the revenue requirement, it would have been reasonable for the Company to have foregone including a productivity adjustment. However, in the interest of mitigating bill impacts and full transparency, the Company believed it was appropriate to

include the productivity adjustment to account for the possibility that IL3 initiatives may be delivered in the Rate Year. In that regard, the one percent productivity adjustment is about half of the aspirational estimates in IL3 currently that impact KEDNY and KEDLI, which demonstrates the reasonableness of the Company's proposal. Additionally, the Company captured the IL3 initiatives a second way. Under its multi-year rate plan proposal, the Company included the full forecast of Rate Year savings and held those amounts constant across each of the Data Years (with inflation).

Q. Why is this significant?

A. It is significant because the Accelerate Program ends in the Rate Year. Therefore, the Company is assuming the risk that it can sustain this level of savings in future years. While the SRRP characterized the Company's proposal as "irrelevant" (at 56) because this effort does not impact the Rate Year, the Company's proposal would result in savings of more than $66 million through the term of the Company's proposed rate plan. Combined with KEDNY, the amount of savings proposed to be reflected for customers is more than $222 million. This is an unprecedented level of savings that is anything but "irrelevant" and fully captures potential IL3 initiatives for customers.

Q. Please summarize the Company's position concerning the SRRP's proposed imputation of the IL3 initiatives.

A. There is no reasonable basis for the Commission to adopt the SRRP's position. The SRRP's position is essentially built around the possibility that IL3 initiatives may move to IL4 and IL5. This is purely speculative, however, and the SRRP has provided no rationale basis for including unknown savings in the revenue requirement. The Company, at all times throughout this filing, has been transparent in the savings reflected. As the Company explained in the response to IR DPS-916, while many initiatives could arguably have been removed as one-time in nature, the Company included all initiatives in IL4 and IL5 to mitigate customer bill impacts. The $13.316 million in Accelerate Program savings plus the $2.020 million in productivity to capture the IL3 initiatives is reasonable and should be adopted. The Company should not be penalized by including preliminary savings estimates from initiatives that have not yet been delivered – and may never be. Rather, the Companies should be encouraged to be innovative and test concepts without the fear that preliminary and aspirational estimates will be held against them. The savings adjustments proposed by the SRRP would have a chilling effect on future savings programs that benefit customers.

Q. The SRRP's recommends (at 52) removing the costs to achieve the Accelerate program savings. Does the Company agree with this recommendation?

A. No. The costs to achieve were incurred to deliver the forecast savings included in the case. It is therefore unreasonable to disallow those costs without also removing the savings. If it is truly the SRRP's position that the $0.132 million in costs to achieve reflected in the Rate Year should be disallowed, then the Accelerate Program savings delivered as a result of those costs should be removed. Indeed, this result would be completely consistent with positions taken by Staff in previous rate proceedings that the costs of new initiatives should not be reflected in rates if the savings are not included.

Q. The SRRP also recommends (at 50) an adjustment to reflect the latest known savings projections associated with IL4 and IL5 initiatives and reflect the savings associated with two initiatives that were inadvertently not included in the Company's corrections and updates filing. What is the Company's position with respect to these two adjustments?

A. The Company agrees with these two adjustments.

K. Economic Development

Q. Does Staff propose any adjustments to the Company's Economic Development program costs?

A. Yes. The rebuttal testimony of the Company's Future of Heat Panel responds to Staff's proposed adjustment as well as program changes recommended by the Staff Consumer Services Panel ("SCP").

V. Taxes Other Than Income Taxes

A. Property Taxes

Q. Please explain Staff's adjustments to KEDLI's property taxes.

A. The SAP recommends (at 34-35) use of a three-year average growth rate based on calendar year data instead of the two-year growth rate based on fiscal year data recommended by the Company. The rebuttal testimony of the Company's Shared Services Panel responds to this adjustment.

Q. Does Staff propose any additional recommendations relating to property taxes?

A. The SAP recommends (at 38) elimination of the property tax reconciliation mechanism, asserting "there is no need to allow for a property tax reconciliation in a one-year rate case." The Company disagrees with this recommendation. As discussed by the Shared Services

Panel, eliminating the property tax reconciliation would place undue risk on customers and the Company even in a one-year case.

B. Payroll Taxes

Q. Does the Company agree with Staff's adjustment to payroll taxes?

A. The Company agrees that payroll taxes should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

VI. Federal Income Taxes

Q. How did the Company propose to reflect the amortization of the annual Excess Deferred Income Tax ("EDIT") for the unprotected plant and non-plant balances resulting from the Tax Cuts and Jobs Act in the rate filing?

A. The Company proposed to amortize the balances over 47 years in accordance with the manner in which protected EDIT was amortized under the Average Rate Assumption Method ("ARAM") required by the Internal Revenue Service normalization rules.

Q. What is Staff's position on this issue?

A. The SAP (at 46) rejects the use of the ARAM and instead proposes a 10-year amortization period for the unprotected plant and non-plant balances. The proposal is premised upon that use a shorter period will more rapidly reduce the revenue requirement and return the tax benefits to customers quicker rather than any analysis.

Q. Does the Company agree with the SAP's use of a 10-year amortization period?

A. No. The Company believes the amortization period should match the service life of the asset. If the unprotected EDIT is returned to customers over 10-years, as proposed by the SAP, there would be a mismatch for over 30 years in which customers would receive benefits before the Company receives the cash benefits. Moreover, if the SAP's proposal is adopted, future changes to tax rates could result in the Company having to collect money from customers that it previously returned. For these reasons, the Company submits that its proposal to align the amortization life with the reversal of the temporary differences is more equitable and in the best interests of customers.

VII. Regulatory Assets and Liabilities

A. Deferral Balances

Q. What is Staff's position regarding the Company's proposed treatment of legacy deferral balances?

A. The SAP agrees (at 41-42) with the Company's proposal to net together several inactive deferral accounts (identified in Table 7 of the Panel's direct testimony) and create a single account with a credit balance of approximately $12.9 million, indicating that these accounts have been audited.

Q. Does the Company agree with the SRRP's (at 67) proposal to amortize the regulatory liability balance amounts associated with gas safety negative revenue adjustments, unexpended energy efficiency funds, and unexpended economic development funds?

A. Although in principle the Company is not against using a portion of regulatory liabilities to offset gas safety, energy efficiency, and economic development programs costs, the Company is concerned about how much of the balance should be used. The Company has on its books a significant regulatory asset balance that is not being proposed to be recovered from customers. Therefore, the Company believes a balance must be struck between the appropriate level of regulatory liabilities to use now and future rate mitigation efforts. The rebuttal testimony of the Company's Gas Safety Panel and the Future of Heat Panel provide

additional testimony addressing the SRRP's proposal.

Q. Does the Company have anything else to add regarding gas safety negative revenue adjustments?

A. Yes. The Company disagrees with the statement in the testimony of the Staff Pipeline Safety Panel (at 40) that the Company missed the Damage Prevention metric in 2018 resulting in a negative revenue adjustment. The Company's Gas Safety Panel discusses the Company's specific objection to Staff's assertion in its rebuttal testimony. While it does not appear that the SRRP has included the alleged negative revenue adjustment in the balance that it is proposing to amortize, the Company's position is that it did not miss the metric and did not incur a negative revenue adjustment.

B. <u>New and Existing Deferrals</u>

Q. Does Staff recommend any changes to the new deferrals or the modifications to existing deferral mechanisms proposed by the Company?

A. Yes. Various Staff witnesses propose removing or modifying many of the new and existing deferrals. The Company's position is discussed in the rebuttal testimonies of the GIOP, IT, Shared Services, and Future of Heat Panels and Company Witness Christopher Connolly.

Q. Does Staff recommend any new deferral mechanisms?

A. Yes. In addition to the downward only new hire deferral discussed above, various Staff panels recommend a number of new deferrals. The rebuttal testimony of the Company's GIOP, IT, Shared Services, and Future of Heat Panels respond to Staff's proposals.

C. Earnings Sharing Mechanism

Q. The Staff Policy Panel ("SPP") recommends (at 12-14) that the Commission establish an Earnings Sharing Mechanism ("ESM") for the Companies for each 12-month period following the Rate Year. Does the Panel agree with this recommendation?

A. No, we do not. ESMs are typically a feature of multi-year rate plans that are submitted to the Commission as joint proposals that reflect the broad agreement of most, if not all, parties to Commission rate proceedings. It is our understanding that the Commission only recently imposed an ESM in a litigated one-year rate proceeding. From our perspective, imposing ESMs in litigated cases would be poor regulatory policy in that it would discourage the Companies from finding ways to manage their businesses in a manner that minimizes the need for time consuming and expensive rate proceedings. Moreover, the SPP's ESM recommendation essentially

requests the Commission to impose a mechanism that would confiscate a portion of the Companies' earnings without making a finding as to what a just and reasonable ROE would be in years beyond the Rate Year or conducting the process that is typically followed in establishing utility rates.

Q. Please explain.

A. In this case, the Commission is setting rates that it will determine to be just and reasonable for a Rate Year beginning April 1, 2020 and ending March 31, 2021. Among the decisions being made is the appropriate ROE that should be applied to the Company's rate base during this period. As the Commission is aware, the just and reasonable ROE changes over time. However, if this case is litigated, the Commission will make no finding as to what the appropriate ROE for the Company will be for any period beyond the Rate Year. At the same time, however, under the SPP's ESM mechanism in years beyond the Rate Year, the Company could be required to forfeit a portion of its earnings regardless of whether those earnings would, depending on capital market conditions at the time, be no greater than the amount needed to enable the Company to earn a compensatory ROE. Such a result would be procedurally defective and substantively confiscatory.

The Commission has the ability under the Public Service Law to monitor the Company's earnings and take appropriate action to the extent that it believes that the Company's rates are producing excessive returns. There is no need for the Commission to impose an ESM to ensure that rates remain just and reasonable and it is quite possible that the results of imposing such a mechanism would not be just and reasonable. For these reasons, the SPP's ESM recommendation should be rejected.

VIII. Rate Base

A. Net Plant and Depreciation Expense – Plant in Service Model

Q. How did Staff forecast the Company's net utility plant in service and depreciation expense?

A. Staff used the Company's plant in service model and applied its proposed capital plan adjustments, flow-through adjustments for cost of removal, and depreciation rates to the model.

Q. What is the rate base and depreciation expense impact of Staff's proposed forecast?

A. Staff's proposed adjustments, in total, decrease the Company's Rate Year net utility plant in service by $151.692 million and depreciation expense

by $12.304 million.

Q. Does the Company agree with Staff's proposed adjustments to net utility plant in service and depreciation expense?

A. No. The Company's GIOP responds to Staff's proposed adjustments to the Company capital plan, while Company Witness Paul M. Normand addresses Staff's proposed depreciation rates.

Q. Did the Company identify any errors in Staff's net utility plant and depreciation adjustments reflected in Exhibit ___ (SRRP-1)?

A. Yes. In reviewing Staff's adjustments, the Company identified the following three errors:

(i) Staff double-counted the adjustments to exclude the NESE project in Exhibit ___ (SRRP-1).

(ii) Staff did not correctly reflect the capital adjustments described in their testimony in Exhibit ___ (SGIOP-4). In some instances, Staff described an adjustment in testimony, but Exhibit ___ (SGIOP-4) did not reflect the adjustment. In other cases, there were adjustments in the exhibit that were not discussed in testimony.

(iii) Staff did not correctly reflect the capital adjustments described in testimony and in Exhibit ___ (SGIOP-4) in the net utility plan and

depreciation forecast that ultimately was included in Staff's revenue requirement presentation in Exhibit ___ (SRRP-1).

Q. Did Staff agree with these errors and, if so, what corrections are required to Staff's adjustments to Rate Year net utility plant and depreciation expense?

A. Staff agreed with the errors noted above in the responses to IRs NG-10 and NG-12. These corrections change Staff's proposed Rate Year net utility plant and depreciation expense downward adjustments from $151.7 million and $12.3 million to $101.3 million and $11.8 million, respectively.

B. <u>Earnings Base/Capitalization/Working Capital Adjustment</u>

Q. The SRRP also proposes (at 92-95) removing from rate base a $3.368 million regulatory asset for KEDLI associated with the cost sharing account because such costs are already reflected in the Earnings Base/Capitalization ("EB/CAP") adjustment. Do you agree?

A. No. The regulatory asset associated with the cost sharing agreement was included in rate base in determining the Historic Test Year EB/CAP adjustment. It is inconsistent for the SRRP to remove the regulatory asset from the forecast but not from the EB/CAP adjustment. The SRRP

acknowledged that this should be the case in its response to IR NG-19 which is included in Exhibit (RRP-4R). Making the appropriate adjustment to the EB/CAP calculation eliminates any revenue requirement impact of Staff's proposed adjustments.

IX. Flow-Through Adjustments

Q. Has the Company reflected any additional flow-through adjustments in its revenue requirement?

A. Yes. Changes to O&M expense have an impact on working capital requirements. Additionally, any change in rate base results in a change to return on rate base. Moreover, there are flow-through adjustments for productivity, payroll taxes, uncollectible expense, income taxes, and deferred taxes. The flow-through adjustments are reflected in Exhibit ___ (RRP-1R).

X. Conclusion

Q. Does this conclude the Panel's rebuttal testimony?

A. Yes.

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Second Supplemental Testimony

of

Revenue Requirements Panel

Date: December 13, 2019

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I. Introduction

Q. Please identify the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted testimony on behalf of KeySpan Gas East Corporation d/b/a National Grid ("KEDLI" or "Company") in this proceeding?

A. Yes. Previously-defined terms have the same meanings here.

II. Purpose of Testimony

Q. What is the purpose of the Panel's second supplemental testimony?

A. The purpose of the Panel's second supplemental testimony is to update KEDLI's revenue requirement to reflect the impacts of the recent settlement agreement between the Companies and DPS Staff in Case 19-G-0678 concerning the gas supply constraints in downstate New York and related moratorium on new customer connections (the "Settlement"). The revenue requirement also reflects an update to KEDLI's cost of service resulting from recently completed contract negotiations, as supported by the supplemental testimony of the Companies' GIOP.

Q. Does the Panel's second supplemental testimony include any exhibits?

A. Yes. The Panel's second supplemental testimony includes the following exhibits that were prepared by or compiled under our direction and supervision:

Exhibit __ (RRP-1SS)	Summary Revenue Requirement Pages for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021 (Second Supplemental);
Exhibit __ (RRP-2SS)	Net Utility Plant and Depreciation Expense (Second Supplemental); and
Exhibit __ (RRP-3SS)	Revenue Forecast (Second Supplemental).

III. <u>Updates to the Revenue Requirement</u>

Q. Please provide a brief overview of how the downstate supply constraint affected the Company's revenue requirement to this point in the proceeding.

A. KEDLI's direct and corrections and updates testimony and exhibits were prepared under the assumption the NESE project would be in-service by the winter of 2020/2021, thereby allowing the Company to continue connecting new customers. To provide the Commission with a full and complete evidentiary record, KEDLI filed supplemental testimony on June 11, 2019, reflecting a revenue requirement assuming a no-NESE project scenario

where the Company would not be connecting new customers in the Rate Year and Data Years.

Staff, in its direct testimony, took the position that the revenue requirement should be adjusted to assume the unavailability of the NESE project. Accordingly, in rebuttal, the Company adjusted the revenue requirement to assume the NESE project would not be in service within the required timeframe. The adjustment resulted in a Rate Year revenue requirement of $66.523 million, as shown in Exhibit ___ (RRP-1R), Schedule 1.

Q. Please describe the Settlement and how it impacts the revenue requirement.

A. As discussed in the GIOP's supplemental testimony, on November 26, 2019, the Commission approved a settlement agreement between the Companies and DPS Staff in Case 19-G-0678 that established a framework for resolving all aspects of the Companies' moratorium on new gas connections. Under the terms of the Settlement, the Companies agreed to lift the moratorium for the next two winters (through September 1, 2021). To enable customer connections notwithstanding the supply constraints in the downstate service area, the Companies have developed an operational plan consisting of new and unprecedented interim supply solutions,

including the expanded use of portable compressed natural gas injections to maintain system pressure during peak conditions, as well as various demand-side and energy efficiency measures to reduce peak demand. The Settlement also provides a framework for developing longer-term solutions to address supply constraints.

To incorporate these changes, the Company is updating its capital and O&M forecasts, delivery revenues, and cost of gas. These updates are supported by the supplemental testimonies of the GIOP, Elizabeth D. Arangio, and Theodore Poe, Jr., and this Panel utilized information from these witnesses to update the revenue requirement.

Q. Does the revenue requirement reflect additional updates?

A. Yes. As mentioned, the GIOP's supplemental testimony supports an update to the cost of service from recent contract negotiations unrelated to the Settlement. The Panel reflected this update in the revenue requirement.

Q. What is the updated revenue requirement?

A. As shown in Exhibit ___ (RRP-1SS), Page 1, the updated Rate Year revenue requirement is $60.724 million, a decrease of $5.799 million from the revenue requirement set forth in the Company's rebuttal filing.

Q. Please summarize the primary drivers for the change to the Rate Year revenue requirement.

A. As shown in Table 1 below, the primary drivers of the change to the revenue requirement are higher capital expenditures (*e.g.*, increases to the return on rate base and depreciation) and an increase to O&M expense. This is offset by increases in forecast delivery revenues and purchased gas costs, which result in a net increase in gross margin of $13.7 million.

Table 1 – Revenue Requirement Update

Drivers:			**($000's)**
Return on Rate Base (Net Utility			
Plant and flow through ADIT)			$ 4,320
O&M			2,212
Increase Revenue forecast	(22,910)		
Increase in Purchased Gas Costs	9,206		
Net Increase in Gross Margin	(13,704)		(13,704)
Depreciation Expense			773
Tax Surcredit, GRT and ETIP			709
Impact on GRT & Uncollectible			(109)
Revenue Requirement			$ (5,799)

Q. Please describe Exhibit ___ (RRP-1SS).

A. Exhibit ___ (RRP-1SS), Page 1, presents the calculation of KEDLI's operating income for the Historic Test Year and Rate Year reflecting the impacts of the Settlement and updated contractor costs.

Q. Please explain the changes to the revenue forecast.

A. The Company's rebuttal filing reflected a Rate Year revenue forecast at present rates of $1,131,732,134. To adjust for the impacts of the Settlement, the Company computed base delivery revenue, billing service fees, late payment charges, merchant function charge revenue, commodity revenue, and gross revenue taxes after accounting for the changes to the sales forecast, as supported by Company Witness Poe. The Company also computed the commodity cost forecast to reflect the changes discussed by Company Witness Arangio. In addition, the Company made corrections to its ETIP revenues to equal the estimated fiscal year ETIP budget. As shown in Exhibit ___ (RRP-3SS), Page 1, the updated revenue forecast at present rates is $1,154,002,596 in this supplemental filing, an increase of $22,270,462 from the rebuttal filing, which, after adjustment for associated incremental gas costs, results in an increase in gross margins of $13.704 million.

Q. Please explain the updates to KEDLI's O&M expense forecast.

A. Exhibit ___ (RRP-1SS), Page 2, presents a summary of KEDLI's updated forecast of O&M expenses for the Rate Year. The net change to O&M expense is an increase of $2.212 million from the rebuttal filing, consisting of the following:

- Other Initiatives – With respect to the Settlement, the following five adjustments were made: (i) add back contractor inspectors for the Enhanced Contractor Inspection Program to the same levels that were submitted in the corrections and updates filing; (ii) include operating expenses associated with the expansion of the Glenwood CNG facility; (iii) include KEDLI's allocated portion of the O&M costs associated with the new CNG filling station to be located on Staten Island; (iv) include O&M expense associated with two new CNG facilities; and (v) include KEDLI's allocated portion of the capital costs associated with the proposed Staten Island CNG filling station, which is recorded as a capital investment on KEDNY's books (the calculation of which is shown in Exhibit ___ (RRP-2SS)), but which will benefit both KEDNY and KEDLI. In addition, the Company made an adjustment to update the costs associated with the recently completed contract negotiations for damage prevention work, which is unrelated to the Settlement.

These adjustments are discussed in the GIOP's supplemental testimony and presented in Exhibit ___ (GIOP-6SS).

- Uncollectible Accounts – flow-through adjustment of the changes to uncollectibles associated with the changes to revenue.

Q. Please explain the updates to depreciation expense.

A. A forecast of depreciation expense resulting from the changes to the capital work plan is presented in Exhibit ___ (RRP-1SS), Page 12. The revenue requirement reflects a slight increase in Rate Year depreciation expense from $107.123 million in the rebuttal filing to $107.896 million in this filing.

Q. Please explain the updates to KEDLI's forecast of taxes other than income taxes.

A. Exhibit ___ (RRP-1SS), Page 11, includes the summary of changes to taxes other than income taxes. In the Rate Year, there is no change in real estate taxes from the rebuttal filing because of the lag between the time when plant is placed in service and taxes are assessed. The changes occur in the Data Years.

Q. Please discuss the update to federal and state income taxes.

A. A forecast of federal and state income tax forecasts reflecting flow-through adjustments associated with the discrete adjustments described by this Panel is presented in Exhibit ___ (RRP-1SS), Page 3.

Q. Please explain the changes to rate base.

A. Exhibit ___ (RRP-1SS), Page 5, includes the rate base summary reflecting the changes referenced above, which are discussed in more detail in the GIOP's supplemental testimony. Exhibit ___ (RRP-2SS) is the forecast of KEDLIs net utility plant. The exhibit includes a summary of the impact on net utility plant and depreciation expense from the changes to the capital work plan supported by the GIOP. Additionally, Exhibit ___ (RRP-1SS), Page 5, sets forth the federal and state accumulated deferred income taxes reflecting the impact from the net utility plant adjustments and the working capital O&M cash allowance reflecting the impacts of the O&M expense changes.

IV. Conclusion

Q. Does that conclude the Panel's second supplemental testimony?

A. Yes.

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Third Supplemental Testimony

of

Revenue Requirements Panel

Date: January 29, 2020

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I. Introduction

Q. Please identify the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, David B. Doxsee, and Stephanie A. Briggs.

Q. Is this the same Panel that previously submitted testimony on behalf of KeySpan Gas East Corporation d/b/a National Grid ("KEDLI" or "Company") in this proceeding?

A. Yes. Previously defined terms have the same meanings here.

II. Purpose of Testimony

Q. What is the purpose of the Panel's third supplemental testimony?

A. On January 21, 2020, the Administrative Law Judges in this proceeding issued the "Ruling Requiring Additional Testimony Related to Energy Efficiency Initiative Order," requiring the Company to file testimony addressing the impact of the Commission's recent "Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025" issued January 16, 2020 in Case 18-M-0084 ("NE:NY Order"), on the Company's rate filing. Accordingly, the Panel's third supplemental testimony updates KEDLI's revenue requirement to reflect the impacts of the NE:NY Order.

Q. Does the Panel's third supplemental testimony include any exhibits?

A. Yes. The Panel's third supplemental testimony includes the following exhibits that were prepared by or compiled under our direction and supervision:

Exhibit __ (RRP-1TS)	Summary Revenue Requirement Pages for the Historic Test Year Ended December 31, 2018 and Rate Year Ending March 31, 2021 (Third Supplemental);
Exhibit __ (RRP-2TS)	FTE Schedule
Exhibit __ (RRP-3TS)	Revenue Forecast (Third Supplemental)
Exhibit __ (RRP-4TS)	Response to Information Requests

III. Updates to the Revenue Requirement

Q. Please explain the impact of the NE:NY Order on the Company's revenue requirement.

A. As supported by the Future of Heat Panel, the Company used the energy efficiency targets and budgets set forth in the Commission's December 13, 2018 "Order Adopting Accelerated Energy Efficiency Targets" in Case 18-M-0084 ("Accelerated Efficiency Order") to set the proposed Rate Year energy efficiency rate allowance of $9.478 million. This amount was exclusive of $0.171 million of pass through Clean Energy Fund expenses and $0.474 million of evaluation, measurement, and verification

("EM&V") costs that the Company originally proposed to move to base rates and track outside of the energy efficiency portfolio. Additionally, the Company proposed to include the costs of its low-income energy efficiency HEAT Program ($2.5 million) in base rates.

The NE:NY Order increased KEDLI's energy efficiency budget by an incremental $1.232 million in the Rate Year, as compared to the budget established in the Accelerated Efficiency Order. In addition, the NE:NY Order provided that EM&V costs are included in the authorized energy efficiency budgets established by the Commission. Based on the foregoing, KEDLI is adjusting its revenue requirement to incorporate the incremental energy efficiency budget increase, remove EM&V costs from base rates, and remove the costs of the HEAT Program, as the HEAT program costs will be funded through the increase to the energy efficiency budget. Table 1 on page 5 summarizes the changes to the revenue requirement.

Q. Is the Company proposing any additional updates to the revenue requirement to address the impacts of the NE:NY Order?

A. Yes. As explained by the Future of Heat Panel, to meet the new targets set forth in the NE:NY Order, address the compliance and reporting requirements, and to help optimize the energy efficiency portfolio to

achieve maximum customer benefits, the Company updated the revenue requirement to reflect KEDLI's allocable share of eight incremental FTEs. KEDLI proposes to phase in the FTEs throughout the Rate Year and Data Year 1 as it implements the provisions of the EE Order. The request increases the revenue requirement by $0.258 million in the Rate Year.

Q. Does the Panel have any additional comments about the NE:NY Order?

A. Yes. The Company recognizes the Commission's expectation in the NE:NY Order that any uncommitted and unspent energy efficiency funds be applied to mitigate the cost of expanded energy efficiency programs. While KEDLI generally supports the use of regulatory liabilities to mitigate customer bills, the Company has concern for using significant regulatory liabilities to offset the revenue requirement in this case without considering the cash flow implications, the Company's regulatory asset position, and the long-term ratemaking implication. Indeed, KEDLI has a significant regulatory asset balance on its books that the Company is not proposing to recover from customers in this rate filing - but must be addressed eventually. Therefore, the Company believes there must be a balance between the appropriate level of regulatory liabilities used now and those reserved for future rate mitigation.

Q. What is the updated revenue requirement?

A. As shown in Exhibit ___ (RRP-1TS), Page 1, the updated Rate Year revenue requirement is $59.476 million, a decrease of $1.249 million from the revenue requirement set forth in the Company's second supplemental filing. Table 1 summarizes the updates to the revenue requirement.

Table 1 – Revenue Requirement Update

			($000's)
Revenue Requirement Second Supplemental			$ 60,724
EE O&M:			
NENY Order	1,232		
EM&V	(474)		
Empower	(2,500)		
Net EE O&M Change			(1,742)
EE Incremental FTE - O&M			258
Decrease Revenue forecast	854		
Decrease in Purchased Gas Costs	(574)		
Net Decrease in Gross Margin			281
Return on Rate Base (Working Capital flow through)			(17)
Impact on GRT & Uncollectible			(30)
Change in Revenue Requirement			(1,249)
Revenue Requirement Third Supplemental			$ 59,476

Q. Please describe Exhibit ___ (RRP-1TS).

A. Exhibit ___ (RRP-1TS), Page 1, presents the calculation of KEDLI's operating income for the Historic Test Year and Rate Year reflecting the impacts of the NE:NY Order and the correction of the revenues described below.

Q. Please explain the changes to the revenue forecast.

A. The Company's second supplemental filing reflected a Rate Year revenue forecast at present rates of $1,154.003 million. Subsequently, the Company's response to IR DPS-1061 (*see* Exhibit ___ (RRP-4TS)) corrected Rate Year gross receipts tax revenues for a total Rate Year revenue forecast of $1,153.680 million. The Company's third supplemental filing includes the correction of revenues as discussed in the Company's response to IR DPS-1061, in addition to the changes to the sales forecast, as supported by Company Witness Poe, as a result of the NE:NY Order. The Company's Rate Year revenue forecast at present rates includes updates to base delivery revenue, merchant function charge revenue, commodity revenues, gross receipts tax revenues, and late payment charges. In addition, the Company made an update to its ETIP revenues to equal the estimated fiscal year ETIP budget, as prescribed in the NE:NY Order. As shown in Exhibit ___ (RRP-3TS), Page 1, the updated revenue forecast at

present rates is $1,154.402 million, an increase of $0.721 million from the Company's response to IR DPS-1061.

Q. Please discuss the update to federal and state income taxes.

A. A forecast of federal and state income tax forecasts reflecting flow-through adjustments associated with the discrete adjustments described by this Panel is presented in Exhibit ___ (RRP-1TS), Page 3.

Q. Please explain the changes to rate base.

A. Exhibit ___ (RRP-1TS), Page 5, includes the rate base summary which reflects the working capital O&M cash allowance impacts of the O&M expense changes.

IV. Conclusion

Q. Does that conclude the Panel's third supplemental testimony?

A. Yes.

BY MR. O'BRIEN: (Cont'g.)

Q. All right. Lastly panel, for your direct testimony, did you sponsor 11 exhibits along with 2 appendices that were identified as R.R.P. 1 through R.R.P. 11 and appendices A and B pre-marked as Exhibits 14 through 26?

A. Yes.

Q. And for your supplemental testimony, did you sponsor 6 exhibits that were identified as R.R.P. 1-S and R -- and R.R.P. 3-S through R.R.P. 7-S and pre-marked as Exhibits 223 to 228?

A. Yes.

Q. And for your corrections and updates testimony, did you sponsor 9 exhibits and 1 appendix that were identified as R.R.P. 1-C.U., R.R.P. 3-C.U. through R.R.P. 9-C.U., R.R.P. 11-C.U. and Appendix B.C.U. all of which were pre-marked as Exhibits 313 to 322?

A. Yes.

Q. And for your rebuttal testimony did you sponsor 4 exhibits that were identified as R.R.P. 1-R through R.R.P. 4-R and pre-marked as Exhibits 352 to 355?

A. Yes.

Q. For your second supplemental testimony, did you sponsor 3 exhibits that were identified as R.R.P. 1-S.S. through R.R.P. 3-S.S. and pre-marked as Exhibits 386 to 388?

A. Yes.

Q. And finally, for your third supplemental testimony, did you sponsor 4 exhibits that were identified as R.R.P. 1-T.S. through R.R.P. 4-T.S. and pre-marked as Exhibits 407 to 410?

A. Yes.

Q. And were all of these exhibits prepared by you or under your supervision and direction?

A. Yes.

Q. Thank you, panel.

MR. O'BRIEN: Your Honors, the panel is available for cross.

A.L.J. COSTELLO: Department of Public Service staff?

MR. GOODRICH: Thank you, Your Honor. I know that we have reserved -- I think it was 2 hours for cross. This will be mercifully brief and about hopefully 5 minutes. What I'd really like to

do is just get in and a number of I.R. responses into the record and I don't have any -- I won't have any substantive questions about them. And so my co-counselor Raquel is going to pass this around.

Rather than provide individual I.R. responses, what we have here is the first page of a proposed exhibit, this is page 1 of 555 of an exhibit containing a number of interrogatory responses prepared by the company's revenue requirements panel. This page also notes that there are 2 attachments to the supplemental response to interrogatory D.P.S. 237 which are contained in separate Microsoft Excel files.

I provided this 555 page exhibit and the 2 Microsoft Excel files to the A.L.J.s and counsel for each of the parties including the companies electronically yesterday. When you're ready to proceed, please let me know.

THE WITNESS: (Briggs) All set.

THE WITNESS: (Molloy) Ready.

CROSS EXAMINATION

BY MR. GOODRICH:

Q. Panel, has counsel for the company shared those files with you?

A. (Panel) Yes.

Q. And were the interrogatory responses contained in those files prepared by you or under your supervision?

A. Yes.

Q. And are those files true and correct copies of those interrogatory responses?

A. Yes.

MR. GOODRICH: So Your Honors, I ask that the documents be marked as exhibits.

A.L.J. COSTELLO: The documents with the cover page that you provided will be exi -- marked as Exhibit 635 for identification Part 1.

MR. GOODRICH: And then Attachment 1 to DPS-237?

A.L.J. COSTELLO: That would be Exhibit 635, Part 2.

MR. GOODRICH: And attachment 2 to D.P.S. 37 (sic)?

A.L.J. COSTELLO: That's Exhibit 635, Part 3.

MR. GOODRICH: Thank you, panel. I have no further questions, Your Honor.

A.L.J. COSTELLO: Okay. On the

schedule the next person that we had was Mr. Wyman, who I do not believe is present at this moment. So we will go to the Public Utility Law Project next and if Mr. Wyman appears we'll allow him his time at that -- when he appears.

MR. BERKLEY: Thank you, Your Honor. Richard Berkley for the Public Utility Law Project. I'll -- I'll take staff's 2 hours of -- of cross. Just kidding. I actually probably only have 5 or so minutes more than staff's proposed 5 minutes.

CROSS EXAMINATION

BY MR. BERKLEY:

Q. Good morning, panel.

A. (Panel) Morning.

Q. Are you familiar with something called the tax cut and jobs act, a piece of federal legislation?

A. Yes.

Q. Could you explain briefly what it did to the corporate income tax rate?

A. (Doxsee) It lowered the rate from 35 percent to 21 percent.

Q. Thank you. And when a public utility pays its federal income tax whose money is

used? Would you like me to rephrase?

A. Yeah, I think I do.

Q. Okay. Is it fair to say that the company pays its federal taxes with ratepayer money?

A. Broadly, yes.

Q. Broadly, yes, thank you. Are you familiar with a term called unprotected accumulated deferred income tax?

A. Yes.

Q. Yes? Thank you. What is the amount of unprotected plant excess A.D.I.T. proposed for KEDNY for year 1 -- I'm sorry, for -- forgive me for the rate year?

A. (Molloy) Just to be clear here, are you talking about what's the balance on the balance sheet or what's being amortized?

Q. What's being amortized? Thank you for the -- the clarification.

A. (Briggs) For the unprotected plant -- just to clarify you said unprotected for the first rate year?

Q. Yes.

A. For KEDNY, the unprotected plant would be 3,760,261.

Q. Thank you. And what would that number be for KEDNY, you did say KEDLI, I'm sorry.

A. That was KEDNY.

Q. I'm sorry, what would the number be for KEDLI?

A. For KEDLI that would be 2,271,803. And we provide a reference to a work paper in our filing if that will be helpful.

A.L.J. COSTELLO: And I just want to remind you to please just state your name before you answer the question.

THE WITNESS: Stephanie Briggs.

BY MR. BERKLEY: (Cont'g.)

Q. What was the period of time that panel suggested for amortizing the unprotected plant excess A.D.I.T. for KEDNY and KEDLI respectively?

A. For KEDNY, that was 44 years and for KEDLI, it was 47 years.

Q. Could you explain why you proposed those time periods?

A. We are proposing to match the unprotected as close as possible to the protected plant amortizations.

Q. Could you explain why?

A. (Molloy) Because both of them match the life of the asset.

Q. Did staff propose a different amortization period for both KEDNY and KEDLI for unprotected excess A.D.I.T.?

A. Yes.

Q. Do you recall offhand what that number was?

A. (Briggs) Yes, that was 10 years.

Q. I see. Are you familiar with a Public Service Commission proceeding 17-M-0815?

A. (Molloy) And I might need more than just the number.

Q. It was entitled order determining -- I'm sorry, the order was entitled, Order determining rate treatment of tax changes as a result of the tax cut and jobs act?

A. Yeah, I'm familiar with that order.

Q. Thank you. Are you aware of any restrictions or guidance that the Public Service Commission has placed upon utilities return of unprotected plant excess A.D.I.T. to ratepayers?

A. There are no restrictions as far

as I know.

Q. Would it be fair to say that the -- sorry, I'll retract that. Did the panel calculate any bill impacts of the rate moderation that would occur under the 47 year amortization for KEDLI and 44 years for KEDNY?

A. I'm not sure what the question is asking, I mean, that's what we included in our case. That was the amount that affected our rates, so it would be $3 million for KEDNY and --

A. (Doxsee) 300,000.

A. (Molloy) It -- would the amount -- it'd be -- we did not do a bill impact of how much $3.7 million would affect KEDNY and KEDLI, it was a dollar number.

Q. So you did no bill impact analysis, is that correct?

A. Our panel's revenue requirements panel, what we do is we come up with the total dollars, it would be the pricing panel or -- would do bill impacts. However, you know, when we look at the revenue requirement in total we look at the whole animal not just one particular piece of it.

Q. Thank you. Did you or any other

panel provide an analysis of the impact that amortizing the unprotected plant excess A.D.I.T. over periods equivalent to the 10 years suggested by staff would have had upon the cash flow and credit metrics for each company?

A. (Doxsee) David Doxsee. We did analysis of staff's overall position which included the acceleration of deferred taxes over a shorter period.

Q. Thank you. Would it be the panel's conclusion that a shorter amortization period would have a negative affect upon the company's credit metrics?

A. Yes, it would.

Q. Does the panel have any objective evidence for such a conclusion?

A. Yes, we -- yes, we do. It's in the calculation. So we'll talk about the calculation of the credit metric that Moody's looks at most closely which is your cash flow from operations or C.F.O. through your total debt. When we filed our case with everything that we put into the case with no adjustments, that ratio was about 18.5 percent for KEDNY and slightly higher for KEDLI. So we did -- we

did an analysis using the staff case and those ratios came in quite a bit lower.

Q. Thank you. Yes, I -- I know in your testimony that you cite to a piece from Moody's that describes a revenue requirement impact of a credit downgrade. Did any other of the rating companies do such a study on the company, for example, Standard and Poor's?

A. Are you asking if we're rated by Standard and Poor's or they?

Q. Yes.

A. Yes, we are.

Q. And did they examine the same effect of speeding up the return of unprotected excess A.D.I.T.?

A. I -- I don't know the answer to that.

Q. Okay. Thank you. Is it fair to say that if the company returned the unprotected excess A.D.I.T. faster to the ratepayers, in -- in other words returning the ratepayer's money to them more quickly, that there would be more rate moderation in the case?

A. (Molloy) James Molloy.

Obviously, if we credit more dollars to the customer the lower this particular bill will be, but there is rate stability issues as well that means that the next time we do a rate case there could be a bigger hockey stick effect because that credit goes away and now you're, you know, creating more of a rate impact the next time. I think, you know, rate stability is something we really need to be watching.

In addition, there's a matching principle. The assets that underlie this credit are going to be out there for another 40 years. There's, you know, a -- you know, an effect by passing back the whole amount that you are now asking future customers to pay more on the rate-based side of the world.

And with that you also have a potential for a tax law change. For example, a new administration comes into effect and they decided to go back to the 35 percent. You have now just given money back to a certain set of customers and now imposed a greater cost on the -- the remaining, you know, years of the assets.

Q. Thank you. Is the panel able to testify to the number of times that such a tax

increase has occurred since 1986? It is a -- I'm sorry, a federal corporate tax increase.

A. I believe this is the only one.

Q. Not decrease, increase?

A. It has not happened.

Q. Thank you. So in 33 years, the outcome that you're basing at least some of your theory upon hasn't occurred?

A. Again, these are 44 year assets that we're looking at --

Q. Yes.

A. -- so we are looking long term.

Q. Understood. And you had some concerns about not retaining the money that's already paid to the company by existing ratepayers and making future ratepayers pay their share? I know that's re-characterizing what you said, so let me see if I can go back and say that in a manner that doesn't put words in your mouth.

Is the money that the company has on its balance sheets now money from current and prior year ratepayers?

A. The deferred tax balance represents past differences between book and tax

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depreciation and other differences.

Q. And wouldn't those monies have been paid by ratepayers that the company has on account now?

A. Again, deferred taxes can go both ways, --

Q. Uh-huh.

A. -- so to the extent that you're in a asset or liability position is determining whether customers are paid or not paid. You know, we're in a liability position, so in that sense yes, that we've received more money than we have paid.

Q. To use one of Mr. Wyman's phrases from yesterday I believe. Is the company proposing an intergenerational transfer of these tax moneys paid by ratepayers from the current and previous ratepayers to the future ratepayers that you evince some concern for?

A. I wouldn't say so.

Q. Could you explain that?

A. I mean, the dollars that were paid and reduced rate based, so they are reducing rate base, so they are providing benefits to the current and future customers. It's just a financing

choice, it's no different than, you know, issuing debt. So I'm just going to be trading this form of financing with another form of financing.

So passing back all the dollars today, I need to go get funding and that's why it's a credit metric problem. And it is going to impose a cost on all the future people and so it is just, you know, heads or tails. So it's -- it's not a, you know, black and white like you say.

Q. Thank you. Bear with me one moment please.

Is the panel aware of the moratorium imposed by the company and its service territory in 2019?

A. (Molloy) Yes.

Q. Yes. Is it fair to say that the -- the revenue requirements panel is charged with or engaged in creating the revenue requirement for the company over at least for the 1 year rate plan that we're talking about in this case now?

A. Yes, we developed the revenue requirements.

Q. Thank you. Is it fair to say that the moratorium had an effect upon the revenue

requirement for the company?

A. Clearly because we had several supplemental testimonies that linked to that.

Q. Thank you. Did the company analyze in advance what the losses would be or what the financial impacts would be upon its customers in its service territory if it imposed the moratorium?

MR. O'BRIEN: Objection, Your Honor. The -- the panel hasn't testified to the specifics of the moratorium. They are the revenue requirement panel, they -- they talk about the dollars, but this is well beyond the scope of their testimony.

A.L.J. LEARY: I think we've discussed this in previous days and questions directed to this panel to the extent that they can answer them are acceptable even if they go beyond the precise boundaries of their testimony. So your -- your objection is overruled.

Let's hear from the panel about whether they can answer the question. Someone on the panel.

THE WITNESS: Can you repeat the question?

MR. BERKLEY: Yes.

BY MR. BERKLEY: (Cont'g.)

Q. Did the company analyze in advance what the potential losses, or that is the financial impacts would be, upon its customers in New York City and Long Island if it imposed the moratorium?

A. Not that I know of, but I wouldn't be involved in that type of decision making.

Q. Thank you. Now that the company has filed a supplemental testimony that takes into account the moratorium, has it analyzed the actual losses suffered by customers, denied new service or restoration of preexisting service by the moratorium?

MR. O'BRIEN: Objection, foundation. I don't understand the actual losses. There's no testimony in the record about that.

A.L.J. LEARY: Yeah. See if you can lay a foundation, Mr. Berkley.

MR. BERKLEY: Thank you, Your Honor. Let me -- let me withdraw that. I may come back to that in a moment if I can possibly lay some foundation.

A.L.J. LEARY: I just want to make sure that the panel is being sort of asked questions

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collectively. So if one person doesn't know the answer, but the other person does have an answer, you're obligated to provide the answer to the question -- cross-examining party. I just want to make sure you're aware of that.

So if anybody knew an answer to the last question -- actually not the last question, the one before that you need to offer the answer and it had to do with the moratorium, the financial impact on ratepayers of the moratorium. Could anyone else -- is -- is anyone else able to answer that question?

THE WITNESS: (Ms. Briggs) No.

THE WITNESS: (Mr. Doxsee) No.

A.L.J. LEARY: Thank you. That would be helpful just to make sure, I know you're -- there -- there sometimes is one spokesperson for the panel. The panel obviously has varying knowledge though. So for the record, we want to hear from everyone if one person cannot answer the question, the other should chime in.

MR. BERKLEY: Thank you, Your Honor. Thank you, panel.

BY MR. BERKLEY: (Cont'g.)

Q. Did imposing the moratorium

change the company's revenue requirement?

A. (Mr. Molloy) Again, looking at the supplemental testimonies, yes, it did. And there was the, you know, first supplemental I believe was the new NESE which would tie them with moratorium. The other supplementals actually deal with the resolution of the moratorium.

Q. Thank you. Could you provide a dollar figure for the impact upon the revenue requirement of the moratorium? And please feel free to read from your testimony.

A.L.J. LEARY: And for the record, could you identify which supplemental testimony or which testimony to which you are referring? Thanks.

THE WITNESS: (Ms. Briggs) For -- I'll start with KEDLIs in our supplemental filing filed on June 11th, 2019. The impact for the no NESE scenario on the revenue requirement was 15.225 million. And for KEDNY, the supplemental filing filed on June 11th, 2019 was an in -- increase to the revenue requirement of 5.674 million dollars.

A.L.J. LEARY: And would you note the page, please?

THE WITNESS: Yes. Both of those are

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on page 4 of 9, Table 1.

MR. BERKLEY: Thank you.

BY MR. BERKLEY: (Cont'g.)

Q. Has the company analyzed what monies, if any, it saved by imposing the moratorium rather than taking actions to avert it?

A. (Mr. Molloy) I believe that same table talks about the reduction in the rate base, talks about the reduction in the O. and M. and then talks about the, you know, loss of sales all adding together to come up with the revenue requirement.

Q. Could you also recite that figure for the record please?

A. (Ms. Briggs) Which figures specifically?

Q. The amount of monies the company saved, if any, by imposing the moratorium rather than -- than taking actions to avert it?

A. (Molloy) I -- I would say that the company has an increase in the revenue requirement, so it is imposing more costs onto the customers of the 5.6 million dollars for KEDNY and the --

A. (Briggs) 15.2 million dollars for

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KEDLI.

Q. And forgive me if I misunderstood your previous statement. Is that -- does that additional monies derived from the lowering of sales or the change in the sales forecast?

A. (Molloy) Yes, yes.

Q. Does the company have any additional expenditures now as a result of the commission -- I'm sorry, of the settlement requiring the connection of all the customers who were not connected during the moratorium?

MR. O'BRIEN: Just note my objection for the record. Again, I -- I think this is outside the scope of their testimony and the proceeding.

A.L.J. LEARY: Overruled.

THE WITNESS: (Ms. Briggs) So for KEDNY in our second supplemental filing on December 13th, 2019, page 5 of 10 on Table 1, you'll see an increase to the revenue requirement of 9.21 million. And for KEDLI in the second supplemental filing filed on December 13th, 2019, page 5 of 9, Table 1, the revenue requirement update was a decrease of 5.79 million.

MR. BERKLEY: Thank you. No further

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questions, Your Honors.

A.L.J. COSTELLO: Okay. Thank you. We're going to go off the record for a moment please.

(Off the record 10:39 a.m.)

(On the record 10:49 a.m.)

A.L.J. COSTELLO: Okay.

MR. O'BRIEN: Patrick O'Brien for the company. No redirect, Your Honor.

A.L.J. COSTELLO: Okay. Thank you. Panel, at this time we're not going to excuse you, so you will remain under oath. The reason for that is there was a curtailment of the amount of time that you were -- people were cross-examining the panel and Mr. Wyman would ordinarily be under the understanding that his cross-examination, which he has requested would begin at noon.

So we're going to ask you to be here until noon. If he's not here by noon at that time, we will excuse the panel. Thank you very much. I would want to note two other things, while we were -- during the cross-examination by PULP, Judge Leary arrived in the court -- I mean, in the hearing room and --

A.L.J. LEARY: And that was about

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10:10.

A.L.J. COSTELLO: And we also have --

A.L.J. LEARY: Sorry.

A.L.J. COSTELLO: We also have an appearance being made by U.I.U. which was not here -- which was not here this morning and if they could just note when -- when they arrived.

MS. KASOW: Thank you. We arrived just a few minutes past 10 as well. This is Jillian Kasow and Katie O'Hare for the Utility Intervention Unit.

A.L.J. COSTELLO: Okay. Thank you. And what we'll do is go off the record to allow time for the panels to vacate and occupy their respective seats.

(Off the record 10:50 a.m.)

(On the record 11:23 a.m.)

THE REPORTER: On the record.

A.L.J. COSTELLO: And we're going to be starting with the Department of Public Service Staff Revenue Requirements Panel. Counsel. Yes, I do need to -- sorry. I would just ask you to state your name and business address for the record.

MR. CASTANO: John Castano, 3 Empire

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State Plaza, Albany, New York.

MS. KEYMEL: Sarah Keymel, 3 Empire State Plaza, Albany, New York.

A.L.J. COSTELLO: And please stand and raise your right hand. Do you swear or affirm that the testimony you will provide is the truth?

MR. CASTANO: Yes.

MS. KEYMEL: Yes.

WITNESS; JOHN CASTANO; Sworn

WITNESS; SARAH KEYMEL; Sworn

A.L.J. COSTELLO: Thank you. And please -- there are only two of you so it's not as much of a problem, but just remember when you respond to questions on cross-examination, if you can just state your name before respond.

THE WITNESS: (Ms. Keymel) Okay.

A.L.J. COSTELLO: Thank you.

DIRECT EXAMINATION

BY MR. GOODRICH:

Q. Hello, this is Brandon Goodrich for D.P.S staff. Staff Revenue Requirements Panel, before you is a document entitled prepared testimony of Staff Revenue Requirements Panel consisting of a cover page and 98 pages of questions and answers

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dated August 2019. Was that testimony prepared by you or under your direct supervision?

A. (Panel) Yes.

Q. Also before you is a document entitled Prepared Corrected Supplemental Testimony of Staff Revenue Requirements Panel consisting of a cover page and 27 pages of questions and answers dated February 2020. Was that testimony prepared by you or under your direct supervision?

A. Yes.

Q. Do you have any changes or corrections to make to your prepared testimony?

A. (Castano) No.

Q. Do you affirm that the information contained in the panel's prepared testimonies is true and accurate to the best of your knowledge?

A. (Keymel) Yes.

Q. And if you were asked the same questions today under oath, would you answer them the same way?

A. (Keymel) Yes.

MR. GOODRICH: So Your Honors, I ask that the prepared testimonies of the Staff Revenue

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A.L.J. COSTELLO: The request is granted and at this point the court reporter should insert D.P.S. Staff Revenue Requirements Panel direct testimony and D.P.S. Staff Revenue Requirements Panel corrected supplemental testimony.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Staff Revenue Requirements Panel

John P. Castano
Auditor 2 (Public Utilities)

Sarah E. Keymel
Auditor 2 (Public Utilities)

Office of Accounting, Audits and Finance
State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Members of the Staff Revenue Requirements Panel, please identify yourselves, your employer and your business address.

A. We are John Castano and Sarah Keymel. We are employed by the New York State Department of Public Service. Our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. Castano, what is your position at the Department?

A. I am employed as an Auditor 2 (Public Utilities) in the Office of Accounting, Audits and Finance.

Q. Please describe your educational background and professional experience.

A. I graduated from the State University of New York Institute of Technology in 2013 with a Bachelor of Science degree in Accounting. I have been employed by the Department since September of 2014.

Q. Please briefly describe your responsibilities with the Department.

A. My responsibilities include routine examination of accounts, records, policies and procedures of regulated utilities to ensure compliance with the Public Service Law, and the Commission’s

rules, regulations, and orders.

Q. Mr. Castano, have you previously submitted testimony in proceedings before the Commission?

A. Yes, I submitted testimony in the following rate proceedings: New York State Electric & Gas Corporation, Cases 15-E-0283 and 15-G-0284; Rochester Gas and Electric Corporation, Cases 15-E-0285 and 15-G-0286; KeySpan Gas East Corporation d/b/a National Grid (KEDLI), Case 16-G-0058; The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY), Case 16-G-0059; National Fuel Gas Distribution Corporation, Case 16-G-0257, Niagara Mohawk Power Corporation d/b/a National Grid (Niagara Mohawk), Cases 17-E-0238, and 17-E-0239, and St. Lawrence Gas Company, Inc., Cases 18-G-0133, and 18-G-0140.

Q. Ms. Keymel, what is your position at the Department?

A. I am an Auditor 2 (Public Utilities) in the Office of Accounting, Audits and Finance.

Q. Ms. Keymel, please summarize your education and work experience.

A. I graduated from the State University of New York College at Brockport in May 2010 with a

Bachelor of Science degree in Accounting. I joined the Department in March 2012 as an Auditor Trainee 1.

Q. Please describe your responsibilities with the Department.

A. My responsibilities include the examination of accounts, records, documentation, policies and procedures of regulated utilities.

Q. Ms. Keymel, have you previously provided testimony before the Commission?

A. Yes. I have provided testimony before the Commission in: Cases 17-E-0238 and 17-G-0239, regarding Niagara Mohawk Power Corporation d/b/a National Grid; Case 16-W-0259, regarding New York American Water; Case 15-E-0307, regarding the Town of Massena Electric Department; Cases 13-W-0539, 13-W-0564 and 14-W-0006, regarding United Water New Rochelle and United Water Westchester; and, Case 13-W-0295, regarding United Water New York.

Scope of Testimony

Q. Panel, what is the scope of your testimony in this proceeding?

A. We will set forth Staff's recommended overall revenue requirements for KEDLI and KEDNY (collectively, the Companies). In addition, we will address various issues, specifically consultants expense, contractors expense, labor expense, transportation expense, other initiatives – incremental employees, savings, paving expense, amortization of regulatory deferrals, and earnings base capitalization (EB/CAP)/working capital.

Q. What is the Historic Test Year in these proceedings?

A. The twelve-month period ended December 31, 2018.

Q. What is the Rate Year in these proceedings?

A. The twelve-month period ending March 31, 2021.

Q. Are you sponsoring any Exhibits?

A. Yes, we are sponsoring four Exhibits; Exhibit__(SRRP-1), Exhibit__(SRRP-2), Exhibit__(SRRP-3), and Exhibit__(SRRP-4).

Q. Please describe Exhibit__(SRRP-1) and Exhibit___(SRRP-2)?

A. Exhibit__(SRRP-1) is our rate year cost of service presentation for KEDLI and Exhibit___(SRRP-2) is our rate year cost of

service presentation for KEDNY. Both consist of 11 schedules. Schedule 1 summarizes our projection of gas operating income, rate base and rate of return for the Rate Year ending December 31, 2018 and includes our proposed base rate decrease. Schedule 1 is supported by Schedules 2 through 11. Schedule 2 is a summary of operating expenses. Schedule 3 is the calculation of taxes other than income tax. Schedule 4 is the computation of state and federal income tax. Schedule 5 is a summary of rate base. Schedule 6 is a summary of the capital matrix. Schedule 7(a) is a listing of the adjustments identified by the Companies reflecting the assumption that the Northeast Supply Enhancement (NESE) project will not be built, as explained in the testimony of the Staff Policy Panel. Schedule 7(b) is a listing of additional Staff adjustments resulting from Staff's NESE assumption. Schedule 7(c) is a listing of Staff's adjustments. Schedule 8 is a summary of depreciation and amortization expense. Schedule 9 is the calculation of the interest expense. Schedule 10 is the

calculation of supplemental cash working capital. Schedule 11 is the summary of the historic earnings base vs. capitalization at December 31, 2018.

Q. Please describe Exhibit__(SRRP-3)?

A. Exhibit__(SRRP-3) includes the Information Request (IR) responses that we rely upon throughout our testimony. We will refer to these IRs by the number assigned by Staff, e.g., DPS-50.

Q. Please describe Exhibit__(SRRP-4)?

A. Exhibit__(SRRP-4) is a compilation of workpapers that we created in calculating the adjustments referenced in our testimony.

Summary of Revenue Requirements

Q. Please summarize KEDLI's requested gas revenue requirement.

A. In its April 30, 2019 initial filing, KEDLI requested a $49.4 million total base revenue increase. In its July 3, 2019 Corrections and Updates filing, as shown in Exhibit__(RRP-1CU) Summary page 2, KEDLI increased its total base delivery revenue increase request to $61.2

million. The $61.2 million reflects a base delivery revenue requirement increase of $39.234 million, less incremental gross revenue taxes of $0.403 million, plus the impact of removing both the currently in place 2017 Tax Cuts and Jobs Act sur-credit of $31.834 million and the energy efficiency surcharge of $9.478 million as KEDLI proposes to include both of these components in the base rate revenue requirement.

Q. Please summarize Staff's recommendation regarding KEDLI's requested gas revenue requirement?

A. We recommend a base delivery revenue requirement decrease of $51.852 million, or approximately $91.1 million less than the $39.234 million requested by KEDLI. Exhibit__(SRRP-1), Schedule 7, lists every adjustment Staff witnesses and panels recommend that results in Staff's overall revenue requirement recommendation, with the exception of Staff's return on equity.

Q. How does Staff's recommendation compare to KEDLI's on a total base delivery revenue increase basis?

A. Compared to KEDLI's $61.2 million total base

delivery revenue increase, Staff's recommendation results in a total base delivery revenue decrease of $28.740 million, or a difference of approximately $89.9 million. The $28.740 million reflects a base delivery revenue requirement decrease of $51.852 million, less decremental gross revenue taxes of $0.772 million, plus the impact of removing both the currently in place 2017 Tax Cuts and Jobs Act sur-credit of $31.834 million and the energy efficiency surcharge of $9.478 million as Staff also recommends including both of these components in the base rate revenue requirement. The supporting calculation for these differences can be found in our workpapers, Exhibit___(SRRP-4).

Q. Please briefly summarize the major reasons for the $91.1 million difference in the KEDLI's gas rate year revenue requirement?

A. The largest difference, by far, is due to the Company's request for a 9.65 percent return on equity, compared to Staff's recommended 8.2 percent return on equity. We estimate the cost of money differences account for approximately

$30.4 million of the approximately $91.1 million difference. Other major differences include: (1) approximately $7.4 million resulting from Staff's service company rents expense adjustment; (2) approximately $3.4 million resulting from Staff's labor expense adjustment (3) approximately $12.6 million resulting from Staff's other initiatives recommendations; (4) approximately $1.7 million resulting from Staff's site investigation and remediation recommendation; (5) approximately $4.2 million resulting from Staff's adjustment to the KEDLI's proposed savings; (6) approximately $3.8 million resulting from Staff's recommended amortization of regulatory deferrals; (7) approximately $11.7 million resulting from Staff's depreciation expense adjustment; (8) approximately $2.3 million resulting from Staff's property tax adjustment; (9) approximately $7.7 million resulting from Staff's recommended amortization of excess accumulated deferred income tax (ADIT); and (10) approximately $7.2 million resulting from Staff's rate base adjustments.

Q. Please summarize KEDNY's requested gas revenue

requirement.

A. In its April 30, 2019 initial filing, KEDNY requested a $236.8 million total bill increase. In its July 3, 2019 Corrections and Updates filing, as shown in Exhibit__(RRP-1CU) Summary page 2, KEDNY decreased its total base delivery revenue increase request to $195.6 million. The $195.6 million reflects a base delivery revenue requirement increase of $175.7 million, less incremental gross revenue taxes of $6.119 million, plus the impact of removing both the currently in place 2017 Tax Cuts and Jobs Act sur-credit of $44.646 million and the energy efficiency surcharge of $18.636 million as KEDNY proposes to include both of these components in the base rate revenue requirement.

Q. Please summarize Staff’s recommendation regarding KEDNY’s requested gas revenue requirement?

A. We recommend a gas base rate revenue requirement increase of $2.205 million, or approximately $173.5 million less than the $175.703 million requested by the KEDNY. Exhibit__(SRRP-2), Schedule 7, lists every adjustment Staff

witnesses and panels recommend that results in Staff's overall revenue requirement recommendation, with the exception of Staff's return on equity.

Q. How does Staff's recommendation compare to KEDNY's on an overall total base delivery revenue increase?

A. Compared to KEDNY's $195.6 million base delivery revenue increase, Staff's recommendation results in a total base delivery revenue increase of $28.294 million, or a difference of approximately $167.3 million. The $28.294 million reflects a base delivery revenue requirement increase of $2.205 million, less incremental gross revenue taxes of $0.078 million, plus the impact of removing both the currently in place 2017 Tax Cuts and Jobs Act sur-credit of $44.646 million and the energy efficiency surcharge of $18.636 million as Staff also recommends including both of these components in the base rate revenue requirement. The supporting calculation for these differences can be found in our workpapers, Exhibit___(SRRP-4).

Q. Please briefly summarize the major reasons for the $173.5 million difference in the KEDNY's gas rate year revenue requirement?

A. The largest difference, by far, is due to the Company's request for a 9.65 percent return on equity, compared to Staff's recommended 8.2 percent return on equity. We estimate the cost of money differences account for approximately $48.2 million of the approximate $173.5 million difference. Other major differences include: (1) approximately $3.3 million resulting from Staff's revenue adjustment; (2) approximately $1.1 million resulting from Staff's consultants expense adjustment; (3) approximately $6.5 million resulting from Staff's contractors expense adjustment; (4) approximately $10.3 million resulting from Staff's service company rents adjustment; (5) approximately $3.0 million resulting from Staff's labor expense adjustment; (6) approximately $18.2 million resulting from Staff's recommendation for other initiatives; (7) approximately $15.2 million resulting from Staff's recommendation for site investigation and remediation expense; (8) approximately $10.8

million resulting from Staff's adjustment to KEDNY's proposed savings; (9) approximately $13.6 million resulting from Staff's recommended amortization of regulatory deferrals; (10) approximately $17.5 million resulting from Staff's depreciation expense adjustments; (11) approximately $1.3 million resulting from Staff's property tax adjustment; (12) approximately $15.8 million resulting from Staff's proposal to amortize excess ADIT; (13) approximately $7.8 million resulting from Staff's rate base adjustments.

Operations and Maintenance Expenses

Consultants Expense

Q. Do you have any adjustments to Consultants' expense?

A. Yes. We recommend decreasing the Rate Year projection of Consultants' expense by $1.146 million for KEDNY and $0.714 million for KEDLI.

Q. What information did you rely upon to derive this recommendation?

A. We used the information provided by the Companies in response to IRs DPS-806, DPS-807,

DPS-931, DPS-932 and DPS-933.

Q. How did the Companies forecast Rate Year Consultants' expense?

A. The Companies began with the Historic Test Year actual expenses and made several normalizing adjustments. KEDNY and KEDLI then applied an inflation factor of 3.96 percent to arrive at a forecast Rate Year Consultants' expense of $12.039 million and $7.865 million, respectively.

Q. Please explain your adjustment to Consultants' expense.

A. We recommend removing certain charges that the Companies incurred in the Historic Test Year, but should be normalized out when forecasting the Rate Year expense. KEDNY and KEDLI incurred several charges for the vendor AlixPartners LLP, a firm which provided assistance to National Grid USA Service Company, Inc., an affiliate of KEDNY and KEDLI, to help improve performance within its Information Services division, which provides services to KEDNY, KEDLI and other National Grid operating utilities. KEDNY incurred $1.102 million and KEDLI incurred

$0.687 million of AlixPartners costs in the Historic Test Year, which was included as a component of Consultants' expense. We recommend that these charges be normalized out of the Historic Test Year when developing the Rate Year forecast.

Q. Why should these charges be normalized out of the Historic Test Year?

A. Since the Companies forecast Rate Year Consultants' expense using the Historic Test Year, these charges should be normalized out, because they will not recur during the Rate Year.

Q. Does the Company believe these charges will recur in the Rate Year?

A. According to the responses to IRs DPS-806 and DPS-807, the Companies state in response to this question that, "the use of consultants to provide expertise aimed at ensuring the efficient delivery of the IT portfolio and assisting with contract negotiations will continue and is a reasonable and prudent activity of any major company with a significant IT portfolio."

Q. Do you believe these charges will recur during the Rate Year?

A. No. While the Companies asserted that the costs "will continue," they provided no evidence of this. Indeed, according to the Single/Sole Source Procurement documentation for this particular expense, which the Companies provided in response to IR DPS-932, the Companies were seeking to employ a refreshed strategy that "goes beyond traditional reviews and analysis offered by technology consultants." Given that this work goes beyond traditional reviews and analyses, and that the Companies believed that AlixPartners is a niche consultancy firm, we do not expect that, in the Rate Year, the Companies will incur similar costs from other technology consultants aimed at ensuring the efficient delivery of its IT portfolio, like the Companies stated. Further, AlixPartners assisted with designing, launching and executing a "Fact Base, Opportunity Assessment, and Roadmap" of National Grid's Information Services division, as well as help with executing a transformation plan. It is not reasonable, or cost-effective, for a

company to design, launch and execute a transformation plan of its Information Services division every year. Since the Companies have already undertaken this work, it is not reasonable for the Companies to hire a consultant to perform all this work again during the Rate Year. As such, the costs cannot be expected to recur during the Rate Year, and should be excluded from the Rate Year forecast of Consultants' expense.

Q. What adjustment do you recommend to remove these costs?

A. We recommend reducing KEDNY's Consultants' expense by $1.146 million and KEDLI's Consultants' expense by $0.714 million. This removes the $1.102 million and $0.687 million of Historic Test Year costs, respectively, increased by the Companies' inflation rate of 3.96 percent.

Contractors Expense

Q. How did the Companies develop their Rate Year forecast of Contractors expense.

A. As shown in Exhibit___(RRP-3CU), Schedule 2,

KEDNY began with the Historic Test Year expense of $113.209 million, then made normalizing adjustments for its Historic Test Year review, Gas Enablement Project costs, Appreciate Program costs, Capitalization Policy Changes, Leak Repair Cost Incentives, reclassification of Paving expenses, out of period disconnect/reconnect costs, and Local Law 30 (LL30) costs. KEDNY then applied inflation to arrive at a total Rate Year forecast of $78.724 million. As shown in Exhibit___(RRP-3CU), Schedule 2, KEDLI began with the Historic Test Year expense of $32.337 million, then made normalizing adjustments to remove non-recurring costs, Gas Enablement Project costs, Appreciate Program costs, Capitalization Policy Changes, and Leak Repair Cost Incentives. KEDLI then applied inflation to arrive at a total Rate Year forecast of $32.961 million.

Q. Do you have any adjustments to the operation and maintenance (O&M) cost element of Contractors expense.

A. Yes, we recommend two downward adjustments to the Rate Year projection of Contractors expense

for KEDNY.

Q. Please explain your first adjustment.

A. As provided in Exhibit___(RRP-3CU), Schedule 2, KEDNY projects approximately $14.095 million of Local Law 30 (LL30) costs will be charged to Contractors expense in the Rate Year. However, the supplemental response to IR DPS-236 states that KEDNY has decreased its total LL30 Rate Year forecast of approximately $17.0 million to $11.0 million. Therefore, a portion of the reduction to LL30 costs needs to be reflected in Contractors expense. KEDNY also stated that the updated forecast would be reflected in its Correction and Updates filing.

Q. Did KEDNY reflect the updated LL30 forecast in its Correction and Updates filing?

A. No. As explained in response to IR DPS-869, KEDNY did not reflect the updated LL30 forecast in the Corrections and Updates filing. KEDNY’s Rate Year LL30 expense forecast in its Corrections and Updates filing is $16.642 million. Using the updated LL30 forecast, the Rate Year LL30 expense would be $10.264 million. As such the Rate Year expense amount should be

decreased by $6.378 million.

Q. Of the reduction of $6.378 million, what amount relates to Contractors?

A. As explained by the Companies in response to IR DPS-869, the amount related to Contractors equals $5.201 million. Therefore, we recommend a downward adjustment to update the LL30 forecast related to Contractors expense, in the amount of $5.201 million.

Q. Please explain your second adjustment.

A. We recommend a downward adjustment for KEDNY, relating to the cost category “snow removal” within Contractors expense.

Q. How does the level of snow removal in the Historic Test Year compare to previous years?

A. The charges incurred in previous years were much lower than KEDNY’s Historic Test Year. According to KEDNY’s response to IR DPS-236, in calendar year 2016 KEDNY incurred charges of $1.228 million. In calendar year 2017 KEDNY incurred charges of $1.800 million. In the Historic Test Year, KEDNY incurred charges of $3.337 million, or a 172 percent and 85 percent increase from calendar years 2016 and 2017,

respectively.

Q. What reason did KEDNY give for this large increase in snow removal charges from calendar year 2016 and calendar 2017 to the Historic Test Year?

A. According to the KEDNY's response to IR DPS-523, KEDNY stated only that the increase resulted from more inclement weather occurring during the Historic Test Year. KEDNY did not provide information supporting other causes, such as a contract change or a change in the quantity of properties that require additional snow removal. In other words, KEDNY did not provide any information that could suggest that some aspect of the level incurred in the Historic Test Year reflected changed circumstances we can reasonably expect to recur in the Rate Year.

Q. What do you recommend?

A. Given the deviation of the level of charges incurred in the Historic Test Year, we recommend basing the Rate Year projection of snow removal on a three-year average, using the snow removal charges incurred in calendar years 2016, 2017, and 2018, plus inflation. While the severity of

weather can change year to year, the use of a three-year average will smooth out the year to year changes and will produce a more reasonable Rate Year forecast.

Q. Please quantity your adjustment to Contractors expense.

A. Applying the three-year average calculation, plus inflation, reduces Contractors expense by $1.263 million.

Labor

Q. Do you have any adjustments to the Companies' Rate Year Labor expense forecast?

A. Yes. We recommend two adjustments to the Companies' Rate year Labor expense forecast. The first adjustment relates to KEDNY's and KEDLI's projected headcount solely for the operating companies. The second adjustment relates to the wage increase for management employees. We will support the first adjustment, while Daniel Gadomski separately provided testimony supporting the second adjustment. Exhibit___(SRRP-4) provides our calculation of the two adjustments.

Q. How did the Companies forecast employee headcount for the Rate Year.

A. The Companies began with the labor headcount as of the end of the Historic Test Year, December 31, 2018, and then made adjustments to reflect conditions expected in the Rate Year.

Q. Please explain the adjustments made to the Historic Test Year labor headcounts in order to establish a base for the Rate Year.

A. First, the Companies removed employees from management and represented headcounts who are on long-term leave, and not expected to return. Second, the Companies added the average headcounts for seasonal and temporary employees who were not captured in the December 31, 2018 employee headcounts.

Q. What are the Companies' adjusted headcounts for the Historic Test Year?

A. KEDNY adjusted its management full-time equivalent employees (FTEs) to 120, and bargaining unit FTEs to 1,349, or a total of 1,469 to establish the base for its forecast. KEDLI adjusted its management FTEs to 74, and bargaining unit FTEs to 631, or a total of 705

to establish the base for its forecast. The total Service Company management FTEs and bargaining unit FTEs were adjusted to 5,307 and 1,595, respectively.

Q. Do you agree with the Companies' adjusted headcounts to establish the base for their Rate Year Labor expense forecast?

A. Not entirely. We do not agree with the adjusted headcount for KEDNY and KEDLI operating companies. The Companies do not account for vacancy rates, when forecasting their employee levels. We recommend an adjustment to reflect vacancies. Our adjustment is specific to the number of FTEs who directly charge labor costs to KEDNY and KEDLI, that is, not for FTEs that originate from the National Grid USA Service Company and allocate time to KEDNY and KEDLI.

Q. What do you mean by "vacancy rate"?

A. The vacancy rate is the number of unfilled positions within a company, divided by the targeted employee level.

Q. What factors cause a company to have a vacancy rate?

A. There are several reasons, some of them include:

(1) employees who retire, and their positions are not filled immediately because of the lag associated with finding a replacement; (2) employees leaving one company for a position with another company, and their position not being filled immediately; (3) an employee gets promoted, and the employee's previous position no longer exists, as the responsibilities are inherited in the promotion; (4) incremental positions get filled internally, and the promoted employees' previous positions do not get backfilled; and (5) terminations.

Q. What vacancy rate have the Companies forecasted for the Rate Year?

A. The Companies did not forecast a vacancy rate for the Rate Year. Therefore, the Companies assume that every position forecasted for the Rate Year will be fully staffed for every workday of the Rate Year.

Q. Do you agree with the Companies' assumption that every position forecasted for the Rate Year will be fully staffed.

Q. No. There will always be vacancies due to the aforementioned reasons, which occur as a normal

part of doing business.

Q. Even though the Companies did not forecast vacancy rates for the Rate Year, do the Companies acknowledge that there could be fluctuations in staffing levels?

A. Yes. In fact, the Companies note this in their responses to IRs DPS-690 and DPS-691, in which they acknowledge that headcounts can vary month to month, or even day to day, due to several variables such as attrition related to retirements, terminations, voluntary separations, and long-term leave, as well as the filling of positions that have been vacated.

Q. What do you recommend regarding a vacancy rate?

A. We recommend applying a vacancy rate to the Companies' Rate Year Labor expense.

Q. Do the Companies currently track vacancy rates for existing positions?

A. No. According to the responses to IRs DPS-646 and DPS-647, the Companies do not track vacancy rates for existing positions.

Q. Did you calculate a vacancy rate to apply to the Companies' forecast of Labor expense?

A. Yes. For KEDNY we calculated a vacancy rate of

3.16 percent. For KEDLI, we calculated a vacancy rate of 8.20 percent.

Q. Please explain how the Panel determined a baseline for the calculation of these vacancy rates.

A. To establish a baseline, we began with the Companies' adjusted headcounts as of September 30, 2015. This figure was used in Cases 16-G-0058 and 16-G-0059 to forecast Labor expense for the Companies' current rate plans. The adjusted headcounts as of that date were 1,281, and 662 for KEDNY and KEDLI, respectively. Then, we added the number of approved incremental FTEs from the 2016 Rate Order issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059. That Rate Order approved 236 incremental employees for KEDNY and 106 for KEDLI. Thus, the 2016 Rate Order authorized a total headcount of 1,517 for KEDNY and 768 for KEDLI.

Q. Have the Companies hired all of the allowed incremental FTEs from the 2016 Rate Order?

A. Yes. For KEDNY, as explained in response to IR DPS-315, all of the allowed incremental positions, with one exception, were hired as of

October 2017. The one remaining position was filled as of May of 2019. For KEDLI, as explained in response to IR DPS-316, all of the incremental positions, with one exception, were hired as of December 2017. The one remaining position was filled as of February 2018.

Q. Please explain how you derived these vacancy rates.

A. When comparing the total headcounts authorized per the 2016 Rate Order, to the adjusted headcount at the end of the Historic Test Year, this resulted in a variance of 48 employees for KEDNY and 63 for KEDLI. Finally, we divided the variance by the approved headcounts from the 2016 Rate Order. This produced a vacancy rate of 3.16 percent for KEDNY and 8.20 percent for KEDLI.

Q. Please explain the relevance of the adjusted headcount as of September 30, 2015 plus the number of approved incremental employees.

A. This establishes a baseline of where we would expect the Companies' headcount to be today, based on what the Companies' proposed in the rate case and the Commission authorized in the

2016 Rate Order.

Q. Explain why you are using the adjusted headcount as of the end of the Historic Test Year, December 31, 2018, in your calculation.

A. The headcount as of December 31, 2018 serves as the basis from which the Companies projected their Rate Year headcounts, therefore it serves as a reasonable point of Comparison. Further, it is more appropriate to compare the adjusted headcount as of September 30, 2015 to the adjusted headcount as of December 31, 2018 because the headcounts at these points in time have been adjusted for employees on leave and both serve as a basis for projected rate recovery.

Q. Are the savings reflected from the Accelerate program embedded in the Historic Test Year headcount?

A. Yes. While we will discuss the Accelerate program later in our testimony, as is relevant here, the direct testimony of the KEDNY Revenue Requirements Panel, pages 84-85, states that National Grid conducted a review of staffing levels at certain functions to ensure that teams

were appropriately aligned and staffed to meet regulatory, safety, and customer obligations. This review resulted in a modest reduction of FTEs. The Companies reflected savings from these positions in various initiatives at implementation levels 4 and 5 and reflected them in the Rate Year labor forecast. Because the labor forecast is based on the number of employees as of December 31, 2018, the end of the Historic Test Year, any employee who left National Grid before that date was captured in the Historic Test Year headcount used to develop the Rate Year forecast.

Q. Would your vacancy rate adjustment result in a double count of savings, for additional FTEs that have been separated from the Companies following the end of the Historic Test Year?

A. No. As provided in response to IR DPS-940, any FTEs separated from the Company following the Historic Test Year were Service Company employees. Our adjustment pertains specifically to KEDNY’s and KEDLI’s operating company headcounts. Therefore, since we are not making an adjustment to the Service Company headcount,

there is no double count of savings.

Q. Are the Companies requesting incremental FTEs as part of this rate filing?

A. Yes. KEDNY requested an incremental 156.3 FTEs for the Rate Year, but as we will discuss in more detail later in our testimony, Staff recommends reducing KEDNY's request by 19 FTEs, resulting in a total of 137.3 incremental FTEs in the Rate Year. KEDLI requested an incremental 95.4 FTEs for the Rate Year, but as we will discuss in more detail later in our testimony, Staff recommends reducing KEDLI's request by 17 FTEs, resulting in a total of 78.4 incremental FTEs in the Rate Year.

Q. Are the Companies' incremental hires a contributing factor to vacancy rates?

A. Yes, as a large portion of the Companies' incremental FTEs are hired internally. As explained in response to IR DPS-470, of the 236 incremental FTEs approved for KEDNY in the 2016 Rate Order, approximately 130 FTEs, or 55 percent, were hired internally. Of the 106 incremental FTEs approved for KEDLI in the 2016 Rate Order, approximately 36 FTEs, or 34

percent, were hired internally.

Q. Is it reasonable to assume the Companies will continue to hire a portion of its incremental FTEs internally?

A. Yes. As stated in response to IR DPS-470, the Companies' frequently fill positions by internal promotions or transfers. By doing so, this better aligns employees' experience and skills with the work. It also helps the Companies manage attrition.

Q. When an employee in an existing position transitions to an incremental position, does the Company back-fill the vacated position?

A. It is unclear and, at best, would depend on the position in question. As stated by the Companies' in response to IR DPS-470, tracking the backfilling of positions would be a complicated and time-consuming exercise that the Companies do not perform. However, as previously discussed, the data shows that, when comparing the allowed headcounts from the 2016 Rate Order of 1,517 and 768 for KEDNY and KEDLI, respectively, to the adjusted headcount as of December 31, 2018 of 1,469 and 705 for KEDNY and

KEDLI, respectively, variances of 48 employees for KEDNY, and 63 for KEDLI resulted. Therefore, this means that (1) there are either lags, or periods of time where the Company is unable to back-fill vacated positions; or (2) the Companies are unable to or decide not to back-fill the vacated positions at all.

Q. In the event the Companies are unable to fill vacated positions, are the Companies recovering the costs of these unfilled positions in rates?

A. Yes. In the event the Companies hire an internal employee for an incremental position and do not back-fill the vacated position, the Companies continue to receive rate recovery for the vacant position. By applying a vacancy rate to the Companies' proposed staffing level for the Rate Year, we account for this fluctuation. Otherwise customers would be paying the Companies for positions that are not filled.

Q. Please quantify your adjustment.

A. Our adjustment reduces KEDNY's Labor expense by $2.759 million and reduces KEDLI's Labor expense forecast by $3.229 million.

Q. Please explain the second adjustment to Labor

expense, relating to the additional wage increase for management employees.

A. Staff witness Daniel Gadomski recommends limiting management salary increases to three percent. We calculated the revenue requirement impact of this recommendation and recommend reducing Rate Year Labor expense by $0.270 million for KEDNY, and $0.167 million for KEDLI.

Q. Do these two adjustments to Labor expense have an effect on other line items?

A. Yes, flow-through adjustments have been made to productivity and payroll taxes.

Transportation Expense

Q. What comprises the Companies' forecast of Rate Year Transportation expense?

A. The majority of costs associated with Transportation expense pertain to: (1) lease expense; (2) motor fuel; and (3) other expenses. As shown in Exhibit___(RRP-3CU), Schedule 24, page 1 of 1, the Companies forecasted Rate Year Transportation expense of $8.399 million for KEDNY, and $5.136 million for KEDLI.

Q. Do you recommend adjusting the Companies'

forecasts of Rate Year Transportation expense?

A. Yes. We recommend adjusting the leasing component of Transportation expense.

Q. Please explain how the Companies derived the lease expense component of Transportation expense.

A. As shown in Exhibit___(RRP-3CU), Schedule 24, the Companies began with the Historic Test Year total leasing costs for KEDNY and KEDLI of $8.233 million and $7.789 million, respectively. The Companies adjusted its Historic Test Year amount for their forecasts of fleet additions, replacements, and retirements from the end of the Historic Test Year through the Rate Year. The Companies then reduced this amount by a forecast of gains from vehicles sold at auction. For KEDNY, this resulted in a net increase of $1.592 million, for a forecast of Rate Year leasing cost of $9.826 million. Of this amount, $4.884 million was allocated to operating expense, and $4.942 million allocated to capital. For KEDLI, these adjustments resulted in a net increase of $1.244 million, for a Rate Year leasing cost forecast of $9.033 million.

Of this amount, $3.450 million was allocated to operating expense, and $5.583 million allocated to capital.

Q. How much of the Companies' forecasts of Rate Year Transportation leasing costs represent new vehicle leases, which replace existing vehicles?

A. Referring to the Companies' responses to IRs DPS-659 and DPS-661, KEDNY and KEDLI forecast $2.576 million and $3.342 million, respectively, for new vehicle leases to replace existing vehicles.

Q. How many vehicles do the Companies anticipate replacing from the end of the Historic Test Year through the end of the Rate Year?

A. Referring to the Companies' responses to IRs DPS-886 and DPS-887, from January 2019, through March 2021, or over a 2.25-year period, KEDNY anticipates replacing 314 vehicles. Specifically, KEDNY plans to replace 141 in calendar year 2019, 170 in calendar year 2020, and three during the first three months of calendar year 2021. During that same 2.25-year period, KEDLI anticipates replacing 340 vehicles. Specifically, KEDLI plans to replace

150 in calendar year 2019, 152 in calendar year 2020, and 38 during the first three months of calendar year 2021.

Q. How does this level of anticipated vehicle replacement compare to prior years?

A. According to the response to IR DPS-958, KEDNY replaced 44 vehicles in 2016, 31 vehicles in 2017, and 59 vehicles in 2018, or a total of 134 vehicles over a three-year period. Thus, KEDNY proposes replacing 180 more vehicles in a 2.25-year period than it replaced in this most recent three-year period. According to the response to IR DPS-959, KEDLI replaced 94 vehicles in 2016, 39 vehicles in 2017, and 44 vehicles in 2018, or 177 vehicles over a three-year period. Thus, KEDLI proposes replacing 163 more vehicles in a 2.25-year period than it replaced in this most recent three-year period.

Q. Do the Companies gain ownership of the vehicle following expiration of the lease?

A. Yes. This type of leasing agreement is considered a capital lease, by which ownership of the asset is transferred to the lessee upon expiration of the lease. The leasing cost is

essentially an amortization of the vehicle cost over a specific period of time. After transfer of ownership, the Companies have the option to continue using the vehicle or replace the vehicle at that point or any point thereafter. When the Companies sell the old vehicles, they receive the associated auction proceeds.

Q. Do the Companies typically replace a vehicle at the expiration of the lease?

A. No. As demonstrated in response to IRs DPS-661 and DPS-886, the Companies have vehicles in their fleet inventory dating all the way back to 1997. In fact, for KEDNY, of the 314 vehicles planned to be replaced, approximately 108 vehicles leases expired prior to December 31, 2016. For KEDLI, of the 340 vehicles planned to be replaced, approximately 133 vehicles leases expired prior to December 31, 2016. Further, as stated in the Companies' response to IRs DPS-958 and DPS-959, "The planned replacement dates may be adjusted at any point during a vehicle's life for changes in usage patterns or maintenance history."

Q. Do you agree with the Companies forecasting

methodology of vehicles to be replaced?

A. No. Based on the number of vehicles replaced historically, and the variability in vehicle replacement, the Companies' forecasts are excessive. Historically, the Companies maintain and utilize vehicles with expired leases. Therefore, it is inappropriate to assume replacement of all vehicles with an expired lease, or vehicles with leases expiring right before the start of the Rate Year.

Q. What do you recommend for establishing the Rate Year projection of vehicle replacements?

A. Given the abnormal level of replacements forecasted prior to the end of the Rate Year, we recommend basing the projection on the cumulative total of vehicles replaced during the most recent three-year period, calendar years 2016, 2017, and 2018, prorated to a 2.25-year period. This provides a reasonable basis to forecast vehicles to be replaced prior to the end of the Rate Year.

Q. Please quantify your adjustment.

A. Our adjustment reflects the forecast of 101 vehicle replacements for KEDNY and 133 for KEDLI

through the end of the Rate Year. This results in a reduction of 214 vehicle replacements for KEDNY and 207 for KEDLI. For KEDNY, we calculated the average annual leasing cost per vehicle by dividing the forecast total Rate Year cost of new leases due to planned replacement of $2.576 million by the forecast of 314 new leases. This resulted in an annual average leasing cost of $8,205 per vehicle. We then multiplied the annual average cost per vehicle of $8,205 by our forecast of 101 vehicle replacements, which resulted in a total of $0.829 million, or a downward adjustment to Transportation leasing costs of $1.748 million. Of this amount, $0.869 million is allocated to expense. We used the same methodology for KEDLI, using the forecast total Rate Year cost of new leases due to planned replacement of $3.342 million, and KEDLI's proposed 340 new leases due to planned replacement. This resulted in an annual average leasing cost per vehicle of $9,831. We then multiplied the average cost per vehicle of $9,831 by our forecast of 133 vehicle replacements, which

resulted in a total of $1.307 million, or a downward adjustment to Transportation leasing costs of $2.035 million. Of this amount $0.777 million is allocated to expense.

Q. Should a corresponding adjustment be made to auction proceeds?

A. Yes. Since we reduce the number of vehicles being replaced, we also need to adjust the projection of auction proceeds. For KEDNY, the projected auction proceeds, as a percentage of the new leases due to planned replacement, is 28.73 percent. Therefore, we applied the 28.73 percent factor to our forecast of Transportation leasing costs, which results in auction proceeds of $0.238 million, compared to KEDNY's forecast auction proceeds of $0.740 million, or a difference of $0.502 million from KEDNY's forecast. Of this amount, $0.250 million is allocated to expense. For KEDLI, the projected auction proceeds as a percentage of the new leases due to planned replacement is 28.02 percent. Therefore, we applied the 28.02 percent factor to our forecast of Transportation leasing costs, which results in auction proceeds

of $0.366 million, compared to KEDLI's forecast auction proceeds of $0.937 million, or a difference of $0.571 million from KEDLI's forecast. Of this amount, $0.218 million is allocated to expense.

Q. Please summarize your adjustments to Transportation expense.

A. For KEDNY, our adjustment to reflect our forecast of vehicle replacements reduces Transportation expense by $0.869 million. We netted this adjustment against our corresponding adjustment to auction proceeds of $0.250 million, resulting in a net downward adjustment of $0.619 million. For KEDLI, our adjustment to reflect our forecast of vehicle replacements reduces Transportation expense by $0.777 million. We netted this adjustment against our corresponding adjustment to auction proceeds of $0.218 million, resulting in a net downward adjustment of $0.559 million.

Other Initiatives – Incremental Employees

Q. Do you have any adjustments to the incremental FTEs included in Other Initiatives expense?

A. Yes. We recommend four adjustments to the Rate Year forecast of incremental FTEs expense included in Other Initiatives. In total, these adjustments reduce KEDNY's expense by $1.347 million and KEDLI's expense by $1.076 million. The first adjustment relates to a decrease in headcount to reflect Staff's assumption that the Northeast Supply Enhancement Project (NESE) will not be built during the Rate Year. The second adjustment relates to a decrease in headcount for reasons other than the NESE project. The third adjustment relates to management employees' salary increases. The fourth adjustment relates to updating the labor burden rates. Exhibit___(SRRP-4) provides our calculation of the four adjustments.

Q. How did KEDNY and KEDLI calculate the proposed expenses relating to these incremental employees?

A. As part of Other Initiatives expense, KEDNY and KEDLI, respectively, included the costs for 156.3 and 95.4 incremental employees relating to new capital projects and initiatives. The costs for these incremental employees include base

salary, benefits, variable pay and payroll taxes, which then are reduced by a one percent productivity adjustment. KEDNY's and KEDLI's Rate Year forecasts for these incremental employees are $9.744 million and $7.786 million, respectively.

Q. Does KEDNY or KEDLI believe an adjustment to headcount is necessary if NESE is not built?

A. Yes. According to the response to IR DPS-868, KEDLI would not need three proposed employees and would only need 92.4 incremental employees.

Q. Please explain your first adjustment to the incremental FTEs expense, which decreases KEDNY's and KEDLI's headcount related to the NESE project.

A. The first adjustment reduces KEDNY's total FTE count by 2.4, to 154.0 and reduces KEDLI's total FTE count by 2.2, to 90.2 if NESE is not built. This adjustment quantifies the recommendation in Staff's Efficiency and Sustainability Panel. We are only quantifying the impact of this recommendation. This recommendation reduces the Rate Year revenue requirement by $0.233 million for KEDNY and $0.177 million for KEDLI.

Q. Please explain your second adjustment to the incremental FTEs expense, which decreases the headcount further.

A. The second adjustment reduces KEDNY's total FTE count by 16.7, to 137.3 and reduces KEDLI's total FTE count by 11.8, to 78.4. This adjustment quantifies the recommendations in the testimonies of the following Staff witnesses and panels: Staff Gas Supply Panel; Staff Pipeline Safety Panel; Staff Gas Infrastructure and Operations Panel; and, Staff Efficiency and Sustainability Panel. We are only quantifying the impact of those recommendations. These recommendations reduce the Rate Year revenue requirement by $0.975 million for KEDNY and $0.811 million for KEDLI.

Q. Please explain your third adjustment to the incremental FTEs expense relating to management employees' salary increases.

A. Staff witness Daniel Gadomski recommends limiting management salary increases to three percent. As such, we have reflected a three percent increase for each proposed management FTE. This reduces the Rate Year revenue

requirement by $0.016 million for KEDNY and $0.012 million for KEDLI.

Q. Please explain your fourth adjustment to the incremental FTEs expense relating to the labor burden rates.

A. The Companies included the costs for benefits, variable pay and payroll taxes along with base pay for each proposed new FTE. These costs are reflected by using labor burden rates. Our adjustment updates the benefits, variable pay and payroll tax rates used by the Companies to forecast these items.

Q. How did the Companies calculate their forecasted benefits, variable pay and payroll taxes for the incremental FTEs?

A. According to the Companies' MS Excel Format Spreadsheet Workpaper, Exhibit__(RRP-3), OM Schedule 27, Other Initiatives, the Companies applied its adjusted Historic Test Year labor burden rates to each incremental FTE's salary. The labor burden rates were calculated using adjusted Historic Test Year amounts. In response to IR DPS-392, the Companies stated that applying overhead rates calculated on Rate

Year amounts is more reasonable and would make this change in its Corrections and Updates filing. According to the response to IR DPS-877, the Companies' Corrections and Updates filing incorrectly reflected the Companies' Rate Year benefits' amounts, as not all Corrections and Updates adjustments were reflected in the Companies' calculation.

Q. Do you agree with the methodology the Companies used to calculate the overhead rates?

A. While we agree with the Companies' methodology, we recommend updating these rates using our Rate Year benefits amounts.

Q. Please quantify your adjustment updating the labor burden rates.

A. We recommend reducing the Rate Year forecast of incremental FTE expense by $0.123 million for KEDNY and $0.076 million for KEDLI.

Q. Do you have any other recommendations relating to the incremental FTEs?

A. Yes. We recommend that the Companies continue their downward-only New Hire True-up, with updates to the targeted FTE count to 137.3 for KEDNY and 78.4 for KEDLI and the cost per

employee per month updated to $5,097 for KEDNY and $7,106 for KEDLI.

Savings

Q. Please describe what “Savings” comprises.

A. In Fiscal Year 2019, National Grid announced the Accelerate Program, which it describes as an ambitious, three-year efficiency challenge. As described in the Companies’ response to IR DPS-394, there are three aspirational targets of the Accelerate Program: a 20 percent efficiency improvement in operating and capital expenditures; increasing customer ease and trust performance metrics by 20 basis points; and earning $100 million in additional operating profit from new sources. The Companies have developed and continue to develop many initiatives to reach its targets. Each initiative is placed at an implementation level based on its stage of development, ranging from Level Zero to Level Five. Level Zero initiatives are purely ideas. Level One initiatives have an identified estimated value. Level Two initiatives have been validated and

assessed. Level Three initiatives have been planned and approved. Level Four initiatives have been implemented. Level Five initiatives have been fully implemented and the savings have been realized.

Q. How much savings did the Companies reflect in the Rate Year?

A. Throughout their revenue requirements, KEDNY reflected $31.499 million of savings and KEDLI reflected $12.544 million of savings in the Rate Year related to the Accelerate Program. The Savings line item within O&M reflects savings identified through the Companies' Accelerate Program that have not been reflected elsewhere in the revenue requirements, net of costs to achieve.

Q. How did the Companies calculate the proposed Savings line item amount within O&M?

A. The Companies summed the total estimated savings for each Level Four and Level Five initiative identified, removed the savings already embedded elsewhere in the revenue requirements and netted this against one-fourth of the costs to achieve amount, to reflect amortizing the costs to

achieve over four years. This resulted in a Savings amount of $10.265 million for KEDNY and $5.490 million for KEDLI in the Companies' Corrections and Updates filings.

Q. Do you have any adjustments to Savings?

A. Yes, we recommend four adjustments to Savings. The first adjustment is to update Level Four and Level Five initiatives' savings. The second adjustment is to include savings that were inadvertently excluded from the Companies' Corrections and Updates filing. The third adjustment is to disallow the costs to achieve. The fourth adjustment is to include the savings associated with Level Three initiatives.

Q. Please explain your first adjustment to Savings, which relates to the savings associated with Level Four and Level Five initiatives.

A. Our adjustment updates the amount of savings associated with Level Four and Level Five initiatives reflected in the Rate Year. As mentioned in KEDNY's and KEDLI's Revenue Requirements Panel testimony, the Companies stated that if any initiative moves into Level Four or Level Five after the initial filing, the

Companies will reflect these changes in their Corrections and Updates filings. In those filings, the Companies did update the savings associated with Level Four and Level Five initiatives. Since the Corrections and Updates filing, the Companies have identified additional Level Four and Level Five savings. The Rate Year should reflect the most recent Level Four and Level Five savings, which the Companies provided in the August Supplemental response to IR DPS-396.

Q. Why do you believe Level Four and Level Five savings should be updated for the latest known amounts?

A. Level Four and Level Five initiatives are initiatives for which the Companies have completed all activities required to deliver the savings or the savings have already been realized. As more and more initiatives move up to Level Four or Level Five over time, these should be captured in the Rate Year. Further, we recommend updating the savings related to Level Four and Level Five initiatives as these proceedings progress.

Q. Please quantify your adjustment to update the Level Four and Level Five savings.

A. Our adjustment reduces the revenue requirements by $0.984 million for KEDNY and $0.762 million for KEDLI, which reflects the latest known savings associated with Level Four and Level Five initiatives provided in the August Supplemental response to IR DPS-396.

Q. Please explain your second adjustment to Savings, which relates to savings that were inadvertently excluded from the Rate Year.

A. According to the Companies' response to IR DPS-940, the savings associated with initiatives 17533 and 24611 were mistakenly not included in the Companies' Corrections and Updates filing. Our adjustment includes these savings in the Rate Year forecast. This results in an adjustment of $0.119 million for KEDNY and $0.073 million for KEDLI.

Q. Please explain your third adjustment to Savings, which relates to the costs to achieve.

A. We recommend disallowing the costs to achieve.

Q. What are the costs to achieve?

A. According to the Companies' response to IR DPS-

754, the costs to achieve represent severance payments. These severance payments are separate from normal run of the business severance pay, but rather are payments associated with the Companies staffing level review in connection with the Accelerate Program.

Q. How did the Companies account for its costs to achieve in its rate case filing?

A. The Companies reviewed all severance paid out during the Historic Test Year and classified each payment as normal run of the business severance pay or as part of the staffing review. Total severance payments related to the staffing review totaled $0.845 million for KEDNY and $0.527 million for KEDLI. The Companies propose to amortize these amounts over four years to align with the benefits that customers will receive over the same period. KEDNY and KEDLI propose netting a quarter of the total costs to achieve amount against the total savings, or $0.211 million for KEDNY and $0.132 million for KEDLI.

Q. Why do you recommend disallowing the costs to achieve?

A. We recommend disallowing the costs to achieve for three reasons. First, these severance payments are a one-time cost and will not recur during the Rate Year. Second, as discussed in the Companies response to IR DPS-915, the Companies booked these costs to expense and have already flowed-through expense. Third, while the Companies are asking for the expenses that have already been flowed-through the income statement, they do not propose to provide customers with the associated savings that have also flowed-through the income statement. The Companies are specifically asking customers to pay the expenses associated with achieving the savings before the Rate Year, however the Companies are not sharing any of the savings the Companies achieved before the Rate Year with customers.

Q. Please quantify your adjustment to remove the costs to achieve.

A. Our adjustment reduces the revenue requirements by $0.211 million for KEDNY and $0.132 million for KEDLI.

Q. Please explain your fourth adjustment to

savings, which relates to the savings associated with Level Three initiatives.

A. We recommend including Level Three initiatives' savings in the Rate Year forecast.

Q. Please explain in more detail what Level Three initiatives are.

A. According to the response to IR DPS-394, Level Three initiatives are initiatives that have been planned an approved. A detailed implementation plan has been developed, as have "key performance indicators," which are used to track delivery of impact. In sum, the savings value is "bankable" at this point.

Q. Why did the Companies not include Level Three initiatives' savings in the Rate Year forecast?

A. According to the response to IR DPS-755, the Companies chose not to include the savings associated with Level Three initiatives, because the initiatives have not yet been implemented and still carry significant risks to achieving the targeted savings. The Companies did however state that they did account for Level Three initiatives' savings in two ways in the filing. First by including a productivity adjustment,

and second by including these savings with inflation in the Data Years.

Q. Do you agree with the Companies that their proposed productivity adjustment reflects Level Three initiatives' savings in the Rate Year?

A. No. The productivity adjustment is to account for unidentified and/or unquantifiable gains and efficiencies that could be realized in the Rate Year. The savings associated with Level Three initiatives have been identified and quantified by the Companies, and therefore, are not captured in the productivity adjustment. Further, including these savings plus inflation through all the Data Years is irrelevant, because this does not affect the Rate Year.

Q. Why do you recommend including savings associated with the Level Three initiatives in the Rate Year forecast?

A. We recommend including the savings related to Level Three initiatives in the Rate Year forecast for five reasons.

Q. Please explain your first reason.

A. In Attachment 25 to IR DPS-394, the Companies state that Level Three initiatives' savings

estimates are sound enough to “take to the bank” in budget and that the savings value is “bankable.” Since these initiatives are sound enough to include in the Companies’ internal budgets, then they should also be sound enough to include in the Rate Year forecast. The Companies would not use the word “bankable” if they believe these savings were uncertain or precarious. At this stage, the Companies have enough confidence in the initiatives’ business case and project plan to follow through with these initiatives, and as such, should be included in the Rate Year forecast.

Q. Please explain your second reason.

A. Once initiatives get to Level Three, very few get cancelled. As shown in the Companies’ response to IR DPS-755, since the beginning of this year, only six Level Three initiatives were cancelled, as compared to 23 Level Two initiatives, 259 Level One initiatives and 164 Level Zero initiatives. As such, since not a lot of Level Three initiatives get abandoned, then most likely these initiatives will move on to Level Four and Level Five and produce

savings.

Q. Please explain your third reason.

A. Initiatives move quickly through the implementation levels, meaning initiatives currently at Level Three will soon be at Levels Four or Five, and thus, savings will likely accrue during the Rate Year. According to Attachment 3 of the Companies' response to IR DPS-755, on average it takes an initiative about two months to move from Level Three to Level Five. This means that once an implementation plan has been developed, it only takes about two months to implement it and realize the savings. The quickness of initiatives' movements can further be demonstrated by the Companies' response to DPS-396 and the supplemental responses in July and August. The initial response, which was provided less than two months after the Companies initial filing, shows an additional twelve initiatives moving to Level Four or Level Five. The Companies' July response, one month later, shows an additional five initiatives moving to Level Four. The Companies' August Supplemental response, another

month later, shows an additional four initiatives moving to Level Four or Level Five. After every monthly update, more and more initiatives reach Level Four or Level Five, and one can expect this progress to continue in the Rate Year. The start of the Rate Year is over seven months away and covers an entire year, so it is reasonable that Level Three initiatives will move up in level and savings will be realized before or during the Rate Year. Thus, these savings should be included in the Rate Year forecast.

Q. Please explain your fourth reason.

A. According to the response to IR DPS-755, for each Level Five initiative, the savings at that stage did not materially deviate from the savings estimates for those initiatives when they were at Level Three. Accordingly, it is reasonable to conclude that the savings identified by the Companies for Level Three initiatives are relatively stable, thus there is little risk regarding the forecasted savings value for Level Three initiatives. As such, the savings associated with Level Three initiatives

should be included in the Rate Year forecast, given the low risk of the forecasted savings value.

Q. Please explain your fifth reason.

A. We are being conservative by just including savings associated with the Level Three initiatives and not any savings associated with Level One or Level Two initiatives. In response to IR DPS-917, National Grid has identified a total savings estimate of $160.6 million for all the identified Level One initiatives and $14.1 million for all the identified Level Two initiatives as of the end of July. Even though it is most likely KEDNY and KEDLI will receive savings associated with these Level One and Level Two initiatives, we do not recommend including any additional savings in the Rate Year forecast for initiatives at these levels. It takes on average about four and a half months for an initiative to move from Level One to Level Five, thus it is likely that some current Level One and Level Two initiatives will produce savings in the Rate Year. However, there are more risks and uncertainty surrounding the

identified savings amounts for initiatives at Level One and Level Two. As an example, the savings estimate is more apt to change between Level One or Level Two and Level Five, as seen in the Companies' response to IR DPS-755. Thus, we are being conservative by not reflecting in the Rate Year any portion of the savings associated with initiatives currently at Level One or Level Two.

Q. Please quantify your adjustment to include the savings associated with Level Three initiatives in the Rate Year forecast.

A. Our adjustment decreases the revenue requirements by $9.475 million for KEDNY and $3.220 million for KEDLI. This represents the total savings amount reflected in the August response to IR DPS-757 for Level Three initiatives. We also propose to continue to update the savings related to Level Three initiatives as these proceedings progress. In the event a future update produces a material change in the Level 3 savings amounts, the Companies should provide an explanation and reasons for the change in conjunction with

providing the updated schedule detailing the Level 3 initiatives and associated savings.

Paving Expense

Q. How did the Companies develop their Rate Year forecasts of Paving expense.

A. As shown in their respective versions of Exhibit___(RRP-3CU), Schedule 40, KEDNY and KEDLI began with the Historic Test Year expense, $34.970 million for KEDNY and $3.601 million for KEDLI, then made normalizing adjustments for Capitalization Policy Changes, and Leak Repair Cost Incentives. Lastly, the Companies applied inflation to arrive at a total Rate Year forecasts of $31.624 million for KEDNY and $3.201 million for KEDLI.

Q. Do you have any adjustments to the O&M cost element of Paving expense.

A. Yes, we recommend one downward adjustment to the Rate Year projection of Paving expense for KEDNY only.

Q. Please explain your adjustment.

A. Similar to Contractors expense, a portion of LL30 costs get charged to Paving expense. Since

KEDNY updated its LL30 forecast, projecting that less LL30 work will be performed in the Rate Year, a portion of the reduction in Rate Year LL30 costs needs to be reflected in Paving expense. As previously discussed, KEDNY currently forecasts LL30 Rate Year expense to be $10.264 million. This amount is $6.378 million lower than the amount in KEDNY's Corrections and Updates filing.

Q. Of the reduction of $6.378 million, what amount relates to Paving?

A. As explained in response to IR DPS-869, the amount related to Paving equals $1.177 million. Therefore, we recommend decreasing the Rate Year forecast of Paving expense by $1.177 million.

Q. Do you have an additional recommendation for the O&M cost element Paving expense?

A. Yes. We recommend a downward-only reconciliation mechanism for KEDNY only.

Q. How does KEDNY's current Paving expense rate allowance, compare to its request for the Rate Year?

A. The 2016 Rate Order issued on December 16, 2016 in Case 16-G-0059 provided KEDNY with a Paving

expense rate allowance of $10.620 for the Rate Year Ending December 31, 2019. In Case 19-G-0309, KEDNY requested Rate Year Paving expense of $31.642 million, an increase of $21.023 million. According to the response to IR DPS-244, the primary driver of the increase is the change in the City of New York's paving regulations, specifically Highway Rules §§2-01 through 2-09, 2-11 through 2-14, and 2-20, promulgated by the New York City Department of Transportation. KEDNY fully implemented changes reflecting these revised paving requirements by April 1, 2017, which has imposed significant requirements on the Company.

Q. Does KEDNY track the average cost for paving on a job by job basis?

A. No. According to the response to IR DPS-244, KEDNY does not track individual paving jobs, and work orders that include paving, since the work can differ drastically in scope and size. Also, KEDNY explained that it believes that the average cost by paving job would not be possible, nor would it be useful because of the variability in work.

Q. How did KEDNY ascertain that the Historic Test Year, normalized, plus inflation served as a reasonable basis to forecast the Rate Year?

A. According to the response to IR DPS-333, Calendar Year 2018, or the Historic Test Year, was the first full year under the new Department of Transportation restoration regulations. Therefore, KEDNY asserted that the Historic Test Year is the most accurate representation of forecast costs and the best measure for developing a budget for Paving expense going forward.

Q. Why do you recommend a downward-only true-up?

A. Given the fact that the Historic Test Year was the first full year under the new paving rules, there is no prior year data to compare to the Historic Test Year, to determine if the amounts incurred would serve as an appropriate basis for the Rate Year. In addition, since KEDNY does not track paving on a job-by-job basis, we cannot forecast paving costs based on the anticipated level of Rate Year paving jobs. Since we have only one year of data on which to rely, a downward-only true-up mechanism protects

customers in the event KEDNY under-spends its rate allowance, as the difference would be deferred for the benefit of customers. Further, the downward-only true-up mechanism also incents KEDNY to manage its paving costs efficiently to avoid exceeding the amount recovered through rates.

Amortization of Regulatory Deferrals

Q. How do the Companies propose to amortize regulatory deferrals in the Rate Year?

A. For the Rate Year, both KEDNY and KEDLI limit the amortization of regulatory deferrals to the amounts allowed in the 2016 Rate Order for site investigation and remediation costs. The annual amounts amortized for KEDNY and KEDLI are $18.521 million and $14.168 million, respectively.

Q. Do you agree with the Companies' site investigation and remediation amortization amounts for the Rate Year?

A. Yes, we agree that the annual amounts currently being amortized should continue.

Q. Do you recommend any additional regulatory

deferrals be amortized in the Rate Year?

A. Yes. We recommend the amortization of regulatory deferral balance amounts for gas safety negative revenue adjustments, unexpended energy efficiency fund amounts, and unexpended economic development amounts. Our proposed amortization of the negative revenue adjustments, and unexpended energy efficiency fund amounts, either completely, or partially, offset the associated program costs recommended in the testimony of other Staff individuals or panels.

Q. What are the specific amounts reflected in Staff's Rate Year revenue requirement?

A. For the gas safety negative revenue adjustment deferred balances, we reflect the amortization of $5.852 million and $1.231 million for KEDNY and KEDLI, respectively. The unexpended energy efficiency fund amounts represent a five-year amortization of the estimated deferral amounts as of April 1, 2020. Therefore, the annual amounts amortized are $7.295 million and $2.050 million for KEDNY and KEDLI, respectively. In addition, the economic development amounts being

amortized are $0.500 million for each of KEDNY and KEDLI and are used to offset the incremental amounts of the grant program costs reflected in operation and maintenance expenses.

Q. Do you recommend a full reconciliation for the proposed items to be amortized?

A. Yes. We recommend the Companies be required to track and reconcile the amounts being amortized and that the use of the amounts is in compliance with what the Commission authorizes in those specific areas.

Rate Base

Earnings Base Capitalization/Working Capital

Q. Have the Companies made adjustments to the Earnings Base Capitalization (EB/CAP) adjustment and working capital components in rate base in projecting the Rate Year?

A. Yes. While both KEDNY and KEDLI make EB/CAP and working capital adjustments, our recommended adjustments relate solely to KEDNY.

Q. Please explain the Earnings Base Capitalization (EB/CAP) adjustment that is reflected in rate base.

A. The EB/CAP adjustment aligns the utility rate base with its capitalization devoted to utility service. Utilities are allowed a return only on the capital devoted to utility service so that customers pay no more, and utilities recover no less, than the indicated return on the capital supporting utility operations.

Q. What is the capitalization used in the EB/CAP?

A. Capitalization for the EB/CAP represents funds provided by investors and customers supporting utility operations, on which utilities pay a return. Some examples of capitalization, as used here, include: common stock, retained earnings, advances from associated companies, and short-term debt. Accordingly, these items create a cost that must be recovered through utility rates. In addition, as capitalization supports all assets, it must be reduced for assets that are not part of utility operations. Assets that are not part of utility operations, for which capitalization must be reduced, include assets such as temporary cash investments, non-utility property, internal reserves, and goodwill. In other words, for

purposes of the EB/CAP adjustment, capitalization could include more items than the term would usually imply when used generally to describe the utility's capital structure.

Q. Generally, why does a utility's rate base not equal its capitalization?

A. The causes of the EB/CAP differential vary at each utility but are generally variations in cash flow items not in rate base, such as non-interest bearing liabilities, or cost-free sources of funds, that support a utility's assets resulting from the timing of payments on accounts payable, sales, and other taxes payable. Another cause of the EB/CAP differential may be imperfections in the estimation of cash working capital funding requirements.

Q. Is a utility's rate base supported entirely by cost-bearing capital, such as: common capital stock, preferred Stock, retained earnings, long-term debt, and short-term debt?

A. No. Utilities have access to cost-free sources of funds, due to the delay of when the amount is recovered from customers, and the actual payment

is made. Specifically, this results with accounts such as taxes payable, and accounts payable. However, utilities do not pay a return, and have no capital cost associated with, accounts or taxes payable. Also, utilities provide cost free capital or use of funds to customers. For example, utilities do not receive a return on current customer accounts receivable for utility service. The net amount of these short-term cost-free capital requirements is usually referred to as working capital, which is included in the utility's rate base.

Q. What is KEDNY's Rate Year forecast of the EB/CAP adjustment?

A. As shown on Exhibit___(RRP-7CU), Summary, KEDNY computed a Historic Test Year EB/CAP adjustment that decreases rate base by $32.828 million. It then made a normalizing Historic Test Year adjustment, further decreasing rate base by $90.609 million to project a Rate Year EB/CAP adjustment decreasing rate base by $123.437 million. In addition to the normalizing adjustments to EB/CAP, KEDNY made offsetting

normalizing adjustments to the separately identified working capital component of rate base, increasing rate base by $90.609 million.

Q. Why did KEDNY make a normalizing adjustment to the EB/CAP adjustment and offsetting adjustment to the separately working capital component?

A. As explained by KEDNY in response to IR DPS-885, it wanted to identify two specific items within the EB/CAP calculation that had working capital ramifications in the Historic Test Year. The first item related to a change in the gas supply cash working capital allowance for which KEDNY made an adjustment of $31.865 million to Rate Year working capital and an offsetting adjustment of $31.865 million to the EB/CAP adjustment to account for the change in the gas supply cash working capital allowance for the Historic Test Year. This adjustment was based on the result of the KEDNY's lead-lag study as shown in Exhibit___(RRP-7), Schedule 5. This lead-lag study calculates KEDNY's gas supply cash working capital percentage by taking the annual average percentage of the number of lead days plus the percentage of revenue lag. This

cash working capital percentage is then applied to total Historic Test Year commodity costs.

Q. Explain KEDNY's second EB/CAP adjustment.

A. As reflected on Exhibit___(RRP-7CU), Schedule 7, KEDNY made a separate adjustment to the Historic Test Year EB/CAP related to the Historic Test Year average City/State Construction (CSC) accounts receivable balance. KEDNY imputed this adjustment in order to isolate, and explicitly identify, the CSC accounts receivable balance embedded in the EB/CAP adjustment. This adjustment increases working capital by $58.744 million, for which KEDNY made an offsetting $58.744 million EB/CAP adjustment. KEDNY's CSC adjustment reflects the working capital ramifications it experienced in the Historic Test Year for reimbursable CSC capital and expense work.

Q. What are CSC expenditures?

A. CSC expenditures cover both capital and the operational expense (OpEx) incurred related to the work that KEDNY is mandated to perform to enable the City of New York (City) to execute its municipal work plan. As work is performed,

KEDNY bills the City for the portion of work that is reimbursable. However, there is a lag between the time the bill is sent, and payment is received. The accounts receivable balance reflects the amount owed to the Company by the City at any one time.

Q. Do you agree with the EB/CAP normalizing adjustments made by KEDNY?

A. Not entirely. We agree with the adjustment for the gas supply commodity, but we disagree with the adjustment made for the CSC accounts receivable. The net effect on Rate Year rate base and revenue requirement for both items being adjusted is zero, since KEDNY made offsetting adjustments in working capital. While there is no revenue requirement impact for the two items being adjusted, we feel isolating out and identifying the working capital and EB/CAP impacts for the CSC accounts receivable balance is unnecessary and distorts the actual Historic Test Year EB/CAP adjustment calculation.

Q. Beyond the two adjustments identified, does KEDNY make any additional adjustments to Rate

Year working capital?

Q. Yes. As shown on Exhibit___(RRP-7CU), Summary, KEDNY made two additional working capital adjustments to reflect the projected increase in working capital requirements between the end of the Historic Test Year through the end of the Rate Year for two specific items. However, KEDNY did not reflect an offsetting adjustment to EB/CAP.

Q. Why does KEDNY make these specific working capital adjustments?

A. KEDNY explains these adjustments are necessary as the working capital requirements in the Rate Year are in excess of what the Historic Test Year EB/CAP adjustment calculation would provide for.

Q. What items did KEDNY adjust?

A. KEDNY adjusted the forecasted Rate Year working capital for the change in gas supply purchases, and the difference between Historic Test Year commodity revenue and the projected Rate Year commodity revenue. This adjustment decreases Rate Year working capital by $7.699 million.

Q. Do you agree with the KEDNY’s adjustment to Rate

Year working capital related to the gas supply purchases and commodity revenue?

A. Yes. KEDNY has been allowed to use a lead-lag study to project the Rate Year working capital requirements associated with the timing between when it pays its suppliers for gas purchases and the time it receives payments for the purchases from its customers since the 2016 Rate Order. This reflects the Commission's findings in its Order Establishing Rates for Electric Service (2011 Order), issued on January 24, 2011 in Case 10-E-0050, a rate proceeding for Niagara Mohawk. In the 2011 Rate Order, the Commission determined that the lead-lag study for the commodity purchases could be used to establish the proper merchant function charge and the working capital requirements, with the understanding that any working capital adjustment would not alter the calculation of the revenue requirements for customers who paid Niagara Mohawk's delivery rates.

Q. What is the second adjustment KEDNY has made to determine rate year working capital?

A. As shown on Exhibit___(RRP-7CU), Summary, KEDNY

increased Rate Year working capital by $28.273 million for the forecasted change in the CSC accounts receivable balances from the end of the historic test year through the Rate Year.

Q. What is the basis for this adjustment?

A. In the response to IR DPS-885, KEDNY explains it included the Rate Year adjustment due to the expectation that the CSC accounts receivable balance will increase materially year-over-year, given KEDNY’s projected increase in CSC work. KEDNY indicated that, as the accounts receivable balance increases, its working capital requirements will also increase, due to the delay in payments from the City, which KEDNY projects to be 21-months. KEDNY indicates this rate base adjustment is necessary because it asserts that it should receive a return on prudently invested capital expenditures that are in excess of the Historic Test Year EB/CAP adjustment.

Q. Do you agree with KEDNY’s proposed Rate Year adjustment for what it has identified as forecasted incremental accounts receivable balances for reimbursable CSC work?

A. No, we do not agree with KEDNY's adjustment for several reasons.

Q. Please explain.

A. First, the Commission has a long-standing standard practice of relying on the FERC formula to calculate the amount of working capital to be included in rate base.

Q. How long has this been standard practice?

A. Since the early 1970s. In rate cases decided before 1970, the Commission's practice was to estimate the allowance for working capital to be included in rate base on the basis of lead-lag studies. However, in the early 1970's, the Commission decided that the lead-lag studies presented in rate cases were too cumbersome and time consuming. The expense of preparing lead-lag studies was disproportionate to their advantages, especially considering that many elements involved a good dose of judgment. In lieu of the lead-lag studies, the Commission embraced the FERC cash working capital formula as a simpler, but reasonably accurate, gauge of required working capital.

Q. But, you previously said the Commission has

allowed the National Grid companies, including KEDNY to use lead-lag studies, please explain.

A. In Case 10-E-0050, the Commission allowed Niagara Mohawk to use a lead-lag study for only the limited purpose of determining the working capital related to commodity purchases so that the proper merchant function charge could be established. The Commission explicitly stated it was not authorizing Niagara Mohawk to deviate from the standard practice that relies on the FERC formula to calculate the amount of working capital to be included in rate base, and indicated that lead-lag studies would not be accepted or used for rate base purposes as long as the FERC formula continues to be an acceptable and preferred approach. In the 2016 Rate Order, the Commission allowed KEDNY to use a lead-lag study for this same limited purpose. The Commission’s accepted and preferred approach in determining working capital has not changed in the time since the 2011 Order.

Q. Given this history, how does KEDNY justify its proposal?

A. KEDNY indicates in its response to IR DPS-885

that the adjustment it has made to Rate Year working capital is not the product of a formal lead-lag study, nor would this specific cost item be recovered through the application of the FERC working capital formula.

Q. Do you agree with KEDNY's assertion that its proposal is not the product of a formal lead-lag study?

A. While KEDNY's analysis used to determine the Rate Year working capital adjustment may not be the product of a formal study, for all intents and purposes the study and analysis undertaken was for the same purpose that a lead-lag study is done, which is to determine the revenue lag for a specific cost incurred. Accordingly, semantics aside, what KEDNY proposes is to use the functional equivalent of a lead-lag study to forecast CSC accounts receivable.

Q. Did KEDNY use the FERC formula in developing its Rate Year working capital forecast?

A. Yes. In its rate case filing as shown on Exhibit ___(RRP-7CU), Schedule 5, KEDNY utilized the FERC formula to develop its Rate Year cash working capital allowance.

Q. Do you agree with KEDNY that the FERC formula does not provide for the working capital requirements of the CSC accounts receivable?

A. No, we do not agree. The FERC formula was adopted as a generic means and proxy of estimating working capital and remains the Commission's preferred approach. Using both the FERC formula and the results of a study that is akin to a lead-lag study to develop Rate Year working capital requirements is a double-count, and the lead-lag adjustment must be eliminated for revenue requirement purposes.

Q. What is the second reason you disagree with KEDNY's proposed use of a functional lead-lag adjustment for the CSC accounts receivable balances in Rate Year rate base?

A. The second reason expands on the first reason. KEDNY's lead-lag adjustment is arbitrary in nature, focused on only one of hundreds of lead-lag items that both increase and decrease working capital requirements. If lead-lag impacts are to be reflected in the Rate Year working capital allowance, all items affecting working capital would have to be analyzed from a

lead-lag perspective and the FERC working capital formula would have to be eliminated.

Q. Please provide an example of a lead-lag item that affects Rate Year working capital requirements?

A. State and federal income taxes are a prime example. Tax monies are collected monthly from customers, but are paid quarterly to the taxing authorities. KEDNY has cost-free use of the amounts paid by customers from the time the tax monies are collected from customers until the time KEDNY pays the Internal Revenue Service and the NYS Tax Department. Reflecting this lead-lag income tax cash flow enhancement would impact Rate Year working capital requirements.

Q. Do you recommend that Rate Year working capital requirements and Rate Year rate base be adjusted to reflect the lead-lag impacts of federal and state income taxes?

A. No. As previously stated, doing so would be a double-count of the working capital allowance provided by the FERC formula. Moreover, lead-lag adjustments should only be reflected if a comprehensive lead-lag study is conducted on all

items affecting KEDNY's cash flow, and such a lead-lag adjustment would replace, rather than supplement, the cash working capital allowance provided by the FERC formula.

Q. What is the third reason you disagree with KEDNY's rate year working capital adjustment for the forecasted change in CSC accounts receivable balances?

A. KEDNY's working capital adjustment is akin to making a projected Rate Year adjustment to the historic EB/CAP adjustment calculation. KEDNY confirms this in its response to IR DPS-885 wherein it states, "This rate base adjustment is necessary because the Company should receive a return on prudently invested capital expenditures that are in excess of the Historic Test Year EB/Cap adjustment." The Commission's established practice is to use the Historic Test Year calculation as a proxy for the Rate Year estimate. Similar to the reasons why a lead-lag study should not be allowed for this item, KEDNY is focusing on only one of hundreds of items that could increase and decrease the historic test year EB/CAP adjustment calculation to

project the Rate Year. If lead-lag impacts are to be reflected in the Rate Year working capital allowance, then all items affecting working capital and the EB/CAP adjustment calculation would have to be analyzed from a lead-lag perspective.

Q. What is the fourth reason you disagree with KEDNY's working capital adjustment?

A. KEDNY's reason for making this specific working capital adjustment is that not only does it expect the amount of charges for reimbursable CSC work to grow, but it expects the reimbursement lag time to increase as well. While there may be increasing expenditures for the CSC work, KEDNY has been, at least partially, at fault for, and contributed to, the long lag time in getting reimbursed by the City for its reimbursable CSC costs.

Q. Please explain.

A. In its Gas Infrastructure and Operations Panel (GIOP) testimony at page 47, KEDNY discusses how it is addressing the increasing costs of the CSC workplan and reimbursements. KEDNY indicates that with respect to invoicing and payments,

KEDNY recently adopted process improvements to improve the timeliness of Company invoices to the City and is actively negotiating with the City regarding payment backlog and other process issues related to the administration of the CSC program.

Q. What process improvements has KEDNY put in place?

A. KEDNY's response to IR DPS-884 indicates that, in October 2017, KEDNY launched a formal process improvement initiative involving Downstate New York CSC and Non-Utility Billing and also details several changes that were made through this initiative to improve the timeliness of invoicing the City for the reimbursable CSC work. Attachment 2 of KEDNY's response to IR DPS-884, provides considerable information on this initiative. The business case summary presented in Attachment 2 indicates that KEDNY originally launched the initiative to resolve a $42 million aged balance in collections for Downstate CSC reimbursable projects. KEDNY expected the initiative to enable timely billing in accordance with customer agreement to meet

the budget for reimbursable dollars, prevent a recurrence of backlogged collections and an unreconciled deferred account, and enable proper end-to-end project tracking. Benefits related to the project initiative were identified, including but not limited to, timely invoice creation that would reduce bill cycle time and payment receipt to clear amounts in backlogged collections, and to remain current on future payments, and avoidance of bad debt reserve, incorrect deferred liability recognition and potential subsequent write-offs. The information in Attachment 2 indicates one of the targeted goals of the initiative was to improve from the current “cycle time from job completion to payment [of] 687 days” to a target “cycle time from field complete to bill [of approximately] 90 days.” While KEDNY expected the City’s Department of Environmental Protection (DEP) expense budget would double beginning in 2018, its goal was to cut the billing timeline in half within two years. In its response to IR DPS-884, KEDNY indicates it has had numerous meetings with the City

officials, the City's Department of Design and Construction and the City's DEP, to address issues related to the administration of the CSC program, including the invoice backlog.

Q. Where has KEDNY reflected the benefits it expects to realize associated with the CSC reimbursement project initiatives it has implemented?

A. Rather than reflect any benefits, KEDNY used its Corrections and Updates filing to calculate its proposed CSC working capital adjustment by reflecting an increase in the projected payment lag, using a 21-month payment lag versus the 18-month lag used in its initial filing. This can be found on page 24 of KEDNY's RRP Corrections and Updates testimony, and in Exhibit__(RRP-7CU).

Q. How did KEDNY support the increased payment lag?

A. KEDNY supports this change based on information contained in its response to IR DPS-402, wherein it indicated that a review of the outstanding invoices due at: December 31, 2018 showed a 20-month lag, January 31, 2019 showed a 19-month lag, and May 31, 2019 showed a 23-month lag. In

addition, KEDNY supports the increase in payment lag due to additional audit processes it says were put in place by the City's DEP, as part of the review process of KEDNY's submitted invoices. However, KEDNY omits any identification, reference to, or discussion of how its self-created backlog in generating invoices has contributed to the lag in payment by the City, and what processes it has put in place to rectify and improve the invoice backlog. In its response to IR DPS-402, wherein KEDNY provides Attachment 1 that contains a listing of outstanding invoices, by month from June 2017 through May 2019 related to the CSC reimbursement work, it neglects to identify how much of each month's outstanding invoices is related to catch up billing for its acknowledged problem of delay in processing of invoices. With this information missing, the schedule cannot and should not be relied on to support KEDNY's position of claimed increase in accounts receivable and unpaid bills by the City. Furthermore, if anything, one would expect that KEDNY's implementation of its CSC reimbursement

process project initiative, the payment lag should decrease, not increase.

Q. Do you recommend an adjustment to working capital for reimbursable CSC work to reflect expected improvements identified by KEDNY in its response to IR DPS-884?

A. No. As explained earlier, due to the numerous items contained in the historic EB/CAP calculation, and the established Commission practice on the EB/CAP adjustment calculation, we do not support making any adjustments to the Historic Test Year to compute a Rate Year EB/CAP adjustment calculation.

Q. Do you have any additional reasons for disagreeing with KEDNY's working capital adjustment?

A. Yes. The fifth reason for not allowing KEDNY's proposed working capital adjustment for CSC reimbursable work relates to what seems to be an outdated gas cost sharing agreement between the Companies and the City. In its response to IR DPS-1001, KEDNY provided a summary of the provisions of the gas cost sharing agreement as well as a copy of the agreement. KEDNY explains

the gas cost sharing agreement is required by the New York State Gas Cost Facility Cost Allocation Act of 1988 that sets forth the overall structure and various required terms for cost sharing agreements for utilities operating within New York City. The cost sharing agreement was entered into on December 28, 1988, was restated via an amendment dated January 12, 1989, and further amended in 1994, with the terms of the agreement expiring on June 30, 2025. In its response to IR DPS-943, KEDNY indicated the repayment of CSC charges is governed by the gas cost sharing agreement, with the agreement setting forth certain rate schedules for repayment. However, the agreement does not include a deadline for when payment must be made, and does not expressly provide the ability to charge late payment fees. Based on this, KEDNY has not charged late payment fees in the past. KEDNY recognizes that there has been and will continue to be a substantial increase in number of projects and associated costs of CSC reimbursable work. The last amendment to the gas cost sharing agreement was in 1994, and

as recognized by KEDNY, circumstances relating to CSC work have changed. KEDNY should seek to address the current provisions of the gas cost sharing agreement with the City, rather than ask all other customers to resolve and fund the working capital deficiency it projects to incur with the City's accounts receivables for CSC work.

Q. Has KEDNY met with the City to discuss the accounts receivable for CSC work issue?

A. Yes, in its response to IR DPS-884, KEDNY identifies various meetings held in 2018 and 2019 between it and the City's various departments. As an example, Attachment 7 of the response provides information on a March 23, 2018 meeting with the City's DEP. KEDNY should continue to address, and remedy, this significant cash flow issue with the City.

Q. What adjustments do you recommend to address the CSC accounts receivable working capital issue?

A. We recommend three adjustments, which we reflected in the rate base schedule. Specifically, we recommend reversing the Historic Test Year normalizing adjustment of

$31.865 million that KEDNY made to working capital. We then recommend making an offsetting adjustment of the same amount to EB/CAP, to properly reflect the accounts receivable balance for CSC work to be included in the Historic Test Year EB/CAP adjustment computation. Third, we recommend removing $28.273 million from KEDNY's Rate Year working capital forecast to eliminate the Company's incremental working capital adjustment associated with the forecasted change in accounts receivable for reimbursable CSC work.

Q. Have you identified any other components of rate base that are related to reimbursable CSC work, and should be adjusted as well?

A. Yes. In its rate base schedule, Exhibit__(RRP-7CU) Summary, KEDNY includes $40.816 million as a Rate Year projection of regulatory assets/liabilities to be included in rate base. As shown by Exhibit__(RRP-7CU) Schedule 2 page 6, this amount is made up of $0.843 million for rate case expense, $15.539 million and $2.118 million for unamortized debt expense and $22.316 million for a cost sharing agreement. KEDNY

explains each of these items beginning on page 113 of the initial testimony of its Revenue Requirements Panel.

Q. Do you disagree with the inclusion of any of these items in the regulatory assets/liabilities component of rate base?

A. Yes, specifically the deferred asset item identified as the Cost Sharing Agreement account. In its testimony, the Revenue Requirements Panel explains that this account reflects the costs associated with the CSC reimbursable projects recoverable from the City of New York, and that these costs are the operating expenses related to CSC – Public Works reimbursable capital investment. These costs are not amortized, and the account is adjusted when payments are received from the City.

Q. Explain why you disagree with KEDNY including this item in rate base.

A. Although there is no amortization of this cost, by including this item in rate base, the amount included for the reimbursable operating expense cost balance receives carrying charge treatment. An adjustment is required to remove this item,

as KEDNY is already getting carrying charge treatment for its unpaid reimbursable CSC work operating expenses through the inclusion of the CSC OpEx billings included in the accounts receivable balances for CSC work within the Historic Test Year EB/CAP adjustment calculation. In its response to IR DPS-943 Attachment 1, KEDNY provides a breakout of the monthly accounts receivable for both capital and OpEx CSC work. KEDNY computed the average monthly balance for the Historic Test Year as $58.744 million, an amount that reconciles to the average calendar year 2018 CSC accounts receivable balance shown on Exhibit__(RRP-7CU) Schedule 7. To allow KEDNY to include unpaid OpEx billings in both the EB/CAP adjustment calculation and in the regulatory asset/liability components of rate base would allow KEDNY double recovery. Our adjustment decreases KEDNY's Rate Year rate base by $22.316 million.

Q. Do you have a similar adjustment for KEDLI?

A. Yes. We recommend removing the projected Rate Year balance included in KEDLI's rate base for a

similarly named regulatory asset. On page 111 of its initial Revenue Requirements Panel testimony, KEDLI describes the amounts contained in this account as the very same reimbursable projects recoverable from the City that we just discussed regarding KEDNY. These are the operating expenses related to the reimbursable capital investment. In its rate base schedule, Exhibit__(RRP-7CU) Summary, KEDLI includes $8.257 million for the Rate Year projection of regulatory assets/liabilities. As shown by Exhibit__(RRP-7CU) Schedule 2 page 6, this amount reflects $0.843 million for rate case expense, $4.046 for unamortized debt expense and $3.368 million for the cost sharing agreement. As with KEDNY, KEDLI's accounts receivable balance for the CSC work would be reflected in the Historic Test Year EB/CAP adjustment calculation, and to allow an amount for unpaid reimbursable CSC work as a regulatory asset in rate base would allow for double recovery of carrying charges. Accordingly, we recommend removing $3.368 million from the regulatory asset/liability component of KEDLI's Rate Year

rate base.

Q. Do you have any other concerns related to the reimbursable CSC capital or expense work?

A. Yes, we have two concerns. KEDNY's accounting practices of recording the construction costs that KEDNY incurs to perform the reimbursable CSC work to Construction Work in Progress, and the timing of when it records the reimbursements it expects to receive from the City, could: (1) cause plant in service balances to be overstated, and (2) add interest costs onto the cost of a reimbursable CSC capital project due to the applicability of Allowance for Funds Used During Construction (AFUDC). Specifically, as shown in Attachment 3 to its response to IR DPS-943, KEDNY records to FERC account 107, Construction Work In Progress, the costs associated with the reimbursable CSC capital work performed, and then when it bills the City for the work, it records a credit to the same account. However as identified by KEDNY, there has been an identified problem of a backlog in KEDNY billing the City for cost reimbursement for projects. If the billings to the City are

delayed, credits to the Construction Work in Progress would be delayed, while at the same time KEDNY continues to close Construction Work in Progress amounts to plant in service on a monthly basis, depending on its plant in service closing rules. If amounts of reimbursable CSC capital work are closed to plant in service, then rate base is inappropriately overstated and the excess amounts are receiving carrying charges. Furthermore, depending on the type and length of the CSC capital work project for which amounts will be reimbursed by the City, a delay in billing by KEDNY to the City could result in inappropriate financing costs added to the project costs due to the application of AFUDC charges, which also would result in an excess amount in rate base when the CSC work project is closed to plant in service.

Q. What do you recommend for addressing these concerns?

A. As part of its rebuttal filing, KEDNY should provide an analysis of the impact on CSC reimbursable work projects closed to plant in service and also on Construction Work in

Progress costs for CSC reimbursable work projects due to the delay in billings by KEDNY to the City, and demonstrate why adjustments should not be made to remove the inappropriate incremental amounts that are included in Historic Test Year and projected Rate Year plant in service amounts due its accounting practices and the recording entries for reimbursable CSC capital work. If KEDNY believes there are no excess amounts in rate base, it should demonstrate how it came to that conclusion.

Q. Does this conclude your testimony at this time?

A. Yes.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

February 2020

Prepared Corrected Supplemental
Testimony of:

Staff Revenue Requirements Panel

John P. Castano
Auditor 2 (Public Utilities)

Sarah E. Keymel
Auditor 2 (Public Utilities)

Office of Accounting, Audits and
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Department of Public Service
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Q. Members of the Staff Revenue Requirements Panel, please identify yourselves.
A. We are John Castano and Sarah Keymel.
Q. Is this the same Panel that previously submitted pre-filed direct testimony in these proceedings on August 30, 2019?
A. Yes.

Scope of Testimony

Q. Panel, what is the scope of your supplemental testimony in this proceeding?
A. We will set forth corrections, updates and supplemental adjustments to our revenue requirements filed in our direct testimony.
Q. Are you sponsoring any Exhibits?
A. Yes, we are sponsoring five Exhibits: Exhibit__(SRRP-1 Corrected), Exhibit__(SRRP-2 Corrected), Exhibit__(SRRP-4 Corrected), Exhibit__(SRRP-5), and Exhibit__(SRRP-6)
Q. Please describe Exhibit__(SRRP-1 Corrected) and Exhibit__(SRRP-2 Corrected).
A. Exhibit__(SRRP-1 Corrected) is our corrected rate year cost of service presentation for KEDLI and Exhibit__(SRRP-2 Corrected) is our corrected

rate year cost of service presentation for KEDNY.

Q. Please describe Exhibit__(SRRP-4 Corrected).

A. Exhibit__(SRRP-4 Corrected) is our corrected compilation of workpapers.

Q. Please describe Exhibit__(SRRP-5) and Exhibit__(SRRP-6).

A. Exhibit__(SRRP-5) and Exhibit__(SRRP-6) are the Rate Year cost of service presentations for KEDLI and KEDNY, respectively, encompassing Staff's corrections, updates and supplemental adjustments.

Summary of Revenue Requirements

Q. Please summarize Staff's recommended revenue requirement in its pre-filed direct testimony regarding KEDLI and KEDNY.

A. In our August 30, 2019 direct testimony, Staff recommended a base delivery revenue requirement decrease of $51.852 million for KEDLI and a base delivery revenue requirement increase of $2.205 million for KEDNY.

Q. Please summarize Staff's corrected revenue requirement for KEDLI and KEDNY.

A. Purely on the basis of corrections to Staff's

pre-filed direct testimony, Staff recommends a base delivery revenue requirement decrease of $44.248 million, or approximately $7.604 million less of a decrease than our direct testimony for KEDLI. Staff recommends a base delivery revenue requirement increase of $18.017 million, or approximately $15.812 million more than our direct testimony for KEDNY.

Q. Do you recommend that the Commission adopt these corrected revenue requirements?

A. No. The corrected revenue requirements do not reflect certain appropriate updates and Staff's position regarding the Companies' second supplemental testimony. Accordingly, we have also prepared Staff's supplemental revenue requirements, which reflect Staff's current recommendations.

Q. Please summarize Staff's supplemental revenue requirement for KEDLI and KEDNY.

A. Staff recommends a base delivery revenue requirement decrease of $39.902 million, or approximately $4.346 million less of a decrease than our corrected position for KEDLI. Staff recommends a base delivery revenue requirement

increase of $31.024 million, or approximately $13.007 million more than our corrected position for KEDNY.

Corrections To Direct Testimony and Staff's Revenue Requirement Exhibits

Q. Identify the corrections made in the Staff revenue requirement for KEDLI, Exhibit__(SRRP-1 Corrected).

A. Corrections are reflected on Schedules 7a, 7b and 7c of Exhibit__(SRRP-1 Corrected). Schedule 7a is a listing of the adjustments identified by the Company reflecting the assumption that the North East Supply Enhancement (NESE) project will not be built. We are making two correcting adjustments that are identical to the adjustments made by KEDLI in its rebuttal filing, as shown on Exhibit__(RRP-1R), Schedule 1. The first correcting adjustment decreases Depreciation Expense by $0.013 million. The second correcting adjustment decreases Net Utility Plant by $1.104 million.

Q. Explain the correcting adjustments you are making on Schedule 7b of the Staff revenue

requirement for KEDLI.

A. Schedule 7b is a listing of additional Staff adjustments resulting from Staff's no NESE assumption. We have five correcting adjustments. The first correcting adjustment decreases Operating Revenues by $6.181 million. The second correcting adjustment decreases Purchased Gas Costs by $7.912 million. The third correcting adjustment decreases Revenue Taxes by $0.062 million. The Staff Rates Panel discusses these three correcting adjustments in its supplemental testimony. The forth correcting adjustment increases Other Initiatives expense by $0.177 million. This correcting adjustment removes the adjustment reducing the incremental FTEs by 2.2 and instead these 2.2 FTEs will be adjusted out with Staff's other adjustments shown on Schedule 7c, as Staff's adjustment is not related to whether or not NESE is built. As this just changes where Staff presents this adjustment, it is revenue neutral. The fifth correcting adjustment increases Other Initiatives expense by $0.027 million. KEDLI's first supplemental testimony

indicated the incremental FTEs expense would be $0.054 million lower if NESE was not built. However, when KEDLI responded to IR DPS-868, it indicated that the incremental FTEs expense would only be $0.027 million lower if NESE was not built. Therefore, a correcting adjustment is needed to reflect the proper reduction to incremental FTEs expense and will increase KEDLI's revenue requirement by $0.027 million.

Q. Explain the correcting adjustments you are making on Schedule 7c of the Staff revenue requirement for KEDLI.

A. Schedule 7c is a listing of Staff's other adjustments not related to NESE. We are making corrections to the following areas: Other expense, Service Company Rent expense, Transportation expense, Other Initiatives expense, Uncollectible Accounts expense, Economic Development expense, Amortization of Regulatory Deferrals, Depreciation Expense, Utility Plant, Accumulated Depreciation, Federal and State Accumulated Deferred Income Taxes (ADIT) and Excess Earnings Base (EB/CAP).

Q. Will the Panel be explaining each correcting

adjustment?

A. No. We will explain the correcting adjustments for the areas that we are responsible for and for the other correcting adjustments identified, we will identify the responsible Staff witness and panels.

Q. What correcting adjustments are being made to Other expense?

A. There is one correcting adjustment, which increases Other expense by $0.022 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Service Company Rent expense?

A. There are four correcting adjustments made to Service Company Rent expense. The first correcting adjustment decreases Service Company Rent expense by $0.013 million. The second correcting adjustment increases Service Company Rent expense by $0.087 million. The third correcting adjustment increases Service Company Rent expense by $1.461 million and the forth correcting adjustment increases Service Company Rent expense by $2.909 million. These

correcting adjustments are discussed in the supplemental testimony of the Staff Information Technology Panel.

Q. What correcting adjustments are being made to Transportation expense?

A. There is one correcting adjustment, which decreases Transportation by $0.387 million. This correcting adjustment reflects the Companies' corrections identified in the response to IR DPS-661.

Q. What correcting adjustments are being made to Other Initiatives expense?

A. There are four correcting adjustments made to Other Initiatives expense. The first correcting adjustment increases Other Initiatives expense by $0.289 million. This adjustment is discussed in the supplemental testimony of Staff's Gas Infrastructure and Operations Panel. The second correcting adjustment decreases Other Initiatives expense by $0.177 million. As identified earlier, this correcting adjustment was to move an adjustment reducing the incremental FTEs by 2.2 from Schedule 7b to Schedule 7c, since this adjustment should have

been made with Staff's other adjustments instead of with the no NESE adjustments. The third correcting adjustment increases Other Initiative expense by $0.070 million. This correcting adjustment eliminates the adjustment that removed 0.5 FTE from KEDLI's Gas Infrastructure and Operations Panel (GIOP) Research and Development, as this adjustment should not have been made. The forth correcting adjustment decreases Other Initiatives expense by $0.001 million. This correcting adjustment updates the change in the labor burdens due to the correcting adjustment to include an additional 0.5 FTE in the incremental FTE headcount.

Q. What correcting adjustments are being made to Uncollectible Accounts expense?

A. There is one correcting adjustment, which decreases Uncollectible Accounts expense by $0.123 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Economic Development expense?

A. There is one correcting adjustment, which

increases Economic Development expense by $1.750 million, and is needed to correctly reflect in Staff's revenue requirement schedules, KEDLI's proposed total grant spending of $2.750 million in the Rate Year, as shown in the Future of Heat Panel's Exhibit__(FOH-8).

Q. What correcting adjustments are being made to Amortization of Regulatory Deferrals?

A. There are two correcting adjustments to Amortization of Regulatory Deferrals. The first correcting adjustment increases the amount of deferred credits reflected in the Amortization of Regulatory Deferrals by $1.750 million. This adjustment is required to correctly reflect KEDLI's proposal to use deferred credits for previously unspent economic development funds to help pay for the proposed Rate Year grant program costs. The net effect of the correction adjustments made to expense and the amortization of regulatory deferrals related to the economic development program is revenue neutral. The second correcting adjustment decreases the amount of deferred credits reflected in the Amortization of Regulatory Deferrals by $0.705

million. This adjustment corrects and reflects the proper amount of regulatory liabilities that are available to fund the cost of incremental gas safety programs. The previously reflected amortization of $0.750 million was in error, as the amount is already dedicated to fund other specific gas safety expenses. As such, it is not available to amortize in these rate proceedings.

Q. What correcting adjustments are being made to Depreciation Expense?

A. There are two correcting adjustments made to Depreciation Expense. The first correcting adjustment decreases Depreciation Expense by $0.124 million. The second correcting adjustment increases Depreciation Expense by $0.660 million. These two correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel.

Q. What correcting adjustments are being made to Utility Plant?

A. There are two correcting adjustments made to Utility Plant. The first correcting adjustment

decreases Utility Plant by $8.916 million. The second correcting adjustment increases Utility Plant by $61.113 million. These correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel.

Q. What correcting adjustments are being made to Accumulated Depreciation?

A. There is one correcting adjustment, which decreases Accumulated Depreciation by $0.866 million. This correcting adjustment is tracking Staff's correcting adjustment to Utility Plant and Depreciation Expense.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – Federal?

A. There are two correcting adjustments made to ADIT – Federal. The first correcting adjustment decreases ADIT - Federal by $0.348 million and the second correcting adjustment decreases ADIT – Federal by $3.254 million. These correcting adjustments reflect the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – State?

A. There are two correcting adjustments made to ADIT – State. The first correcting adjustment decreases ADIT - State by $0.138 million and the second correcting adjustment decreases ADIT – Federal by $1.428 million. These correcting adjustments are addressed in the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Excess Earnings Base / Capitalization adjustment (EB/CAP)?

A. There is one correcting adjustment, which increases EB/CAP by $2.802 million. In our initial testimony, we proposed to remove amounts from rate base related to a cost sharing agreement with New York City (NYC), and inadvertently did not make a corresponding adjustment, to remove the historic test year amount related to the cost sharing agreement from the calculation of historic test year earnings base from rate base. The adjustment corrects this error.

Q. Turning to KEDNY, identify the corrections made in the Staff revenue requirement for KEDNY, Exhibit__(SRRP-2 Corrected).

A. Similar to KEDLI, corrections for KEDNY are reflected on Schedules 7a, 7b and 7c of Exhibit__(SRRP-2 Corrected). Schedule 7a is a listing of the adjustments identified by the Company reflecting the assumption that the NESE project will not be built. We are making two correcting adjustments that are identical to the adjustments made by KEDNY in its rebuttal filing, as shown on Exhibit__(RRP-1R) Schedule 1. The first correcting adjustment is being made to increase Depreciation Expense by $0.004 million. The second correcting adjustment is being made to increase Net Utility Plant by $0.659 million.

Q. Explain the correcting adjustments you are making on Schedule 7b of the Staff revenue requirement for KEDNY.

A. Schedule 7b is a listing of additional Staff adjustments resulting from Staff’s no NESE assumption. We are making four correcting adjustments. The first correcting adjustment decreases Operating Revenues by $5.060 million. The second correcting adjustment decreases Purchased Gas Costs by $2.275 million, and the

third correcting adjustment decreases Revenue Taxes by $0.353 million. These three correcting adjustments are addressed in the supplemental testimony of Staff's Rates Panel. The forth correcting adjustment is being made to increase Other Initiatives expense by $0.233 million. This correcting adjustment removes the adjustment reducing the incremental FTEs by 2.4 and instead these 2.4 FTEs should be reflected with Staff's other adjustments shown on Schedule 7c. As this just changes where Staff presents this adjustment, it is revenue neutral.

Q. Explain the correcting adjustments you are making on Schedule 7c of the Staff revenue requirement for KEDNY.

A. Schedule 7c is a listing of Staff's other adjustments not related to NESE. We are making corrections to the following areas: Service Company Rent expense, Other Initiatives expense, Uncollectible Accounts expense, Economic Development expense, Amortization of Regulatory Deferrals, Depreciation Expense, Other Taxes, Utility Plant, Accumulated Depreciation, Federal and State Accumulated Deferred Income Taxes

(ADIT) and Excess Earnings Base (EB/CAP).

Q. Will the Panel be explaining each correcting adjustment?

A. No. As with KEDLI, for the adjustments to KEDNY's revenue requirement, we will explain the correcting adjustments for the areas that we are responsible for and for the other correcting adjustments identified, we will identify the responsible Staff witness and panels.

Q. What correcting adjustments are being made to Service Company Rent expense?

A. There are four correcting adjustments made to Service Company Rent expense. The first correcting adjustment decreases Service Company Rent expense by $0.021 million. The second correcting adjustment increases Service Company Rent expense by $2.015 million. The third correcting adjustment increases Service Company Rent expense by $0.155 million and the forth correcting adjustment increases Service Company Rent expense by $4.446 million. These correcting adjustments are addressed in the supplemental testimony of the Staff Information Technology Panel.

Q. What correcting adjustments are being made to Other Initiatives expense?

A. There are two correcting adjustments made to Other Initiatives expense. The first correcting adjustment increases Other Initiatives expense by $0.164 million. This adjustment is addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel. The second correcting adjustment decreases Other Initiatives expense by $0.233 million. As identified previously, this correcting adjustment was to move an adjustment reducing the incremental FTEs by 2.4 from Schedule 7b to Schedule 7c, since this adjustment should have been made with Staff's other adjustments instead of as part of the no NESE adjustments.

Q. What correcting adjustments are being made to Uncollectible Accounts?

A. There is one correcting adjustment, which decreases Uncollectible Accounts expense by $1.180 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to

Economic Development expense?

A. There is one correcting adjustment, which increases Economic Development expense by $1.250 million, and is needed to correctly reflect in Staff's revenue requirement schedules, KEDNY's proposed total grant spending of $2.250 million in the Rate Year, as shown in the Future of Heat Panel's Exhibit__(FOH-8).

Q. What correcting adjustments are being made to Amortization of Regulatory Deferrals?

A. There is one correcting adjustment, which increases the amount of deferred credits reflected in the Amortization of Regulatory Deferrals by $1.250 million. This adjustment is required to correctly reflect KEDNY's proposal to use deferred credits for previously unspent economic development funds to help pay for the proposed Rate Year grant program costs. The net effect of the correction adjustments made to expense and the amortization of regulatory deferrals related to the economic development program is revenue neutral.

Q. What correcting adjustments are being made to Depreciation Expense?

A. There are three correcting adjustments made to Depreciation Expense. The first correcting adjustment increases Depreciation Expense by $0.170 million. The second correcting adjustment increases Depreciation Expense by $0.382 million. These two correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel. The third correcting adjustment increases Depreciation Expense by $3.047 million. This correcting adjustment is addressed in the supplemental testimony of the Staff Rates Panel.

Q. What correcting adjustments are being made to Other Taxes?

A. There is one correcting adjustment, which increases Other Taxes by $0.024 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Utility Plant?

A. There are two correcting adjustments made to Utility Plant. The first correcting adjustment decreases Utility Plant by $1.331 million. The

second correcting adjustment increases Utility Plant by $29.754 million. These correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel.

Q. What correcting adjustments are being made to Accumulated Depreciation?

A. There are two correcting adjustments made to Accumulated Depreciation. The first correcting adjustment decreases Accumulated Depreciation by $0.487 million and the second correcting adjustments decreases Accumulated Depreciation by $1.523 million. These correcting adjustments track Staff’s correcting adjustments to Utility Plant and Depreciation Expense.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – Federal?

A. There are two correcting adjustments made to ADIT – Federal. The first correcting adjustment decreases ADIT - Federal by $0.595 million and the second correcting adjustment decreases ADIT – Federal by $2.443 million. These correcting adjustments reflect the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – State?

A. There are two correcting adjustments made to ADIT – State. The first correcting adjustment decreases ADIT - State by $0.252 million and the second correcting adjustment decreases ADIT – Federal by $1.068 million. These correcting adjustments reflect the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to EB/CAP?

A. There is one correcting adjustment, which increases EB/CAP by $22.083 million. In our initial testimony, we recommended an adjustment to remove amounts from rate base related to a cost sharing agreement with NYC, and inadvertently did not make a corresponding adjustment to remove the historic test year amount related to the cost sharing agreement from the calculation of historic test year earnings base from rate base. The adjustment corrects this error.

Updates Reflected In Staff's Revenue Requirements

Q. Are you reflecting any updates in the revenue requirements for KEDNY and KEDLI?

A. Yes. We are reflecting two updates in the revenue requirement schedules set forth in Exhibit___(SRRP-5) and Exhibit___(SRRP-6).

Q. What is the first update?

A. KEDNY and KEDLI are required to recalculate their Energy Affordability Program bill discounts and program budgets annually. The 2020 program year, which impacts the Rate Year budgets, have increased, and as such, we are reflecting this change in the revenue requirement models. The supplemental testimony of the Staff Consumer Services Panel provides additional information on this update. This update increases the Low-Income Program costs by $12.934 million for KEDNY and $1.156 million for KEDLI.

Q. What is the second update?

A. The January 16, 2020 Commission Order in Case 18-M-0084 formally adopted budgets and targets for KEDNY and KEDLI energy efficiency portfolios for calendar years 2021-2025. As discussed in

more detail in the supplemental testimony of the Staff Efficiency and Sustainability Panel, this Order affected KEDNY's and KEDLI's energy efficiency budgets for the Rate Year. This change results in a decrease to the Energy Efficiency program costs of $0.322 million for KEDNY and an increase of $1.062 million for KEDLI, for a Rate Year Energy Efficiency Program amount of $10.711 for KEDLI and $18.557 million for KEDNY.

Adjustments Reflected in Staff's Supplemental Revenue Requirements

Q. Are you reflecting any adjustments to the Companies' Second Supplemental Filing in the revenue requirements for KEDNY and KEDLI?

A. Yes. We are reflecting several adjustments in the revenue requirement schedules set forth in Exhibit__(SRRP-5) and Exhibit__(SRRP-6).

Q. What is the first adjustment?

A. The first adjustment corrects KEDNY's and KEDLI's damage prevention mark-out contract updates. The supplemental testimony of the Staff Policy Panel provides additional

information on this correction. For KEDNY, this correction reduces O&M expense, line item Other Initiatives, by $1.888 million. For KEDLI, this correction increases O&M expense, line item Other Initiatives, by $0.168 million.

Q. What is the second adjustment?

A. The second adjustment removes the O&M and capital expenses associated with damage prevention mark out costs from the Companies' Rate Year forecast. The supplemental testimony of the Staff Policy Panel provides additional information on this adjustment. For KEDNY, this adjustment reduces Other Initiatives expense by $4.950 million. For KEDLI this adjustment reduces Other Initiatives expense by $1.937 million, Depreciation Expense by $0.001 million, and Rate Base by $1.290 million.

Q. What is the third adjustment?

A. The third adjustment corrects an error identified in the commodity revenues for KEDNY. This results in an increase to operating revenues of $22.112 million, an increase to purchased gas costs of $21.414 million, and an increase to revenues taxes of $0.005 million.

These changes have a de minimis impact on KEDNY's revenue requirement. The supplemental testimony of the Staff Rates Panel provides additional information on this adjustment.

Q. What is the forth adjustment?

A. The forth adjustment removes the O&M and capital costs associated with KEDLI's update for its Proactive Main Replacement program. The supplemental testimony of the Staff GIOP provides additional information on this adjustment. For KEDLI this adjustment increases depreciation expense by $0.004 million, and Rate Base by $0.495 million.

Q. What is the fifth adjustment?

A. The fifth adjustment reflects Staff's latest sales forecast. The supplemental testimony of the Staff Rates Panel provides additional information on this adjustment. For KEDNY, this adjustment increases operating revenues by $37.722 million, purchased gas costs by $31.504 million, and revenue taxes by $1.127 million. For KEDLI, this adjustment decreases operating revenues by $13.510 million, purchased gas costs by $0.668 million, and revenue taxes by $5.353

million.

Q. What is the sixth adjustment?

A. The sixth adjustment reflects Staff's updated forecast of plant additions. The supplemental testimony of the Staff GIOP provides additional information on this adjustment. For KEDLI, this adjustment increases net utility plant by $30.849 million, depreciation expense by $0.354 million, Accumulated Deferred Federal Income Tax (ADFIT) by $1.010 million, and Accumulated Deferred State Income Tax (ADSIT) by $1.155 million. For KEDNY this adjustment increases net utility plant by $29.058 million, depreciation expense by $0.436 million, ADFIT by $10.533 million, and ADSIT by $2.149 million.

Q. What is the seventh adjustment?

A. The seventh adjustment is to separately reflect the cost for the Clean Energy Fund. The cost for the Clean Energy Fund was initially included in the Energy Efficiency line item. For transparency, Staff removed the amount related to the Clean Energy Fund from Energy Efficiency and reflected it as a separate line item. The Clean Energy line item for KEDLI is $0.166

million, and for KEDNY is $0.261 million

Q. Does this conclude your testimony at this time?

A. Yes.

BY MR. GOODRICH: (Cont'g.)

Q. Now, also before you panel, are exhibits identified at the time of filing as S.R.R.P.-1, S.R.R.P.-2, S.R.R.P.-3, S.R.R.P.-4, S.R.R.P.-1 corrected, same designation -2 corrected, -4 corrected and S.R.R.P.-5 and S.R.R.P.-6. Now these have been marked already for identification purposes as Exhibits 502, 503, 504, 505 and 511, 512, 513, 514 and 515, respectively.

Were those exhibits prepared by you or under your direct supervision?

A. (Panel) Yes.

Q. And do you affirm that the information contained in the exhibits just identified is true to the best of your knowledge?

A. Yes.

MR. GOODRICH: So Your Honors, the Staff Revenue Requirements Panel is now available for cross-examination.

A.L.J. COSTELLO: Okay. The companies.

CROSS EXAMINATION

BY MR. O'BRIEN:

Q. Good afternoon, panel. My name

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is Patrick O'Brien. I'm going to be asking you some questions today about your pre-filed testimony. So the first topic I would like to discuss with you is your adjustment to re -- remove the cost associated with AlixPartners. And for the record I'll spell it. A-L-I-X.

So if you could please turn to page 14 of your testimony as I believe that's where that discussion begins. And panel, am I correct that AlixPartners was a consultant that was used by the companies in the historic test year?

A. (Ms. Keymel) Yes.

Q. And you propose to remove those costs based on your belief that the cost will be non-recurring, is that correct?

A. Correct.

Q. Now, as part of the company's filings in these matters, they submitted work papers that included a list of consultants using the historic test year along with their associated costs. Is that correct?

A. Yes.

Q. And is it correct to say that you reviewed that list?

A. Yes.

Q. And is it fair to say that in reviewing that list of consultants in cost, you're not looking to see if the precise costs will recur or if the same consultant will perform the same exact work in the rate year. Rather, you're looking to see whether the costs are representative of what will be incurred in the rate year?

A. Can you just restate the question again?

Q. Sure. When you're reviewing -- so when you looked at the work papers and you saw the list of the consultants, you're not looking to see whether consultant A will perform the same exact work that they did in the historic test year that they're going to perform that work again in the rate year.

What you're looking to see when you're reviewing the -- the list of costs in the test year is whether the costs in the historic test year will be representative of what will be incurred in the rate year. Is that correct?

A. We believe that that particular cost, AlixPartners will not reoccur in the rate year and therefore, the company won't incur costs for that

consultant.

Q. No, I appreciate your position. I understand it. I'll talk about it further in a minute, but I would like an answer to my question. And my question was, you're not looking to see when you're reviewing that list, if the precise cost will recur or if the same consultant will perform the same work.

You're all looking to see whether the costs in the historic test year are representative of what being incurred in the rate year. Is that correct?

A. Yes.

Q. And are you aware that the Staff I.T. panel recommends a number of process improvements such as the development of key performance indicators designed to help enhance the company's information technology function?

A. (Castano) So clarifying question. Are you referring to the company's I.T. Panel or the Staff's I.T. panel?

Q. The Staff I.T. panel.

A. Thank you.

MR. GOODRICH: Well and I'm sorry, did

you -- you just asked generally the Staff I.T. panel. Do you have any particular --

MR. O'BRIEN: No.

MR. GOODRICH: -- citations?

MR. O'BRIEN: Yeah, I -- I don't need it. I'm asking them if they're aware, but if we want to cite it for the record it would be page 67 line 13 on Staff I.T. panel.

BY MR. O'BRIEN: (Cont'g.)

Q. But again, my question to you panel is, are you aware?

A. Can you just please repeat the question?

Q. Sure.

A. Thank you.

Q. Are you aware that the Staff I.T. panel in their testimony recommends a number of process improvements designed to enhance the company's information technology function. For example, the development of key performance indicators.

A. (Keymel) We are not aware of the details in that panel.

Q. Thank you. Are you aware that

the Staff I.T. panel describes the field of cybersecurity as one that is constantly changing and increasing in complexity and that as a result utilities have to be vigilant and seek new and innovative ways to bolster the cybersecurity posture?

A.L.J. LEARY: What page on that?

MR. O'BRIEN: Sure. Staff I.T. panel at pages 39 through 40, Your Honor.

THE WITNESS: (Keymel) Yes.

MR. O'BRIEN: Okay.

BY MR. O'BRIEN: (Cont'g.)

Q. And certainly panel, it would be reasonable, would it not, for the companies to utilize a consultant to look for ways to reduce their I.T. costs, to look for ways to enhance their I.T. performance, to implement the process improvements recommended by the Staff I.T. panel, or to look for ways to stay ahead of cybersecurity concerns, correct?

MR. GOODRICH: Objection. That's a question that should be posed to the -- the Staff I.T. panel and he's asking if there -- he's asking this panel's opinion about how the company should approach cybersecurity, which was addressed by our

19-G-0309/19-G-0310 - 2-14-20 - Brooklyn Union Gas I.T. panel.

MR. O'BRIEN: Your Honor, I'm asking about a question about consultant costs. Consultant costs relate to a bunch of fields. The panel's propose an adjustment to consultant costs.

A.L.J. LEARY: My problem is that you started with AlixPartners. Is AlixPartners the consultant that you're talking about or --

MR. O'BRIEN: I'm -- I'm talking about any consultant, Your Honor.

A.L.J. LEARY: So the --the question is, would it be reasonable to use a consultant --

MR. O'BRIEN: To look for ways to improve I.T. performance, to look for ways to reduce I.T. costs to -- for example, implement the process improvements that the Staff I.T. panel is recommending or to look for ways to stay ahead of cybersecurity concerns.

A.L.J. LEARY: Yeah, I think it's okay. Mr. Goodrich, what's your -- I -- I think that this panel is the Revenue Requirement Panel, it's -- it's really the -- you're getting to the reasonableness I guess of using a consultant and incurring those costs in so far as the revenue

requirement is concerned?

MR. O'BRIEN: That's correct, Your honor.

A.L.J. LEARY: I think it's appropriate. Hold on a second. Your counsel wants to --

MR. GOODRICH: Can you repeat that?

MR. FORST: Your Honors, we would contend that the question really is asking for this panel to make a subjective analysis of whether a consultant is appropriate to address the company's I.T. issues, not whether those costs are appropriate.

MR. GOODRICH: And sort of -- I would -- just -- add on that slightly -- just whether or not a consultant versus in house or any other way of doing something, which is the company's decision, not -- not a cost recovery panel.

MR. O'BRIEN: Your Honor, the staff panel has proposed to remove these costs as non-recurring. I am asking it if it would be reasonable to use a consultant to do the work that is suggested by other staff panels. I -- I'm struggling to understand the objection.

MR. GOODRICH: Well, for one, I don't

believe our panel has sought to remove all of your consultant costs. So there's no -- there -- there isn't a foundation or connection to -- from the company -- from the staff proposal to obviating the company's ability to do what it's -- what it's proposing in it's hypothetical.

MR. O'BRIEN: AlixPartners performed I.T. work in the historic test year. They're proposing to remove those costs as non-recurring. I think my question is proper.

MR. GOODRICH: That's --

A.L.J. COSTELLO: Can you establish -- on the record, can you ask them why they -- what the basis is for their belief that those costs are not -- not recurring? I don't believe we've heard that.

MR. O'BRIEN: Well, it's in their testimony, I don't --

A.L.J. COSTELLO: Okay. Okay.

MR. O'BRIEN: I don't think I need to read it.

A.L.J. LEARY: Well, for purposes of today, you have to create a foundation that's what Judge Costello is asking you to do. So yes, you do have to have that foundational question. So why

don't -- I, you know, I -- I hear where you want to go, and I hear the objection. I want you to get the information you need from this staff panel.

So I'm just trying to work things out in terms of getting that foundation on the record that Judge Costello is talking about, which is to say, okay, you eliminated AlixPartners, what's the basis for that? Why didn't you think it was going to recur in the rate year?

BY MR. O'BRIEN: (Cont'g.)

Q. Panel, at page 16 of your testimony, you set forth the -- the reasons for why you believe that AlixPartners will not -- cost will not recur in the rate year?

A. (Keymel) Yes. So we gave a couple of reasons why it won't reoccur. One being that the company was seeking a refresh strategy that goes beyond traditional reviews and analysis offered by technology consultants. Further, that they said this was a niche consultancy firm and that it's not reasonable or cost effective for the company to design, launch and execute a transformation plan of its I.T. division every year.

Q. And my question remains, would it

be re -- reasonable for the companies to utilize a consultant to look for ways to improve their I.T. performance, help them reduce their I.T. costs, help them implement the process improvements recommended by the Staff I.T. panel or look for ways to stay ahead of cybersecurity concerns also as referenced by the Staff I.T. panel?

MR. GOODRICH: Objection. Staff -- or company counsel hasn't demonstrated that his question, that -- that his proposal in his question is connected to -- to the -- the cost that the -- the -- that our panel removed from the -- the historic test year.

A.L.J. LEARY: I -- I disagree. I -- I think that the panel can answer that question.

THE WITNESS: (Keymel) So yes, however, the AlixPartners' cost, the company has stated that this goes beyond traditional review and they did not incur these costs in the previous couple of years.

MR. O'BRIEN: Thank you.

BY MR. O'BRIEN: (Cont'g.)

Q. But I'm not asking about AlixPartners, I'm -- again, I'm using consultants in

general and I think your answer was yes to that, correct?

A.L.J. LEARY: Let's -- let's just not characterize. If you want to ask a question, ask a question. But I don't want this record to reflect you characterizing, mischaracterizing, de-characterizing or anything else about this testimony. Just ask your next question.

BY MR. O'BRIEN: (Cont'g.)

Q. Can you -- can you read my -- strike that. My question was related to consultants in general. Can you please answer that?

A. (Castano) Just to clarify it's not related to AlixPartners, your -- your question is regarding consultants in general?

Q. Correct.

A. Regard -- can you just explain the field it's regarding, again, excuse me.

Q. To look for ways to improve I.T. performance, reduce I.T. costs, implement process improvements recommended by the Staff I.T. panel or look for ways to stay ahead of cybersecurity concerns. I'll withdraw the question.

So is it correct that the work

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performed by AlixPartners in the historic test year resulted in savings to customers that reflected in the revenue requirement?

A. (Keymel) So yes, it does end up having savings reflect in the revenue requirement.

Q. Let me direct you to your Exhibit S.R.R.P.3, which has been marked in this proceeding as Exhibit 504. And in particular if you could turn to page 794.

A. Do you know what I.R. response that is?

Q. Sure, I'm sorry. It's D.P.S. 931. In question 1C see that response asks, if the potential cost reduction opportunities identified by the work performed by AlixPartners were reflected in the filing, is that correct?

A. Yes.

Q. And then the companies responded at 1C that $5.5 million in reductions occurred in the historic test year and that incremental annual savings of 16.6 million dollars are included in the rate year and data years. Is that correct?

A. Yes. But the savings the company has reaped from this -- these costs was more than the

cost that the company incurred.

Q. So is it your position that the savings that are reflected in the historic test year and the rate year are more than the costs for AlixPartners that the company is incurring in the historic test year?

A. Can you rephrase the question?

Q. So yeah. Is it your position that the savings that the companies have reflected -- that were reflected in historic test year as well as that are reflected in the rate year are less than the costs of AlixPartners in the historic test year?

A. No. The company has said that the total savings from this AlixPartners cost was $22.1 million and 5.5 million of that was in the historic test year. And then the remaining was the annual run rate.

BY MR. O'BRIEN: (Cont'g.)

Q. And if you could turn to page 13 of your testimony, lines 19 through 20. Indicates the adjustment that you're making for AlixPartners are 1.146 million for KEDNY -- well, strike that. It indicates that -- no, let me -- let me rephrase the question. On Page 13 of your testimony at line 9 --

starting at line 18, you're recommending decreasing the rate of your projection of consultant's expense by 1.146 million for KEDNY and 0.714 million for KEDLI. Is that right?

A. (Keymel) That is the cost that we're removing plus inflation.

Q. Thank you. And -- and it's true, is it not, that in past National Grid rate cases, staff has taken the position that if a cost of an issue are remove from the revenue requirement then the savings should also be removed from the revenue requirement, correct?

MR. FORST: Could the counsel point to a specific rate case they're referring to?

MR. O'BRIEN: Yeah, I will. I'm asking them if that's true and then let's see what they say, and I can get there.

MR. GOODRICH: Well, I think the objection is you said is it true that this has happened in prior cases and you're not pointing them to an example of a prior case where -- where this has happened.

MR. O'BRIEN: Because my question is based on their knowledge.

A.L.J. COSTELLO: Yeah, the objection's overruled.

MR. CASTANO: Mr. O'Brien, can you repeat the question please? Thank you.

MR. O'BRIEN: Sure.

BY MR. O'BRIEN: (Cont'g.)

Q. Sorry. Isn't it true that staff in past National Grid rate cases has taken the position that if the cost of an initiative are removed from the revenue requirement then the saving should also be removed from the revenue requirement?

A. (Keymel) I am -- no, we are unaware of any other cases. However, the company did point to the 2010 NIMO rate case in one of the responses to the I.R.s and that response was taken out of context. Staff was saying in that case that if the costs are included, the savings should be included in the same time period. Whereas in this case, the cost were included in the historic test year while the savings are annual savings that will occur during the rate year.

Q. Well, would you agree with me that the savings delivered by AlixPartners are more than the cost that were incurred by AlixPartners in

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historic test year?

A.L.J. LEARY: So I'm sorry, Mr. O'Brien, can you point me to the record that -- a record document and I'm assuming it's in testimony that reflects the AlixPartners savings.

MR. O'BRIEN: Yeah. So earlier I referred to the company's response to D.P.S. 931 located at Page 794 of Exhibit S.R.R.P.3.

A.L.J. LEARY: That's a P.D.F. page number?

MR. O'BRIEN: That's correct, Your Honor.

A.L.J. LEARY: Okay, thanks. Go ahead.

THE WITNESS: (Keymel) Can you just repeat the question again, I’m sorry?

MR. O'BRIEN: Sure.

BY MR. O'BRIEN: (Cont'g.)

Q. I just wanted to make clear that the costs of AlixPartners and we talked about them earlier, 1.146 million and 714,000 for KEDLI. First reference was for KEDNY are our less than the savings reflected both in historic test year and the rate year.

A. So I -- I just want to be clear that the actual historic test year cost for AlixPartners is 1.102 million for KEDNY and 0.687 million for KEDLI. And in the historic test year, the company said -- stated that 5.5 million was in the historic test year. However, I believe that amount -- savings amount gets allocated between the other operating companies and I'm unsure how much the exact savings for KEDNY and KEDLI are.

Q. Thank you. And similarly with respect to the rate year, the 16.6 million you're un -- are you unsure of what the allocation is to KEDNY and KEDLI associated with that?

A. Yeah.

Q. Thank you. And just so the record is clear, you're not proposing to remove the -- the savings that were delivered by AlixPartners in the rate year, correct?

A. Correct, because the savings will reoccur, the cost won't.

Q. Okay. So the revenue requirement, as proposed by the panel reflects the savings, but it doesn't reflect the cost the company has incurred to deliver the savings, correct?

MR. GOODRICH: Objection. Asked and answered multiple times.

MR. O'BRIEN: I don't remember asking it.

A.L.J. LEARY: Let's have the panel answer it. I think the -- the line of testimony is getting a little bit more crystalized, I'm going to let it -- that question be answered.

THE WITNESS: Yes, because the cost will not reoccur, but the savings will reoccur in the rate year.

BY MR. O'BRIEN: (Cont'g.)

Q. Thank you. So if you can now turn to Page 22, I'd like to discuss your proposed vacancy adjustment to labor expense. So am I correct that after removing employees on long-term leave and then adjusting the head count for seasonal and temporary employees, the companies used as a base actual employees on payroll as of December 31st, 2018 to develop the rate year labor expense forecast.

A. (Castano) Yes, that is correct.

Q. Okay. And to the extent there were unfilled positions as of that date, these positions were not included in the company's rate

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year labor expense forecast. Is that correct?

A. That's correct.

Q. Meaning that if KEDNY had 5 gas mechanic positions in your department, but only one of those positions was filled on December 31st, 2018, KEDNY's rate year labor expense forecast reflected only the cost of that one mechanic position that was actually filled. Is that right?

A. Can you just clarify, is this a hypothetical question?

Q. It's a hypothetical.

A. Then yes, that would be correct.

Q. And the 4 positions that were then vacant as of that date were not reflected in the labor expense forecast, correct?

A. That is correct.

Q. Okay. And at Page 25 beginning at Line 13, there's a question that says, what vacancy rate have the companies forecasted for the rate year, do you see that?

A. Yes, I see that.

Q. And then the answer begins the companies did not forecast the vacancy rate for the rate year, do you see that?

A. Can you repeat the line, please?

Q. I'm sorry. Line 15, it starts at line 15.

A. So on line 15, we state the companies did not forecast the vacancy rate for the rate year, therefore the companies assume that every position forecasted for the rate year will be fully staffed for every work day of the year. Then we state do you agree that the company's assumption that every position forecasted for the rate year will be fully staffed. And we state no, there will always be vacancies due to the aforementioned reasons -- aforementioned reasons which occur as a normal part of doing business.

And then we state on line 2 even though the companies did not forecast vacancy rates for the rate year, did the companies acknowledge that there could be fluctuation in the staffing levels and the company responded yes, in fact the companies note in their response to I.R.s, D.P.S. 690 and 691 in which they acknowledge that head counts can vary month to month or even day to day due to several variables such as attritions, tire -- retirements, terminations, voluntary separations and long-term

leave.

Q. Thanks. In calculating your vacancy adjustment, did the panel make an adjustment to add back the number of vacant positions that existed as of December 31st, 2018?

A. No.

Q. Could you turn to Page 24 of your testimony? Now beginning at Line 22, there's a question and answer that begins, what factors cause the company to have a vacancy rate. Do you see that? Okay. And then you list 5 factors that could cause the company to have a vacancy rate, is that right?

A. Yes, we listed 5 factors that could result in a vacancy rate.

Q. Now, are these factors the – on that list the only reasons that a company might have a vacancy rate?

A. As stated in our testimony we say there are several reasons some of these include and we list 5, so this is not everything.

Q. Well, would the panel agree that an additional reason that a company like KEDNY or KEDLI might have a vacancy rate is that a function performed by an operating company employee, so a

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KEDNY or KEDLI employee is restructured so that it is now performed by a service company employee or employees?

A. Can you please rephrase the question?

Q. Sure. Is an additional reason, so separate and apart from what you have on that list, a reason that a company like KEDNY or KEDLI might have a vacancy rate, is that a function like a work function that's performed by a KEDNY or KEDLI employee is restructured within the company and is now performed by a service company employee or employees?

A. That's tough to say because service company employees are allocated amongst all National Grid U.S.A. companies which include Niagara Mohawk, KEDNY, KEDLI -- our Massachusetts companies and Rhode Island companies. To say that the functions of a service company employee to overtake or fill up a position or a vacant position for KEDNY or KEDLI operating companies, I don’t believe that's true.

Q. So you don't believe that a vacancy could be created by restructuring the

position from an operating company F.T.E. position, full-time equivalent position to now the F.T.E. becoming a service company employee?

A. Just to clarify, are you saying items -- are you saying that it's possible for a KEDNY or KEDLI operational employee to become a service company employee or are you saying it's possible for a KEDNY, KEDLI operating company employee to transition to a service company employee and then do work for KEDNY and KEDLI?

Q. The former.

A. So your hypothetical question is if that a operating -- operating company employee of KEDNY and KEDLI transitions to a service company employee and then charges work to KEDNY and KEDLI operating company -- operating company?

Q. Yes, sorry -- sorry, I think I confused myself. So it's KEDNY or KEDLI operating company employee and then it's now restructured and now becomes a service company employee, but he’s charging his time to KEDNY and KEDLI.

A. That could be a possibility.

Q. And is it also possible that a vacancy could -- could be created by having a

function performed by an operating company employee, so again KEDNY or KEDLI employee so that is now performed by an outside contractor?

A. If that were the case, I think we'd see a correlation in contractor's expense increasing and actually the contractor's expense decrease dramatically I believe from historic test year. So in this scenario I would say no.

Q. Okay. And again I'm just talking in generic, is it possible that a vacancy could --

A. It's another hypothetical question?

Q. It is.

A. If there was a correlation and we were able to tie back the contractor -- the contractor expenses increasing as well as seeing the fluctuation and labor levels decreasing then I guess that correlation could be true.

Q. Now in calculating your proposed vacancy rates for KEDNY and KEDLI, did the panel undertake any effort to determine what -- whether any function had been transferred to the service company or to outside contractors?

A.L.J. LEARY: While the witness is

looking, I am going to excuse the company's Revenue Requirements Panel. It is now 11:58 and some of you might think why am I not waiting this additional 2 minutes, it's because I just received at 11:57 a.m. an email from Mr. Wyman that states as follows.

Your Honor, there has been some confusion during the phone call on scheduling last week I said that I would not need to cross either staff on depreciation or the company next week on EDFIT. I believe this was communicated during the call and that I am now done with cross for this rate case. My apologies if any action on my part led to the schedule not being properly updated to reflect this. Bob Wyman. And that's the end of the email.

So thank you very much to the company's Revenue Requirements Panel and you are excused if you choose to leave. You, of course, are welcome to stay and I apologize that this was not clearly communicated at least to us. If anybody else knew it in the room raise your hand and I promise I won't tell anybody. Anyone else know this? Okay.

MR. MALONEY: I would say I just got a text to the same effect, Your Honor, but --

A.L.J. LEARY: Okay. So I beat you to

it. Okay I'm -- I'm -- I'm very sorry to interrupt you, Mr. O'Brien, please excuse. And the panelist maybe prepared for the answer to be provided.

MR. GOODRICH: May I just one thing. I think, Your Honor, you've noted in the past that it can be difficult for the record to reflect speedy talking and as someone who talks speedily, myself, I just want to remind Mr. Castano to try to slow down, his talking a little bit.

A.L.J. LEARY: Thank you.

THE WITNESS: (Castano) Can you please repeat the question?

BY MR. O'BRIEN: (Cont'g.)

Q. Sure. In calculating a proposed vacancy rates for KEDNY and KEDLI, did the panel undertake any effort to determine whether -- whether any function had been transferred from -- transferred to the service company or to outside contractors?

A. No, we did not because the historic test year, as you mentioned earlier, was the base to establish the labor forecast and in the event that there was any transfers to the service company, Ms. Keymel comes back to staff's adjustment, why it would have an unfilled or un -- a position open in

the operating company that was not back filled.

Q. And if the companies transfer a function from an operating company full-time equivalent which I'm going to abbreviate going forward as F.T.E. to a contractor or to a service company employee, the companies will continue to incur a cost for performing that function. Is that correct?

A. When you say companies, are you specifying KEDNY and KEDLI?

Q. Correct.

A. Not necessarily because the service company employees could allocate their time amongst all the operating companies, so you could have a service company employee allocate a 100 percent of their time to Niagara Mohawk which is not KEDNY or KEDLI or a completely different state.

Q. But you could have a service company employee under that hypothetical allocating their time to KEDNY and KEDLI, correct?

A. Under that hypothetical I suppose, yes.

Q. Okay. Now on page 27 of your testimony beginning at line 17, you state that the

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2016 rate order authorized a total head count of 1517 for KEDNY and 768 for KEDLI. Is that correct?

A. That's correct.

Q. Is it your testimony that the 2016 rate order required KEDNY and KEDLI to maintain that level of operating company employees or would it be more correct to say that the 2016 rate order reflected a revenue requirement that included the cost of that number of F.T.E.s?

A. I think there will be two parts to that question. So the first is you -- you discussed earlier we have a base to establish a forecast for the rate year and in that we also established wage increases and everything else and what we expect to incur in the rate year and also for any incremental employees there was a reconciliation, so we would expect the additional employees to be -- be hired as well as expect the same level of F.T.E.s that were established in the base.

Q. Okay. There was no reconciliation for the base, correct?

A. There was no reconciliation for the base. That is correct.

Q. And is it correct that the 2016

19-G-0309/19-G-0310 - 2-14-20 - Brooklyn Union Gas rate order included a productivity adjustment of 2 percent in calendar year '17 followed by 1.5 percent in calendar year '18 and then 1.5 percent in calendar year '19?

MR. GOODRICH: Objection. How is that related to this -- the question of head count?

MR. O'BRIEN: I'll get to there in a moment.

A.L.J. LEARY: Did -- did you -- do you have a copy of --

MR. O'BRIEN: I do.

A.L.J. LEARY: -- the order you're referring to so the witnesses can review it?

THE WITNESS: (Castano) Thank you, Your Honor.

A.L.J. LEARY: Confirm what you're asking them to confirm.

MR. O'BRIEN: So just for the record, I'm passing out to the witness -- to the panel a 6 page document. It's an excerpt from the joint proposal in cases 16-G-0059, 16-G-0058. The first 3 pages of that document are from Appendix 1 Schedule 1 and pertained to KEDNY. The final 3 pages are Appendix 2 Schedule 1 and it pertained to KEDLI.

A.L.J. LEARY: And I'm just assuming that this document is an attachment to the joint proposal agreement itself as well as the commission order adopting or modifying whatever it did.

MR. O'BRIEN: That's correct, Your Honor.

A.L.J. LEARY: And this, sort of, generically is KEDNY and KEDLI's prior rate case.

MR. O'BRIEN: Correct, the 2016 rate case.

A.L.J. LEARY: And it established a 3 year rate plan?

MR. O'BRIEN: Correct.

A.L.J. LEARY: Thank you. Are you intending to put this into the record, or it is just for the witness' edification?

MR. O'BRIEN: It's a public document, so my understanding was we don't need to mark this for the record. Is that correct?

A.L.J. LEARY: Well, that's up to you. I mean something as detailed as this, I -- everybody in this room might do that, it is a public document, I mean Mr. Goodrich.

MR. GOODRICH: I -- I -- I don't

object to marking it, but I just question the -- the value, I mean excuse me. My intention in reference -- - with re -- my intention for the brief with regard to various commission orders and -- and utility filings and things that are available in D.M.M. and another cases is simply to cite to them as having been filed in that case order issued by the commission and I -- so I don't necessarily see the value in -- in putting it in as an exhibit.

MR. O'BRIEN: I'm fine with that. Again, it's just to refresh -- I'm just using it to refresh --

A.L.J. LEARY: Right.

MR. O'BRIEN: -- the witness' recollection.

THE WITNESS: (Castano) Can you just cite where in the document you passed --

MR. O'BRIEN: Sure. I can do that if it helps.

THE WITNESS: -- out and what are they? Thank you.

MR. O'BRIEN: Yeah, no, no problem.

BY MR. O'BRIEN: (Cont'g.)

Q. So if you look at Page 1, so

Appendix 1, Schedule 1 and then you go to Adjustment H. In Adjustment H2, you see to adjust productivity adjustment from 1 percent to 2 percent?

A. Yes, I see that. Yeah.

Q. Okay. And then if you turn to page -- page 2 of that document I just showed you. And let me just clarify for the record the first page was calendar year 2017 for 2 percent. Is that correct, panel? I just want to clarify for the record.

A. That's correct.

Q. Okay. And -- and then the second page is for calendar year 2018 and if you look at Adjustment I references a 1.5 percent productivity adjustment.

A. That's correct for KEDNY.

Q. Okay. And then Page 3 pertains to calendar year '19 and Adjustment I productivity 1.5 percent for KEDNY. Is that correct?

A. That's correct.

Q. Okay. And then if you look at the remaining 3 pages, do you also see -- it will be 2 percent in calendar year '17 for KEDNY -- for KEDLI followed by 1.5 percent in calendar year '18, and

then another 1.5 percent in calendar year '18.

A. Yes.

Q. Thank you. And panel, is one of the ways for a company to find productivity is to reduce head count through efficiencies?

A. So referring to Page 56 of the SRRP -- of our direct testimony line 6, we state the productivity adjustment is to account for unidentifiable and/or unquantifiable gains and efficiencies that could be realized in the rate year. So to say throughout the reduction of head count it seems like it would be a quantifiable saving so I would say it's not -- not related here.

Q. But if the head count reduction occurred after rates were set, would you agree then that would potentially be an unidentified or unquantified gain before rates were set in -- in the prior proceeding, correct?

A. Can you rephrase the question, please?

Q. Sure. If there was no plan forecasted to reduce head count in the revenue requirement when rates were set in the prior case and then subsequently after rates were set, there was a

19-G-0309/19-G-0310 - 2-14-20 - Brooklyn Union Gas head count reduction. You would agree that that would constitute an unidentified or unquantifiable gain that was -- that didn't exist at the time rates were set originally.

MR. GOODRICH: Your Honor, I would like to clarify is -- is counsel asking a question based on a particular set of facts or is this merely a hypothetical?

MR. O'BRIEN: It's a hypothetical.

THE WITNESS: To answer your hypothetical question my hypothetical response would be yes.

BY MR. O'BRIEN: (Cont'g.)

Q. Okay. And in addition to the vacancy adjustment, the panel at page 47 line 21 recommends the company continue the downward only new hire true-up. Is that correct?

A. (Keymel) Yes.

Q. And when you say continued, that deferral was adopted in the context of a multi-year rate plan. Is that your understanding?

A. Yes.

Q. And this is not a multi-year rate plan, but a litigated 1 year proceeding. Is that

your understanding?

A. Yes.

Q. Okay. Now, I just want to understand how your vacancy adjustment is calculated. So if you turn to Page 27 and -- and is it correct you started with the F.T.E.s as of September 30th, 2015, the end of the historic test year in the 2016 rate order? If you look at --

A. (Castano) Yeah, referring to our direct testimony, page 27 line 6 we state, to establish a baseline we began with the company's adjusted head counts as of September 30th, 2015. This figure was used in cases 16-G-0058 and 16-G-0059 to forecast labor expense for the company's current rate plans.

The adjusted head counts of -- as of -- as of that date were 1,281 and 662 for KEDNY and KEDLI, respectively. Then we added the number of approved income rental F.T.E.s from the 2016 rate order issued on December 16th, 2016 in cases 16-G-0058 and 16-G-0059. That rate order approved 236 incremental employees for KEDNY and 106 for KEDLI. Thus, the 2016 rate order authorized a total head count of 1,517 for KEDNY and 768 for KEDLI.

Q. Yeah, I appreciate that. I was trying to make it simple because I know it's all over the testimony. So -- so you started with the F.T.E.s as of September 30th, 2015, right?

A. That's correct.

Q. Okay. And then you said the total F.T.E.s as -- as of that date were 1281 for KEDNY and 662 for KEDLI, right?

A. Correct.

Q. And then what you did is you added the incremental F.T.E.s that were approved in the 2016 rate order and those totaled 236 for KEDNY and 106 for KEDLI, right?

A. Yes.

Q. So you added for KEDNY 236 to 1,281 to get 1,517 F.T.E.s and then you added 106 to 662 to get 768 F.T.E.s for KEDLI. Is that right?

A. Yes, that is right.

Q. And -- and then what you did is you compared the 1,517 KEDNY F.T.E.s to the 1,469 KEDNY F.T.E.s as of the end of the historic test year and you took that difference, which is 48 and divided 48 by 1,517 to calculate a 3.16 percent vacancy rate. Is that right?

A. Just to clarify, we produced a vacancy rate of 3.16 percent for KEDNY --

Q. Correct.

A. -- and 8.2 percent for KEDLI. Yes, based on the scenario you presented.

Q. Right. So that -- I was talking about KEDNY, but the numbers for KEDLI are 768 in 2015 and 705 in historic test year, a difference of 63 which you then divided by 768 to get a rate of 8.2 percent, correct?

A. That's correct.

Q. Okay. And then you apply that vacancy rate to the rate year late -- the KEDNY and KEDLI's rate year labor expense which was developed based on the head count as of December 31st, 2018?

A. Correct.

Q. Okay.

So let's turn to page 48 now. I'd like to turn to savings. So just to make sure we're all on the same page and make sure the record is clear, what I'd like to do is just start by walking through the savings that an -- in the revenue requirement and I'll take it in steps.

So is it correct that the companies

reflected the savings from initiatives that have been actually realized in the revenue requirement?

A. (Keymel) Yes.

Q. Okay. And those initiatives are what the companies called the Level 5 initiatives, is that your understanding?

A. I believe you incorporated Level 4 and Level 5 savings into the revenue requirement.

Q. Correct. I -- I just -- so I apologize for confusing you, I just want to do it in steps just so the record is clear.

A. Okay.

Q. Okay. So is it -- am I correct that the Level 5 savings have been actually realized, is that correct?

A. Correct.

Q. Okay. And in Level 4, while the -- the savings haven't been realized, they are projected to be realized because these initiatives have an implementation plan that's been completed, is that right?

A. Can you repeat that?

Q. Sure. Is it correct -- I'll just change a little. That the companies reflected the

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savings from initiatives that while not realized are projected to be realized because these initiatives have an implementation plan that has been completed?

MR. GOODRICH: So I object in that the company is very much characterizing -- is very specifically characterizing these -- the -- what I think we can say is -- is we've refer -- we can refer it to as Level 4 savings and I'm not sure that that characterization -- I would like to know where that characterization exists in -- in testimony.

BY MR. O'BRIEN: (CONT'G.)

Q. So if the panel would turn to page 51, starting at lines 15 through 19 of your testimony. I believe it's discussed there.

A.L.J. LEARY: Lines?

MR. O'BRIEN: 15 through 19.

A.L.J. LEARY: Thank you. Does that help you, Mr. Goodrich? Does that help you?

MR. GOODRICH: That -- I mean that does say Level 4 and Level 5 initiatives are for what -- sorry, I don't really want to read the whole thing. I -- it doesn't say what he described Level 4 as being with a completed implementation plan and whatnot.

A.L.J. LEARY: I do see in the testimony your witness panel acknowledging that Level 4 initiatives have been implemented which is found at the top of page 49, I think it's lines 1 and 2. So does that help?

MR. GOODRICH: If -- if that's what company counsel wants to point to, then that's fine.

THE WITNESS: (Keymel) So yes. Level 4 savings have been implemented, but I don't believe the savings have been captured fully from of -- Level 4 savings. They may be implemented, but not all the savings have been realized.

BY MR. O'BRIEN: (Cont'g.)

Q. Okay. And -- and if you look at page 49, I guess lines 8 through 10. The Level 4 and Level 5 savings total approximately 31 million for KEDNY and -- and 13 million for KEDLI in the rate year, is that correct?

A. Yes.

Q. Okay. And on top of these savings, the companies also added a 1% productivity adjustment, is that correct?

A. Correct.

Q. And is it your understanding that

the companies added the 1% to capture the possibility that initiatives in Level 3 could move into Level 4 or 5 in the rate year?

MR. GOODRICH: Objection. The company can state its own position, but --

MR. O'BRIEN: I'm asking if she --

MR. GOODRICH: -- that's not -- I mean that's not necessarily the reason for it.

A.L.J. LEARY: I -- I think the question is, to this panel, correct me if I'm wrong Mr. O'Brien, is this -- is this what the company said?

MR. O'BRIEN: Correct.

A.L.J. LEARY: So that -- with that clarification on the record, the panel is being asked about what the company said about Level 3 initiatives or savings I guess you'd call it.

THE WITNESS: (Keymel) Yes. The company did say that it recognizes that some Level 3 savings could move up and realize savings in the rate year. However, we believe that the productivity adjustment is completely separate from the savings.

BY MR. O'BRIEN: (Cont'g.)

Q. No, I understand. I'll get to

that in a moment. And 1% productivity totals approximately 4 million for KEDNY and 2 million for KEDLI between the historic test year and the rate year, is that correct?

A. (Castano) Can you cite to that please?

Q. Yeah, I can show --

A. If you have the line just to follow along --

Q. -- just to help with your recollection.

A. -- that'd be helpful. Thank you.

A.L.J. LEARY: Mr. O'Brien, keep in mind that you are entitled to declare a break, but if you don't, I will, for lunch. So you know, I don't want you to rush to finish. But as I've told you, people in the room probably need various breaks for various reasons including lunch. So I'm not saying rush, I am saying don't rush to finish, but let's --

MR. O'BRIEN: Could -- could I finish this section and then we go on lunch?

A.L.J. LEARY: Absolutely.

MR. O'BRIEN: Okay.

A.L.J. LEARY: If that's --

MR. O'BRIEN: Yeah.

A.L.J. LEARY: -- works for you.

MR. O'BRIEN: That works for me. Yeah.

A.L.J. LEARY: Thank you.

MR. O'BRIEN: And just for the record, I'm just showing the panel Exhibit R.R.P. 3- C.U. Schedule 28 which has been marked as Exhibit 304 for KEDNY. And then Exhibit R.R.P. 3-C.U. schedule 28 which has been marked as Exhibit 314 for KEDLI.

A.L.J. LEARY: I need the first one R.R.P --

THE REPORTER: Your microphone's not on.

A.L.J. LEARY: Sorry.

MR. O'BRIEN: Sure, it's --

A.L.J. LEARY: I need the first one again.

MR. O'BRIEN: Exhibit R.R.P.-3 C.U. Schedule 28. And it's Exhibit 304 for KEDNY and Exhibit 314 for KEDLI.

A.L.J. LEARY: So you didn't -- you didn't name 2 different schedules, it's the same R.R.P. -3 C.U. Schedule 28, it's duplicated in the

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MR. O'BRIEN: Correct. One specific for KEDNY and one specific for KEDLI.

A.L.J. LEARY: Right, I'm sorry.

MR. O'BRIEN: Yeah.

A.L.J. LEARY: Yeah.

THE WITNESS: (Castano) Just to clarify, you're asking us to confirm the rate year productivity amounts, correct?

MR. O'BRIEN: Yeah, I -- I just want to --

THE WITNESS: For the company?

MR. O'BRIEN: Correct, I just -- I just want to know, is -- is the 1 -- the 1% totals approximately 4 million for KEDNY and 2 million for KEDLI?

THE WITNESS: (Keymel) Yeah.

BY MR. O'BRIEN: (Cont'g.)

Q. So the total level of savings then reflected in the rate year by the companies would be approximately 35 million for KEDNY and 15 million for KEDLI, is that right? And I'm simply adding 31 plus 4 for KEDNY and 13 plus 2 for KEDLI.

MR. GOODRICH: So objection, only that

savings has had sort of a particular meaning in -- in this case and not -- not in a generic sense and I feel like that's being used in the generic sense. Could -- could counsel please clarify what he means by savings?

MR. O'BRIEN: I'm just referring to the Level 4 and 5 savings plus the 1% productivity which again, equals 31 plus 4 for KEDNY, 13 plus 2 for KEDLI.

THE WITNESS: (Keymel) If that's the sum of the numbers in the productivity sheet that you just provided and the numbers on our testimony page 49 lines 9 and 10, then yes.

BY MR. O'BRIEN: (Cont'g.)

Q. Thank you. So that'll be a grand total of approximately $50 million in savings to be delivered in 1 year?

MR. GOODRICH: Again objection. Savings is -- is -- has become a defined term in this case. And -- and I -- I want to make sure that counsel is -- is clear on -- on whether he's using that term in that defined specific sense or in a generic sense.

MR. O'BRIEN: Well, since it proceeded

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in my quest -- my question where we talked about 35 million plus 15 equals 50, it -- it -- it again refers to the Level 4 and Level 5 and 1% productivity.

A.L.J. LEARY: Okay. So what --

MR. O'BRIEN: In fact for the record, this entire line of questioning we'll refer to that as savings.

A.L.J. LEARY: Okay. So what I'm hearing from this witness panel though, is a differentiation between what I'll call, you know as a lay person, actual savings versus in -- in Level 5 versus prospective or projective savings anticipated because of the implementation of a particular plan. So is that what you're getting at Mr. Goodrich? The -- the difference --

MR. GOODRICH: No, it's --

A.L.J. LEARY: -- between those two things or maybe it would help me for you to tell me what the definition is that -- or the term of art for savings that you would be using that you want to put on the record.

MR. GOODRICH: So -- so as discussed at length in -- in this panel's testimony and in --

in the company's panels, the company did a program which I think is also called the Accelerate Program. And that has been referred to in test -- the results of that are the Level 1 through Level 5 --

A.L.J. LEARY: Yeah.

MR. GOODRICH: --initiatives and whatnot. And that has been referred to as, quote unquote, savings. And then there's a productivity adjustment which is not -- which there is a difference of opinion as to what accounts for that productivity adjustment, but that is not --

A.L.J. LEARY: You mean how the 1% is calculated?

MR. GOODRICH: Not how the 1% is calculated, but what -- where that 1% would -- would result from. And I'm not trying to -- but -- but that is not -- I mean it's -- it's not included per se in the savings program. The company has -- has testified that -- that the savings program is -- is part of how it's going to get to the 1% and this panel can speak for its own opinion. But -- but it's not part of the -- the Accelerate Program, not part of the savings with quotations around it.

A.L.J. LEARY: So how do we resolve

this difference of --

A.L.J. COSTELLO: Can I ask -- was that -- did -- did Mr. O'Brien -- I'm sorry, Mr. -- yeah, O'Brien clarify that by referencing Levels 4 and 5 savings?

MR. FORST: So I think the issue, Your Honors, is I think counsel for the companies has indicated that he's considering savings to be both the Level 4 and 5 initiative savings plus productivity.

A.L.J. LEARY: Plus the 1%.

MR. FORST: Yes. And I think that is a -- is what is -- is at issue and what this panel can discuss.

A.L.J. LEARY: Mr. Maloney, it sounds like you want to be heard, because I didn't hear you, but you said something.

MR. O'BRIEN: I mean this is cross examination. I mean we've already defined it as what we're referring to. I mean I think it's laid out adequately in staff's testimony and the company's testimony.

A.L.J. LEARY: Does staff's testimony concede that this 1% should be included in the

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MR. O'BRIEN: That's where the cross examination is going in to.

A.L.J. LEARY: So it sounds like the -- it sounds like the answer to that may be no. Could someone answer that question for me? The panel or somebody did -- did -- does your understanding of quote, savings, along this line of questioning that Mr. O'Brien is presenting, does that include Levels 1 through 5 plus the 1% productivity incentive or adjustment?

THE WITNESS: (Castano) Your Honors, we view the savings as a separate program as Mr. Goodrich mentioned and then a separate efficiency not included in the savings program would be the 1% productivity adjustment. However, Mr. O'Brien asked us to add together the 2 numbers we just totaled them for him, and we did not concede anything.

A.L.J. LEARY: That's very helpful. So if -- if this panel is not conceding that, I think it would be incumbent upon the panel to make clear in your responses that it doesn't include the 1% even if you've added it up. And it adds up to whatever. So that's -- the -- I -- that was helpful for me Mr.

O'Brien, I just want the record to be clear that this panel is not conceding.

Thank you for raising this issue Mr. Goodrich. They're not conceding that this 1% should in fact go into quote what I'll term savings. There's a dispute about that, so --

MR. O'BRIEN: I'm not understanding --

A.L.J. LEARY: Do you want to frame your questions in a different way like say --

MR. O'BRIEN: I'm not --

A.L.J. LEARY: -- savings plus 1%?

MR. O'BRIEN: I can do that too, yes.

A.L.J. LEARY: That might --

MR. O'BRIEN: Or I can call it reductions if that would help folks struggling to understand the -- the issue, but I'll move on.

A.L.J. LEARY: I cannot help you there. This is an objection. D.P.S. staff and the panel have clarified for me though. So I understand where the dispute is I think.

MR. O'BRIEN: Well, I guess the -- yeah, I mean the company's position is, if we look at the revenue requirement, there are $50 million in savings. Staff is proposing to impute additional

savings. So I'm not sure what to call it, I -- I mean we can do Level 4 and 5 plus productivity if it makes folks happy. But the revenue requirement reflects $50 million in savings.

MR. GOODRICH: So the -- the Level 4 and 5 plus productivity is a fine description and I understand that the company's position that savings in -- equals x amount, but that is what the dispute is because savings has be -- regrettably been used as like the name of a -- a program practically.

A.L.J. LEARY: Okay. That was helpful for both Judge Costello and I. I -- I would just ask both Mr. O'Brien as well as the panel to keep in mind this colloquy that's going on so that we have a record that reflects accurately the position of the panel, albeit on cross.

MR. O'BRIEN: May I proceed?

BY MR. O'BRIEN: (Cont'g.)

Q. And traditionally the commission has imputed a 1% productivity adjustment as a way of incenting utilities to be efficient and find savings in the rate year, is that correct?

A. (Keymel) The productivity adjustment is to account for unidentified and/or

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unquantifiable gains and efficiencies in the rate year.

Q. Correct. And -- and that's traditionally calculated as 1%, correct?

A. Traditionally.

Q. Now, are you aware that staff in their testimony in the recent NYSEG and RG&E rate cases, so case 19-E-0378 recommended a 2% productivity adjustment and in doing so specifically referenced these ambitious savings initiatives undertaken by KEDNY and KEDLI in this case?

A. I have no knowledge of that case.

Q. Okay.

A. (Castano) I have no knowledge either. I have no knowledge of that case either.

Q. Now, is it correct that on top of the $50 million in the Level 4 and Level 5 savings plus the productivity adjustment that the companies reflected, the panel's proposing to impute even more savings?

MR. GOODRICH: Could counsel please point to a place in the testimony where -- where he asserts that -- that comes from?

BY MR. O'BRIEN: (Cont'g.)

Q. Yeah, I -- I apologize, I'm just assuming the panel's familiar with their testimony but I -- I would refer the panel to page 61 lines 13 through 15 of their testimony.

A. (Keymel) That is one of the adjustments that we are making into savings to increase the amount of savings.

Q. In -- in this -- in the adjustment to savings as associated with the initiatives in Level 3, is that right?

A. That adjustment, yes.

Q. Okay. And at page 61 lines 13 through 15, the savings that you're proposing to impute from the Level 3s total 9.5 million for KEDNY and 3.2 million for KEDLI?

A. Yes.

Q. So when added to the $50 million in Level 4 and Level 5 savings and the 1% productivity adjustment that the companies reflected under your proposal, the total level of savings that would be reflected in the revenue requirement would be approximately $63 million, is that correct?

A. (Castano) Can you just break those pieces apart so we can do the math?

Q. Sure. So 50 for the company --

A. I'm sorry, and you could define where -- where -- what it's -- what it's -- the amount relating to savings and the amount related to productivity and the amount relating to Level 3, please?

Q. Sure. I thought I did that earlier, but we can do it again.

A. Or I must have missed it.

Q. 31 million for the Level 4 and Level 5 for KEDNY plus 4, which is the 1% productivity adjustment. And then 9.5 million in the Level 3 is for KEDNY. And that would equal -- well, strike that. And then for KEDLI 13 million for the Level 4 and Level 5s, 2 million for the 1% productivity and then the 3.2 million for the Level 3 savings.

A. (Keymel) Yes, approximately 63.

Q. Okay. And -- and the panel's not proposing to remove the 1% productivity adjustment, instead the panel's proposing reflect both the 1% productivity adjustment and the Level 3 savings, is that correct?

A. Can you repeat the question?

Q. Sure. The panel's not proposing to remove the 1% productivity adjustment that the companies reflected to capture the Level 3 initiatives, instead you're proposing to reflect both the 1% and the Level 3 initiatives -- savings from those initiatives, is that right?

A. (Castano) Once again separately classifying the 2, the productivity is a longstanding commission precedent and adjustment. And as we defined and stated many times, the productivity adjustment is to account for unidentified or unqualified gains and efficiencies. Level 3 savings associated with the company's separate savings program, we implemented that in the rate year, yes. Still yet, separate.

Q. Well hypothetically, the company's legal department could come up with an idea that it wants to see if it can get each of its outside law firms to reduce their rates by 5%. To do that, the legal department could put together a plan to talk to its outside law firms and then estimate the savings that could be achieved.

However, would you agree that unless and until the outside law firms agree to reduce their

rates, there were no savings associated with that initiative even though there may be a plan and an estimated savings?

A. (Keymel) Hypothetically, yes. However, we believe that Level 3 savings will move up and the company will get savings in the rate year.

Q. Thank you. So what -- I -- I guess, what's the basis for your belief that the Level 3 savings will move up into Level 4 and 5 in the rate year?

A. So we gave 5 reasons in our testimony of why we believe we should include Level 3 savings. And they would be that we're -- that the company said that they are bankable and there's few cancellations, they move quickly, and the amounts are stable, and we are being conservative.

Q. Okay.

A.L.J. LEARY: Can you just recite the page to which you were referring?

THE WITNESS: So I was -- there's multiple pages. So the first reason when I was saying that -- that the com -- the -- these savings are bankable starts on page 56, lines 22 and it goes on to page 57. The second reason that there are a

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few cancellations start at page 57 of our testimony, line 14. The third reason that they move quickly is on -- starts on page 58, lines 2. The fourth reason that the savings amounts in Level 3 are stable starts on page 59 of my -- our testimony, lines 13 and the fifth reason that we're being conservative is on page 60, line 4 of our testimony.

A.L.J. LEARY: Okay. Thank you.

BY MR. O'BRIEN: (Cont'g.)

Q. In referencing page 58 of your testimony with respect to the reason that you just mentioned. You say at -- starting at lines 11 through 13, this -- this means that once an implementation plan has been developed, it only takes about 2 months to implement it and realize the savings. Do you see that?

A. (Keymel) Yes.

Q. And can you tell me how long the initiatives that are currently in Level 3 that you're proposing to impute into the revenue requirement have remained there on average?

A. I don't know the exact average off the top of my head, but I believe it's around 150 days. But we believe that priorities and resources

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will change and in the rate year, they will have different priorities and resources to dedicate to implementing these Level 3 savings.

Q. I guess, what resources and priorities are you referring to?

A. In one of the company's responses to an I.R., the companies, when asked why that these savings have been in there so long. A -- a lot of the reasons was because it was due to resource constraints and competing priorities. So we just believe that these will change in the rate year.

Q. And the rate year starts what, two months from now? Is that right?

A. (Castano) Yeah. I think it's also safe to say that prior to the Level 3 initiative it's moving to 150 days, I'd think it was only at 60 days I believe, 2 months. And coincidentally right around the time staff's testimony was filed, a lot of these -- the Level 3 savings were then put on hold or delayed.

Q. Well, do you have any proof or evidence to support your, I guess, accusation that the company is --

A. Simply just the time -- sorry.

MR. GOODRICH: Sorry. Objection. Staff stated a fact, please -- please avoid characterizing it derogatorily as an accusation.

A.L.J. LEARY: It's time for lunch. Mr. O'Brien?

MR. O'BRIEN: Yes.

A.L.J. LEARY: Time for lunch.

MR. O'BRIEN: Okay. We can stop then.

A.L.J. LEARY: Thank you. I warned you. It's now 12:45, let's take 45 minutes and come back at 1:30. Off the record.

(Off the record, 12:44 p.m.)

(On the record 1:30 p.m.)

THE REPORTER: On the record.

A.L.J. COSTELLO: And we're continuing with the cross examination by the companies of the Department of Public Service Staff Revenue Requirements Panel.

MR. O'BRIEN: May I proceed, Your Honors?

A.L.J. COSTELLO: Yes, you may.

MR. O'BRIEN: Okay. Thanks.

CROSS EXAMINATION

BY MR. O'BRIEN: (Cont'g.)

Q. Panel, you testified earlier that you have observed level 3 initiatives not moving into level 4 or level 5. Isn't it a possibility that a reason that those initiatives are not moving into levels 4 and 5 is that despite the company's best efforts that can't be delivered?

MR. GOODRICH: Objection, speculation.

MR. O'BRIEN: I believe, the witnesses answers was speculation as well.

A.L.J. LEARY: I don't honestly remember. But why don't we see if the panel can answer it. Is that -- are you asking a hypothetical?

MR. O'BRIEN: Yes, I am.

A.L.J. LEARY: You can answer.

THE WITNESS: (Keymel) No, because level 3 initiatives happen within 4 and 5. But they had no savings to KEDNY & KEDLI specifically.

BY MR. O'BRIEN: (Cont'g.)

Q. I -- I guess I'm -- I'm not understanding your answer. I guess my question is, isn't it a possibility that a reason the initiatives aren't moving into levels 4 or 5, is that despite the company's best efforts, they -- they just can't be delivered?

A. (Keymel) Hypothetically, yes. But there could be other reasons.

Q. And -- and earlier you referenced, you believe resources and priorities will change in the rate year that will enable the companies to deliver the level 3 savings. Can you please identify the specific priorities or resources that you're referring to?

A. The companies didn't identify that in the response. They just said, competing priorities and resource constraints.

Q. Okay. Do you, panel, have any specific resources and priorities that you believe will change in the rate year and enable the companies to deliver level 3 savings?

A. Can you just rephrase the question?

Q. Yes. So earlier you referenced, you believe that resources and priorities will change in the rate year that will enable the companies to deliver these savings. I'm just asking for what specific resources and priorities are you referring to in that answer?

A. Well, the change in F.T.E.s, the

19-G-0309/19-G-0310 - 2-14-20 - Brooklyn Union Gas company is asking for more F.T.E.s in this case and they could help bring level 3 savings up that provided more resources to the company.

Q. And the -- the F.T.E.s are -- are required to deliver on the incremental work and the incremental programs that are required in the rate year. Is that your understanding?

A. Yeah.

Q. And if I could direct you to your Exhibit 504, excuse me, Exhibit S.R.R.P. 3 which has been pre-marked as Exhibit 504 and in particular page 635 of 943 and that's the response to D.P.S. 757 and I think it's as of August. And it's Attachment 1, page 1 of 3.

MR. GOODRICH: You said 605?

MR. O'BRIEN: 635 of 943. 635 of 943.

THE WITNESS: Okay.

BY MR. O'BRIEN: (Cont'g.)

Q. And my -- my question is simple. If I were just to go through this list of initiatives in level 3 and point one out. Do you have any information that would show that any of these initiatives would deliver savings in a rate year?

So for example, initiative number 953,

My Account M.V.P. Do you have any specific information that shows that that initiative will be successfully implemented and delivered in the rate year?

A. Well, we believe that these level 3 savings, they will move up to level 4 and 5 and the company will receive savings due to these initiatives.

Q. No, I appreciate that. I understand what you believe, but my question is more focus. Do you have any specific information that shows that any of these initiatives, if I went through them one by one would deliver savings in the rate year?

A. We also have no knowledge though that these savings won't move up to level 4 or 5.

Q. Okay. So let me again re-ask my question. Do you have any specific information that shows that any of these initiatives will be delivered successfully in a rate year?

A. Our adjustment is based on all of level 3 savings and we did not go through individually and determine whether or not that specific initiative would move up or not.

Q. Okay. So it's fair to say that you don't have any specific information to show that any of those initiatives on page 635 of 943 of S.R.R.P.3 would be successfully implemented and deliver savings in the rate year?

MR. GOODRICH: Objection. He's asked this question and the panel has provided the response that it has.

MR. O'BRIEN: Your Honor, the panel hasn't answered the question.

MR. GOODRICH: The way you liked --

MR. O'BRIEN: Yes.

MR. GOODRICH: -- the panel has answered the question though.

MR. O'BRIEN: Your Honor, I respectfully submit the panel has not answered the question once and I would like to just refrain from having to go through these initiatives one by one and ask the question.

A.L.J. LEARY: What do you think the problem is?

MR. O'BRIEN: I'm sorry.

A.L.J. LEARY: I'm asking you, what do you think the problem is? Why do you think they're

not answering the question? I mean, is it --

MR. O'BRIEN: My --

A.L.J. LEARY: -- is it the phrasing of the question or is there a way you can rephrase it that might elicit --

MR. O'BRIEN: Sure.

A.L.J. LEARY: -- a response?

MR. O'BRIEN: I can do that.

BY MR. O'BRIEN: (Cont'g.)

Q. So panel, if you look at initiative number 953, My Account M.V.P., what information or strike that. Do you have any specific information that shows that that initiative will be successfully implemented and deliver savings in the rate year? And if so, what information do you have?

A. This initiative is in level 3 -- in at level 3 and we believe that these level 3 savings will go up, for the 5 reasons that we laid out in our testimony.

Q. Okay. Thank you. Has staff done any study or analysis on the ability of the company to deliver and achieve the level 3 savings in light of the adjustments proposed by staff to programs such as information technology costs?

A. We did not perform any analysis on that. But this is a company initiated program and the savings, the companies' side, were aggressive but achievable.

Q. Are you aware that the companies implemented a management wage increase of 3.35% effective July 1st, 2019?

A. I'm aware of it, yes.

Q. Are you also aware that staff witness Gadomski is proposing a management wage increase of 3% even though the 3.35% has already been paid out to employees as of last year?

A. I don't know that. That's beyond the scope of my testimony.

Q. Would you agree that if it has been paid out, the company would have to find additional productivity to offset the difference between the 3.35% and the 3%, should the commission agree with staff's management wage increase adjustment?

A. Can you just rephrase the question?

Q. Sure. I know, you said you weren't aware, but assuming that the management wage

increase had already been paid out. Would you agree that the company would have to find additional productivity to offset the difference between the 3.35% and the 3% should the commission agree with staff's management wage increase adjustment?

THE WITNESS: (Castano) This is a hypothetical question?

MR. O'BRIEN: It is.

THE WITNESS: As we previously stated, the productivity adjustment is to account for unidentified and/or unqualified gains and efficiencies that could be realized in a rate year.

BY MR. O'BRIEN: (Cont'g.)

Q. Okay. All right. Let me rephrase it. Assuming that, -- let's assume for the sake of argument that it's already been paid out. Would you agree that the company would have to find additional savings to offset the difference between the 3.35% and the 3%, should the commission agree with staff's management wage increase adjustment?

A. (Castano) Approach to the adjustments to account for unidentified savings in the rate year, I believe you stated that this wage increase was in July of 2019. So I guess it'd be

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unrelated.

Q. I guess I'll just leave it at that. If you -- if you could turn to page 62 of your testimony where you discuss paving expense.

So now, as I understand it, the panel is proposing for KEDNY, a downward only paving expense deferral. Is that correct?

A. That's correct.

Q. And at page 65, one of the reasons you cite for the need for the deferral, is that the historic test year is the first full year of the new paving regulations and, therefore, there is some uncertainty regarding these costs. Is that right?

A. I believe that was the company's response to I.R. D.P.S. 333, the company states, calendar year 2018 our historic tester was the first full year under the new Department of Transportation restoration regulations.

Q. Yeah. I guess my question is, is that one of the reasons that you cite for the need for the deferral?

A. As stated in our direct testimony on page 63, lines 13, we state while you recommended

a downward only true up, we state given the fact that the historic test year was the first full year under the new paving rules, there was no prior year data to compare the historic test year to determine if the amounts and curve would serve as an appropriate basis for the rate year.

Q. But doesn't that reason hold equally true to support the need for a full reconciliation instead of a downward only reconciliation?

A. As stated in our testimony, on page 66, line 4, further the downward only true-up mechanism, also in a sense KEDNY to manage its paving cost effectively.

A.L.J. LEARY: Excuse me.

THE WITNESS: Sorry.

A.L.J. LEARY: Speak slowly.

THE WITNESS: Sorry.

A.L.J. LEARY: Thank you.

THE WITNESS: Page 66, line 4, further the downward only true-up mechanism, also in a sense KEDNY to manage its paving cost effectively to avoid exceeding the amount recovered through rates.

BY MR. O'BRIEN: (Cont'g.)

Q. Now, if paving costs exceed the rate allowance established by the commission in this proceeding, under your proposal, the company will not fully recover its paving costs. Is that correct?

A. The company did not propose any sort of symmetrical reconciliation to begin with. The company simply took the historic test year, plus inflation to forecast this cost and the companies also has a significant increase in paving expense from the last case, about 21, about 20 million -- $21 million to be exact.

And this is due to the new paving regulations, in order to the company -- in order for the company to -- incent them to manage these costs more effectively and established -- before a baseline is established. This is why staff proposed a downward only reconciliation to protect customers.

Q. Now, did actual paving costs in historic test year exceed the rate allowance or were they less than the rate allowance?

A. Can you rephrase the question, please?

Q. Sure. Did actual paving costs in the historic test year, were they more or less than

what was allowed in rates? Let me help you out.

So if you could turn to your Exhibit S.R.R.P. 3, which again has been marked as Exhibit 504, in particular, page 324 of 943.

MR. *:** What's the I.R. number?

MR. O'BRIEN: It is -- I'm sorry.

THE WITNESS: Excuse me. What's the I.R. number?

MR. O'BRIEN: It is I.R. D.P.S. 244 and specifically I'm looking at Attachment 1 to D.P.S. 244.

A.L.J. LEARY: Do we have a hearing exhibit number on that?

M. O'BRIEN: Yes. It's 504.

A.L.J. LEARY: Thanks.

THE WITNESS: Just need a minute to find, sir, a lot of I.R.s. Unless you have -- hand -- or a copy handy?

A.L.J. LEARY: So -- so is this -- off the record for a moment?

(Off the record 1:47 p.m.)

(On the record 1:48 p.m.)

THE REPORTER: On the record.

BY MR. O'BRIEN: (Cont'g.)

Q. And panel, does that indicate that the -- at the -- at the bottom, see the reference case 19-G-0309, does that indicate the historic test year actuals were approximately $37.7 million? And then the line above 16-G-0059, rate year 2018, approximately $10.4 million?

A. Yes.

Q. So moving on -- so the next topic very quickly amortizations.

A. Okay.

Q. So as the company has prop -- originally proposed a multiyear rate plan, certain costs such as, for example, rate case expense and management audit expense, for example, were amortized over multiple years on the revenue requirement.

As we're now litigating a one year case would you agree that those costs instead of being amortized should be fully reflected in the revenue requirement in this proceeding?

A. Can you rephrase your question?

Q. Sure.

A. Or repeat the question. Excuse me.

Q. So originally the company

19-G-0309/19-G-0310 - 2-14-20 - Brooklyn Union Gas proposed a multiyear rate plan. As such there were certain costs such as rate case expense, management audit expense to name a few, that were amortized in the revenue requirement over multiple years.

So my question is, as we're now litigating a one year case would you agree that those costs instead of being amortized over 4 years should be fully reflected in the revenue requirement in this proceeding?

A. No, not necessarily because the companies don't tell you it's a recovery of those costs and throughout the course of the next rate proceeding those costs could be addressed.

Q. Okay. Let me now direct your attention to page 68 of your testimony, where you address your working capital adjustment for KEDNY only?

A. Okay.

Q. So is it your understanding that KEDNY incurs city-state construction, which I'll abbreviate for the record as C.S.C. costs to support, protect and relocate its facilities to accommodate New York City's municipal plan?

A. Yes, that is correct.

Q. And is it also correct to say that the commission has in the past authorized KEDNY to reconcile a significant portion of its C.S.C. related capital costs?

A. Can you define reconcile?

Q. A tracker deferral.

A. I'm not entirely sure.

Q. That's fine. And is it correct that the commission historically has permitted KEDNY to recover C.S.C. related costs on a current basis, meaning that if the company places a C.S.C. related capital project in service during the rate year, KEDNY's rates will reflect the cost of that project?

A. Yes.

Q. Okay. And it's correct, is it not that a portion of KEDNY C.S.C. related capital costs are reimbursed by New York City under the -- under the New York State Gas Facilities Cost Allocation Act of 1988?

A. Yes.

Q. And is it your understanding that KEDNY has a significant balance of C.S.C. related reimbursable costs on its books?

A. Yes.

Q. And -- and this is an amount that New York City owes KEDNY. Is that correct?

A. That is correct.

Q. Okay. And is it your understanding that the balance of reimbursable C.S.C. costs owed to KEDNY by New York City is projected to increase by $28 million between the end of the historic test year and the end of the rate year? And I'll direct you to page 77 line 1 of your testimony.

A. Yes.

Q. And is it your understanding that KEDNY's proposing to recover return on the 28 million of reimbursable costs that it contends are not otherwise reflected in rates at that -- and that won't be paid to KEDNY by the city during the rate year?

A. Can you please rephrase that question?

Q. Sure. And maybe I can help you. My question is I just want to -- is it true that KED -- strike that. Let me just move on. I'll strike the question.

Would you agree that to the extent that KEDNY spends $28 million on C.S.C. related

construction costs, that is not paid for by New York City, then the company incurs a cost to finance the amount of un-reimbursable expenditures?

A. So first, I believe that the $28 million is a forecast to begin with.

Q. Uh-huh.

A. And second, the 28 million would not be as high if National Grid billed on a more timely basis.

Q. Okay. Thank you. You didn't answer my question but so let me re -- restate it.

A. I'll try it again.

Q. Yeah. Would you agree that to the extent that KEDNY spends $28 million on C.S.C. related costs that is not paid for by New York City, then the company incurs a cost to finance the amount of un-reimbursable expenditures?

A. So once again, the $28 million, the financing on that particular balance is part -- partially at fault by the company and the carrying charges on that would, as the company included in its working capital would be funded by ratepayers.

Q. Okay. Regardless of the balance. So let's take out $28 million out of the equation.

Would you agree that to the extent that KEDNY spends money on C.S.C. related construction costs that aren't paid for by New York City, then the company incurs the cost to finance that amount of an un-reimbursable expenditures?

A. Not necessarily.

Q. Is it correct that the $28 million represents an amount of C.S.C. reimbursable costs will not otherwise be recovered in rates?

A. The $28 million is the company's forecast of working capital related to C.S.C. construction in which we adjust it out.

Q. But is it correct that to the extent the company implements a C.S.C. related project that is then reimbursed by New York City, those costs aren't included in rates, correct?

A. Can you please rephrase that question?

Q. Sure. The company builds a C.S.C. related construction project. New York City reimburses the company for that money. Are those costs included in rates?

A. Can you please rephrase? I'm not fully understanding the question.

Q. Well, let's ask it this way. Is it correct to say that at the Gas Facilities Cost Allocation Act of 1988, did not exist then reimbursable C.S.C. expenditures would be reflected in the rates established in this proceeding?

A. We're not sure.

Q. No. Now, are you aware that the Gas Facilities Cost Allocation Act of 1988, was passed into law at the urging of New York's downstate utilities as part of an effort to reduce the impact of C.S.C. costs on customers?

MR. GOODRICH: Objection. That -- that -- the motive for getting a law passed that was passed in 1988 is really not relevant to the operation of the law today.

MR. O'BRIEN: The law is relevant to what we're talking about here.

MR. GOODRICH: The law is yes, the motive for getting it passed is the question.

A.L.J. LEARY: Yeah, I mean, does -- does the panel know what the legislative intent or the purpose of the law is?

THE WITNESS: I do not, Your Honor.

BY MR. O'BRIEN: (Cont'g.)

Q. Would you agree that the fact that New York City reimburses KEDNY for a portion of its C.S.C. expenditures provides a benefit to KEDNY's customers?

A. Just to clarify, is this a hypothetical question?

Q. It is, yes.

A. And yes.

Q. Okay. All right. Thank you, panel. So all I want to do now is just to mark for identification, 3 responses to discovery. And for the record, the first is the response to information requests N.G. 7, which is dated September 13th, 2019 and that is 1 page in length.

The second response is identified as N.G. 41 and that's dated November 22nd, 2019 and that's also 1 page in length.

A.L.J. LEARY: These are new exhibits, let's take them 1 by 1.

MR. O'BRIEN: Yeah, sure.

A.L.J. LEARY: If you don't mind.

MR. O'BRIEN: Absolutely.

A.L.J. LEARY: So we've got --

MR. O'BRIEN: N.G. 7 is the first one.

A.L.J. LEARY: NG 07, which is a response to a company information requests by the D.P.S. Staff Revenue Requirements Panel, 1 page, dated September 13th, 2019. It's going to be assigned 6 --

MR. O'BRIEN: 636.

A.L.J. LEARY: Mr. O'Brien, do you want to put this one next on the record?

MR. O'BRIEN: Sure. The next one is the response to N.G. 41 which is 1 page and can -- can I have it? It's dated November 22nd, 2019, name of the Respondent is John Castano and it's 1 page in length.

A.L.J. COSTELLO: And that will be marked for identification as Exhibit 637.

MR. O'BRIEN: And then the final one is the response to N.G. 42, which is also 1 page in length. It's dated November 22nd, 2019 and the name and position Respondent is John Castano auditor 2.

A.L.J. COSTELLO: And that will be marked as Exhibit 638 for identification.

MR. O'BRIEN: Thank you, Your Honors.

BY MR. O'BRIEN: (Cont'g.)

Q. And panel, were these responses

prepared by you or under your supervision and direction?

A. Yes, they were.

Q. And are these responses true and accurate copies?

A. Yes.

Q. Thank you, panel.

MR. O'BRIEN: I have no further questions, Your Honor.

A.L.J. COSTELLO: Do you want a few minutes? Okay. Let's go off the record.

(Off the record 2:03 p.m.)

(On the record 2:14 p.m.)

MR. GOODRICH: Your Honor, the time spent caucusing was well spent, and it convinced us we did not need to do any redirect.

A.L.J. LEARY: Okay. I want to impose this rule, because we have four more days of hearing. So when we do this, the thing that makes me nervous is that everybody is waiting on you. And it's okay. You got to do it, but what I think we should do is free people up in the room for a set period of time to give you the freedom to make the decision and chat, but everybody else can go get a cup of coffee,

like me.

I only need to go down to three. So great. Thank you very much for your testimony, panel, and you're excused for the day. Well --

THE WITNESS: (Castano) Thank you, Your Honor.

A.L.J. COSTELLO: Can we have the Department of Public Service Staff Accounting Panel up next? And we'll go off the record while they set up.

(Off the record 2:16 p.m.)

(On the record 2:17 p.m.)

A.L.J. COSTELLO: Okay. Can I ask the panel members starting from the far, person furthest from me -- us, just to state your name and business address for the record?

MR. CALKINS: My name is Ronald F. Calkins ***00:01:27** 3 Empire State Plaza, Albany, New York.

MS. MANSOOR: My name is Hina Mansoor Thalho. 3 Empire State Plaza, Albany, New York.

THE WITNESS: My name is Luke Quackenbush. My work location is 3 Empire State, Albany, New York.

A.L.J. COSTELLO: Okay. Please stand and raise your right hand. Do you swear or affirm that the testimony you'll provide is the truth?

THE WITNESS: Yes.

MR. CALKINS: Yes.

MS. MANSOOR: Yes.

RONALD F. CALKINS; Sworn

LUKE QUACKENBUSH; Sworn

HINA MANSOOR; Sworn.

A.L.J. COSTELLO: Thank you. You may be seated. I just want to remind -- well, tell you, please restate your name before you answer a question from -- on cross examination. Okay. That way it's clear for the court reporter.

A.L.J. LEARY: And speak into the microphone, that means maybe it's an inch away from your mouth because I can't hear either Ms. Thalho or Mr. Calkins in just stating your name and business address. Okay.

Just keep it right here so the court reporter can pick it up and so can we.

A.L.J. COSTELLO: Counsel.

MR. GOODRICH: Thank you, Your Honors.

DIRECT EXAMINATION

BY MR. GOODRICH: (Cont'g.)

Q. Staff accounting panel, before you is a document entitled, Prepared Corrected Testimony of Staff Accounting Panel, consisting of a cover page and 49 pages of questions and answers, dated January 2020.

Was that panel -- was that testimony prepared by you or under your direct supervision?

A. (Quackenbush) Yes.

Q. And do you have any changes or corrections to make to your prepared testimony?

A. We do.

Q. Please explain.

A. There are two corrections we are making to our prepared testimony. They are verbiage only corrections. There is no quantitative corrections associated with our adjustments. The first correction is on page 7, line 10.

The correction should be that June 2015 should be June 2016. The second correction is on page 35, line 15. The years should reflect 2016, 2017 and 2018. Again, these were verbiage only, no changes to the adjustments we proposed.

Q. Thank you panel for clarifying

those. Do you affirm that the information contained in the panel's prepared testimony with the corrections you just identified is true and correct to the best of your knowledge?

A. Yes.

Q. And if you were asked the same questions today under oath, would you answer them the same way again with the corrections that you just identified?

A. Yes.

MR. GOODRICH: Your Honors, I asked that the prepared testimony of the staff accounting panel be entered into the record as if given orally.

A.L.J. COSTELLO: The request is granted. And at this point, the court reporter should insert the file entitled D.P.S. Staff accounting panel corrected direct testimony.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

FEBRUARY 2020

Prepared Second Corrected
Testimony of:

STAFF ACCOUNTING PANEL

RONALD F. CALKINS
Supervisor, Utility Accounting
and Finance

LUKE QUACKENBUSH
Auditor 2 (Public Utilities)

HINA MANSOOR THALHO
Senior Auditor

Office of Accounting, Audits,
and Finance

NEW YORK STATE DEPARTMENT OF
PUBLIC SERVICE
State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Members of the Staff Accounting Panel please state your name and business address?
A. Our names are Ronald F. Calkins, Luke Quackenbush, and Hina Mansoor Thalho. Our business address is Three Empire State Plaza, Albany, New York, 12223.
Q. Mr. Calkins, by whom are you employed and in what capacity?
A. I am employed by the Department of Public Service as a Supervisor in the Office of Accounting, Audits and Finance.
Q. Mr. Calkins, please summarize your education and work experience.
A. I graduated from Siena College with a B.B.A in Accounting. In June 1969, I joined the Department of Public Service.
Q. Mr. Calkins, have you previously testified before the Commission?
A. Yes. I have testified in various electric, gas and telephone rate proceedings.
Q. Mr. Quackenbush, by whom are you employed and in what capacity?
A. I am employed by the Department of Public Service as an Auditor 2 (Public Utilities) in

the Office of Accounting, Audits and Finance.

Q. Mr. Quackenbush, please summarize your education and work experience?

A. I graduated from the State University of New York College at Cortland with a B.A. in Sport Management, with minors in Business and Economics in 2006. Thereafter, I graduated from The College of Saint Rose in Albany, New York, with a M.S. in Accounting in 2010. I worked for two and one-half years as a Staff Accountant at the public accounting firm Brown & Fitzgerald, P.C. in Latham, New York. During that time, I assisted in performing audits, reviews, and compilations, as well as tax review and preparation. In December 2012, I joined the Office of Accounting, Audits and Finance within the Department as a Senior Auditor.

Q. Mr. Quackenbush, please describe your responsibilities with the Department.

A. My responsibilities include the examination of accounts, records, documentation, policies and procedures of regulated utilities.

Q. Mr. Quackenbush, have you previously provided testimony before the Commission?

A. Yes. I have provided testimony Case 18-G-0133, St. Lawrence Gas Company, Inc., Cases 16-G-0058 and 16-G-0059, KeySpan Gas East Corporation d/b/a National Grid (KEDLI) and The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY); and Case 15-G-0382, St. Lawrence Gas Company, Inc.

Q. Ms. Thalho, by whom are you employed and in what capacity?

A. I am employed by the New York State Department of Public Service as an Auditor I in the Office of Accounting, Audits and Finance.

Q. Ms. Thalho, please state your educational background and professional experience?

A. In 2012, I graduated from Hudson Valley Community College with an Associate of Science degree in Business Administration. I continued my education at University at Albany, where I earned a Bachelor of Science degree in Accounting in 2014, and a Master of Science degree in Forensic Accounting in 2016. In September of 2016, I joined the Department of Public Service as an Auditor Trainee II.

Q. Ms. Thalho, please briefly describe your

responsibilities with the Department.

A. I have general responsibility for accounting and ratemaking matters related to the companies regulated by the New York State Public Service Commission (Commission). My direct responsibilities include examination of accounts, records, documentation, policies, and procedures of utilities regulated by the Commission.

Q. Ms. Thalho, have you previously testified before the Commission?

A. Yes, I provided testimony in Case 17-W-0528, regarding SUEZ Water Owego-Nicholas Inc.

Q. Panel, what is the purpose of your testimony?

A. We will address various issues of the rate filing by The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY), and KeySpan Gas East Corporation d/b/a National Grid (KEDLI), collectively the Companies, specifically: Uncollectible Expenses, Other Expense, Trade Association Dues/Fees, Other Taxes, Property Tax Expense, Deferrals, and State and Federal Income Tax Expenses.

Q. Is the Panel sponsoring any Exhibits?

A. Yes, we are sponsoring two Exhibits; Exhibit__(SAP-1) and Exhibit__(SAP-2).

Q. Would you describe Exhibit__(SAP-1)?

A. Exhibit__(SAP_1) includes the Information Request (IR) responses that we rely upon throughout our testimony. We will refer to these IRs by the number assigned by Staff, e.g., DPS-001.

Q. Would you describe Exhibit__(SAP-2)?

A. Exhibit__(SAP-2) is a compilation of workpapers the Panel has created and used in calculating the adjustments we will discuss in this testimony.

Q. Please define the Historic Test Year, Rate Year, and Data Years.

A. The Historic Test Year is the twelve-month period ending December 31, 2018. The Rate Year is the twelve-month period ending March 31, 2021. The Data Years are subsequent twelve-month periods ending March 31, 2022, March 31, 2023, and March 31, 2024.

Uncollectible Expenses

Q. Does the Panel have adjustments to KEDNY's and KEDLI's Rate Year forecast of uncollectible expenses?

A. Yes.

Q. Please explain.

A. We recommend decreasing KEDNY's Rate Year uncollectible expenses forecast by $1.801 million and KEDLI's Rate Year uncollectible expenses forecast by $0.442 million.

Q. How did the Companies develop their Rate Year uncollectible expenses?

A. The Companies began by deriving a ratio of uncollectible amount to total regulated revenues. The Companies calculated this ratio based on a three-year average, using calendar years 2016, 2017, and 2018. The Companies then applied this average uncollectible ratio to their forecasted Rate Year revenues to develop their Rate Year uncollectible expenses. As of their corrections and updates filing, the Companies proposed uncollectible expenses of $7.397 million for KEDLI and $17.040 million for KEDNY.

Q. Does you agree with the Companies methodology to forecast their Rate Year uncollectible expenses?
A. We agree with the use of a three-year average, but do not agree with the data used by the Companies to calculate a three-year average of uncollectible expenses.
Q. What data do you recommend using?
A. We recommend using the uncollectible amount and total regulated revenues from the period from June 2016 to May 2019, to calculate the three-year average uncollectible ratio. We used the information provided in the Exhibit___(SSP-3), Schedule 1; Exhibit___(SSP-4), Schedule 1; the response to IR DPS-462, Attachment 1 to DPS-462; and the response to IR DPS-463, Attachment 1 to DPS-463.
Q. Why do you believe that this method is more accurate?
A. The Companies recently implemented steps to reduce the uncollectible expense and the Companies will take further steps to reduce the uncollectible expenses. The latest known uncollectible amount reflects the most recent known impact from the implementation of these

steps, and provides for a more accurate uncollectible rate to apply to revenues for the Rate Year.

Q. What steps have the Companies taken to reduce the uncollectible expenses?

A. In the testimony of Shared Services Panel at pages 29-30, the Companies explain they have increased the use of targeted outbound calling campaigns that they expect to improve the effectiveness in encouraging customers to act regarding arrears, and have also implemented ongoing email campaigns for residential customers with an arrears balance of at least $50 pending for sixty days or more. With respect to the ongoing email campaign, the Companies state: “KEDLI started the campaign in July 2016, with a total 69,322 emails sent to customers from July 2016 to December 2018. KEDNY began the campaign in February 2017 with a total of 604,046 emails sent to customers through December 2018.” Additionally, in the response to IR DPS-888, the Companies stated, “The Companies have taken additional steps to reduce uncollectible expense. In April of 2017,

a Residential Outbound Calling group was formed."

Q. Do you anticipate that the Companies will take additional steps to reduce the uncollectible expense?

A. Yes. In the response to IR DPS-888, the Companies indicate they have additional plans to attempt to reduce uncollectible expense in the Rate Year. Specifically, they will employ the utilization of a practical process improvement method that will examine critical procedures that affect uncollectible expense, and also look to the critical area of protection and compliance where the Companies will endeavor to mitigate uncollectible expense.

Other Expense

Q. Please explain what the cost element Other Expense represent.

A. In the Other Expense operation and maintenance (O&M) cost element, the Companies include the subset of O&M costs incurred by the Companies' for utility purposes that are not otherwise identified in any other specific O&M expense

type that is listed on the Companies' Exhibit__(RRP-3CU) Summary.

Q. How did the Companies' develop its Rate Year forecast of Other Expense?

A. KEDNY, as shown in Exhibit___(RRP-3CU), Schedule 7, began with the Historic Test Year amount for Other Expense of $33.078 million, then made normalizing adjustments reducing Other Expense by $12.142 million for its Historic Test Year review, removing Gas Enablement Project costs, Capitalization Policy Changes, reclassification of Incentive Programs, reclassification of Economic Development Grants, a reclassification adjustment to reflect a reversal of City/State construction accrual from a prior period, and removal of accrual amounts for the Appreciate program. Lastly, KEDNY applied inflation of $0.828 million to arrive at a total Rate Year forecast of $21.674 million. KEDLI, as shown in Exhibit___(RRP-3CU), Schedule 7, began with the Historic Test Year Other Expense amount of $4.694 million, then made normalizing adjustments reducing Other Expense by $2.949 million for additional review of Historic Test

Year costs, removing Gas Enablement Project costs, Capitalization Policy Changes, reclassification of Incentive Programs, reclassification of Economic Development Grants, normalization of EAM associated with Empower Replacement Program, removing an entry related to LIPA cash in prior periods, and to remove accrual entries for the Appreciate program. Lastly, KEDLI applied inflation of $0.069 million to arrive at a total Rate Year forecast of $1.814 million.

Q. Do you have any adjustments to the O&M cost element of Other Expense?

A. Yes. We have one adjustment to KEDNY’s Other Expense cost element and one adjustment to KEDLI’s Other Expense cost element.

Q. For KEDNY, please explain your adjustment related to Other Expense.

A. We recommend reducing the level of charges incurred in the Historic Test Year, for costs associated with the vendor New York City Finance Commissioner.

Q. What types of charges are incurred by KEDNY for the vendor New York City Finance Commissioner.

A. According to the response to IR DPS-550, these charges represent summonses associated with the Notice of Violations (NOVs) of permit conditions by the New York City Department of Transportation (DOT).

Q. How much did KEDNY charge to Other Expense for the New York City DOT NOVs in the Historic Test Year?

A. Based on KEDNY's responses to IRs DPS-550 and DPS-768, KEDNY charged $3.541 million to Other Expense in the Historic Test Year for the NOVs.

Q. What causes KEDNY to incur such violations?

A. According to the response to IR DPS-550, to construct, operate, and maintain its natural gas distribution system, KEDNY must regularly excavate in streets and sidewalks in the City of New York. For all nonemergency work, KEDNY secures a street opening permit in advance from the DOT. KEDNY electronically submits a permit application, that is reviewed by the DOT, and a permit is issued. The permit indicates, among other items, the area to be excavated and any work restrictions. From time to time, KEDNY receives NOVs in connection with these street

openings. These violations include failure to follow permit conditions such as work hour restrictions, working outside of the permit area, and failure to restore the area to the DOT's standards. Many of these violations are the result of unanticipated field conditions (e.g., subsurface facilities, parking conditions, heavy traffic) that necessitate work beyond the scope of the permit.

Q. Has KEDNY been allowed rate recovery of such violations in the past?

A. Yes, In the 2016 Rate Order, issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059, KEDNY was allowed partial recovery of its requested Opex and Capex of historic NOVs. However, the 2016 Rate Order adopted a Joint Proposal, and thus, that KEDNY was allowed partial recovery should not suggest that it should again be allowed any recovery. Furthermore, pursuant to the Joint Proposal adopted by the Commission in the 2016 Rate Order, KEDNY is to provide annual reports describing its efforts to reduce NOV related to street openings and traffic violations.

Q. Has KEDNY provided examples of its efforts to reduce the amount of traffic violations and violations related to street opening permits?

A. Yes. However, since these efforts made by KEDNY have only been in effect since the beginning of calendar year 2017, the associated benefits have not yet been fully realized. As stated in the 2018 Roadwork and Traffic Violations Report (2018 Report), KEDNY is committed to reducing the number of traffic violations and violations related to street opening permits and continues to review and analyze NOVs to identify root causes and review work practices, while implementing process and reporting enhancements to increase awareness and improve performance, and inform if additional training is required to reduce NOVs. KEDNY asserts that it has undertaken, and continues to undertake, significant efforts to reduce the number of violations for the benefit of customers and the public.

Q. Can the Panel provide examples of efforts KEDNY has undertaken in Calendar Year 2018, where the benefits would be realized in a later period?

A. Yes, in its 2018 Report, KEDNY provided several efforts it has recently undertaken. For example, first, in June 2018, the DOT required KEDNY to transition to a web-based platform for ordering, reissuing and renewing all permits by December 2018. For a short-term period, this transition negatively affected efforts to reduce overall summonses due to a shift in focus to the required transition work. Now that the transition has occurred, and with future enhancements to the web-based platform, KEDNY expects that it will allow it to more effectively manage its permits to DOT's expectations. Second, KEDNY has implemented a process improvement due to it receiving permission from DOT to explore automation opportunities with ordering, renewing and reissuing roadwork permits. Third, KEDNY expects to realize a reduction in "no permit" related summonses by utilizing the robotic process automation technology in a more widespread manner for permit reissues and renewals and new permit orders. Fourth, KEDNY is collaborating monthly with DOT and holding

process improvement meetings with its major contractors to discuss and resolve issues related to NOVs. Fifth, throughout calendar year 2018, KEDNY implemented several internal process improvements, such as having engineers in charge of designing and managing projects in the field making daily site visits, as well as external contractors and internal KEDNY inspectors ensuring plates are secure and placed according to DOT specifications. In addition, KEDNY has streamlined its summons response process by moving summonses through specific project managers and engineers, has added a designated supervisor to manage the corrective action request end-to-end process, and has improved its NOVs reporting to leadership which allows the leadership to take necessary actions to improve performance across internal functional teams. In addition, KEDNY indicates in its 2018 Report that summonses have significantly increased in the Historic Test Year, mostly due to the DOT enforcement of stipulations violations codes 078 and 016. These violation codes pertain to roadway and

sidewalk clearing at the end of each work day. KEDNY asserts these violations were only selectively enforced by DOT in prior years, but are now being enforced on every job site where a permit for roadwork exists. KEDNY is addressing the impact of the enforcement changes by engaging in discussions with DOT officials. Since KEDNY is aware of the changed enforcement issue with DOT violations, and has recently begun addressing the issue in calendar year 2018, the associated benefits of mitigating the increased summons will not be realized until a later period.

Q. What is the Panel’s recommendation?

A. Given KEDNY’s reporting of the significant efforts it has taken within calendar year 2018 to reduce these violations, we believe the amounts reflected in the Historic Test Year do not serve as a reasonable basis to forecast the Rate Year. Therefore, the amount of NOVs reflected in the Historic Test Year should be normalized, to fully reflect the annual benefits to be realized from KEDNY’s identified efforts in reducing the number and associated costs of

NOVs. Further, as explained in response to IR DPS-929, KEDNY does not track specific NOVs that KEDNY attributes to factors outside of KEDNY's control. However, in our review of the response to IR DPS-768, we found several of the NOVs incurred resulted from circumstances within KEDNY's control. Some of these NOVs include failure: (1) to comply with terms and conditions of permit; (2) to install raise plow signs; (3) to ensure plates are pinned and ramped; (4) to provide adequate protection at work sites; (5) to post a flag person at worksite to give directions; (6) to display required signs at worksite; (7) to seal street opening joints; (8) to restore lane markings; and (9) to replace loose utility covers. For these reasons, we recommend using a conservative approach and are reducing the Historic Test Year level of expense charges incurred for the vendor New York City Finance Commissioner by 25 percent. This approach reasonably captures the anticipated savings associated with the efforts undertaken by KEDNY. It is reasonable to assume the benefits associated with these efforts will come

to fruition prior to the end of the Rate Year. Further, our adjustment also captures a portion of the NOVs that are within KEDNY's control, which should not be recovered from customers.

Q. Please quantify your adjustment.

A. To determine our Rate Year allowance for NOVs expense, we begin with Historic Test Year incurred expense amount of $3.541 million and remove 25 percent, or $0.885 million. We further increase our adjustment by the inflation rate used by KEDNY of 3.96 percent, to decrease KEDNY's Rate Year forecast of Other Expense by $0.920 million.

Q. For KEDLI, please explain your adjustment related to Other Expense.

A. We recommend reducing the level of charges incurred in the Historic Test Year, for costs associated with the vendor PSEG Long Island LLC.

Q. Please explain the adjustment.

A. In the response to IR DPS-833 and in details shown in Attachment 12, KEDLI indicated it paid $4.316 million in the Historic Test Year to PSEG Long Island LLC. Of the $4.316 million, $3.256 million was related to a settlement dated August

16, 2018 that KEDLI entered into with PSEG Long Island LLC to resolve outstanding invoices for electric service used by KEDLI for the period beginning January 1, 2014. KEDLI's response to IR DPS-833 Attachments 13 and 14 provide the details and quantification of the settlement. In reviewing KEDLI's accounting for the settlement amount, which was incurred in the Historic Test Year, we determined that KEDLI had reversed accruals in the Historic Test Year that had been recorded in prior years. The reversed accrual entries serve to partially offset the settlement booked to Other Expense. However, in following up with KEDLI on the detail provided in response to IR DPS-833, we determined that $1.109 million related to the settlement remains in the Historic Test Year. These are for out of period costs that KEDLI did not normalize and remove from the Historic Test Year amount that is being used as the base to forecast Rate Year Other Expense. Included in our workpapers is a spreadsheet provided by KEDLI that shows the calculation of the under accrued amount of $1.109 million that should be normalized out of

the Historic Test Year. Although not available at the time of filing of our direct testimony, it is our understanding KEDLI will be submitting a supplemental response to IR DPS-833 explaining that it was an error to not remove all amounts related to this settlement from the Historic Test Year. KEDLI should address the supplemental response in its rebuttal testimony, confirming whether it agrees with our recommended adjustment.

Q. Please quantify your adjustment.

A. We remove the remaining $1.109 million related to the PSEG Long Island LLC settlement from the Historic Test Year, increased by the inflation rate used by KEDLI of 3.96 percent. This decreases KEDLI's Rate Year forecast of Other Expense by $1.131 million.

Trade Association Dues/Fees

Q. Are KEDNY or KEDLI seeking rate recovery of membership dues for the American Gas Association, referenced as AGA?

A. Yes, however, consistent with PSL §114-a, the Companies excluded the portion of the membership

dues related to lobbying activities from its proposed revenue requirements. Based on the Companies' responses to IR DPS-951, including Attachments 1 and 35, and IR DPS-952, the non-lobbying portion of AGA membership dues that KEDNY and KEDLI incurred in the Historic Test Year, were $0.386 million and $0.166 million, respectively. In the Rate Year, the Companies have requested the Historic Test Year amounts plus an increase for inflation.

Q. How did the Companies determine what portion of the membership dues were related to lobbying?

A. A trade association, such as AGA, must report annually to the Internal Revenue Service (IRS), the total amount of lobbying expenditures in order to determine to portion of the dues that are not deductible. In addition, the associations must advise members of the portion of their dues that are not deductible because they are related to lobbying.

Q. Does the AGA invoice show what portion of the dues are related to lobbying activities?

A. Yes. Based on the Companies' response to IR DPS-951, Attachment 35, lobbying activities

represent approximately 3.1 percent of AGA's 2018 annual dues invoice.

Q. How does PSL 114-a define lobbying?

A. PSL 114-a defines legislative lobbying as "any attempt by any person on behalf of a public utility to influence the passage or defeat of any legislation by either house of the legislature or the congress, or the approval or disapproval of any legislation by the governor."

Q. Does the IRS have a similar definition of lobbying?

A. Yes. If anything, the IRS definition is more detailed and prescriptive. IRS Publication 535 – Business Expenses – states that "lobbying expenses include amounts paid or incurred for any of the following activities: influencing legislation; participating in or intervening in any political campaign for, or against, any candidate for public office; attempting to influence the general public, or segments of the public, about elections, legislative matters, or referendums; communicating directly with covered executive branch officials in any attempt to influence the official actions or positions of

those officials; researching, preparing, planning, or coordinating any of the preceding activities."

Q. Does the Panel have any reason to believe that AGA is not properly reporting its lobbying activities to the IRS or on its membership invoices?

A. No, we do not. Therefore, we recommend that the Companies be permitted to collect the portion of the membership dues not related to lobbying activities for AGA.

Inflation Factor Update

Q. What GDP inflation factor did the Companies use in its various rate year forecasts?

A. As discussed in the direct testimonies of the Companies' Revenue Requirements Panels and Exhibit__(RRP-8) for both KEDNY and KEDLI, the Companies used a GDP inflation factor of 4.87 percent.

Q. Did the Companies make any updates to this Rate Year GDP inflation factor?

A. Yes, in their Corrections and Updates Filing, as addressed in the Revenue Requirement Panel

testimonies, the Companies updated its projected GDP inflation rate to 3.96 percent based on more recent economic data.

Q. Do you recommend an adjustment to the inflation rate the Companies used?

A. No, not at this time. We have reviewed the Companies' computation and determine the computed inflation rate is reasonable and based on current information. However, we do recommend that, if the GDP inflation rate materially changes through the course of these proceedings, that the rate be updated as late as the Brief on Exceptions stage.

Other Taxes

Q. Do you have an adjustment to KEDNY's Rate Year forecast of Other Taxes?

A. Yes. We recommends decreasing KEDNY's forecast of Rate Year other taxes by $0.160 million.

Q. What comprises "Other Taxes"?

A. The other taxes primarily includes the Highway Use Tax, Hazardous Waste Tax, Sales & Use Tax, and Capital Tax.

Q. To which segment of Other Taxes does your

adjustment apply?

A. Our adjustment relates to KEDNY's forecast for Sales & Use Tax for the Rate Year.

Q. How did KEDNY forecast Sales & Use tax for the Rate Year?

A. KEDNY applied an inflation rate to the actual Historic Test Year amount to forecast the Rate Year amount.

Q. Do you agree that the Historic Test Year provides a reasonable basis for projecting the Rate Year?

A. No. KEDNY identified the Historic Test Year expense amount to include a sales tax reserve and interest accrual amount of $0.223 million. In the response to IR DPS-434, KEDNY explains the $0.223 million sales tax reserve was recorded to expense to establish a sales tax reserve for KEDNY's current sales/use tax audit for the period from June 2015 to August 2018. KEDNY further explains the interest reserve accrual for the same audit period was recorded separately and is not part of the Sales and Use tax account. KEDNY's reserve accrual charge partially relates to a time period not

represented by the Historic Test Year. In the response to IR DPS-767, Question 2, KEDNY indicated that $0.177 million of the $0.223 million reserve accrual charge is related to Calendar Years 2015 to Calendar Year 2017.

Q. What do you recommend?

A. We recommend decreasing the forecast of Rate Year Other Taxes by $0.160 million. This reflects removing the $0.153 million from the Historic Test Year, as well as removing the inflation, in the amount of $0.007 million, that KEDNY had applied to the Historic Test Year amount.

Property Tax Expense

Rate Year Forecast

Q. Please explain how KEDNY and KEDLI developed their Rate Year forecasts of property taxes.

A. KEDNY and KEDLI started with the Historic Test Year property tax expense of $151.432 million and 149.617 million, respectively, and then made a normalizing adjustment to reverse the effect of property tax deferrals that were recorded on KEDNY's and KEDLI's books. After normalizing

the Historic Test Year property tax expense, KEDNY and KEDLI performed the following adjustments in order: (a) Reflected changes in economic and functional obsolescence percentages; (b) Applied growth factors of 4.95 percent, for KEDNY, and 2.73 percent, for KEDLI, to property tax expense for the 15-month bridge period of January 2019 through March 2020; (c) Reflected additions to property tax expenses to reflect plant additions. When developing the Rate Year ending March 31, 2021, the Companies applied the same steps and growth rates to forecast their Rate Year property tax. Based on this methodology, in the direct testimony of the Shared Services Panel, KEDNY forecast Rate Year property tax expense of $172.547 million, and KEDLI forecast Rate Year property tax expense of $178.190 million. In the Corrections and Updates, filed on July 3, 2019, KEDNY decreased this amount to $168.094 million, and KEDLI increased this amount to $181.881 million.

Staff Review

Q. Please provide a brief description of the Companies' historical property tax expense.

A. KEDNY and KEDLI's historical property tax expense includes property taxes paid to New York City and paid to taxing authorities outside New York City, i.e., to counties, cities, towns, villages, and schools on Long Island. KEDNY pays taxes only to New York City, while KEDLI pays taxes to both New York City and taxing authorities on Long Island.

Q. How does New York City tax property?

A. New York City, taxes property in four tax categories or classes, Class 1 and 2 are forms of residential property, while Class 3 includes all special franchise real utility property, with the exception of land and buildings. Class 4 includes the utilities land and building property, as well as other non-utility entities' property.

Q. What is special franchise property?

A. Special franchise property comprises all pipes, cables, conduits, and other utility property located in or along the public right-of-way.

Q. How does New York City assess the special franchise property?

A. New York City relies on the New York State Office of Real Property Tax Services (ORPTS) to establish assessed values for utility special franchise property. KEDNY and KEDLI annually file plant inventory data with ORPTS.

Q. How did you assess KEDNY and KEDLI's historical New York City property tax expense?

A. We obtained and reviewed KEDNY and KEDLI's final determination letters from 2015-2019 regarding the assessed values for special franchise properties. For KEDNY and KEDLI, we selected a sample of Class 3 and Class 4 property. With that sample, we verified KEDNY and KEDLI's assessed values with the values included in the New York City Department of Finance property tax database, which is available online. After verifying the underlying assessed values, we also verified the property tax rates used to bill KEDNY and KEDLI. We then traced this selected sample to KEDNY and KEDLI's property tax software, books and records to ensure the amounts tied out.

Q. What steps did you perform in your audit of KEDLI's property taxes paid to non-New York City jurisdictions?

A. For KEDLI property taxes paid to non-New York City jurisdictions, Staff performed a similar verification process. We selected a sample of bills for which we compared the assessed values and tax rates that KEDLI was assessed and taxed to the actual property tax bill and ensured that it was recorded properly on KEDLI's property tax software, books and records.

Economic and Functional Obsolescence

Q. Please describe Economic Obsolescence (EO).

A. EO is the "loss of value of property caused by an impairment in desirability or useful life resulting from factors external to the property," as defined in Title 20 of the New York Code of Rules and Regulations, Part 8197-2.8(b).

Q. Please explain the EO process and how it affects property tax expense.

A. Utilities apply for an EO allowance by submitting a standard calculation to ORPTS. The

calculation compares a five-year average of actual return on rate base to the allowed return on rate base. ORPTS then reviews the calculations and makes a formal determination on the EO awarded to utilities. The EO allowance is applied as a percentage reduction to a utility's assessed special franchise property, which effectively reduces property tax expense.

Q. Please describe Functional Obsolescence (FO).

A. FO is "the impairment of operating capacity or efficiency resulting in a loss in value brought about by the failure of the tangible property to meet present or projected needs or where the capacity of the tangible property exceeds reasonable anticipated demands," as defined in Title 20 of the New York Code of Rules and Regulations, Part 8197-2.8(c). An FO allowance also applies a percentage that reduces assessable values for special franchise property, thus reducing property tax expense.

Q. Is there a standard for how FO is calculated?

A. No. There is no specific standard for how to calculate an FO allowance. The utility would have to make a filing to ORPTS to demonstrate

that a loss in value occurred.

Q. Did KEDNY and KEDLI present their Historic Test Year expenses net of EO and FO?

A. Yes. KEDNY and KEDLI reflected EO and FO percentage reductions embedded in the actual property tax expenses for the Historic Test Year.

Q. Do you agree with KEDNY and KEDLI’s adjustments to reflect the changes in EO and FO allowances from the Historic Test Year through March 2021?

A. Yes. We verified the changes to the applicable ORPTS determination letters and concur with the Companies’ presentation.

Q. In summary, do you agree with KEDNY and KEDLI’s methodology to reflect the change in EO and FO as it related to the Rate Year forecast of property tax expense?

A. Yes.

Growth Factor

Q. What growth factors did KEDNY and KEDLI use to forecast Rate Year property tax expense?

A. KEDNY used a growth factor of 4.95 percent, and KEDLI used 2.95 percent. Both factors are based

on the change in property tax expense from Fiscal Years 2016 to 2018.

Q. Did KEDNY and KEDLI update the growth rates in the Corrections & Updates filing?

A. Yes. KEDNY updated its growth rate to 5.04 percent and KEDLI updated its growth rate to 3.78 percent. The Companies updated the change in property tax expense from Fiscal Years 2017 to 2019 for their two-year average calculation.

Q. Did the Companies state why they used a two-year growth rate?

A. Yes. In the Companies' response to IR DPS-293, the Companies stated two reasons for using a two-year growth rate: (a) the two-year growth rate is consistent with what was adopted in the Commission's 2016 Rate Order for KEDLI and KEDNY in Cases 16-G-0058 and 16-G-0059, and (b) a two-year growth rate was more moderate than the one-year or three-year average growth rates.

Q. Do you agree with the use of a two-year growth rate?

A. No. A two-year growth rate does not contain enough data points to show a trend. For the purpose of forecasting, a three-year average

growth rate is necessary to produce a trend appropriate for forecasting purposes. The Companies states that the two-year growth rate was adopted in the 2016 Rate Order. However, the 2016 Rate Order adopted a Joint Proposal, reflecting compromises specific to those cases. Therefore, even though a two-year growth rate is consistent with the 2016 Rate Order, it does not provide a strong argument for its continued usage.

Q. How do you recommend calculating the property tax growth rates for KEDNY and KEDLI?

A. We recommend using a three-year average of changes in property tax amounts between calendar years 2016, 2017, and 2018.

Q. Why did Staff use a calendar year basis instead of the Fiscal Year basis used by the Companies?

A. Using the calendar years, as opposed to Fiscal Years will ensure that the time period of January through March 2019 is not included twice in the Rate Year forecasting calculation.

Q. Why should the January through March 2019 period not be included in the growth rate calculation?

A. This period is already reflected in the

methodology used to calculate property tax expense from the Historic Test Year to the Rate Year and should not be included in calculating a rate in which to base the growth for this period on. By using a Fiscal Year basis, the Companies are essentially using data for those three months twice; first in the calculation of the growth rate, and again in forecasting Rate Year property tax expense.

Q. What growth factor do you recommend for KEDNY?

A. We recommend using a growth rate of 4.60 percent, which we developed using a three-year growth rate based on calendar year property tax expense provided in the Companies' filing and the response to IR DPS-255.

Q. What impact does using this growth rate have on the forecast of KEDNY's Rate Year property taxes?

A. Using the 4.60 percent growth rate results in a $1.274 million reduction to the Rate Year forecast of KEDNY's property tax expense. This amount is shown on Exhibit___(SAP-2).

Q. Do you recommend a similar adjustment to KEDLI?

A. Yes. We recommend using a three-year growth

rate on calendar year property tax expense provided in the Companies' filing and the response to IR DPS-254. This results in our recommended growth rate of 3.12 percent.

Q. What impact does using this growth rate have on the forecast of KEDLI's Rate Year property taxes?

A. Using the 3.12 percent growth rate results in a $2.326 million reduction to the Rate Year forecast of KEDLI's property tax expense. This amount is shown on Exhibit___(SAP-2).

Property Tax on Plant Additions

Q. Please explain KEDNY and KEDLI's methodology to forecast Rate Year property tax expense to reflect plant additions.

A. KEDNY and KEDLI utilized a three-year average, using calendar years 2014 through 2016, of plant additions, net of retirements and plant closings, as the base for measuring incremental plant additions. Due to the lag of when property is assessed by ORPTS and on the books, and since the Historic Test Year is calendar year 2018, KEDNY and KEDLI used 2014 through

2016 to reflect the three most current years embedded in the assessment rolls.

Q. Do you agree with the Companies' methodology to forecast additional property taxes on incremental plant additions?

A. Yes.

Property Tax Reconciliation

Q. Are KEDNY and KEDLI currently authorized to use a deferral reconciliation mechanism for property taxes?

A. Yes. Under the 2016 Rate Order, which adopted a Joint Proposal and implemented three-year rate plans, KEDNY and KEDLI currently defer 85% of the difference between their actual property and special franchise tax expenses and the amounts reflected in their respective rates.

Q. Did KEDNY and KEDLI request to continue the reconciliation currently allowed for property tax expense?

A. No. The Company instead proposed a full symmetrical reconciliation.

Q. Do you agree?

A. No. We are making recommendations for setting

rates for a single year, as compared to the three-year term of the rate plans adopted in the 2016 Rate Order. In addition, we anticipate both KEDNY and KEDLI will update property taxes if the changes are material for latest known bills through the Brief on Exception phase of this proceeding, which is close to the beginning of the Rate Year. These two factors reduce much of the risk associated with relying on the Rate Year forecast. As a result, there is no need to allow for a property tax reconciliation in a one-year rate case.

Property Tax Mitigation Section

Q. Please explain the adjustment KEDNY and KEDLI made to forecast the anticipated savings from the Property Tax Mitigation Accelerate Program initiative.

A. As part of National Grid’s corporate Accelerate savings Program, the Companies worked with a consultant to conduct a review of potential areas, specifically commonly capitalized costs, to identify non-property taxable components, for property tax reductions across National Grid

USA's operating companies. KEDNY and KEDLI anticipate property tax savings of $2.5 million annually.

A. Where do the Companies reflect these expected property tax savings?

A. The Companies reflect these expected $2.5 million annual property tax savings in their property tax expense forecast for assessment reductions expected on the 2020 assessment roll. The Companies then allocated the savings to the Rate Year and Data Year 1 in the same manner as they allocate the impact of incremental plant additions.

Q. Do you have any issues with the Property Tax Mitigation Accelerate Program initiative and the amount of savings reflected?

A. No, we do not.

Inactive Deferral Accounts

Q. Explain how KEDNY and KEDLI propose to treat deferral account balances that have been inactive.

A. KEDNY, on page 112 of the direct testimony of the Revenue Requirements Panel, proposes to net

together several inactive deferral regulatory assets and liabilities to create a single deferral account with a credit balance of approximately $3.5 million. KEDLI, on page 109 of the direct Testimony of the Revenue Requirements Panel, proposes to net together several inactive deferral regulatory assets and liabilities to create a single deferral account with a credit balance of approximately $12.9 million.

Q. Why do KEDNY and KEDLI propose to net these deferrals?

A. KEDNY and KEDLI propose to net these deferrals in an effort to simplify the balance sheet and reduce the administrative burden on the Companies and Staff associated with tracking, reporting, and reviewing these inactive accounts.

Q. Do you have an issue with KEDNY and KEDLI’s proposal to combine the inactive deferrals to create a single deferral accounts with a credit balance of approximately $3.5 million and $12.9 million, respectively?

A. No, we have audited and agree with the deferral

balances of the items the Companies propose to combine and consolidate, and do not have an issue with this proposal.

Federal and State Income Tax

Q. Have you reviewed KEDLI's and KEDNY's Federal and State Income Tax expense forecasts for the Rate Year?

A. Yes. The Companies correctly made specific adjustments for items that are treated differently for book and income tax purposes. For example, the Companies appropriate reflected the 50 percent disallowance for meals expense and the flowing through of the equity allowance for accumulated funds used during construction (AFUDC) and book depreciation on equity AFUDC.

Q. Have the Companies reflected the finalized New York State income tax rate change in the Rate Year?

A. Yes. In 2014 New York State enacted a law reducing the income tax rate from 7.1 to 6.5 percent. The 2016 Rate Order issued in Cases 16-G-0058 and 16-G-0059 for KEDLI and KEDNY reflected estimates of the deferred tax impact

of the tax rate change and amortized the balance over a ten-year period. Due to the State tax rate change now being final, the Companies have adjusted the annual amortization to return the remainder over the balance of the ten-year period.

Q. What is the origin of the excess ADIT amortization tax item the Companies included in federal income tax expense?

A. On December 22, 2017, the Tax Cuts and Jobs Act was enacted, which, among other changes, lowered the Companies' federal income tax rate from 35 percent to 21 percent. On December 29, 2017 the Commission issued an "Order Instituting Proceeding" to determine the effects of the tax act on utility rates and to preserve the net benefits for customers. In December 2017, the Companies reduced the accumulated deferred income tax account to reflect the lower income tax rate of 21 percent, with an offset to an income tax regulatory liability account, which will benefit customers. The Companies' Rate Year reflects the amortization of the excess ADIT.

Q. How did the Companies determine the annual excess ADIT amortization in the Rate Year?

A. The Companies divided the excess ADIT into four categories, protected plant, unprotected plant, net operating loss and other non-plant excess. The protected plant excess ADIT reflects the temporary differences between book and tax depreciation methods and lives only.

Q. How do the Companies address excess ADIT in the protected plant category?

A. The Companies are required under IRS normalization regulations to return the protected excess ADIT utilizing the Average Rate Assumption Method (ARAM). Using the ARAM, KEDNY and KEDLI will return the protected excess ADIT over 44 and 47 years, respectively.

Q. How do the Companies address excess ADIT in the net operating loss category?

A. The excess ADIT on the net operating loss is considered to be protected because, under the IRS test, the depreciation differences were the cause of the net operating loss. The Companies have determined the protected plant amortization using the ARAM years and have amortized the same

amount for the excess ADIT of the net operating loss and the net effect of the two amortizations is zero.

Q. What do you mean by unprotected plant excess ADIT?

A. Unprotected plant excess ADIT is a result of the differences between book and tax basis in plant of non-depreciation items.

Q. How do the Companies address excess ADIT in the unprotected plant category?

A. KEDNY and KEDLI propose to return the unprotected plant excess ADIT over 44 and 47 years, respectively.

Q. How do the Companies address excess ADIT in the non-plant category?

A. The Companies analyzed the non-plant ADIT and assert that the most reasonable amortization periods for KEDNY and KEDLI are 44 years and 25 years, respectively.

Q. Have the Companies explained the reasons for using the ARAM lives for amortizing the unprotected plant excess ADIT?

A. Yes. In response to IR DPS-823, the Companies describe several reasons for their proposal.

One reason for amortizing over the ARAM is a matching principal. There is a timing difference and if a shorter life is used the customers would be receiving the benefits before the Companies receive the cash benefits. Second, the Companies state that shortening of the unprotected plant excess ADIT amortization lives will increase revenue reductions and lower cash flows, which will produce further downward pressure on credit ratings. Third, the Companies assert that Congress may again change the tax laws, which could produce an increase in the federal income tax rate and the return of the unprotected plant excess ADIT over the ARAM time period could prevent unstable rates.

Q. What do you recommend regarding excess ADIT for the unprotected plant and non-plant categories?

A. We recommend a 10-year amortization period. The use of a shorter amortization period of 10 years, rather than using ARAM lives, for unprotected plant and non-plant excess ADIT is allowed under IRS normalization rules. The return of the net excess ADIT over a shorter time period will more rapidly reduce the revenue

requirement and return the tax benefits to customers. The impact this may have on the credit metrics will be addressed by the Staff Financing Panel. The Companies allusion to future Congressional action is speculative and would lead to paralysis, as any future Congressional action would also be subject to yet further change. Therefore, it does not present a persuasive argument for using the ARAM lives for the unprotected plant and non-plant excess ADIT.

Q. What are the Rate Year impacts of using a 10-year amortization period for the KEDNY unprotected and other non-plant excess ADIT?

A. The KEDNY unprotected excess ADIT amortization of $3.8 million will increase to $16.5 million, an increase of $12.7 million. The KEDNY other non-plant excess ADIT of negative $0.6 million will decrease further to a negative $2.4 million, a change of $1.8 million. The net effect increases the amortization by $10.9 million. There is an associated net decrease to the KEDNY accumulated deferred taxes for the unprotected excess ADIT of $6.4 million and the

other non-plant excess ADIT of negative 0.9 million for a net total of $5.5 million, which increases rate base.

Q. What are the Rate Year impacts of using a 10-year amortization period for the KEDLI unprotected and other non-plant excess ADIT?

A. The KEDLI unprotected excess ADIT amortization of $2.3 million will increase to $10.7 million an increase of $8.4 million. The KEDLI other non-plant excess ADIT amortization of negative $2.0 million will decrease further to a negative $5.0 million, a change of $3.0 million. The net effect is to increase the amortization by $5.4 million. There is an associated net decrease to the KEDLI accumulated deferred taxes for the unprotected excess ADIT of $4.2 million and the other non-plant excess ADIT of negative $1.5 million for a net total of $2.7 million, which increases rate base.

Q. Have you adjusted both KEDNY and KEDLI plant additions in Fiscal Year 2020 and the Rate Year?

A. Yes. The decrease in plant additions reduces tax depreciation in Fiscal Year 2020 and the Rate Year, and the associated deferred Federal

and State income taxes.

Q. What are the impacts on the KEDNY and KEDLI accumulated deferred income taxes?

A. The KEDNY accumulated deferred Federal and State incomes taxes will decrease by $1.684 million and the $0.564 million, respectively. The KEDLI accumulated deferred income taxes will increase the Federal and State incomes taxes by $0.802 million and $1.685 million, respectively.

Q. Does this conclude the Panel’s testimony at this time?

A. Yes.

BY MR. GOODRICH: (Cont'g.)

Q. Panel, also before you are exhibits identified at the time of filing as S.A.P.-1, S.A.P.-2 and S.A.P.-2C. These have now been marked for identification purposes as Exhibits 411, 412 and 529, respectively. Were those three exhibits prepared by you or under your direct supervision?

A. Yes.

Q. And do you affirm that the information contained in the exhibits just identified is true to the best of your knowledge?

A. Yes.

MR. GOODRICH: Your Honors, the staff accounting panel is now available for cross examination.

A.L.J. COSTELLO: Okay. The companies.

MR. O'BRIEN: Thank you, Your Honors.

CROSS EXAMINATION

BY MR. O'BRIEN:

Q. Good afternoon, panel. Patrick O'Brien from National Grid. I'm going to ask you some questions today about your pre-filed testimony. I'd like to begin by discussing the adjustment you

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proposed to the notice of violations, which I will abbreviate going forward as N.O.V.s.

So if you could please turn to page 11 of your testimony as that's where that discussion begins. Now, am I correct panel, that N.O.V.s are fines and summonses that are received by KEDNY for work performed in New York City?

A. (Mansoor) Yes.

Q. Am I also correct that the joint proposal in the last rate case for the record 16-G-0058 and 16-G-0059 required KEDNY to file annual reports describing its efforts to reduce its N.O.V.s?

A. Yes.

Q. And you reviewed KEDNY's calendar year 2018 annual report in the course of your preparation for this case. Is that correct?

A. Yes.

Q. And a copy of that report can be found in your Exhibit S.A.P.1 at page 23 and S.A.P.1 has been marked for identification as Exhibit 411. Is that correct?

A. Yes.

Q. And you would --

A.L.J. LEARY: Speak into the

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microphone.

BY MR. O'BRIEN: (Cont'g.)

Q. And you would agree that KEDNY has undertaken a number of efforts to reduce its level of N.O.V.s, correct?

A. Yes.

Q. And because of these efforts, you're proposing to reduce KEDNY's historic test year cost by 25%. Is that correct?

A. Yes.

Q. And then you say at page 18, line 20 that a 25% reduction reasonably captures the anticipated savings associated with the efforts undertaken by KEDNY. Do you see that?

A. Can you show me which page it is?

Q. I'm sorry. It's -- it's page 18, line 20.

A. Okay. Can you please repeat your question?

Q. Sure. I'd -- so you say at page, I'm sorry, page 18, line 20. a 25% reduction reasonably captures the anticipated savings associated with the efforts undertaken by KEDNY?

A. Okay. Yes, we did. But we also

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mentioned in our testimony page number 19 from line number 2, that our adjustment may also capture portion of the N.O.V.s that are within the KEDNY control. They should not be recovered from the customers.

Q. Thank you. Now, did you do any analysis or study that shows that KEDNY can, in fact, reduce its N.O.V. costs by 25% in the rate year?

A. Can you please repeat your question?

Q. Sure. Did you do any type of analysis or study that shows that KEDNY can, in fact, reduce its N.O.V. costs by 25% in the rate year?

A. Yes, we did.

Q. Okay. And can you point me to that study or analysis that you performed?

A. Okay. Just a second. Okay. Based on the IR response, DPS-768, Company provide lists of the fines and based on the fines, we find there are more than 15% fines are under company control and staff ask in DPS-929 the question -- from the company they've -- based on the provided fines in the list provide additional fines that company asserts were beyond the control of the

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company and company didn't provide this information. The company just stated the company does not track Specific N.O.V. data attribute to the factor outside the company control.

Q. So I'm curious. How did you arrive at 25% as opposed to say 5% or 10%?

A. As I told you, based on the fines that provide the company in one of the I.R. response, I can state the IR response again, is 768. More than 15% fine are company -- under company control. Those fines I just -- when I looked at each fine, I find out in most of the fines are just because a company does not use their due diligent while performing their work.

Q. Okay.

A. And the staff also identify in the testimony. Just a second. If you look the staff initial testimony page number 18, line -- from line 4, you can find out the few examples, staff mention in their testimony.

Q. So how much of the 25% is composed of the savings that KEDNY are expected to deliver in the rate year and how much is composed of the portion of the N.O.V.s that are within KEDNY's

control?

A. (Quackenbush) Could you please repeat the question?

Q. So you're proposing to reduce KEDNY's N.O.V. cost by 25%. What I want to understand is how much of that 25% is composed of the savings that you're projecting KEDNY to achieve in the rate year and the portion of the N.O.V.s that are under KEDNY's control?

A. Could you please elaborate what you mean when you say the savings?

Q. Sorry. At page 18, line 20, you say quote, This approach reasonably captures the anticipated savings associated with the efforts undertaken by KEDNY. It is reasonable to assume the benefits associated with these efforts will come to fruition prior to the end of the rate year. And then you say, Further our adjustment also captures a portion of the N.O.V.s that are within KEDNY's control which should not be recovered from customers.

THE WITNESS: (Mansoor) Okay. Less than 10% is associated with the saving and more than 15% is the cost under that company control.

BY MR. O'BRIEN: (Cont'g.)

Q. Sorry. Does that break down appear anywhere in your testimony?

A. As we mentioned in our testimony that we use a conservative approach.

Q. So my question is, does that breakdown appear anywhere in your testimony?

A. No.

Q. And you mentioned this analysis that you undertook. Does your -- did your analysis quantify any specific savings from any specific initiatives that will be achieved by KEDNY in a rate year?

A. (Quackenbush) Could you please repeat the question?

Q. Sure. So I'll do it this way. So pages 15 through 17, you say to a number of examples of potential reductions in N.O.V.s, my question is, did you do anything to quantify any savings that can be delivered from any of these efforts in the rate year?

A. So based on our testimony that we mentioned from page number 14 to page number 16, the list of the -- I think through the page number 17, the effect of the step that company took in calendar

year 2017 and 2018 helped to reduce the fines and based on our analyses 10 -- less than 10% reasonable and we -- reasonable amount.

Q. Okay. That wasn't my question. So my question, again, and let me do it this way. If I turn to page 15 of your testimony, at line 3, for example, my question is did you do any study or analysis that quantifies any savings from, for example, the D.O.T. requiring KEDNY to transition to a web-based platform?

A. So we mentioned our testimony from -- in the page number 14, line number six, that associated benefits may never have not been fully realized in how to quantify those benefit.

Q. So you haven't quantified or identified any specific savings associated with any specific initiative in the rate year?

A. (Quackenbush) And as we state in our testimony, that's because we believe the associated benefits have not yet fully been realized. So it's hard to quantify that.

Q. Thank you. So would you agree that KEDNY could improve its performance in terms of the number of N.O.V.s per permit but that the number

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and costs associated with N.O.V.s could increase or remain the same if the number of permits increase?

A. And this is hypothetical.

Q. It's hypothetical.

A. Thank you.

A. (Mansoor) Repeat your question.

Q. Sure. Would you agree that KEDNY could improve its performance in terms of the number of N.O.V.s per permit but that the number and costs associated with N.O.V.s could increase or remain the same if the number of permits increase?

A. If you're talking about hypothetically then, yes.

Q. And if you could, could you please turn to page 9 of the calendar year 2018 annual report, which can be found on page 32 of 503 of Exhibit 411 S.A.P. 1.

A. (Quackenbush) Could you please repeat that exhibit?

Q. Sure.

A. Thank you.

Q. It's -- it's S.A.P. 1, page 32 of 503. And it's marked for the record as Exhibit 411. And it's page 9 of the calendar year 2018 KEDNY

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A. (Mansoor) Can you tell me the page number of the report?

Q. Sure. It's page 9.

A. Okay.

Q. And the table on page 9 shows the N.O.V. to permit ratio normalized from 2016 to 2018. Is that correct?

A. Yes.

Q. Okay. And it shows a reduction of approximately 40% in the number of N.O.V.s for calendar year 2018 on a normalized basis compared to calendar year '17, if the volume of work had not increased. Is that correct?

A. Could you please repeat your question again?

Q. Sure. The table shows a reduction of approximately 40% in the number of N.O.V.s for calendar year 2018 on a normalized basis compared to calendar year '17, if the volume at work had not increased. Is that correct?

A. Yes.

Q. And are you aware that the company's forecasting to undertake more work in the

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rate year that will likely require more permits as compared to the historic test year?

A. Could you please repeat your question again?

Q. Sure. The question is just, are you aware that the company is forecasting to undertake more work in the rate year that will likely require more permits as compared to the historic test year?

A. Yes, but they state that the company will took -- there will be more saving and they will reduce the -- the penalty.

Q. And calendar year '18 is the historic test year in this proceeding. Is that correct?

A. Yes.

Q. And to forecasts the rate year, the company took the historic test year N.O.V. cost and applied an inflation factor. Is that correct?

A. Yes.

Q. Therefore, you would agree, would you not, that KEDNY's rate year forecasts already reflects a reduction in N.O.V. costs as reflected in the calendar year '18 annual report?

A. Can you repeat again?

Q. If the company took the N.O.V. -- historic test year N.O.V. costs and applied an inflation factor, would you agree that KEDNY's rate year forecasts already reflects reduction N.O.V. costs as shown in the calendar year 2018 annual report?

A. So based on the company report there are so many steps the company took in calendar year -- throughout the calendar year and the benefit is not fully realized in the calendar year 2018. Staff believe the benefit will be -- the company get a more benefit rate year and forward.

Q. And these are the benefits from the initiatives that you haven't quantified, correct?

A. (Quackenbush) Could you please repeat the question?

Q. These -- you refer to benefits, these are the benefits that you haven't quantified, correct?

A. (Mansoor) Okay. The benefit is not fully realized in the calendar year 2018 and staff believe the bene -- the company could get a benefit in the following year.

Q. It's – it's correct, is it not, that other than applying an inflation factor, the company did not make a normalizing adjustment to N.O.V. costs to reflect the incremental work that is forecast for the rate year?

A. Can you please repeat your question again?

Q. Sure. And maybe I can help you. If you turn to page 10 of your testimony, that's where you describe how the company's developed its rate year forecasts. So my question is, it's correct, is it not that the companies did not make a normalizing adjustment to N.O.V. costs to reflect the incremental work that is forecast for the rate year?

A. It's correct.

Q. Finally, panel, are you aware of the gas business enablement or the G.B.E. program?

A. (Quackenbush) Was that a question if we are aware of it?

Q. Yes.

A. Yes.

Q. Okay. Are you aware that the revenue requirement in this proceeding reflects forecasts benefits associated with the G.B.E.

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A. I believe I remember seeing that. I'm not sure -- the specifics I'm not sure on.

Q. Are you aware that one of the benefits is reduction to N.O.V.s?

A. This panel is not aware of that.

Q. Okay. Let me show you schedule 2 from Exhibit 56, pre-mark -- pre-marked as C.J.C. 5, which is a 2 page schedule from the pre-filed direct testimony of company witness Christopher Connolly.

A. (Quackenbush)And would you be able to identify where exactly you'd like us to --

Q. Sure. So, if you look at Page 1, it's entitled total benefits forecasted as a result of G.B.E. implementation for fiscal years ending March 31, 2020 through 2024.

A.L.J. LEARY: And for the record G.B.E. is gas enablement?

MR. O'BRIEN: Business enablement.

A.L.J. LEARY: I'm sorry, Gas Business Enablement. Just remember your acronyms, you got to define it once. You might have, I missed it probably, sorry.

MR. O'BRIEN: No, there is no problem.

BY MR. O'BRIEN: (Cont'g.)

Q. And then you -- you see the column 12 months ending March 31, 2021, which is the rate year in this proceeding. And then you see about a third of the way down, it shows that there are approximately $2 million in benefits associated with summons and fines. Do you see that?

A. Yes, we do see that.

Q. And if you turn to page 2, which is entitled G.B.E. OpEx benefits forecasted for the Brooklyn Union Gas Company for rate year ending March 31, 2021 and data years ending March 31, 2022, 2023, and 2024. And if you look in the column, again 12 months ending March 31, 2021, which is the rate year in this proceeding, there are approximately $1.4 million in operation and maintenance expense benefits reflected in the revenue requirement for KEDNY?

A. Yes, we do see that.

A.L.J. LEARY: Sorry, I'm seeing -- I don't see O and M, operations and maintenance on that line. Did I miss something?

MR. O'BRIEN: The -- the, Your Honor, the document is entitled G.B.E. OpEx benefits which are operation and maintenance expense benefits.

A.L.J. LEARY: OpEx, I see it.

BY MR. O'BRIEN: (Cont'g.)

Q. And -- and you weren't aware of this adjustment when you made your recommendation. Is that correct?

A. (Mansoor) Okay. We are not sure about this summon and fines, how this amount are calculate, but based on our adjustment, we mentioned the 15 -- more than 15% fines that are under the company control and 10% based on the savings that we mentioned about through our testimony.

Q. I understand that, my question was you weren't aware of this when you made that adjustment. Is that correct?

A. Okay. We are so not sure about whether this dollar are -- have related with those fine.

Q. Let's turn to page 27. And that's where the panel begins to discuss property taxes. Now, if I understand it the dispute between the company and staff is over what growth rate should be used to forecast property tax expenses. Is that correct?

A. (Quackenbush) That's correct.

Q. And the company is proposing a forecast property tax expense using a growth rate based on the most recent 2 fiscal years while staff is proposing use of a growth rate based on the 3 recent calendar years. Is that correct?

A. That's correct.

Q. And then you note at page 34, line 22 a 2 year growth rate does not contain enough data points to show a trend. Do you see that?

A. I do see that. That's what the testimony states.

Q. Is it a general rule in forecasting that that you want to use as many data points as possible?

A. Not necessarily.

Q. Well, putting aside how many years are appropriate to use and whether the year should be calendar years or fiscal years, do you agree that there are some uncertainty associated with forecasting property tax expense?

A. As with any forecast.

Q. Okay. Would you agree that the company does a good job in managing its property tax expense?

MR. GOODRICH: Objection, vague.

A.L.J. LEARY: It's calling I think for the panel's opinion about -- is that what you're asking for, Mr. O'Brien --

MR. O'BRIEN: Yeah, I mean --

A.L.J. LEARY: -- about how good a job they do in -- what --

MR. O'BRIEN: Yeah, I mean the panel reviewed --

A.L.J. LEARY: -- what word did you use - controlling?

MR. O'BRIEN: Yeah, I mean, the panel review --

A.L.J. LEARY: Managing.

MR. O'BRIEN: Correct, the panel reviewed the company's property tax expenses. So my question is, you know, during that review, and you know, did you find the chump -- the company does a good job in managing its property tax expense.

A.L.J. LEARY: So your opinion about whether it's a good job or I think that's accepted -- an acceptable question. Any other basis for objecting to it.

MR. O'BRIEN: And let me rephrase it.

Would you agree that the company does a pru -- prudent job in managing its property tax expenses, that's probably more appropriate.

A.L.J. LEARY: Look, I don't like the word prudent. Let's go back to what --

MR. O'BRIEN: We can do good.

A.L.J. LEARY: You talked about prudent --

MR. O'BRIEN: Yeah.

A.L.J. LEARY: -- it has a very specific meaning in this proceeding and in other proceedings. So let's just stay with, quote, good job.

BY MR. O'BRIEN: (Cont'g.)

Q. Actually panel, let me withdraw the question. Let me ask it this way. Are you aware that the current rate plans provided for the disposition of more than $20 million in tax refunds relating to various tax assessment challenges made by KEDLI over the years?

A. (Quackenbush) Can you please repeat the question?

Q. Sure. Are you aware that the current rate plan provides for the disposition of

19-G-0309/19-G-0310 - 2-14-20 - Brooklyn Union Gas more than $20 million in tax refunds relating to various tax assessments -- challenges that were made by KEDLI over the years?

A. Do you have a copy that I could review?

Q. Sure.

A. Thank you.

Q. And just let the record reflect I'm showing the panel, an excerpt, 3 page excerpt from the joint proposal in cases 16-G-0058 and 16-G-0059. The first page of that 3 page document is page number 3 from the direct proposal, pages 2 and 3 are pages 83 and 84 from the joint proposal that was approved by the commission.

And to assist you panel, if you look at the first page, it reference -- references 3 commission proceedings and then there's a reference to -- notice of tax refunds totaling approximately $24.5 million. Do you see that?

A. Correct. I do recall this.

Q. And then at page -- pages 83 to 84. It provides for the disposition of those refunds.

A. Yes. I'm aware.

Q. And are you also aware that KEDLI recently filed a notice of tax refund to address an approximately $50 million judgment in a Town of Hempstead litigation, which dates all the way back to 2002. And I believe it's commission proceeding 18-M-0270.

A. I'm not aware of the specifics, but I do recall that case.

Q. And the company also reflected savings of $2.5 million for each of KEDNY and KEDLI associated with proactive efforts undertaken by the companies to reduce their property tax expenses in these proceedings. Is that correct?

MR. GOODRICH: I'm sorry, could -- could Counsel please repeat the question?

MR. O'BRIEN: Sure.

A.L.J. LEARY: And speak a little bit more slowly.

MR. O'BRIEN: Sorry.

BY MR. O'BRIEN: (Cont'g.)

Q. The company has also reflected savings of $2.5 million for each of KEDNY and KEDLI, associated with efforts undertaken by the companies to reduce their property tax expenses in these

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A. Yes.

Q. And both KEDNY and KEDLI have had property tax reconciliations for about a decade now. Is that correct?

A. I am aware of the last case that they did having a property tax reconciliation as part of joint proposals which are agreed upon and they were not 1 year cases.

Q. Did you find any evidence in reviewing the company's property tax expenses that the reconciliation mechanism currently in places has detracted KEDNY or KEDLI from properly managing this property tax expenses?

A. Could you please repeat the question?

Q. Did you find any evidence in reviewing the company's property tax expenses that the reconciliation mechan -- mechanism currently in place has detracted KEDNY or KEDLI from properly managing its property tax expense?

A. To answer your question, no.

Q. Panel, I appreciate your time. Thank you. I don't have any further questions.

A.L.J. COSTELLO: Would you like to take a moment?

MR. GOODRICH: Yeah. Yes, please, Your Honor. *00:12:16

A.L.J. COSTELLO: We'll take a 10 minute break.

A.L.J. LEARY: Did PULP waive?

A.L.J. COSTELLO: Yes, PULP waived.

A.L.J. LEARY: Okay.

A.L.J. COSTELLO: We'll take a break till 3:10 and we'll go off the record.

(Off the record 3:01 p.m.)

(On the record 3:14 p.m.)

A.L.J. COSTELLO: Counsel, do you have any redirect?

MR. GOODRICH: Yes. Your Honors. We do have a brief -- bit of redirect.

A.L.J. COSTELLO: Okay. Please proceed.

REDIRECT EXAMINATION

BY MR. GOODRICH:

Q. Panel, earlier I believe I heard you asked if it was correct that notices of violation were for fines for work perf -- that KEDNY performed.

I believe you answered yes. Could you please explain?

A. (Mansoor) Sorry. I better understand the question period. This violation includes the failure -- failure to follow the permit condition. In that -- in my trust money page number 13, from line number 2 it explained which kind of the cut -- cut -- failure to fall -- which kind of the condition the company failed to follow.

A.L.J. LEARY: Excuse me. Speak as slowly as you can.

THE WITNESS: (Mansoor) Okay. So, this violation, due to the failure to follow the permit condition, in my testimony page number 13 from line 2, it explain which kind of the condition, the company didn't meet in order to perform their work.

BY MR. GOODRICH: (Cont'g.)

Q. And also, earlier, the company asked the panel whether its -- I believe the company asks whether its increase in budgets for -- for capital work will result in a greater number of permits. Could you please explain your answer to that?

A. (Quackenbush) I would say there

is not exactly a correlation between more work equals more permits.

Q. Could you explain why?

A. You know, there could be budgets with higher costs, not necessarily related to permits at all, it could be the projects don't require permits. So to say that there would be a correlation. We don't see it.

MR. GOODRICH: No further questions, Your Honors.

MR. O'BRIEN: No re-cross.

A.L.J. COSTELLO: Okay. Panel, thank you very much for your testimony. You're excused.

A.L.J. LEARY: Let's go off the record.

A.L.J. COSTELLO: Okay. We're off the record.

(Off the record 3:17 p.m.)

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STATE OF NEW YORK

I, KAYLA ALLEN, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 2620, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 21st day of February, 2020.

Kayla Allen, Reporter